ZF Commercial (ZFCVINDIA)

Conference call transcripts, oldest-first. 13 call(s). Generated 2026-06-08.

"ZF Commercial Vehicle Control Systems India
Limited Q4 FY-23 Earnings Conference Call"

May 26, 2023

MANAGEMENT : MR. P KANIAPPAN – MANAGING DIRECTOR.
MR. R S RAJAGOPAL SASTRY – CHIEF FINANCIAL
OFFICER.
MS. M MUTHULAKSHMI – COMPANY SECRETARY .
MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the ZF Commercial Vehicle Control Systems India Limited 4th Quarter FY23 Post Result Conference Call hosted by Batlivala & Karani Securities India Private Limited.

As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchscreen phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited. Thank you and over to you sir.

Annamalai Jayaraj: Good morning. Thank you for joining us today and welcome to ZF Commercial Vehicle Control Systems India Limited's quarterly Earnings Conference Call.

The 4th Quarter Earnings and Full Year Results for FY 2022-23 will shortly be presented by the ZF Commercial Vehicle Systems India Limited Management Team, formerly known as WABCO India Limited. Your hosts this morning from ZF Commercial Vehicle Control Systems India Limited are Mr. P Kaniappan – Managing Director; Mr. R Rajagopal Sastry – CFO, as well as Ms. M Muthulakshmi – Company Secretary.

I will now hand over the call to Mr. P Kaniappan who will provide you with further insights into the results. Over to you sir.

P Kaniappan: Thank you, Mr. Jayaraj.. Good morning to all of you. I warmly welcome you all to ZF Commercial Vehicle Control Systems India Limited's fourth-quarter results and full-year performance for FY 2022-23.

We'll make certain forward-looking statements today based on management's good faith expectations and beliefs concerning future developments. As you know, actual results may differ materially from these expectations because of many factors. ZF Commercial Vehicle Control Systems India Limited's results for the quarter and year ended March 31, 2023, were published on May 24, 2023. They are available on the www.zf.com website within the ZF CV India investor relations section. We hope that you have had an opportunity to go through them.

A transcript and recorded audio of this call will also be made available on www.zf.com under the ZF CV India investor relations section. I am happy to talk to you today, as we give you an update about the business of the company.

First, about the industry and economic updates:

I would like to start with a quick update on our operating environment, which is influenced by economic factors and the development of the commercial vehicle industry. As would be common knowledge, the GDP projection of 6% for the FY 2023-24 is still the strongest among large global economies. This along with the rapidly improving inflation situation, steady industrial

production, and capacity utilization of CVs indicates the strength and stability of the economy. This the company recognizes is the time for consolidation and paving the way for long-term growth and robustness. The above state of the economy and industry is reflected in the trend in CV production too. We saw the OEMs produce close to 120 thousand commercial vehicles of greater than 6 Ton Capacity, in quarter 4, which is a growth of 25.9%. For the full year 2022-23, the OEMs produced around 395 thousand vehicles: again, registering an impressive 37.1% growth over 2021-22.

As I would describe in a while, the company made the best of this growth.

I would like to highlight a few developments which are relevant to us.

Trailer systems:

The manufacturing of trailers in India is growing both in numbers and in content due to better road infrastructure and expressways. We are able to support the increased production in this segment, by supplying state-of-t

he-art equipment like Trailer ABS, Trailer EBS (Electronic
Braking Systems) Trailer Pulse (Trailer telematics solution), Lift axle solutions in addition to the basic braking products.

Bus production:

Bus Segment was hit in the previous years due to COVID-19 hampering all types of bus transportation. The situation has changed and the demand for buses started picking up significantly. Strong focus on EV transition in the bus segment provides many new opportunities for content increase.

Heavy and medium-duty growth picks up:

Post consecutive fiscals of double-digit decline, CV sales recovered by ~37% in FY 22-23, going ahead. The following factors indicate that the CV production and sales may have a strong growth in the immediate future.

- Economic growth
- Materialization of deferred replacement demand.
- Demand recovery & higher freight
- Traction in industrial activities like steel, cement, and mining, increased demand for e-commerce and last-mile delivery services

Apart from this, the Government's focus on infrastructure projects and express highways will aid the growth of the M&HCV industry.

Now, I would like to touch upon how we are getting ready to support the regulation that has already come into force from April 2023:

With ESC regulation for buses coming into effect from April '23, we successfully homologated both pneumatic & hydraulic ESC in applicable bus platforms across OEMs & the SOP has started successfully.

With ADAS regulation under draft and expected to be promulgated in 2025, we successfully launched CMS with one major OEM as a part of the ADAS regulatory requirement. Moving forward we are closely associated with all the key OEMs and are working together for the ADAS readiness.

E Mobility transition: With the government initiatives in promoting Electric mass Mobility through FAME, CESL tenders the transition towards EV is increasing, especially in buses. We as a system solution provider have successfully started supplies of e-compressors and Electronic Braking Systems to Electric CV manufacturers and working together with them to support other advanced solutions.

Aftermarket: The aftermarket of the company registered 28.5% growth in FY 22-23 Vs FY 21-22 which is a strong performance against the backdrop of 8% growth in the Indian market as published by ACMA. New distributors have been inducted who are helping in filling in the white spots and improve coverage. The company also opened over 125 augmented WSD branches across the country. Aftermarket is also evolving from a spare part supplier to a solution provider, and through this segment, we have successfully launched Door Control systems, Rear Park Assist Systems, and Hill Start Aid systems as Independent After Market offerings of the company. These are applicable as retro fitment options for commercial vehicles. These offerings

are slowly but steadily gaining traction.
Export: The export sales have grown 19.5% quarter on quarter and 16.5% year on year. Some of the projects like compressors for DAF have seen the start of production in quarter 4.
Services segment, the Company had registered a growth of 44.3% in Q-o-Q and 36.1% in Y-o-Y aided by the continuous addition of skilled engineering resources in our technology centers.
ZF CV Control Systems Manufacturing India Pvt Ltd , a wholly owned subsidiary of the Company commenced its commercial production in the month of March 2023 and started selling hydraulic ESC and electric compressors. We are happy to say that even during the short period of being in operations, the results are encouraging.
Towards the protection of profitability , while the growth is being looked into, the company is committed to profitable growth. Detailed and thorough record keeping accompanied by strong negotiations with customers has ensured that the inflation suffered by the

company is
compensated in the form of price increases. Further, with its strong roots in Hoshin Kanri: policy

deployment, the company is able to unleash the power of cost leadership, by embarking on various cost-reduction projects, which are also yielding results.
Expansion: I am happy to state that the new factory building in Oragadam is progressing as per plan and we should see the start of production in the new facility during October 2023.
So, I would like to take this opportunity to give you a brief update on the CSR outreach work:
At ZF Commercial Vehicle Control Systems India Limited, we strive to be a responsible corporate citizen and make a positive difference through our Corporate Social Responsibility initiatives. Our CSR initiatives are based on four tenets -- improving road safety, enhancing the quality of life of neighboring communities, contributing towards environmental sustainability, and upgrading skills.
Over the years, our contribution to society has touched thousands of lives in several ways and benefitted a wide range of stakeholders. The scope of our initiatives has now been expanded to make a positive difference to even more of our stakeholders.
Our road safety initiatives align with ZF's vision of 'Zero Accidents & Zero Emission' and the Government of India's 'Vision Zero' initiative that addresses challenges around road traffic fatalities. Through the structured road safety initiatives, 88 programs were conducted in the year and covered 61 cities all around India. The road safety programs benefited around 3268 Drivers and 1832 Technicians
Holistic community development encompasses a spectrum of initiatives ranging from access to quality healthcare to infrastructure upgrading. We contributed significantly towards helping school students by developing the basic infrastructure in Government schools and the public.
With regards to skill development, we set up a skill lab at ITI, Barabanki & ITI, Ambattur, and a skill development center at Govt Polytechnic-Jamshedpur.
In pursuit of our sustainability goals, we installed solar-based streetlights at Ambattur, Avadi, and Mappedu junctions and erected a solar energy-powered traffic signal at Ambattur: a first of its kind in Tamil Nadu. We have also set up an eco-park at our test track in Mappedu.
Awards and Recognition:
Our Lucknow plant won a Quality award from TATA Motors as part of customer recognition.
Our MWC unit was adjudged the winner of the ZF Excellence Award 2022 in the ZF DNA of Quality category among 100 entries in this category alone and was one of the 6 winners amongst a total of 630 applicants.

Our employees continued to demonstrate high levels of engagement and participated in various external TEI conclaves, winning numerous awards across several categories in the fourth quarter of the fiscal. I am happy to share that, in this quarter, our teams won a total of 5 awards both at the national and regional levels in the various competitions organized by the CII and QCFI.
BRSR:
The Company will be publishing its 2nd BRSR report for the year along with the annual report and has published it in the previous year as a voluntary initiative. Detailed exercises are being conducted with the help of external specialists to understand our GHG footprint, environmental impact, energy transformation, and all social and governance aspects. We are happy to state that in some key parameters like utilization of energy from renewable sources, wastewater generation, water consumption, and waste generation, the company showed significant year-on-year improvements.

And now, moving on to our financial performance for the quarter ...
For your ready reference, the results were made public at 6:00 PM on the 24th of May 2023. I hope you have ha

d a chance to go through them.
Commercial vehicle production in the country grew by 25.9% over the same quarter in the previous year and 37.1% for the full year 2022-23, over 2021-22. We outperformed by 2.8% this quarter. Our sales thus to OEMs in this quarter is 470.4 Crores. This is 28.7% higher than the prior corresponding quarter. We also closed the year with sales to OEMs at INR 1597.6 crores, which is 54.9% higher than the previous year.
Overall strength in demand ensured that our aftermarket sales were up 22.7% QoQ to 124.2 Crores and YoY up by 28.5% to 429.1 Crores.
Exports resulted in an income of 295.6 Crores in Q4 of FY 2022-23 were up 19.5% QoQ and YoY 16.5% growth with 1099.9 Crores.
Our engineering and other services continue to provide very strong value to our customers in the group. The growth in service income is a very healthy 44.3% QoQ and 36.1% YoY.
While I have shared the good news on our top line, I must be clear that the current period is very challenging from a profitability perspective. Overall, we have achieved a profit before tax of Rs.134.9 crores in this quarter and Rs.426.9 crores for the FY 2022-23. Our FY 2022-23 PBT is 13.7% of product sales. Our EBITDA for this quarter is 18.2% and for the year 2022-23 is 17.2%.
We continue to carefully review the environment and our performance to consider further opportunities for actions to mitigate ongoing commodity inflation. This is important as we also see softening of the commodity prices going forward.
Thank you.

We now welcome your questions.
Moderator: Thank you very much. We will now begin the question-and-answer session. Our first question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead.
Mukesh Saraf: My first question is on hydraulic products. So you mentioned that some of those products you are manufacturing in the 100% subsidiary, could you give some more color on that I am assuming that will be for the LCV segment because you'll be supplying pneumatics to the heavier segments. So, could you kind of explain a bit more about that sir?
P Kaniappan: Thank you, Mr. Mukesh. Yes, you're right this is for the light-duty segment, the government has mandated electronic stability control for certain categories. So, those vehicles that are in the pneumatic segment are fitted with pneumatic ESC which is a part of our normal product portfolio. As the hydraulic ESC is a product available in the Global portfolio, we are selling the same in the Indian Market in small volumes.
Mukesh Saraf: Okay. And this will be done only, we are doing it as a separate subsidiary, is it because they pay the royalty or other agreements are different from the parent or what's the reason for doing it separately under the subsidiary?
P Kaniappan: The new entity is a 100% owned subsidiary of our Company and it will manufacture and sell new products. It being a newly incorporated entity, manufacturing of new products will enjoy concessional tax rates.
Mukesh Saraf: Right. And the second question is on the exports business. Could you, we have kind of improved sequentially as well Q-o-Q as well on the revenues but could you kind of share some outlook given that maybe the North American trucking industry the expectation is that it will peak out very soon? So are we looking to add new products there, especially from our new plant that can start, so some more color on the export side sir?
P Kaniappan: Yes. Actually, Mukesh in the exports segment we have a few major products as you might know the brake chambers and actuators. We are trying to secure more markets in other parts of the world in the trailer segment etc., so that you see as and when we grow market share globally our production will keep increasing, this is one segment. The second is we are supplying the car compressors specially meant for the BMW type

of vehicle for the air suspension systems, the air supply unit we are producing and supplying to multiple customers who are using those products but largely on the BMW type of applications because they are our main customer. Our sales were growing well because those customers are growing their sales and increasing, and these things are also applicable for the EV type of segment, so we expect this to continue. The third segment is our mainstream air compressors which you might know that we started supplying originally a few years ago to Volvo. But now we are expanding it to another customer which is a DAF Company that started one product DAF compressor about two, three quarters earlier. But now from January onwards, we are extending it to another compressor, so the volume is expanding. And we also started supplying the lever for the disc brakes and that was growing.

So, we expect the growth to continue because our growth is largely driven by projects, new projects, etcetera actually the volume generation because of the competitive push and advantage that we are able to arrive.
Moderator: Thank you. Our next question is from the line of Nirali Gopani from Unique PMS. Please go ahead.
Nirali Gopani: Sir, so I do understand that our revenue is largely dependent on the commercial vehicle, which is cyclical in nature, and currently there are tailwinds, which are being reflected in our numbers. So my question is that what kinds of measures can be taken to hedge ourselves from the cyclicality, or in other words, do we expect the exports to grow significantly in the next few years on the back of outsourcing from a parent, that eventually the cyclicality will not matter if you can qualitatively talk about a few points.
P Kaniappan: Thank you. So, by nature the industry it's a cyclical industry and most of our technology is related to only commercial vehicles. So, we have to face it in any case, but then of course, what we took a few years ago to minimize the impact of cyclicality is, growing the business in the aftermarket, we have been launching solutions in the aftermarket irrespective of, in addition to the OE segments so aftermarket is one approach. The second approach of course it's an export.In 2008 we started we were actually zero in 2008. Today, we have crossed 1000 crores, last year we have done. We see this growth continuing. Plus, of course, we are also growing a services business even though it's not an absolutely big number but that's another segment we are growing, within the industry itself we are also trying to position ourselves as a digital solution provider which we can the solution that we are developing even though largely today managed in the delivered only the commercial vehicle industry, but then it can be supplied the solutions or the competency that we have can be used to develop solutions for other segments as well. We are positioning ourselves somehow to offset that impact of cyclicality but still, but we still have to face that situation that the industry is in, that cyclicality will not be completely removed in the current situation, but we are trying to mitigate it.
Nirali Gopani: That's great sir. And sir in your view and experience you expect this growth in the domestic CV OEMs to last at least for one, one, and a half years or any view that you would have on that?
P Kaniappan: Yes, so of course ZF works on a 10-year timeline, in our strategic plan. Our number shows the trend will continue meaning last year was 37% and all that, but we expect this year's growth to be around 10%. But it may moderate to, I don't know 5% to 6%, but we still feel that is a temporary cycle, but from the 10-year outlook that we have, it is still in the growth trend. Because in India, certain fundamental changes taking place in the industry now in terms of, the road infrastructure, mining area,

and e-commerce, so a lot of transformation is taking place, we see the impact of the transformation in the trailer industry and very rapid growth in the trailer industry, so trailer industry itself we are now having many advance technologies to support. I would like to tell you that in our assessment that this trend will continue for quite some time.

Nirali Gopani: Okay, that's great sir. And sir given there is a lot of focus on India, any outsourcing target that our parent would have maybe in the next three, five years a little longer term view?
P Kaniappan: Actually, it's like this, they don't have any specific target, but the fact that India is a solution provider in terms of technology, in terms of the talent pipeline, in terms of manufacturing cost, not one that you provide to a parent we have been growing you can see last year our story we have been growing in most areas. Again, I believe that will continue because it is quite compelling. The support or the solution that we offer in many areas are compelling, and I'm sure it will continue.
Nirali Gopani: And sir my last question is on the EBITDA margin side. So you did mention that the raw material prices are coming down. And we have improved our margins in quarter four. So is there a further scope to improve the EBITDA margins from this level?
P Kaniappan: We work in multiple ways.One is of course our first priority was to bring the business back to its earlier situations. Then first priority was to really ensure that we get the prices reset based on the actual impact of the cost in the supply chain. This also helped us to set up an indexing with most of the customers, which will work both ways on the commodity inflation comes down they will also ask us to reduce that process but at least we will be protecting the margin from the customer side. But we are surely now focusing on the cost-effective focus of our margin drive. Again, we have a very, very structured approach supported by the global parent, a framework that actually ensures that you continuously look at cutting down in the supply chain and are driven by multiple actions. One of that is localization continuously and also we have a very

strong engineering team in India who is able to really work on a concept called design to cost, it continuously redesigns the engineering products to look at reduced cost in the supply chain. Like that there are many initiatives, so in a way COVID and the last two years have actually put us into, press the accelerator pedal in this segment so with a strong engagement of employees we are driving. So we are basically a continuous improvement Company because of our TQM roots. But then it’s also a challenge beyond some point so but to answer you, we have multiple levers to address this aspect and as a policy, as a guideline, our focus is to really focus more on the profitable growth, and certain areas where we are not making money and we are losing money, we are also trying to take a call on those products, et cetera. So, fundamentally our focus is on margin improvement.

Nirali Gopani: Right sir. And if you may permit sir, one last point is given that you said that you are seeing growth over the next 10 years view, would you like to revise your guidance of €1 billion in FY30?

P Kaniappan: I would request our CFO to answer.

R S Raja Gopal Sastry: We generally do not provide guidance.

Moderator: Thank you. Our next question is from the line of Deepak Jain from Enam AMC. Please go ahead.

Deepak Jain: Sir how much our imported components as a percentage of revenues? And what is the revenue mix, which you are exporting to the parent?

P Kaniappan: The import was 15% around and it can vary from product to product, but on average, it’s about 15% on the material co

st and mixes varies typically we do about 30% to 33% export on the overall.

Deepak Jain: Okay. Sir on this ESC mandatory regulation which has come on the buses, you said that there are some numbers which you are doing on a monthly basis. So, why these numbers are not higher?

P Kaniappan: So, ESC is regulated for the buses, the applicable buses if you see in India, it’s roughly about 40,000 buses are produced in India, of which the applicable segment, it is also mandated for a certain type of buses only. So, the applicable segment is about 60%. So, about 24,000 buses are required to have ESC. That comprises both hydraulic ESC and pneumatic ESC. So, both put together, we are expecting because it has just started slowly being applicated, so we expect about 2000 vehicles will get selected in large part of the volume and of which 400 is hydraulic and the balance 1600 would be pneumatic. So, that’s the composition. So, this is applicable market now, but we expect this to increase, maybe after one or two years we expect the ESC to be applicable for the trucks as well. So then it provides a much larger volume.

Deepak Jain: Okay. Sir last question on this ADAS, you think it’s a big opportunity, and in 2025 you said some regulations are coming. So, that is in the category you are expecting, in the bus category?

P Kaniappan: See we expect it, it might start with a bus or it may start with certain vehicles maybe long-distance buses and trucks could be a segment but we don’t know the exact category until it gets announced. But, I am expecting it can also be applicable for all vehicles because ADAS is a very advanced technology that will actually alert or mitigate and also eliminate the possibility of collision. So, the government and ACMA committee has already worked on this, the draft has been already prepared now, our guess is that it will start coming in from 2025 but, if ADAS has to come before that other technology has to come here, ESC has to come for trucks as well. So, ADAS itself is a very advanced technology, but there are multiple features of ADAS, it will start with warning and alert, then it could be mitigation and then there are, features like blin spot monitoring and various other features. So it’s a very advanced technology, we already are engaging most of the Indian OEMs in the commercial vehicle sector, and one OEM has already launched the first version of the ADAS which is called the Collision Mitigation System. And then ADAS itself may be based on radar, based on camera, based on radar and camera combined, we call it fusion. So, within ADAS itself there will be many technologies, all meant for avoiding unseen conditions or minimizing the damage, et cetera. So we expect that to get in from 2025 and grow thereafter.

Moderator: Thank you. Our next question is from the line of Mukesh Manlesha from Anand Rathi. Please go ahead.

Mukesh: Just want to understand as you indicated the new products in the ADAS and trailer segment, can you indicate what kind of content per vehicle opportunity will be there and how do you see the penetration over the medium term?

P Kaniappan: On the ESC and EBS?

Mukesh: ADAS and trailer.
P Kaniappan: So, trailer industry if you look at it, a few years ago it was completely on a very basic level only they were using the very basic braking systems sometimes they were also getting the axles from other countries because it was low cost. But a few years ago the government mandated a trailer code which mandated certain basic minimum standards in the braking. The government also then mandated trailer ABS, which is an anti-lock braking system so anti-lock braking systems protect the vehicle and also around when they apply the break in a panic condition. So, today actually it's mandated, but the point is, for a few years the trailer manufacturers were not in favor of

using it. So, of course, the government tries to get some waiver and all that. What is today happening is more and more people have started adopting the trailers and the ABS in the trailer. So, typically the content, the ABS content could be I would say maybe around 30%. But then the applicability today only, the applicability is only about I would say less than 30% but we expect this to grow. This is number one because what is happening in the industry is now the increased road construction and all those expressways and all those things facilitate better turnaround time, GST application all those things are facilitated, better turnaround time, et cetera. So most of them are now looking at safety as a priority. Along with ADAS, some customers even though it is not mandated, they're going for an electronic braking system, trailer EBS. Trailer EBS apart from breaking in a panic condition, this is more like a drive by wire it has got roll stability also, which means on a rollover situation it will also be protected. So, the customer sees many benefits in going for EBS, EBS content could be roughly I'm giving a rough indication maybe around 60,000 type of delta. But adaptation is today in the range of about 7%, to 8%. But all these things are opportunities for more and more people will adopt trailer ABS because mandated and more and more people will go for trailer EBS because it also provides a lot of value in terms of increased tyre life and because it also facilitates the lift axle control systems and many other functionalities. So, this is on the trailer segment. The trailer segment is something even in the number it is growing. So, earlier trailers were only roughly about 8% of the vehicles produced where the trucks produced, and the tractors are the ones which used to carry the trailer. Now, the number has increased close to 20%. The very steep increase last two, or three years. So both in terms of number, in terms of technology adoption trailer is today a very rapidly growing segment, we have very advanced technologies for the trailer segment including trailer telematics, so that will slowly also find more adoption. This is on the trailer and the advanced driver assistance system I mentioned that this is also very, very important for long-distance type of driving where even if the drivers are not alert, this system will alert the driver to apply brakes if for some reason still it is not alert the system will actually also apply the brake if it applies brake initially partially then fully. So, today it is available. One OEM has launched a few vehicles, and there are plans for them to launch more. This will come in the regulatory route also may be from 2025 but that's our assumption but it could be earlier.

Mukesh: Right. So, possible to share the number, what could be the content per vehicle?
P Kaniappan: Trailer typically today, all trailers put together on an average our content is decent.
Mukesh: And for ADAS?
P Kaniappan: ADAS again depends on which solution they are going for, there are multiple solutions, the basic solution there is no change in the content per vehicle, but if you want to brake , it could be much higher but right now, it could be much higher again depends on what functionality they want to go. They have to choose which functionality they want to adopt.
Mukesh: And sir similarly, e-bus you have mentioned €1000 to €17,000 of content for e-buses so among all the products which you have mentioned where you see the fast adoption and what could be the blended content currently sir?
P Kaniappan: Electric buses need an electric compressor for the pneumatic, and the basic braking system needs a compressor that is driven by the power from the engine. But here it is driven by an electric motor. These things, and the volume increases also will come down but today that's the situation.

Then you will need, many customers have decided to go for electronic braking systems for electric vehicles, because an electronic braking system is very intelligent system that will actually optimize the usage of energy and there are regeneration possibilities with that it is the most efficient braking solution. So, most customers have decided to adopt electronic braking systems in their electric buses. Content increase is largely driven by volume. Today we are importing and supplying when the market matures to some decent volume then we will localize so that the price will come down but today that is the situation. These two products, the e-compressor, and the electronic braking systems are the two matured products that we have already started. We have secured from most OEMs who are making electric buses.

Mukesh: The telematics solutions you are onboarding more than 100,000 vehicles right, the telematics solutions and we have run for the last few years. So, how are you seeing the acceptance of the solution, and are you seeing any annual subscription revenue from this business?

P Kaniappan: Yes, so we are working with one OEM to whom we are providing the solution, both in terms of the hardware portal services and end-to-end including aftermarket support, et cetera. So, the solution because it's a global solution, it is working earlier, it started as more from a startup type of ecosystem, but today is a very mature and robust solution. We still have been providing at a basic level only more and more functionalities actually is being developed at a global level and they offer for all the OEM so, the OEMs in India are actually providing the end customer free, they're not charging it's at least for two years, some of them are doing one year, some of them two years, et cetera. We still have to test how many of them are going to keep it or what is going to be the adoption rate. We started this from 2020 onwards, it took almost one year for the market to really know these products to go into the market and mature. This year, right now we have about 120,000 vehicles connected to us. And we have to see because the OEMs will stop focusing on this after two years, initially, they are using this also as an, there is a differentiation

to sell the vehicle they are not charging them. Now, when it goes to the fleet or end customer they have to pay. So there could be some temporary challenges, but progressively the fleets and the end customers also will see the value of these products. We are also working with the fleets now. The subscription is around Rs. 200/- per vehicle per month.

Moderator: Thank you. Our next question is from line Bibhishan Jagtap from Canara Robeco AMC. Please go ahead.

Bibhishan Jagtap: Can you just tell us how much does the parent contribute to export revenue and how much revenue actually come in from selling to direct OEM?

P Kaniappan: I said our export is 1099 crores last year, amongst overall sales of 3126 crores. So, that is typically 33%.

Bibhishan Jagtap: Okay. And in the coming years, which part of the segment do you expect will contribute more is it direct selling to the OEMs or to the parent?

P Kaniappan: Well, our focus is in all segments we are focusing but in the direct segment it is more like securing our place, meaning we want to leave the market so, whether it is the ESC or EBS or we are putting a lot of more efforts to make sure that we retain our leadership position. And that involves, ensuring the global supply chain and also localizing. So, in terms of priority focus in the domestic market, that's all we are focusing, At the same time we also want to grow our export business if you see, has been tracking our roughly in the range of 30% to 35%, only uncertain times in the COVID times our export percentage was much higher, probably you'd we would like to be in that

range given the time. But again, it depends on sometimes the projects that are maturing in the global export also. So, overall if I would like to give the indication it should be in the range of 30% to 35% our export is something that we have been performing last few years. But going forward our priority in terms of our resources, our efforts will be in the domestic market, because the market has started adopting some of the very advanced technologies here. So that will be our focus.

Bibhishan Jagtap: Understood sir. And second, how is your export margin profile compared to the Company level margins, it would be better or it would be slightly on the lower side, because we are selling to a parent?

R S Raja Gopal Sastry: Our exports parent are based on a contract manufacturing arrangement, we are contract manufacturers and the margins are based on a transfer price model. The margins are fixed based on arm's length-based pricing, we will not be able to specifically tell you what exactly the margin is, but it is based on arm's length-based principles.

Bibhishan Jagtap: Would it be possible for you to just use some direction whether it will be better than the Company level margin or it will be slightly lower than that?

P Kaniappan: It changed, the Indian market was going through difficult times. And sometimes few products in India also we are not making margin and so it changes year-on-year and all those things, but

globally the framework is like Raja said, on an arm's length basis because there we don't take any risk and ability related to warranty and other things because we are more like a contract manufacturers.

Bibhishan Jagtap: Okay. Understood and lastly sir you mentioned that our input content is around 15% of RM cost, correct that's?

P Kaniappan: Yes, that's correct.

Bibhishan Jagtap: Yes, and how it was probably a couple of years back and how we are planning to reduce that in coming years. Will we are expected to keep on coming on new products?
P Kaniappan: So, our focus is always to have 100% control on the supply chain on these thing, global supply chains we had a lot of challenges during the COVID time and otherwise also now because of the scenario is different globally because of the war there and all that but our wherever possible, wherever there are suppliers available, wherever it becomes the business case is viable, we have been very aggressive in localization. Today our main focus is our margin, margin also is supported by localization. So, localization is a priority for us, but, the challenge is, if it is an electronic part on an ECU it is still cheaper to import some of these products than manufacturing here because the scale is not viable and also the Indian ecosystem for the electronic part is not yet fully developed and matured. As and when the also evolves, we are also getting ready but in many cases, we are starting with assembly by the assemble here including our electronic stability control kits which get mandated from April the ECU we have already localized, but then the model is all the parts were imported by the EMC, electronic manufacturer that electronic parts manufacturer. We import only because there is a localization here, the assembly alone and secure. Sometimes in terms of the cost, because still most part is coming from outside but it secures our supply chain, we are able to meet the customer demand, et cetera. So, in short, wherever we are able to localize we are moving ahead, and that needs some volume. And even if the volume is less, we start with an assembly here, CKD type of things imported and assembled. And so we continue but I believe it will not dramatically reduce, the percentage will not reduce because we are also parallelly launching many new advance products from the global supply chain to India as the market is now moving in that direction. Wh

en we localize then some
new products get in that we normally import initially then that adds to the import content so 15%, 16% or up to 20% will still continue as an important part.
Bibhishan Jagtap: Just on the industry side what kind of growth we are currently looking at for MHCV good segment and for the bus passenger segment?
P Kaniappan: For us, we have separated buses and this, but bus growth rate could be very high because, last two, three years it was literally no production. Now the market is back, because everything is getting to normal even though employee transportation might not have hit the earlier levels, school bus transportation or tourism, and other things in the city transport all those things have already come to more or less normal. So we are seeing a very rapid growth in the bus segment but again, bus volume is in the range of about 40,000 to 45,000 number per year. But, including

bus, including truck all put together. We are expecting a growth of 10% this year in the vehicle category of above six tonnes.
Moderator: Thank you. Due to time constraints, our last question for the question-and-answer session is from the line of Harsh Mulchandani from KRIIS Portfolio. Please go ahead.
Harsh Mulchandani: Sir, just wanted to understand what percentage of your revenue comes from the bus segment and what future prospects are we looking at apart from the new ESP product, which is becoming mandatory, something more coming in the pipeline in the future?
P Kaniappan: Thank you. So, it would be difficult for me to give an exact number in this case, because the industry it's a massive transition and is like taking place there. One aspect is, maybe two years ago, which will be zero production in the bus segment. But, last year we are seeing a lot of activity it is catching up. And as I said, you can also make your calculation in the industry, the matured volume is about 40,000 to 45,000 and we are a major player here. The context is 85% of the segment we may be serving. So, that may give you a rough idea of what is our volume there versus overall our OE sales, OE sales are 1597 crores. But what is important there is the industry evolution number one, the ESC has kicked in, through the mandatory route in 60% of the volume so, out of 40,000 say 24,000 will be ESC. Now what is mainly happening is most of the government tender is only for electric buses. So, electric bus production has started, most customers have started and we are very well engaged with all OEMs to provide them with all the required technology products. It's the right technology product and a very mature product which we are also quickly localizing here. And the market has gone too long to produce this mostly for the buses only about 250 buses a month now they had started producing. And a lot of customers have got it they have secured the tender from the customer. So they have to complete the order, et cetera. They expect this to grow but today there is a level and in that process, many OEMs have also decided to applicate an electronic braking system today. So, this will be the very high content, industry is moving towards the high content segment with the evolution of the electronic, the EV transition. And this transition could be quite also rapid progressively because in our view most of the city bus transportation will become electric buses. And that's the main applicable market for us for EVs in the near term.
Moderator: Thank you. That was the last question of our question-and-answer session. I would now like to

hand the conference over to the management for closing comments.
P Kaniappan: Thank you. Thank you for joining and also thank you for the opportunity to share with you and answer your question. Thank you very much.
R S Raja Gopal Sastry: Thank you, thank you all.
Moderator: Thank you. On behalf of Batl

ivala & Karani Securities which concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jul 2023

"ZF Commercial Vehicle Control Systems India Ltd.
Q1 FY 23-24 Earnings Conference Call"

July 31, 2023

MANAGEMENT : MR. P KANIAPPAN – MANAGING DIRECTOR
MR. R S RAJAGOPAL SASTRY – CHIEF FINANCIAL
OFFICER
MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI
SECURITIES INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to the Q1 FY '24 Earnings Conference Call of ZF Commercial Vehicle Control Systems India Limited hosted by Batlivala & Karani Securities India Pvt. Ltd.

As a reminder, all participants' lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Pvt. Ltd. Thank you, and over to you, Mr. Jayaraj.

Annamalai Jayaraj: Thank you. Good afternoon. Thank you for joining us today and welcome to ZF Commercial Vehicle Control Systems India Limited's quarterly earnings call. The first quarter earnings result for this year 2023-24 will shortly be presented by the management team of ZF Commercial Vehicle Control Systems India Limited (formerly known as WABCO India Limited).

Your hosts today from ZF Commercial Vehicle Control Systems India Limited are Mr. P Kaniappan – Managing Director and Mr. R Rajagopal Sastry – CFO.

I will now hand over the call to Mr. P Kaniappan who will provide you with further insights on the results. Over to you, sir.

P Kaniappan: Thank you, Mr. Jayaraj. Good afternoon to all of you. I warmly welcome you all to ZF Commercial Vehicle Control Systems India Limited's first quarter results for the financial year 2023-24.

We'll make certain forward-looking statements today based on management's good faith expectations and beliefs concerning future developments. As you know, actual results may differ materially from these expectations because of many factors.

ZF Commercial Vehicle Control Systems India Limited's results for the quarter ended June 30, 2023, were published on July 27, 2023. They are available on the www.zf.com website within the ZF CV India investor relations section. We hope that you have had an opportunity to go through them.

A recorded audio and transcript of this call will also be available on the website at www.zf.com under the ZF CV India investor relations section.

I am happy to talk to you today, as we give you an update about the business of the company.

Industry and economic updates:

I would like to start with a quick update on our operating environment, which is influenced by economic factors and the development of the commercial vehicle industry. Indian Government's

thrust on capital expenditure, moderation in commodity prices, and robust credit growth are expected to nurture investment activity. However, weak external demand, geoeconomic fragmentation, and protracted geopolitical tensions pose risks to the outlook. Taking all these factors into consideration, real GDP growth for 2023-24 is projected at 6.5 percent (Source: RBI's MPC), which is still the strongest among large global economies. Strong all-round performance with all segments significantly growing Y-o-Y reflected in the Commercial vehicle production (> 6 tons) in Q1 of FY 2023-24 which was at 101,527 with the growth of +7.0% Vs the same quarter the previous year.
The growth in the commercial vehicle segment is expected to continue due to the following factors:
■ Transition to emission standards BS VI Phase 2 and ESC regulation for buses
■ Despite fluctuating demand and vehicle availability issues, the government's push towards infrastructure development and growth in coal mining spurred sales of heavy commercial vehicles
■ Steady demand on the back of infrastructure push
Let me give you a performance update within the segment of the Company.
OE Sales: -
As briefly touched upon in the last earnings call about the trailer systems, Bus Production, "Heavy and medium duty" CV growth, transition in regulation requirements, and e-

mobility
transitions have helped the Company to out-perform the market by 12.9%. As a result, the company recorded an OE sale for Q1 2023 of INR 446.9 crores with a QOQ growth of 19.9%.
OE Sales in Q1 of FY 2023-24 was led by: -
■ Start of production of pneumatic and hydraulic Electronic Stability Control as applicable for Bus Platforms as part of the regulation that comes into effect from April 2023.
■ Increase in penetration of E Compressor & Electronic Brake Systems in major OEMs
■ Increase in Trailer production and adoption of technology by manufacturers.
AM
The aftermarket segment of the Company has registered sales of INR 120.7 crores which is a growth of 17.8% in Q1 23-24 Vs Q1 22-23. Growth in the aftermarket was driven by various factors as follows: -
■ Good demand in the mining area during the Q1 of FY 23-24 in which the Company saw a growth of 60% due to an increase in the mining operations

■ Strong offtake by the STU segment due to good consumption in KSRTC, APSRTC on the Fitness Certificate kits & Solution kits. The company also made inroads into other state-owned transport organizations, for example winning an order from UPSRTC through the tendering process.
■ Demand generation activates on the focus product group like Slack adjuster (60% growth) and vacuum boosters (23%), trailer segment (20%), actuator (18%), and Door control system (16%) has aided the growth
■ Further in the new technology products, the company received orders for over 250 units of rear park assistance systems from one of the major OEMs.
■ Also, on the new technologies orders were booked for over 95 Advanced Driver Assistance Systems plus Driver Behavior Monitoring Systems from various customers.
Exports:
Export sales were at INR 297 crores with a growth of 14.6% and Export services were at INR 93.2 crores with a growth of 58.9%.
The increase in exports of sales was driven by:
■ Increased demand from BMW for the Air Supply Unit
■ DAF 440 CC Compressor production transfer from USA to India and increased demand for DAF compressors in Europe
■ Increased demand for Air Disc brake Lever
The increase in exports of services was mainly on account of growth in:
■ Continuous increasing demand for Engineering services from India resulting in an increase in hire and increased service exports
■ New premises in DLF Chennai attracting talent
ZF CV Control Systems Manufacturing India Pvt Ltd , a wholly-owned subsidiary of the Company commenced its operations during the last quarter of FY 2022-23 and is eligible for a reduced tax rate of 17.16%. The company has planned localizations to improve profitability with lower material costs and reduced premium freights.
Awards and recognition:

Our Ambattur plant won two 'Gold awards' from the QCFI state-level Karakuri Kaizen competition. Also, our Ambattur plant won the Platinum award in the CII National EHS circle competition under Best Organization overall EHS practices stream.

Also, Ambattur plant employees from different functions won 'first' and 'third' prizes in the ACMA Lean Quiz competition.
Ambattur site recently underwent The Responsible Manufacturer assessment conducted by Kaizen Hansei and secured TRM gold for the overall ESG assessment.
We are happy to share that the company has been honored with the prestigious Best Technology Partner Award 2023 at the recent supplier meet organized by Mahindra & Mahindra (Mahindra Truck and Bus Division). Chosen from over 200 companies, the company was selected for supporting Mahindra & Mahindra in applicating, homologating, and launching ESCsmart (Pneumatic Electronic Stability Control) on their range of trucks and buses well ahead of the regulatory mandate in April 2023.
And now moving on to our financial performance for the quarter,
for your ready reference, the results were made public at 12:25 p.m. on the 27th of July 2023. I hope you hav

e got a chance to go through them.
■ The overall revenue of the Company was INR 864.5 crores
■ PBT INR 133.6 Crores and 55.2% on Q-o-Q growth
■ EBITDA 18.8%
■ PAT INR 99.7 Crores and 59.8% Q-o-Q growth
We continue to carefully review the environment and our performance to consider further opportunities for actions to mitigate ongoing commodity inflation. This is important as we also see softening of the commodity prices going forward.
Thank you. We now welcome your questions and feedback.
Moderator: Thank you very much, sir. We will now begin the question-and-answer session. We have the first question from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.
Mumuksh Mandlesha: Sir, firstly on the gross margin, we saw an improvement of 80 bps sequentially from the Q4 quarter. What could be the reason for the improvement, sir?
R S Rajagopal Sastry: On the gross margins, we are seeing that productivity is helping us. We have been seeing improvement in the last few quarters in the overall gross margins as we are able to secure the compensation for the commodity inflation one after the other from the customers and we also have been tracking certain products in which we were not making adequate margins and we have been getting some price corrections.
Internally, we are looking at various measures to improve the material cost ratio with the help of our own productivity measures. All put together it is giving us a positive impact on the material costs and the gross margins.

Mumuksh Mandlesha: Sir, can you share the outlook for the export market considering some slowdown in the overseas CV? And what could be the breakup between the PV and CV in the export market and the breakup between Europe and North America?
P Kaniappan: In the commercial vehicle segment globally, despite the COVID and the geopolitical tension, in the markets we are exporting, there is no big increase or a drop as it was flattish. So, if you see our performance as well, so, by and large, we are maintaining and growing. The growth is largely driven by some of the demand that is increasing in certain segments. Particularly, as I highlighted that we are making the air supply units for BMW and other car companies. This product is also applicable to electric vehicles as well and contributes to the growth.
We are retaining our current position for a few products, such as compressors that we are supplying to Volvo earlier, now we are extending it to DAF. For DAF, we started initially supplying it to the European market and demand has been increasing there. This is the one particular size of the compressor. Another size was actually not released in India, but it was released originally in the US. From there we were supporting the DAF compressors, but because India is offering a better price as the manufacturing cost is much lower than what otherwise it would cost to produce in the US, the management took a decision globally that this will shift to India. So, we have shifted the production to India, and it is streamlined now and recently we have started exporting.
And we also have invested in a production facility for producing one of the products called lever for the air disc brake where steadily the volume is increasing because of the cost advantage that we provide leads to more production being shifted to India. So, these are the reason for our growth in exports and we believe this will continue. Apart from vehicle production, our growth

is largely driven by production transfer to India and in some cases new projects, etc.
On the question related to the mix between the passenger car and the commercial vehicle? Ours is largely commercial vehicle production but except for an air supply unit, which we supply to BMW. That typically can take about 25% of our production from the Mahindra City plant in the current mix. We don't have any other passenger car production from Mahindra

City.
Mumuksh Mandlesha: So, just on the between Europe and North America, how could be the mix, sir?
R S Rajagopal Sastry: It's almost 45%, 50%, and 5%. 45% goes to North America, 50% to Europe and 5% to APAC.
Moderator: Thank you. The next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited. Please go ahead.
Vimal Jamnadas Gohil: Sir, just first question would be on the impending regulation of ESCs. If you could just help us with the content that will lead to an increase for us after the ESCs get embedded? How much is the content per vehicle in dollars?
P Kaniappan: The regulation is essential to fit the electronic stability control in the applicable bus segment market. The applicability is typically that of about 60% of the buses produced and some buses

are completely fitted in the factory itself. There are some cases where the bodybuilding is done elsewhere. So, in those cases, they are not fully equipped with that part.
We are now working with the RTOs and others to communicate the need and application of ESC. So, it may take some time. Today we see about 30%. I said 60% of buses are applicable, but we see a pull from the customers on about 30%. The regulation itself must be fully understood by the entire stakeholders and then implement. So, we are also working with them.
In the case of pneumatic ESC, we are supplying about 1,000 kits a month. Hydraulic ESC is probably about 300 kits a month. We have solutions for Both.
Now coming to the delta increase, the delta increase for the bus segment is about probably Rs. 20,000 rupees delta because earlier, they were already having that ABS. On top of that, they go for an ESC. In the case of hydraulic ESC, we were not actually in that segment earlier. This is a new product that we are launching.
Vimal Jamnadas Gohil: And sir, while the bus segment is looking to sort of put up more safety features, what is the response from the non-bus segment, which is the goods carrier segment for our content? I mean, in terms of, you know, all these safety regulations, if you could just highlight that? And one more question if you could answer, sir, on the margins, while we have seen gross margin improvement, you know, our EBITDA margin has sort of remained flattish. If you can highlight the reasons for that while Y-o-Y there is an improvement, given the kind of growth that we have reported, I would have expected some sort of operating leverage. If this is one time and this could correct itself going forward? And lastly, sir, what is the CAPEX that we are expecting to do for the full year?
P Kaniappan: So, on the margins and the CAPEX, I would request our CFO to answer. I would take the first part of the question, Normally, electronic stability control as a regulation has come, by and large, for all the vehicles in Europe and other markets. India maybe in our view it's a first step to apply to buses. The second step, will come for the truck segment as well. So, it's a matter of time.
We are expecting that soon because this technology will put further technologies over and above that. For example, the advanced emergency braking systems or ADAS. So, these things if it has to come to the market, ESC is a must. So, it's in a way another best technology to ensure that the vehicles are stable and safe. Even before regulation, few customers have homologated their platforms with the ESC so that they can actually start selling to customers who really need this even without regulation because it's a very basic technology. Even now they would be interested to put this because it will significantly reduce rollover accidents.
We expect the market to recognize the advantage of these technologies first from the buses. Even some other customers would be launching in the truck segment as well. And then that will be followed by maybe the next one or two years, it will come for the tru

ck as well. The government is mandating the advanced emergency braking system and for which the ESC is a requirement itself that AEBS we call it. The standards are already documented, and we expect that may be

notified soon next few months. Then the government will allow certain time frames for people to really introduce themselves.
All these things are in the vicinity of implementation as we move forward. So, I think, I hope that has given you some idea of the possibilities and opportunities. Maybe matter the next one or two years, progressively, this will increase.
Now on the other two questions, I will request our CFO to answer.

R S Rajagopal Sastry: So, your question was on EBITDA, but if we look at year-on-year, at product sales, we have close to 3.8% improvement in the EBITDA margins and if you include the service income, it will be about 3%. But typically, we do have a 3.8% improvement in EBITDA, but anyway, if you are having some doubts about that, you can connect offline. I can explain the calculations behind that to you.

Our regular maintenance CAPEX is in the range of 100 crores and if you look at this here for the Oragadam plant, we do have an additional including the planned leads, capitalization of the right of use asset, and then the building and the equipment which goes inside, we should see in the range of another 130 or 140 crores for that. So, all put together we should be in the range of 240 to 250 crore this year including the Oragadam plant and then we will stabilize back to the maintenance CAPEX of 100 Cr. and other expansion activities as and when we plan.

Moderator: Thank you. The next question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead.

Mukesh Saraf: My first question is on the ESC. You are mentioning how only 30% of the buses are right now getting factory fitted. So, just wondering, sir, on even the ESC part of the chassis itself and, you know, why does the bodybuilding itself come into play? If you could just kind of explain this? What we are wondering is most, I mean, why isn't the ESC being factory fitted, sir, for all the buses that are coming under the applicable categories?

P Kaniappan: Actually, in certain categories of buses that are running in the city, the applications are excluded. That is the first issue. And then many companies and many OEMs have a view that applications are not required on the city road and inside the city. But the government came back with mandatory application in school buses. From October we expect progress in school buses. It will lead to an additional number. Today, for example, about 1,000 Pneumatic ESCs and about 300, 400 Hydraulic ESCs sold by us. Once the school bus is included, this number will increase. We expect a minimum of 2,000 plus buses to have ESC fitted every month.

Then further the issue that we face is, bodybuilding for some of the buses is done elsewhere apart from the factory. Chances of exclusion are high and the bodybuilders also may not have the awareness of this regulation. We are now trying to communicate with them. And we are also working with the RTOs to make sure that when they register the buses, they verify these aspects. I am sure the market will fully understand this and then implement it.

Mukesh Saraf: So, once this is done, how much could it be, sir? Because you said 2,000 is the number including the school buses.

P Kaniappan: An increase can be expected as the electric buses that are produced in India are also fitted with the ESC and EBS. So, we expect the numbers to slowly increase beyond 2,000 per month.

Mukesh Saraf: And secondly, sir, you had mentioned some products, new tech products such as rear park assist. Are these products coming from the ZF portfolio? Or rather ZF CVCS is supplying it in India? Is it not part of the erstwhile WABCO portfolio, sir?

P Kaniappan: Most of the products that are c

overed here is only within the CVCS portfolio which is essentially former WABCO. The ADAS i.e. Advanced Driver Assistance Systems, driver behavior monitoring, etc., those things are originally in the ZF portfolio because both ZF and WABCO were developing these technologies. But when it got merged, it has been decided that this should be routed through the CVCS portfolio, which is essentially the former WABCO portfolio.

Also on hydraulic ESC, as I told in the earlier meetings, this was not originally in the CVCS part. It forms part of the ZF portfolio, but now we have brought it into the CVCS because the team in India is providing all the customer support and also homologation, etc. It depends on which is the best way to route to the market. There are products where ZF products are produced directly and then sold to the customer and it is routed through the ZF. For products that need a lot of local application, a lot of local testing, validation, homologation, etc., we decided to do it through CVCS because of the best approach to customers.

Mukesh Saraf: And just one last one, sir. Last quarter you mentioned that the trailer ABS penetration was only close to 30%. Could you give some more color on that as to how you see that improving? You have already seen it on the ground because we had mentioned the trailer as a key driver for your OEM revenues. Any more color on that trailer ABS?

P Kaniappan: The trailer segment continues to grow very well. In a way very strong as I said, the percentage of what we call the tractor and the tractor-trailer segment, and 15% of the overall vehicles have become tractor trailers. We believe it will only increase because of the increase in the fleets, the road network, the ability to transport more material with a rare tonnage type of tonnage haulage vehicles, etc., it becomes more profitable for them to really handle it through a trailer. Now government also has made it possible to register a tractor and a trailer separately. So, you can have multiple trailers for a single tractor which makes the whole productivity much better. Your tractor can keep working all the time when they are loading the trailer and so on.

The other thing that has happened in the trailer segment is, if the trailers are having air suspension, they are permitted to carry per axle one more additional ton which helps them to transport more material with the same trailer. We see few developments in the market plus also, you see companies like Delhivery are all completely transforming the industry and while they improved turnaround time and increased freight productivity, transport productivity, etc., They are also seeing the need for adopting the new technologies. Most of this trailer segment is now

fitting the trailer ABS. Trailer ABS roughly has about 30% of the market today. We also see close to maybe around 10% of the trailers are fitted with the trailer EBS. These are all quite reasonably expensive products.

Also, now as I said, the trailers are allowed to carry more loads if they have air suspension, one ton extra per axle, which means air suspension also is becoming adopted more, and almost we can expect out of 4,000 trailers produced per month about 3,000 trailers are with the air suspension right now. It could also further increase. For air suspension also we have a solution per trailer of about 10,000 kits we are supplying. We believe it will only improve and it's a very reasonably profitable business.

Moderator: Thank you. The next question is from the line of Darshil Pandya from Finterest Capital. Please go ahead.

Darshil Pandya: Sir, I just had a question regarding the sustainability of the margin. Can you please tell us because, you know, 15% is like the, it's like one of the best margins that we have right now? We haven't clocked more than 15%. So, what is the sustainability of this margin going ahead? Is it sustainable?

P Kaniappan:

Yes. We are fundamentally a continuous improvement company. We are a TCM company and we are always looking at how to improve. That's the basic philosophy. We are also looking at each product level margins, and we have categorized quite a few of the products as breeders meaning the challenging OE we should continue to breed and supply, etc. So, a lot of activities we are doing to really make sure that we not only sustain this margin but also improve it as a philosophy. I am not committing anything here, but that's the way we move forward.

The industry is also moving towards advanced products and technologies. You start selling electric vehicles for the EV systems for the buses. Even though numbers are low, content-wise it's high and we are trying to see if we can localize and reduce the cost. And also electronic braking system, electronic stability control, so many things. These are all very high and advanced products. Not that easily available here.

We fundamentally look at the margin differently as we would like to really focus on profitable growth. There were products where we were not making money. Commodity type of products we are slowly exiting and then trying to go into a more advanced products portfolio.

Darshil Pandya: Any guidance for this year, any number that you are aiming to achieve for this financial year?

P Kaniappan: We don't give guidance, but as a philosophy, we would like to improve, 15% or 18.8% EBITDA is a healthy margin. So, at least we will sustain. That's the way currently we look at it, but we are looking at all possibilities to improve also.

Darshil Pandya: I was just trying to understand what's your view on this auto sector right now, what India is going through. And how do you see the next leg of growth coming in our company?

P Kaniappan: So, first, you are as much as informed on this aspect like us, but what we see is, number one, we are tracking the fuel prices versus the freight rate. So, in the most recent year, last two, or three months, we see the freight rates are increasing while diesel is staying the same. So, this is one indication that going forward things may only improve. Of course, we also see the inflation also is softening, and plus, there are many factors that in the truck segment show that the truck profitability in the fleet seems to be improving.

This year, our target or our projection is about at least 10% in the calendar year growth of vehicles above 6 tons. And so far we are in the direction are slightly more than that. So, we would this year probably end up with at least a minimum of 10% vehicle growth versus the previous year. And from a view or project over a 10-year time frame, we see it's only, we are not seeing any big cyclicity yet meaning there is still growth seen from, of course, whatever projections we are seeing from other people, it's a positive outlook.

Our sales are not merely from a vehicle production perspective, it is also largely driven by the technologies and outperforming the market. The trailer segment is doing quite well, and many new technologies are likely to come in the next few years. All trucks will get applicated by ESC in the next few years and thereafter we are expecting that there will be applications of ADAS, Advanced Driver Assistance Systems, or Advanced Emergency Braking, you know, different terminologies, but essentially it is a, you know, either an alert system or a braking system driven by the sensing through radar or the cameras.

Some of the big players in India, we are already connected will start using the solutions in the market such as Collision Mitigation System. It will actually potentially alert the driver of a possible accident. So, in case he still fails to apply the brake, it will partially apply break and full break also. So, we expect some of our customers to launch this system soon. You know, in the passenger car segment, this has already been t

here. So, this will drive our growth thereafter.
So, ESC and Advanced Emergency Braking are the two technologies we strongly believe will come in the next probably from now to the next few years and this will be driving our growth.
So, as it looks, it's a positive story subject to something happening anything geopolitical or anything else, but we feel the next few years could be a positive story only.
Darshil Pandya: One final question is regarding the finances. The finance cost that we have seen is like, you know, it has jumped a lot. If you can, you know, guide us for what is it, like explain this?
R S Rajagopal Sastry: Finance cost, how much did you see it has jumped?
Darshil Pandya: From 46.81 to it's now at 132.4.
R S Rajagopal Sastry: 1.32 crores, right?
Darshil Pandya: Yes.
R S Rajagopal Sastry: Yes. It's largely because of the bank guarantees that we have to apply for some tenders and certain businesses. Those are there and plus also certain leads-related entries are getting posted

there. So, effectively we don't have any, it's not because of borrowing. The small increase, 1.32 crores is largely because of these non-fund related costs.
Moderator: Thank you. The next question is from the line of Prateek Poddar from Nippon AMC. Please go ahead.
Prateek Poddar: Sir, just two questions. One is you talked about shifting of production from the US to India for certain products, especially compressors, right? Could you just give us more flavor in terms of what kind of size of opportunity is this? Or what are the other products which can shift from the US to India because of low-cost manufacturing, which can help you offset the cyclicality, which, eventually, we will see in the commercial vehicle industry?
P Kaniappan: The way we grow our export business is by providing a very good cost advantage to our other global sites and plants. And the compressor is one product. Of course, we have already demonstrated that possibility to come up, already we are supplying to Volvo. Then it's a natural extension to other players. So, DAF was the next customer because there were other issues in terms of releasing a product from India due to certain designs and other things at a global level.
So, finally when everything is streamlined, that automatically will start shifting to India.
So, the third customer we expect, we have already working with is Daimler, Daimler Global, and Daimler AG. So, when we keep producing more and more compressors here, the supply chain, the volume, and the scale further makes this more profitable. We believe that will only increase our position in the compressor segment. From the US to India, I don't see much of a transfer beyond this because you are still there to start. They are largely relying on supply from India, at least in our plants from India or other markets, but facilities can come from even Europe, you know, as we move forward in certain products which we believe India could be a low-cost location and we do a lot of continuous work on that. As we move forward, we may also work on a few other products as well, but right now I am not in a position to say anything to you because it's still a work in progress, but I told you that the next product that we will be producing from here to the global market is the compressors for Daimler. This project is already kicked up and the team is working because then in this earnings call, I will keep updating as and when things start.
Prateek Poddar: So, the question was in the medium term, can this opportunity of India having a cost advantage help you offset the cyclicality, which we see in the India CV industry?
P Kaniappan: Absolutely. That's how it has worked so far. Last 10 years as you see, export has been continuously growing. We were not much disturbed by export and so cyclicality, by and large, we are able to manage. I expect that to continue.
Prateek Poddar: And you talked

about ESC and ADAS systems to drive growth for you for the near and medium-term future. Could you quantify what kind of performance over industry growth can we see because of the adoption of these two products for us?

P Kaniappan: So, not only these two products, In India still value per vehicle is very low but then globally if you see, there are markets that are three times or four times ahead. There is a big pipeline as a market because the Indian market always was much behind the European and other markets, but now slowly we are catching up.

When ESC comes, automatically, it is supposed to increase, as I said about Rs. 20,000 per vehicle means you are talking about another 50% increase versus the current value per vehicle, one system alone and ESC is applicable for, by and large, all the air brake vehicles which are 70%, 80% of the trucks produced above 6 ton. And also we have now a solution for hydraulics. So, virtually, any vehicle produced above 6 tons, that's a truck will have to have. So, this is the first opportunity.
Today's ADAS system that we are ready with is more than, you know, it can vary depending upon the complexity, etc., per vehicle. It's continuous progress, but we are very well positioned to again support the market with all these technologies. You know, we have our own test track. We help the customers to really homologate, and applicate all these technologies. The growth will be driven by these technologies going forward apart from vehicle production. Vehicle production itself has a CAGR of maybe 4% or just 5%, 6%, but our growth will be largely driven by the technologies.
Moderator: Thank you. We will take the next question from the line of Nirali Gopani from Unique PMS. Please go ahead.
Nirali Gopani: Sir, in your opening comments, you mentioned that you had outperformed the OE market by roughly 12%, and 13% and I understand that ESC and ADAS system is yet to pan out as we have expected. So, if you can just explain the factors that led to this kind of outperformance in this quarter?
P Kaniappan: Even though the vehicle number is not much, the content because if you see the composition of the vehicles, more and more heavy-duty vehicles are being produced now, 55 tons, 48 tons, etc., which was not the case earlier. Earlier, mostly the numbers were, you know, medium duty as lately in the lower end of the heavy-duty segment. And so, if you go for a multi-axle 55 ton etc., in each axle we put our systems which automatically provide an opportunity to outperform.
Also, I talked about the trailer segment, which used to be so subdued in India earlier. We used to make about 3 crores a month type of sale. Today we are talking about more than 10 to 11 crores in a matter of next in two years' time. Plus we have digital products technologies. Again, there also the content will increase. Now we are going to provide the over the air update capability etc. So, in every area, we are upgrading and upselling the product. So, that also drives the outperformance.
So, when we move more into the ESC, also one more thing that has helped us so far in the last quarter, and now India has started producing electric buses. Typically, you know, in a month we are supplying about 300 vehicles. This has come with an e-compressor, an electric compressor.

Plus, the electronic braking system comes with most of the electric buses and that's about, plus Delta. So, all that is driving our growth.
Nirali Gopani: So, I know that you don't give any guidance, but ideally, these regulatory reforms, you know, pan out as we expected to the outperformance can be much higher, right?
P Kaniappan: Yes. In theory, it is yes, but some fluctuation here and there will be there, typically, at least we should outperform double digits. I am not sure because it all depends on when the regulation is going to come and this adaptability, but by and large,

you can expect about 10% plus outperformance.
Nirali Gopani: And sir, what will be the total investment that we have made at Oragadam? And what can be the asset turn that we normally expect in our business?
R S Rajagopal Sastry: Sir, it's close to Rs. 135 crores on the Oragadam plant, the factory building, the land lease, and also the equipment which is coming in and it will have another 35 to 40 crores coming, the upcoming years also. This is what is already in the plan and already approved. That's what it is and you have some questions. What was your follow-up question on that?
Nirali Gopani: What kind of asset turn can we expect? Or what kind of revenue can -- run rate, yes.
R S Rajagopal Sastry: From an asset turn perspective, if you notice that we operate with about two to three times and we should very quickly come to that kind of numbers quickly there too.
Nirali Gopani: And sir, as these exports grow every year, what kind of impact that can have on our EBITDA margin? Is it in line with what we do at the company level or they are higher or lower?
R S Rajagopal Sastry: See, whatever from a segmental perspective because we do not share the kind of segmental profit view, one thing I can tell you is that we do not add to the fixed cost or the overall supervisory costs whenever we improve any one segment of revenue. So, that should help in the operating ratio and should overall result in better EBITDA margins.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, that was the last question for today. I would now like to hand the conference over to the management for closing comments. Over to you, sir.
P Kaniappan: I would like to thank all the participants for the very interesting discussion. So, thank you.
Moderator: Thank you, sir. Ladies and gentlemen, on behalf of Batlivala & Karani Securities, that concludes this conference. We thank you for joining us and you may now disconnect your lines. Thank

you.

Call: Nov 2023

•

ZF Group
ZF Commercial Vehicle Control Systems India Limited
(Formerly known as WABCO INDIA Limited)
Plot No.3 (SP), Third Main Road,
Registered Office: Plot No.3 (SP), Third Main Road, Ambattur Industrial Estate, Ambattur Industrial Estate, Chennai - 600058.
India Chennai - 600058. India
CIN: L34103TN2004PLC054667 Phone: +91 44 4224 2000
Phone: +91 44 42242000. Fax: +91 44 42242009 Fax: +91 44 4224 2009 www.zf.com www.zf.com
Commercial Vehicle Solutions
Department Finance
From Muthulakshmi M Phone +91 044-4224 2000
Email muthulakshmi.m@zf.com
Date November 07, 2023 ZF Group · ZF Commercial Vehicle Control Systems India Limited, Chennai 600058

The Manager Listing Department
BSE Limited, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001 Scrip code: 533023
Listing Department
National Stock Exchange of India Ltd Exchange Plaza, C-1, Block G
Bandra - Kurla Complex
Bandra (E), Mumbai 400 051
Trading Symbol: ZFCVINDIA

ISIN : INE342J01019

Dear Sir(s),

Sub: Transcript of the Investor C all for the quarter ended Sept ember 30, 2023

In continuation of our letters dated 25
th October, 2023 and 31st October, 2023 pursuant to
intimation and recording of inves tor’s call, we hereby inform t hat the transcript of the call has been uploaded on the website of the Company and the same can be acce ssed through the following link:

https://www.zf.com/mobile/en/company/investor_relations/zf_cv_i
ndia_investor_relations/zf_cv_india_ir.html#shareholderinvestor meeting_acc_656449_0

Request you to take the above information on record.
Thanking you,
Yours sincerely,
ZF Group

Muthulakshmi M
Company Secretary ZF Commercial Vehicle Control Systems India Limited
(Formerly known as WABCO INDIA Limited)

“ZF Commercial Vehicle Control Systems India Limited
Q2 FY 23-24 Earnings Conference Call”
October 31, 2023

MANAGEMENT : MR. P KANIAPPAN – MANAGING DIRECTOR
MR. R S RAJAGOPAL SASTRY – CHIEF FINANCIAL
OFFICER
M S. M MUTHULAKSHMI – COMPANY SECRETARY

MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI
S ECURITIES INDIA PRIVATE LIMITED

Moderator: Ladies and gentlemen, good day and welcome to the ZF Commercial Vehicle Control Systems India Limited Q2 FY 23-24 Earnings Conference Call hosted by B&K Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touch-tone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Annamalai Jayaraj from B&K Securities India Private Limited. Thank you and over to you, sir.
Annamalai Jayaraj: Thanks, Arshia. Good afternoon. Thank you for joining us today and welcome to ZF Commercial Vehicle Control Systems India Limited quarterly earnings call.
The second quarter earnings and half-yearly results for this year 2023-24 will shortly be presented by the management team of ZF Commercial Vehicle Control Systems India Ltd, formerly known as Wabco India Ltd. Your host today from ZF Commercial Vehicle Control Systems India Ltd are Mr. P. Kaniappan, Managing Director, Mr. R. S. Rajagopal Sastry, CFO, and Ms. Muthulakshmi, Company Secretary.
I will now hand over the call to Mr. P. Kaniappan, who will provide you with further insights on the results. Over to you, sir.
P Kaniappan: Thank you, Mr. Jayaraj. Good afternoon to all of you. I warmly welcome you all to ZF Commercial Vehicle Control Systems India Limited’s second-quarter results and half-yearly performance for FY 2023-24.
We'll make certain forward-looking statements today based on management's good faith expectations and beliefs concerning future developments. As you know, actual results may differ materially from these expectations because of many factors.
ZF Commercial Vehicle Control Systems India Limited’s results for the quarter ended September 30, 2023, were published on October 27, 2023. They are available on the www.zf.com website within the ZF CV India investor relations section. We hope that you have had an opportunity to go through them. A recorded audio and transcript of this call will also be made available on the website at www.zf.com under the ZF CV India investor relations section.
I am happy to talk to you today, as we give you an update about the company's business.
Industry and Economic updates:
I want to start with a quick update on our operating environment, which is influenced by economic factors and the development of the commercial vehicle industry. India’s GDP growth estimate is projected at 6.3% for FY 23-24 and Consumer Price Index (CPI)-based inflation softened to 6.8% in August, after surging to 7.4% in July. IIP growth of Jul’23 at 5.7% Vs 3.8% in Jun’23, led by infrastructure & construction goods. Industrial activity continues to be supported by robust capital expenditure by the central and state governments.
Future industrial performance trends will be influenced by the following factors.

• Global economic slowdown is expected to intensify from the second half of 2023, which will keep exports weak and spill over to manufacturing sectors based on export demand.
• Monsoon’s performance will critically influence industrial prospects through impact on inflation and rural demand. Monsoon remained deficient at 7% below the long-period average

until September 2023.
Strong all-round performance with significant Y-o-Y growth in all segments was reflected in the Commercial vehicle production (> 6 tons) in Q2 of FY 2023-24 which was at 102,514 with a growth of +21.20% Vs the same quarter the previous year. This growth of 21.2% is supported by increased government spending, robust replacement demand, and strong end-user sectors, notably construction and mining. Further, the growth is expected to continue in the coming months with government capital expenditure

and demand from key sectors and declining raw material costs which positively impact profitability.
Let me give you the performance update within the segments of the company.
OE sales:
The medium and heavy commercial vehicle segment is on its road to recovery. As we are given to understand from various customer interactions, the utilization of trucks has been steadily increasing. Currently, the utilization of trucks is ~ >70% which is an indicator of the replacement cycles kicking in. The freight operators can pass on the fuel price increase and on the back of the various new technologies that the current trucks are equipped with, the cumulative fuel efficiency has also improved. All these factors along with a healthy growth in the trailer production, have helped the Company to record an OE sale for Q2 2023-24 of INR 449.4 crores with a QOQ growth of 28.8%.
OE Sales in Q2 of FY 2023-24 was led by: -
• Penetration of pneumatic & hydraulic ESC in applicable bus platforms as notified by regulation w.e.f April'23
• Increase of EV bus production by about 11% until Q2 compared to last year and the sale of EV aggregates like e- compressor and Electronic Brake Systems
• Increase in Trailer production & penetration of Trailer EBS
Aftermarket:
The aftermarket segment of the Company has registered sales of INR 118.4 crores which is a growth of 14.8% in Q2 23-24 Vs Q2 22-23. Growth in the aftermarket was driven by various factors as follows: -
• Growth in STU's segment through focused engagement initiatives on solution kit penetration (Air compressor, Air processing units), along with increased consumption of Automatic Slack Adjuster and Fitness Certificate kit spares. An exclusive distributor for STUs to fulfil the sales and service requirements has been appointed.

• Fulfilment of export requirements (Sri Lanka and Bangladesh); contributed 63% growth Q2'23-24 and YTD – 44% over last year
• Trailer segment has grown by 41% YTD and 73% in the last quarter as a result of the continuous engagement with key large fleets
• 60 campaigns conducted across the nation to improve secondary sales of focused products
• 185 Training programs conducted to various stakeholders like STUs, WSDs, and Fleet owners, and 2000+ people are trained on our product portfolio
Increased the reach to improve the service of BS VI / EV spares through the appointment of 6 new Authorized Service Centres.
The overall aftermarket sales are facing headwinds coming from the reduction in the mining segment due to seasonality, weak secondary payment collection, and the distributors' stocks climbing to greater than 45 days level.
Exports:
Export sales were at INR 323.4 crores with a growth of 23.1% and export services were at INR 92.3 crores with a growth of 25.3%.
The increase in exports of sales was driven by:
• New Launch of G6x model for BMW, and ramp up of volumes for existing G7x and G2x platform for x series and 5 series
• One-time orders to Global Aftermarket for certain repair kits and ASUs
• DAF Compressors volume ramp up for 564cc Compressors & 440cc Compressors volume transfer from Americas
• Lever volumes to China increased in 2023 as we supply now to 3 plants in China vs last year wherein we supplied to just one plant
• mBSP FBV volumes increased by 40% - Truck model change in Daimler Trucks NA
• Actuators - Volumes increased for Trailers in the EU market, one-time orders from Turkish trailers customers
As updated in our earlier conversations, the technology center is thriving in its new home. The capacity is rapidly filling up as the value proposition offered by the engineering center is

appreciated by ZF.

We are adding skilled engineers to provide engineering services to ZF and 238 engineers were added in the last year to the existing resource pool, especially in the areas of embedded systems and software systems.
Change in management:
As al

ready informed to the stock exchanges, we would like to touch upon the change in management as follows: -
• Mr. R S Rajagopal Sastry consequent to his decision to resign to pursue other opportunities will be in the service of the company till 16th January 2024 and Ms. Sweta Agarwal will be joining in as Chief Financial Officer of the Company effective from 10th January 2024
• Dr. Lakshmi Venu had resigned from the Board of the Company due to her pre-occupations and it is effective 31st October 2023. The Board at its meeting held on 27th October 2023 had appointed Ms. Amrita Chowdhury as an Independent Director effective from 27th October 2023.
Awards and Recognition:
ZF Commercial Vehicle Control Systems India Limited was honored with the Partnership & Collaboration Award at the VE Commercial Vehicles Annual Supplier Conference 2023 amongst 500 esteemed supplier partners and technology collaborators.
The company is the proud winner of the prestigious Sustainability Excellence Award at the recent Tata Motors Supplier Meet 2023 selected from a pool of more than 800 CV suppliers and technology partners. MyTVS Group awarded the CVS India aftermarket for our partnership spanning many decades.
Also, our Ambattur plant employees from different functions won the following awards:-
• 'Platinum' awards in each of CII National Six Sigma competitions under 2 different categories.
• 'Gold' awards in each of QCFI TN state-level QCC competition under 2 different categories
• The EHS team won the Dr.P.P.Santanam Medal for the best paper presentation at the 70th Annual State Conference of the Indian Association of Occupational Health – Tamilnadu Branch
Also, our Mahindra World city plant employees from different functions won the 'Gold' award in the QCFI TN state-level QCC Competition, and both Ambattur & MWC plant employees together won a 'Gold' award in the QCFI SHE Competition.
Now, moving on to the financial performance for the quarter.

For your ready reference, the results were made public at 12:42 PM on the 27th of October 2023. I hope you have had a chance to go through them.
The overall revenue of the Company from the sale of products was INR 890.9 crores and the total revenue from operations was INR 992 Crores.
PBT at INR 141.2 Crores is 15.9% of revenue from the sale of products. This is a 56.4% improvement compared to the same quarter of the previous year.
Our EBITDA is at 19.0% again a 2.3% expansion on sales compared to the same quarter of the previous year.
Our Profit After Tax is at INR 105.7 Crores which is an improvement of 54% compared to the same quarter last year.
Our focus now is on profitability as we address such products in our portfolio that are low in margin. Concerted efforts to reduce costs, reset prices, or even phased exits are planned to ensure long-term profitability.
Such steps now are considered essential to keep the company in a healthy state to make the best use of upcoming disruptions in technology, the market, and the economy.
We now welcome your questions and feedback.
Moderator: Your first question is from the line of Mr. Mumuksh Mandlesha from Anand Rathi Financial Services Limited. Please go ahead, sir.
Mumuksh Mandlesha: Thank you for the opportunity, sir, and happy festive season for management. Sir, can you talk about how has been the ESC implemented now by the industry? As earlier there was a confusion among the bus bodybuilders and only 60% was implemented.
What is the status of that implementation, sir? And the second question is, can you talk about

any new regulation which the government is considering or under draft stage where our products
could benefit in the coming years?
P Kaniappan: Yes, thank you. On the ESC regulations, the implementation still remains to be about 50%
compliant. The main issue is that the bodybuilding is taking place elsewhere, they don't fit it in
as per the plan.
So, there are a

few loopholes in the system and that is the general situation in India. Unless
otherwise the company fits it in the factory and then the product is certified, the challenges are
there.
So, we are working with the regulating authorities, RTOs and others to focus more on education
and compliance on this aspect. The results could be a progressive improvement. I don't see an
immediate change to a total 100% compliance.

Talking about new regulations. the new regulations are in the area of Advanced Driver
Assistance Systems (ADAS), and part of the regulations that is actually likely to come in the
market in the next few years is autonomous emergency braking system.
Which essentially will minimize or eliminate the road accident such as collision mitigation to
reduce the impact as well. So, this regulation is already in a draft stage and a very important
regulation. We expect that to come in the next few years.
Mumuksh Mandlesha: And for ESC for the Truck segment, sir?
P Kaniappan: Yes, it's not yet come, but as I also told earlier, it's a matter of time that what has come in the
Bus segment will actually extend it to the Truck segment as well. So far, it is not announced yet
because the industry is now going through implementing in the Bus segment. And the market
also has to see the benefits.
Mumuksh Mandlesha: Right, sir. And just a clarification on the numbers which you shared on the revenue breakup. Sir,
can you once again indicate the revenue breakup for OEM, aftermarket and exports, sir?
R S Rajagopal Sastry: OEM is at INR 449.4 crores.
Mumuksh Mandlesha: Right, sir.
R S Rajagopal Sastry: Aftermarket is 118.4 crores and Exports is 323.4 crores.
Mumuksh Mandlesha: Right, sir. And the production number for more than 6 ton is 102,514, right?
P Kaniappan: That's correct, Yes.
Moderator: Thank you. The next question is from the line of Mr. Varun Arora from B&K Securities Pvt.
Ltd. Please go ahead, sir.
Varun Arora: Sir, can you discuss any specific plans for product localization and cost reduction in high content,
advanced products like electronic breaking system etc.,
P Kaniappan: First of all, our immediate priority is to focus on those products that come under the same scheme
and other subsidies for which certain percentage of domestic value addition is a requirement.
So, our current priority is in the area of electric compressors. Electric compressors, soon we will
be touching 50% localization.
And then by next year, we are targeting to go up to 70% in the middle of next year. So, this is a
separate project that is being driven by our team.
And the second is in the area of electronic breaking systems. As the volume reaches a certain
level, we would like to trigger a localization. As of now, we are exploring.
Because there are some of the parts for electronic EBS, which will be economical to import
because of the large volume it is being produced in other parts of the world. But in India, we are

now looking at the component level, starting in a small way, we will also be initiating the
localization. Right now, it is fully imported.
The major reason that we acquired a new site at Oragadam and then also created a new legal
entity to get the PLA expertise and to make sure only from that perspective to make sure all
these advanced products are localized. So, today we are only in the matured state as far as electric
compressor is concerned. The other things, we are studying.
Varun Arora: Okay. So, if I may squeeze a small question on ESC. So, I want to know what is the revenue we
are getting through ESC only. If you can share a ballpark number, that would be helpful?
P Kaniappan: There are two aspects in the ESC. One is on the hydraulic ESC; other one is on the pneumatic
ESC. For hydraulic ESC, the market today is about 200 vehicles are being produced with it.
That's the current trend. Pneumatic ESC has started well but I don't know

the exact number in
the recent times.

The adaptation level is slightly less. I must have actually indicated the value per vehicle. In the case of hydraulic ESC, it's in the range of about 18,000 to 19,000. In the area of pneumatic ESC, now it may be about 30,000. But actually, also we have got some localization, it will further come down. It is applicable for 60% of Bus segment, this is required to be fitted. But actually, the numbers are much lower today.
Moderator: Thank you. The next question is from the line of Ms. Nirali Gopani from Unique PMS. Please go ahead.
Nirali Gopani: Yes, hi. Thank you for the opportunity. Sir, congratulations on very strong and consistent results. Sir, to start with, predominantly we are a commercial vehicle company. But currently, we do supply air supply unit to BMW. So, going ahead, is there any possibility or opportunity to add newer products for passenger vehicles? Or will that be even a focus area for us? Or to put it either way, can we supply this air supply unit to any other players other than BMW?
P Kaniappan: Yes, but then it's intercompany sales. So, the decision has to come from our global product line. Wherever they secure new business and then if they choose India to be the manufacturing site, we have the opportunity to supply them. But right now, if you see this product globally also, it's only BMW-based platform.
So, BMW is one customer. VinFast is another customer. And we are also supplying this one to Geely, to China. But a major part of the production goes to BMW only. We don't directly identify customers and then go and promote this product. Because that responsibility today within ZF is with the global key accounts and product lines.
As such, I don't see a big change in the numbers in this approach in the next two or three years. But the good thing is, this product volume is growing. It's the last one year. This is one of the fast-growing products in our export portfolio. That is largely driven by the growth of that BMW platform. Because this is also applicable to EV and new energy vehicles as well.
So, from that perspective, in terms of number-wise, there will be a growth.

Nirali Gopani: Right sir, perfect. Sir, secondly, on this outsourcing opportunity, if I understand it correctly, currently, whatever we are manufacturing and selling is largely from WABCO's basket. So, by when should we start seeing newer products from ZF's basket that is outsourced to India for us to manufacture?
P Kaniappan: So, right now, the approach we are taking is to position ourselves as the best cost location and the most competitive production center. Whichever product we are able to do, we get that opportunity. So, if you see, there are a few product lines we are exporting like compressors are becoming more-and-more competitive. Air supply unit and actuators are another segments. And most recently, we have started supplying certain levers for the disc brakes. So, in all these things, we are only continuing to improve our competitive positioning. So, business is expected to grow in these segments.
In terms of new products, as such, we don't have immediate discussion on this in this direction. But I can give an example. For example, the electric compressors, if India becomes a globally competitive site, then we can actually propose India as a production center. But then, first we need to localize and make sure the product is globally competitive. That opportunity exists if we completely able to localize.
We have that opportunity and possibility. But again, globally, customers have to use this platform etc. But we are positioning ourselves in all those areas to be a manufacturing base for ZF. Right now, it's not a commitment, but that's the direction we are working. Also, we are now positioning ourselves as a production center for disc brakes for global requirements.
First, we need to become a successful player in India. With the

India volume, if we are able to
localize and make ourselves as a globally competitive site. With that price point, if ZF believes that they can expand their market share globally, then it becomes an automatic choice. So, that's the way we are working on a few products. As I said, e-compressor is one thing that we are now seriously focusing on localization and reducing the cost. Second, disc brake is a project that we have now started working on.
Moderator: The next question is from the line of Mr. Mukesh Saraf from Avendus Spark Institutional Equity. Please go ahead, sir.
Mukesh Saraf: Good afternoon and thank you for the opportunity. My first question is regarding the Oragadam facility. I think last time you had mentioned that around October we should start operations here. So, any update on that, sir?
P Kaniappan: The plant is ready now. So, we will be moving the facilities. We have already got a small earmarked space in Ambattur for some of the products, which was meant to be produced in Oragadam because the plant is ready only now. We will be moving there. We are also moving some of the machining lines from Ambattur. Plus, there are projects which are actually listed to be produced there. So, those facilities also will start coming. So, we are now ready to move the

machines by the end of November. I think the SOP will start for some of the products.
Mukesh Saraf: Okay. So, in your initial remarks, you had mentioned about supplies to three plants now in China versus one plant earlier. You had also mentioned about 560cc and 440cc compressors. So, are

these new export businesses that we have recently won? If so, have you already seen the full potential of these businesses? Because I am seeing that this quarter you have reported a very strong export. I mean, the highest-level export is INR320-odd crores. So, I just want to understand, what is the potential of these businesses that have already started for you, say, over the next six months, nine months?
P Kaniappan: Yes. On the qualitative side, I would like to highlight the DAF compressor. I must have actually made a mention saying that now we will start supplying compressors to DAF globally. You know, in the DAF, there are two aspects. One is the 560cc compressor, where the volume is increasing because DAF is probably gaining market share globally. So, that is one aspect. Second, the other one, the 440 version of the compressor was actually produced from our US plant and supplied to DAF. Because of the cost advantage that we are able to provide, that also now ships to India, Chennai. This is only in the case of DAF.
In the case of lever, the production started about two years ago in a small way. First to a China location, one of the ZF plants in China. Now, this is again true because of the cost competitive product. So, they see more opportunities to be used in other sites. So, two more sites are also purchasing from us. These are all the projects that we were already working on in the last two to three years, but now more-and-more volumes are coming.
Mukesh Saraf: Right. So, then the potential of these, basically we have to still see the full potential of these in the numbers yet?
P Kaniappan: Yes, in the case of levers, we may see some more potential. I also told; this lever is required for the disc brakes. We are working to make India as one of the possible locations for global supplies. That's the project we are now working. Meaning, this lever already produced here, competitive plus India is a place where all the castings, forging, all those things. Disc brake has got lot of castings, forging, machining, etcetera.
So, globally also our colleagues want to evaluate competitiveness in Indian sites. So, we are now preparing and trying to push in that setting. So, with all that, I would see the opportunity in expanding further.
Mukesh Saraf: Sure. Thank you. And one question, I mean, on the outlook for comme

rcial vehicles, I mean,
you did mention about trailers doing better. But on the other hand, you mentioned mining was slightly, maybe seasonally. But how do we look at, say, the next one year for the MHCV industry, sir?
P Kaniappan: Yes, next one year, I would say, we look at very positively only. These are all very short-term issues. You know the monsoon and its impact on the mining. That's a one quarter type of scenario. And we have already got, from the customer indications, for the next three months or next five, six months, it's a very positive indication that has already come. We see a growth, at least up to March, I believe things will only in the positive direction. Expect some good growth.
On the export side, I feel there could be some temporary issues depending on the global scenarios and all that. Well, there are projects in which our demand will be increasing. Some of the regular

volume, there could be some moderation in the next quarter or so. Otherwise, also, because of Christmas and the annual New Year, etcetera, there will be some delay. Some pick-ups will be delayed for one or three weeks and all that. So that's the normal phenomenon.
Mukesh Saraf: Sure. Understand. Just one last, if I may squeeze, on the margins. We've seen broadly margins remaining flat on a quarter-on-quarter, basically from the first quarter to the second quarter. So from here on, do you see any margin levers in terms of pricing, raw material cost, or say product mix? Any margin levers from here on?
P Kaniappan: Yes, Mukesh, what we are doing is, we are now looking at each sector. As I also mentioned, we are doing some portfolio management to review some of the products where we are not making a good margin. Particularly if it's a commodity product, we are trying to review our focus on those products. In some cases, we are trying to exceed.
The second is, we are actually also driving a major initiative globally to really see margin improvement and cost reduction. We are also playing a key role there. Last year mostly we were focused on getting the compensation for the commodity inflation. Then, we are now looking at, as I told you, portfolio management. Third is, looking at some of the bleeders and actually insisting that the customers have to compensate.

And also, after we do our homework in terms of cost reduction on the material side., I would only tell you, we are trying to keep improving, but also there is a limit in the industry. But we are trying to challenge the limits.

Moderator: Thank you. The next question is from the line of Mr. Vimal Jamnadas Gohil from Alchemy Capital Management Private Limited. Please go ahead, sir.

Vimal Gohil: Yes, thank you. Thank you for the opportunity, sir. Sir, my question on, actually I have two questions. One is on disc brakes. I probably misheard you, but you are talking of disc brakes as an export opportunity or domestic? And if it is domestic, what is the content per vehicle that you are looking at?

P Kaniappan: Yes. actually what is happening is, already we are supplying in a small way in the domestic market, disc brakes for electric vehicles. The electric vehicles need to be very efficient to conserve their energy and make sure that the battery size, capacity and the distance coverage, everything is optimized. So, already this is being sold and we have also localized a large part of those Components. Numbers are low, but we have been working on this and then localized. we expect the market, even in this quarter, we may start selling some of our ADAS solutions. In a small way, Advanced Driver Assistance Solution. One of the major customers in India, we are already working with them and in our view, this project will take off. Again, the market should know, understand this, customers should understand this. The volume will be low initially, but there are fleets, who are basically the global fleets which are carrying ADAS's good

s. Such fleets, it will start adopting this. There are very clear signals.

Then on the trailer segment, we see a lot of interest in this. So, when you want to put a vehicle with Advanced Driver Assisted Systems, which is essentially, you have a camera, radar and

work to eliminate accidents, etc. Those vehicles need to have certain basic requirements. One of that is disc brake.

Not only disc brake, but it will also have an electronic braking system. So, EBS, ADAS systems and disc brake will be a combination. For those vehicles which will have this, Advanced Driver Assisted Systems, which overall we call it as ADAS vehicle. So, this is one topic. So, it will catch up. With or without regulation, now the market has to move to more efficient braking for multiple reasons.

And electronic stability control doesn't work very efficiently if you don't have a disc brake. An Advanced Driver Assisted System or an ADAS system or Advanced Emergency Braking etc., that doesn't efficiently work if you don't have a disc brake. So, we know the requirement of the likely trend in the industry. So, we are now working on to kick off the project. First, to Indian market and taking advantage, if you get the scale advantage, we will also position ourselves as a global manufacturing center.

Because in our view, most of these products are mechanical products. And, you know, castings, forging, machining, where India excels. So, that is the whole logic. Now on the value for vehicle, disc brake, roughly today, roughly about 20,000 in own wheel. So, if they go for two wheels, normally customers go for, today, nowadays they go for only the front axle. So, two wheels, so you talk about 40,000. If the customer chose to go for all the four wheels, then you got 80,000. So, this is the broad indication.

Vimal Jamnadas: Sir, thank you, thank you very much for that detailed answer, sir. So, just one follow up here. In the ADAS ecosystem, component ecosystem, we are supplying the electronic stability control, the disc brake, and if you could just mention what are the other components that we are supplying for the commercial vehicles, buses and trucks?

P Kaniappan: No, ADAS system is basically radar and camera.

Vimal Jamnadas: Are we supplying radar as well, sir?

P Kaniappan: Sorry, actually, in ADAS system today, we are supplying, we call it the collision mitigation. We expect some customers to launch soon, maybe in the next one or two months. There, the value per vehicle for ADAS itself is about INR60,000.

Then you have EBS in that vehicle, electronic braking system, that will come with another INR60,000, INR65,000. Then you have a disc brake, about INR40,000. So, this is the kind of content per vehicle for an ADAS system. But the question is, the volume will be low initially, and then but we expect that market to quickly recognize the value and move in that direction.

Vimal Jamnadas: Right, sir. Sir, one question on exports. So here in this particular quarter, you have done extremely well looking at the macroeconomic conditions. Almost 24% growth rate seems to be phenomenal. Just wanted to understand, do we see some weakness going forward, or given the fact that we have introduced newer products, we are now supplying to BMW and we have also expanded our client base. Do you expect the momentum to continue? Or do we expect macros to sort of take over and maybe second half could be a bit weak? How should we understand

that? Thanks.
P Kaniappan: Normally, this quarter, the October-November quarter is a slightly weak quarter because there is an inventory correction. Because this is the year-end for our global plants. And there is strong pressure globally for ZF to manage the inventory. So, there will be some reduced pick-up. It is one thing in the near term.
And if you compare last year and this year, the transportation lead time has been significantly coming down in

the global shipping. Even in the case of BMW and all that, now what used to take about 60 days or 45 days, for example, it comes down to probably 25 or 30 days now. So, that much reduction in the pick-up will happen.
Inventory correction, year-end, again normally the December January period, global location, there will be Christmas holidays and all those. So, I see some temporary. But otherwise, I don't see a big sale. As I told in earlier meetings also, we work on specific projects and we see only a continuous improvement. Some of the project will offset some of the traditional volume reduction. We don't see a significant reduction, but there could be short-term, very short-term challenges.
Vimal Jamnadas: Understood, sir. Thank you so much and all the best.
P Kaniappan: Thank you.
Moderator: Thank you. The next question is from the line of Mr. Lakshminarayanan from Tunga Share Investments Private Limited. Please go ahead, sir.
Lakshminarayanan: Yes. Thank you. Good afternoon, sir. Sir, couple of questions. When you started the year and where we are now, it's almost six months down. When you set out in terms of your projections, which specific areas positively surprised you? And which areas where we does the, things did not go as per plan? If I look into OEMs, second export, and the third, regulatory changes. If you look at these three angles, exports, OEMs, sales, and changes in regulations, where we were positively surprised when you started the year and where we are now, and where we didn’t anticipated things will do well, but it didn't pan out?
P Kaniappan: Yes. Thank you, Basically, on the positive surprise, if you ask me, there are two or three sectors are doing quite well now. Trailer segment is for us, is very positively surprising. Today, as we speak, we have almost 20% of the trucks that are produced are tractor trailers, which means trailer-based transportation is rapidly increasing. In that type of situation, we are gaining because we sell products for the truck and for the trailer.
For example, in the truck, we have ABS, and in the trailer, we have EBS. In the trailer segment, the government is facilitating or supporting the industry. If they have air suspension, then they can add an additional one ton per axle. So, all these things are promoting the air suspension solutions, and we are supporting for the air suspension solution. We are also supporting with lift axle.
The surprising thing is the trailer industry itself, which used to be a few years ago, even the basic

braking system will not be in good shape. But the government brought ABS to be adopted to that industry. But we have come a long way. I would say more than 20% of the trailers are now with ABS. About 5% are now with EBS, Electronic Braking System. We never thought that industry will actually go for EBS and all that. And it is spontaneous adoption.
It's not because of the value they see. It's not by regulation or anything in the case of EBS but also, in terms of the margin also it is a good segment. And we see more opportunities now with few other technologies, like the trailer pulse. We use the trailer telematics, which is called trailer pulse.
We are also now selling the trailer pulse for many of the suppliers. You know, the recent times, there is also road train products. Some of the big OEMs like truck OEMs, they are also initiating a joint project with a few trailer companies. Road train project in which one prime mover will move two trailers. So, a lot of new things are happening in the industry.
And we are supporting that industry with all that one solution. So, this is one positive, I would say very positive change that is happening in the industry. Also, it will become very safe. Transportation also will become safe. Now, there are new players are coming into the bus segment. Some of them from Chinese orientation.
Also, there are some Indian players like JBM.

There are again very new players in the EV domain. Today, the volumes are low in some of them. But many of them have an aspiration to become a global production center. And again, we are very well connected with all of them.

And then we are providing all the solutions. Today, in terms of numbers, maybe 40 vehicle sets per month. All put together.
But those companies who came with even a Chinese supply system. There is a need to have a local value addition. So, we see more of them being supported by us. So, there are lot of changes in these two sectors in the last one year. We did not anticipate that the market will go to this level. And more particularly, some of these players are not producing for Indian market. They are producing for global.
And then there are also aspirational India type of initiatives. So, we are partnering with all of them. In terms of what did not go well, I would say the adoption of the ESC is not up to the level we expected. There will be a gap in the implementation. Because the segment itself is very low. But within that, there are some loopholes or whatever. So, there we need to work. I believe we need to work with all of them. Because finally, they also have to see the value. So, our focus is to work with value and show the value. With which we will be able to convince them.
Lakshminarayanan: Thank you so much. What about the export side? Like how are things shaping on the export side? We have done very well. Is this something which we planned for? How are things there?
P Kaniappan: Export actually we planned more. There is some recent about inventory correction, that is temporarily reducing the actual take- off. We planned everything and it started very well at the beginning, and it continues. As I said, there could be a temporary correction in next two-three months. Global supply chains are becoming more efficient. And some holidays and all that. But otherwise, export is probably in line with our plans.

Lakshminarayanan: Regarding the replacement demand for the industry, MSDs, -- Because what I hear is that there is a movement towards higher tonnage. And there is also a movement of replacing old vehicles. So, is that playing out for the industry? I just want to hear your view.
P Kaniappan: Yes. One thing what we understood is, we know that the utilization of the truck has been very much increasing. As I said, it is in the range of 70% above. At this level, people will start replacing and also add more trucks. This will also lead to more aftermarket sales as well. And second, if you see, after the increased axle load that was in the year 2018 and all that, in any case, the size of the trucks have increased.
Mostly now, more and more heavy-duty segments are produced and the industry itself has moved towards higher tonnage transportation. Also, more trailers, as I said, between 15% to 20%. Most recently, I am told, that the industry is working to 35,000 per month. So, 7,000 trailers are being produced. So, about 20% tractor trailers.
All these things mean that there is a huge freight to carry. And then, utilization is also 70%, which means the industry with these new vehicles, higher tonnage transportation, etcetera, all those things, with the tractor trailer also, very efficient way of transporting, making the fleets, I believe, more profitable. So I expect the growth to continue.
We had an opportunity to talk to some of our customers. The growth will only continue. And the growth is in the higher segment. Now, If you see the full year, the growth is not in the light and medium duty type of area. It is largely in the heavy-duty segment only. Also, , tractor trailers, tippers, etcetera.
This trend, as I told you, the data indicates that it will only continue. But that's what we see from the indications from the customers. They all indicated the next few months, at least next three months, the production projections have been very

positive. So, we are all gearing up to meet
that increased demand.
Lakshminarayanan: Thank you so much, sir. Thank you.
Moderator: Thank you. Ladies and gentlemen, due to time constraints, we have the last question from the line of Mr. Bharat from Quest Investment Advisors, Pvt. Ltd. Please go ahead.
Bharat Sheth: Hi, sir. Thanks for the opportunity. Can you give a little more color from a medium-term perspective? How much total capex will require, the kind of opportunity that we are seeing, and when, say, this year as well as next two years, and how do we see with the export opening up more and more, so our mix of the revenue between domestic and export?
P Kaniappan: The actual numbers, I will request our CFO to give you his own perspective. But in terms of the industry itself, as we see, it is going to grow. At least in the near term, it's very clear. Because the impact of the election and how that will pan out is something that we need to look at.
Otherwise, we are clear, so we are going ahead with expanding our own production capacity and I told that our Oragadam site is now getting ready, so we are now moving, this month we'll be moving some of the facilities and start SOP there. And as far as export is concerned, I said we

will be steadily growing. With product export or service export, we've been steadily growing.
Again, there are some geopolitical issues.
On its impact, we don't know the exact estimation of what is going to happen, but if you see the last year and one year before also, despite all the geopolitical problems, we were projected to keep growing. Because the industry did not, at least Europe and US, there was not a big reduction in the commercial vehicle transportation in those two years also.
Next, the future years, how it will happen is a question mark, because of these wars and everything that is happening. But we are getting ready with our capacities, we are moving ahead with our new projects in the export area, because our growth is largely driven by offering a solution for our global organizations to expand their sales with our cost structure. So, I don't think there is going to be a big slowdown or something, but we have to keep a watch.
Bharat Sheth: Sir, apart from localization, which other strategies do we have to improve the margin and how much operating leverage, we have as on today?
P Kaniappan: Actually, ours is a continuous improvement company with a continuous improvement culture. Because we are a TPM company, we started, we are the first to get a Deming prize, then we have Sundaram-Clayton, etcetera. So here the issue is, we are always looking at opportunities to improve our margin.
And this time, as I said, we are looking at three areas. One is, how do we make sure that our products, if they are bleeding anywhere, if in any of the portfolio we are not achieving the required margin, then we are reviewing those things, working with the customers, trying to reset our prices. That is one aspect. This is after securing the compensation for the commodities, which was the issue last year.
The second is, we are now looking at all our purchasing, metal purchasing and then trying to put a team to drive a cost down in the purchasing system. In that, one of that is localization. We are also looking at regional, transfer from, let's say, southern, south-based suppliers. We used to buy from south-based suppliers to even our Jamshedpur plant. But we see Jamshedpur is more, nowadays it's also maturing.
Our volume also has reached a very good level in Jamshedpur. So we are trying to localize, regionalize the purchasing there. So the purchase, produce, that's back to the customer and the customers is there. Trying to export, improve our upper market business to make sure that, we get the best, we reach out to all the customers and make sure aftermarket sales also grows.
And then, in the materials area, we also have a concept of designin

g, redesigning the products
to cost. So we redesign the products where we feel we are not competitive. We are competitive, we are not making money, we also constantly re-engineer, redesign the products. There's a separate team working on this.
Also, the sourcing, resourcing, sourcing to another supplier, all that there are many traditional processes also we use. Some area we are also trying to insource some parts. So multiple ways

by which, the purchasing is trying to become more efficient. The last one is essentially to make sure that our SG&A cost also is, optimized or reduced.
So as we grow the sales, we make sure that fixed cost is also staying. control is also affected. By and large, we make sure that we don't proportionately increase our fixed cost. Also, all the factories we are trying to become more efficient. We are continuously reducing the conversion cost, manufacturing cost as well.
But all these things are also possible because your top line is growing. It also supports those initiatives. This is at a very broad level. On your question on the budget, maybe I'll request CFO to give you an idea. Yes, you had another question? You had one to ask.
Bharat Sheth: Yes, so what kind of EBITDA margin that we have, targeted over the next two years, three years?
R S Rajagopal Sastry: If you see right now, on the sale of products, we have reached about 19%. And aspirationally, we are looking at reaching our previous best of 20%. So that's what we are targeting in the immediate future. And that's what you'll see that even on a sequential basis, we had a half a percent expansion on margin. So we will be continuing to work towards these lines.
And all the initiatives which the managing director spoke about in terms of addressing the cost, looking at all those products which are currently not contributing as much as certain other products or a benchmark contribution. We are looking at how do we do right from, at the minimum level, we look at the cost, try to reset the prices based on the market status, and also look at exiting if we have to do that. So overall, those are the areas we are looking at.
And from, when you have to address cost, we are looking at right from the element of what is the part cost at which we are sourcing? Are we sourcing at the right price? Does it make sense to insourcing it? Are there costs which are not value-adding like too much of transportation from a geographic footprint perspective? Is the part traveling too much?

So we are looking, also combining it with our ESG responsibilities to see how do we reduce the carbon footprint also that we don't transfer the products too much. In every which way, we are trying to see how do we address this cost. And this is how we want to reach an immediate target from the EBITDA perspective and look at expanding going forward with better value-add and as the new products come in and as we also do the localization, we should see this trend to continue.

Bharat Sheth: Great. And sir, capex side, if you can give some color?

R S Rajagopal Sastry: So the capex side, as you know, we will be capitalizing this Oragadam plant this year. That's about INR80 crores. And there's a lot of equipment, which goes into and which is all coming to capitalization next year. All this will be enhancing the capacities in some of the products which we currently are exporting and certain other products which we are insourcing.

And some products which are currently in the e-mobility and also the electronic stability control and certain other products which need a lot of localizations as the volumes pick up. So all those things would be in the normal capex plans. We have a normal run rate of about INR100 crores. This year and next year we would see INR150 crores to INR170 crores because of the capitalization of the plant and also the equipment which goes into it. Then we may fall back to the same

routine. So we would be not too capital intensive, but at the same time, we will ensure that our capacities are adequate to meet the demand.

Bharat Sheth: And for new product, do we have to spend a little more capex to grow and in case of improvement in the market, so in that case?

R S Rajagopal Sastry: If we are seeing that some of these technologies which are coming in, like the technologies for the e-mobility and certain electronic stability control, as we see bigger volumes, we may have to localize them rapidly and localization would need investments in terms of vendor developments, tooling, some machinery.

They would need them and they are all business plans, which have been well drafted with their returns and proper hurdle rates, which are they made for the investments. And we are ready to put them into action as and when the volumes require those.

Bharat Sheth: Thank you and all the best, sir. Thank you.

R S Rajagopal Sastry: Thank you.

Moderator: Thank you. I now hand the conference over to the management for closing remarks.

P Kaniappan: I would like to take the opportunity to thank all of you. Many of the questions were very interesting and very useful. So thank you very much.

Moderator: Thank you, sir. On behalf of B&K Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Feb 2024

•

ZF Group
ZF Commercial Vehicle Control Systems India Limited
(Formerly known as WABCO INDIA Limited)
Plot No.3 (SP), Third Main Road,
Registered Office: Plot No.3 (SP), Third Main Road, Ambattur Industrial Estate, Ambattur Industrial Estate, Chennai - 600058.
India Chennai - 600058. India
CIN: L34103TN2004PLC054667 Phone: +91 44 4224 2000
Phone: +91 44 42242000. Fax: +91 44 42242009 Fax: +91 44 4224 2009 www.zf.com www.zf.com
Commercial Vehicle Solutions
Department Finance
From Muthulakshmi M Phone +91 044-4224 2000
Email muthulakshmi.m@zf.com
Date February 07, 2024 ZF Group · ZF Commercial Vehicle Control Systems India Limited, Chennai 600058

The Manager Listing Department
BSE Limited, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001 Scrip code: 533023
Listing Department
National Stock Exchange of India Ltd Exchange Plaza, C-1, Block G
Bandra - Kurla Complex
Bandra (E), Mumbai 400 051
Trading Symbol: ZFCVINDIA

ISIN : INE342J01019

Dear Sir(s),

Sub: Transcript of the Investor C all for the quarter ended Dece mber 31, 2023

In continuation of our letters dated 23
rd January, 2024 and 31st January, 2024 pursuant to
intimation and recording of inves tor's call, we hereby inform t hat the transcript of the call has been
uploaded on the website of the Company and the same can be acce ssed through the following
link:

https://www.zf.com/mobile/en/company/investor_relations/zf_cv_i
ndia_investor_relations/zf_cv_india_ir.html#shareholderinvestor meeting_acc_656449_0

Request you to take the above information on record.
Thanking you,
Yours sincerely,
ZF Group

Muthulakshmi M
Company Secretary ZF Commercial Vehicle Control Systems India Limited
(Formerly known as WABCO INDIA Limited)

"ZF Commercial Vehicle Control Systems India
Limited Q3 FY2024 Earnings Conference Call"

January 31, 2024

MANAGEMENT : MR. P KANIAPPAN – MANAGING DIRECTOR
MS. SWETA AGARWAL – CHIEF FINANCIAL OFFICER
MS. M. MUTHULAKSHMI – COMPANY SECRETARY

MODERATOR : MR. ANNAMALAI JAYARAJ – BATLIVALA & KARANI SECURITIES INDIA PRIVATE LIMITED

Moderator : Ladies and gentlemen, good day and welcome to the ZF Commercial Vehicle Control Systems India Limited Q3 FY2024 Conference Call hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing "*" then "0" on your touchtone phone. Please note that this conference is being recorded. I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited. Thank you and over to you, sir.

Annamalai Jayaraj : Good Morning. Thank you for joining us today and welcome to ZF Commercial Vehicle Control Systems India Limited quarterly earnings call. The third quarter earnings and nine-month results for FY2023-2024 will shortly be presented by the management team of ZF Commercial Vehicle Control Systems India Limited, formerly known as Wabco India Limited. Your hosts this afternoon from ZF Commercial Vehicle Control Systems India Limited are Mr. P. Kaniappan, Managing Director, Ms. Sweta Agarwal, Chief Financial Officer, as well as Ms. M Muthulakshmi, Company Secretary. I will now hand over the call to Mr. P. Kaniappan, who will provide you with further insights on the results. Over to you, sir.

P Kaniappan : Thank you, Mr. Jayaraj. I warmly welcome you all to ZF Commercial Vehicle Control Systems India Limited's third-quarter results and nine months' performance for FY 2023-24. Certain forward-looking statements that we'll make today are based on management's good faith expectations and beliefs concerning future developments. As you know, actual results may differ materially from these expectations because of many factors.

ZF Commercial Vehicle Control Systems India Limited's results for the quarter and period ending December 31, 2023, were published on January 30, 2024. They are available on the www.zf.com website within the ZF CV India investor relations section. We hope that you have had an opportunity to go through them. A transcript and recorded audio of this call will also be made available on www.zf.com under the ZF CV India investor relations section. Let me begin with the business update.

Industry and economic updates: I would like to share a few key macroeconomic aspects that are relevant to our industry and GDP growth.

India's economic growth (represented by GDP) is expected to grow by 7.3% for FY 2023-24, from the earlier projections of 6.5% according to the latest release by the National Statistical Office (NSO) (source RBI). With strong domestic demand conditions, India remains the fastest-growing major economy and is now the fifth-largest economy in the world. In purchasing power parity (PPP) terms, India is already the third-largest economy. The International Monetary Fund (IMF) has projected that India's contribution to global

growth will rise from the current 16 percent to 18 percent by 2028. Strong domestic demand remains the main driver of growth, although there has been a significant increase in the Indian economy's global integration through trade and financial channels. Higher reliance on domestic demand has cushioned India from multiple external headwinds.

India's Consumer Price Index (CPI)-based inflation is in the range of 5.7%, edged up from Nov 2023 level, influenced by food inflation. The Index of Industrial Production (IIP) slowed sharply to 2.4% on-year in November 2023 from 11.6% in October 2023, a major

drop in the manufacturing sector.
Future industrial performance trends will be influenced by:
■ Government's strategic adjustment of capital expenditures to stimulate growth in the upcoming budget
■ Rural demand may remain weak this fiscal with agriculture and allied growth estimated to have slowed sharply to

1.8% from 4.4% last fiscal. After the Kharif crop was impacted by an uneven monsoon, rabi sowing is also lagging owing to lower reservoir levels and delayed sowing.
Commercial vehicle production (> 6 Ton) in the third quarter of FY 2023-24 was 104,025 units, compared to 95,427 units in the same period of the previous year. This represented a growth of 9% and was largely driven by:
■ Increased government spending, robust replacement demand, & strong end-user sectors, notably construction and mining
■ The Growth is expected to continue in Q4, followed by Lok Sabha Elections which may have an impact on the CV industry due to restrictions in government spending.
OE sales performance: Against this vehicle production growth of 9%, we registered OE sales in Q3 of FY 2023-24 of INR 483.1 Cr compared with INR 405.8 Cr in the PY – this equates to growth of 19.1% with a market outperformance of 10.1%. Some of the key elements behind our growth story are:
■ Penetration of Pneumatic & Hydraulic ESC in applicable bus platforms (Regulation in place w.e.f April'23)
■ Increase in Penetration of Trailer Lift axle Control system.
■ Increased EV bus Production by ~ 32% over CY 2022, the sale of EV aggregates like E Compressor & EBS.
Now turning to our Aftermarket performance,

The Company achieved moderate growth of 10.2% in Q3 23-24 Vs Q3 22-23. Various initiatives driven by management are helping consolidate our position in the aftermarket, namely: -
■ Introduction of 4 new ASCs & 4 new prime dealer accounts to provide better access to end customers.
■ 20 Van campaigns and 18 Canopy campaigns conducted across the nation to improve secondary sales of hazardous focused products.
■ Tire Pressure Monitoring System (TPMS) with trailer pulse successfully demonstrated to Key customer.
■ Trailer segment has grown by 32% YTD with continuous engagement with major manufacturers who transport chemicals and goods.
Export of products: The Company had registered lower export sales in Q3 of FY 2023-24 of INR 204.2 Cr compared with INR 282.7 Cr in PY, a drop by 27.7% due to order book reduction of INR 127 Cr seen globally due to inventory challenges.
However, our export business is expected to gain its momentum of robust growth in Q4 (Jan – Mar 2024) due to the following:-
■ Order Book Flow improved better vs Q2 2023 (Previous All time high)
■ 4.0 Actuators: Product and line release audit by Volvo on 23rd Jan'24: additional business ~ €2.0M
■ Key Customer Visits: DTAG SOP audit in Feb'24; Jost Trailers India Team to visit on 21st Feb'24 for discussions on future business opportunities.
However, ongoing geopolitical situations and various other disturbances at the Red Sea would increase the lead time by 3 weeks, which will in turn have an impact on the export of Goods.
Export of Services: With the continuous expansion of our capabilities and talent acquisition, our export of services registered a growth of 32.4% in Q3 of FY 24 compared with the same period in the previous FY.
Engineering: I am happy to share with you that the Company received the "ZF Excellence award" in the "ZF Way" category from the Group and was one amongst 56 projects that were submitted in that category, for our project delivered by a cross-functional team comprising of members from Engineering (R & D) function, purchasing, manufacturing, validation, etc. We were also the finalists at the CVS divisional level for the category of sustainability.

Our Engineering team launched advanced technology projects like ESC for Pneumatic and Hydraulics and has made them SOP-ready. Ecotronic mid-9 speed AMT is launched successfully. Significant progress has been made in promoting ADAS in the country and a Collision Mitigation system (CMS) has been launched for a leading OEM in India after extensive field testing and performance fine-tuning for the India market.

EBS for the EV
Bus segment is launched. Gen 2.0 e Compressor is applicated to all the Indian OEMs and field quality is improved for robustness. India's R&D Footprint is aligned with global engineering for significant growth and accountability shift for the India Team.
Manufacturing facilities at Oragadam: As we outlined in the previous earnings call, the construction of our factory at Oragadam is progressing as planned. Validation of the manufacturing lines are in progress. We will continue to update you on its progress in future calls.
CSR outreach: At ZF Commercial Vehicle Control Systems India Limited, we strive to be responsible corporate citizens and make a positive difference through our Corporate Social Responsibility initiatives. Our CSR initiatives are based on four tenets -- improving road safety, enhancing the quality of life of neighbouring communities, contributing towards environmental sustainability, and skill development.
Over the years, our contribution to society has touched thousands of lives in several ways and benefitted a wide range of stakeholders. The scope of our initiatives has now been expanded to make a positive difference to even more stakeholders.
Through our skill development & community support initiatives, the Company has contributed Computers, an advanced fitter and welding lab, and a soldering lab for Govt Govt Polytechnic, respectively, in the remote villages of Barabanki which will benefit 887 students. As part of our sustainability initiatives, the Company had installed 2 nos of Solar High Mast lights, 15 nos of Solar Street lights, and solar-based traffic lights in and around the Company’s plant.
As part of our continued support to the Community, the Company has also installed solar power systems at the primary health centers in a few villages in and around our test track facility and contributed Medical equipment to one of the Primary health centers.
As a responsible corporate citizen, the company also contributed relief materials to the Greater Chennai Corporation for distribution to those affected by cyclone Michauang to the tune of Rs. 20 Lakhs.
Awards and recognition: The company has been recognized and received the “Gold Award” from Hensai Kaizen Institute for its ESG performance.

Our employees won 2 Gold Awards in the QCFI chapter level QCC Competition, a Platinum award in the AOTS National Level QCC Competition 2023, a Best Presentation Award in the NIQR QCC case study Competition, Platinum Awards & Gold Award in NIQR National Level Six Sigma Competition -2023, under various categories.
Also, the employees from Jamshedpur won First Prize each in the Safety & Delivery Category and one more second prize in Quality by participating in the ACMA Eastern Regional Kaizen Competition, and Employees of the MWC plant won First Prize in Delivery Category in the ACMA Southern Regional Kaizen Competition. Further, Employees of the Ambattur & Mahindra World City plant won 4 Gold Awards under various categories in the QCFI State Level SIT/CFT Competition.
Now moving on to our financial performance for the quarter. For your ease of reference, the results were made public at 4.27 PM on the 30th of January 2024. I hope you have had a chance to go through them.
Commercial vehicle production (>6 Ton) registered growth of 9% over the same quarter in the previous year. We outperformed by 10.1% this quarter. Our sales to OEMs in this quarter was INR 483.5 Crores; this is 19.1% higher than the prior corresponding quarter.
Overall strength in demand ensured that our aftermarket sales were moderate 10.2% QoQ to 109.8 Crores.
Exports (goods) resulted in an income of 204.2 Crores in Q3 of FY 2023-24 with 27.7% lower than the prior corresponding quarter.
Our engineering and other services continue to provide very strong value to our customers across the group. The growth in service income is

a very healthy 32.4% QoQ.
For the quarter ending 31st December 2023, we achieved a PBT of INR 135.4 Crores, which is 17% of sales. This is an improvement of 2.3% over the same quarter in the previous year. We have improved our profitability by 1% sequentially over previous quarter.
As we present the results, we see that the series of actions which were put in place by the company to mitigate the challenges posed by inflation and other aspects have yielded strong performance results. While the results have been aided to a small degree by the positive effect of foreign exchange fluctuations – a gain of INR 9.7 Crores - we still see the strength of performance is continuing to grow. Thank you. We now welcome your questions.

Moderator : Thank you very much. We will now begin with the question-and-answer session. We take the first question from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead, Sir.
Mumuksh Mandlesha : Thank you so much, Sir, for the opportunity. Starting on the fleet cost, I mean, the freight cost is about 2% of the revenue and we have exports about 30% of revenue and we also do some imports at 10% of revenue. So how do you see the impact of the freight cost on numbers? Will it be a pass through to the group companies or will we have to bear the impact?
P Kaniappan : Freight cost. Can you say it again.
Mumuksh Mandlesha : I will just repeat. I want to understand what are the exports we do? The increase in freight cost we would have to bear it or the group companies would bear it, and secondly, even the imports which we do, the impact would be on us or not.
P Kaniappan : Generally in the export-import area, the contract is on exports, and when we import we bear the freight cost and of course when we export, the concerned sites i.e. our intercompany plants, will pick up the material as per the contract largely, that could give you exceptions, but largely it is the same model. Now, normally we go through sea shipment, but then there are some possibilities, when the market fluctuates we also pick up some item by air and that only can marginally change. But then if it is because of the customers, if they have not projected or predicted the demand or highlighted it to us, then we go back to the customer for compensation. Right now we have some challenges because of the Red Sea impact. If it is going to lead to an additional time and we have to pick up by air, we decide to observe or depends on the strong case to go to the customers. This is the framework.
Mumuksh Mandlesha : Just on the export side globally the commentary from the OEM side, Volvo is talking about 15% to 20% fall in the Europe and North America CV market. So considering that there will be a fall next year what is your outlook based on the order book, what kind of outperformance you see or what kind of growth you can see considering the fall in the CV market?
P Kaniappan : We are right now seeing a market positive. For us at least next 3 months, we have got clear indications from our intercompany customers. In the last quarter, we faced one scenario which demanded the focus at the global level to reduce inventory for the many of our sites decided to reduce the pipeline stocks that led to a situation for us to reduce our production. That was the main major issue because of the company as a group we decided to focus on cash generation and reduce the inventory. So that get some impact, but that is for short term. So now orders are back and we are working to our full capacity now. I see the same situation to continue at least for the 4th Quarter. But then our sales from my earlier communications, we are actually so widely spread actually it is not to specifically one

customer globally also we are supplying the trailer segments. Overall, globally there could be some challenges where I look at it, but then we are also working on projects, some of them will

get launched as we move forward. Particularly this year in the middle of the year, we will start supplying compressors to Daimler Truck AG. Few actuators lines will get released. Right now the outlook is quite positive for the first quarter. Then we have to see how the situation evolves because you know there are lot of geopolitical crises that may have an impact on some of our demands, but we are closely monitoring that.
Mumuksh Mandlesha : Just a last question from my side. Sir in this quarter content per unit has increased to 46000 per unit in Q3 versus 44000 last quarter. Any reason for increase what we saw in this quarter any contain increases Sir?
P Kaniappan : There are few trends that are happening in the commercial vehicle industry now. One is transition to EV vehicles. Now more and more bus production are focused in electric

vehicles and our content per vehicle is quite high there, because these electric buses uses brake system which is having electric compressor which increases the value per vehicle at least about 10 times of what we currently do with mechanical system. Then, we have electronic braking system. In this normal braking system, mechanical braking system content is Rs.15000. But now we are in these electric vehicles there is a delta component that comes by way of electronic braking system. This electronic braking system helps regeneration and energy efficiency in the braking circuit and that leads to vehicle efficiency improvement and increased safety system that can be covered etc. So most OEMs are fitting electronic braking system in all the EV vehicles. Also, there is a regulation which calls for electronic stability control for the bus segment. Again, adoption is quite high as of now, even though there are challenges in the beginning. So all these things add to increasing content, when the full-fledged market moves more of these vehicles. Even though it is much lower percentage electric vehicle, but as the market moves more and more to electric, this contemporary class will keep improving.

Mumuksh Mandlesha : Just follow up on this question. So who would be the major EV players for us, EV customers?

P Kaniappan : All bus producers. Right now what is happening in India, the buses are being produced based on the tender program from the government. So, the traditional OEMs, OEMs like Ashok Leyland actually using the switch mobility route, but we also have new players you have some O Electra Foton, PMI Foton, and JBM, these are all the new customers even Weka mobility. So some customers who have got the JV, some arrangement with China, they still source some of the parts from there, but for most other OEMs we supply from India supply chain.

Mumuksh Mandlesha : Got it, Sir. Thank you so much for this. Thank you.

Moderator : Thank you, Sir. The next question is from the line of Vimal Jamnadas Gohil from Alchemy Capital Management. Please go ahead, Sir.

Vimal Jamnadas Gohil : Thank you for the opportunity. My question on exports has been answered. Just on outlook for the aftermarket. So it has been 3 quarters since we have seen a sequential decline in revenues, with the kind of product lineup that we have, we would have certainly expected the aftermarket to do much better than what it has been reported. So what is the outlook there and may be what is hurting us over there?

P Kaniappan : See after market is a function of utilization of the vehicles and trucks in the field. Our general understanding is that while the diesel price is more or less stable, the freight rates are increasing steadily which means the profitability of the fleet and the utilization of the truck seems to be improving. Its overall source gives an indication that the demand for spares and other things will continue to improve. But there is another phenomena, which is the quality of products also keep increasing in the market because customers are all offering very large m

eaning the warranty period has been steadily increasing and suppliers are actually continuously improving the quality which will have a dampening effect. But eventually we are on the same pattern even in this quarter, we have increased about 10%. Understanding that this is sort of one trend is more opportunities on the spare sales, and the other trend is quality improvement. We need to look at new ways of managing our aftermarket growth. Now we are applying the analytics basically to understand the field vehicles that are available, and then probably about 30 lakhs vehicles are there on the road with ZF systems. We have a responsibility to make sure those vehicles are serviced and supported. For that, we are trying to calculate what should be our sales entitlement from each city for each type of vehicles and how much we are doing etc. I am trying to use this framework, try to keep improving as such there is still an opportunity. But at the same time, OEM's are also becoming very aggressive and many of them want to do the service themselves. The opportunity available to us are, one getting into digital area. You also know that we have got a digital solution that we do it for one of the OEMs Volvo Eicher, which means on the aftermarket side, we have an opportunity to really manage those vehicles for which we get a service revenue in the subscription route. We are trying to see opportunities to expand that to their fleet. In the trailer segment, we see some opportunities to introduce the digital solution. I also made a mention that we are launching this trailer pulse which is a digital solution to connect the trailers with the truck. Also, the trailer segment itself is growing well about 32% growth in the segment. Overall, in the industry now more and more trailers are getting applicate and in the trailers, we also see a technology adoption is happening. So, our opportunity to maintain those trailers in the field with the trailer customers also means lot of things are opening up. We also see some more opportunities but not yet realized but it is a retro fitment of some of the advanced technologies, in the advanced cyber assistance system type of area. So as such if you see we have been growing only and sequentially there has been some talk, but at a full year level

we have been growing and we see we will be growing continuously but if not at a very at least 10% to 15% level we are planning to grow.
Vimal Jamnadas Gohil : Sir, your comments on the overall heavy commercial vehicle growth for FY2025, are we getting any sense right now? If you could just comment on that please?
P Kaniappan : See, if you see last year at the full year level the growth was in the range of about 16% in the calendar year. In this calendar year, we see in our estimate only a flat market. But then we would like to grow through outperformance with the technologies. In our planning we are only taking a flat market as such, but then again we have to keep monitoring, we believe that there could be some slackness due to the election, but we do not know. So as we move forward we can also constantly monitor as such in our planning we are taking more or less the flattish type of growth in the commercial vehicle.
Vimal Jamnadas Gohil : Just one data point I wanted. The engineering services, if you could just help me with the absolute revenue for nine months and Q3 for FY 2024? Absolute revenue. Thank you.
P Kaniappan : I will request Ms. Sweta Agarwal to share with us.
Sweta Agarwal : The absolute revenue for this quarter is 94 Crores and for the whole year is 280 Crores on the engineering services segment.
Vimal Jamnadas Gohil : 280 and 94 Crores. Thank you so much, ma'am. All the best.
Moderator : Thank you, Sir. The next question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead, Sir.
Mukesh Saraf : Good morning and thank you for the opportunity. My first question is on the expo

rts
business. Obviously this quarter we have seen a decline and you did mentioned that you have visibility of about a quarter, but my question is slightly for the next year FY2025, I think last couple of quarters you have been mentioning about some new orders like the 564cc compressor for DAF and also exports to China where the lever for this brake etc. So these seem to be orders where we are substituting some existing manufacturing that is happening outside of India. So is it fair to still assume that even if the European and maybe the North American truck market is weak, we can still grow exports in this coming year because of our substituting some of the local manufacturing there.
P Kaniappan : Actually, we always secure our export business through our competitive positioning within the Group. For Compressors, some new customers getting added, we were starting with originally Volvo and we added DAF and now the Daimler is getting added and we will continue to strengthen, what at least conceptual frameworks when we keep increasing our volume, our advantage on the scale, and the cost improvement that we are able to offer, it

helps us to really further improve our position when the quality and other things are remaining same or improving. So that is one aspect. Second is, now Oragadam site will be in operation. I think we are planning to inaugurate on 14th of next month. That will start performing and we are having some few products there also for export. Few products essentially currently we are sourcing the product from a supplier globally. So now the India team is able to demonstrate that it can be produced here more competitively. So, like that we are identifying new opportunities as well. Our growth will be driven by the current products whatever we are doing and attracting more customers for the same product range plus new opportunities. The team in India, we are trying to drive this growth continuously, of course there could be some headwinds occasionally here and there, but directionally we are quite positive on that.
Moderator : We move on to the next question from the line of Varun Arora from B&K Securities. Please go ahead, sir.
Varun Arora : Sir, can you share the revenue breakup for OEM replacement exports and others for the third quarter?
Sweta Agarwal : Do you want absolute number, Sir?
Varun Arora : Yes.
Sweta Agarwal : We have 483 Crores coming from the OEM. We have 109.8 Crores coming from the aftermarket and 204 Crores coming from export sales, giving us a total of 797 Crores of revenue from products in the current quarter.
Varun Arora : Just want to ask from the employee cost why it went up so significantly and on the other side other expenses came down. So any comment?

Sweta Agarwal : Yes absolutely. the employee cost increase that you see is due to the increase of headcount in our engineering services area. We have added a significant amount of employees over there, about 200 and that you would see also reflected into our engineering services income. So, it is not a pure increase in cost, it is due to the increase in the services business part of the company.
Varun Arora : And this percentage will be sustainable in coming projects.
Sweta Agarwal : I'm sorry, could you say it again?
Varun Arora : This 13%, so that will be sustainable in the next quarters also.
Sweta Agarwal : Yes, it would be.

Varun Arora : What is the reduction in the other expenses now?
Sweta Agarwal : The other expenses we have some reductions on data processing charges, rents, CSR and repairs and maintenance. We basically have been actively managing our costs over the period.
Varun Arora : Now your margins are near to 15% for the four or five quarters consistently. So can we assume that it would continue to be 15% margin in FY2025 or in the next quarter?
P Kaniappan : Yes, that is the direction we are working. I am also generally communicati

ng in this call
that we are basically a continuous improvement company. So we are looking at all opportunities to keep improving barring any untoward thing happen, but otherwise that is the direction.
Varun Arora : Okay. Thank you. I will fall back in the queue.
Moderator : Thank you, Sir. We will take the next question from the line of Mukesh Saraf from Avendus Spark. Please go ahead, Sir.
Mukesh Saraf : Thank you for the opportunity again. I got disconnected. On the exports question, so just as a continuation like you did mentioned that next month we are starting with the Oragadam facility and so we can see some growth. So any kind of target or any guidance you want to give like can we see a double digit kind of growth next year in exports? Any such indication that you can give.
P Kaniappan : Generally what is our logic is that 1/3rd of our sales will be from export and we have some pipeline of projects to continue to focus. So that is the direction we will be work.
Mukesh Saraf : I think our other expenses you said that there was some cost cutting measures, but we can still maintain this number of less than 100 Crores quarterly or this seems to be one time kind of reductions there.
P Kaniappan : There is no one time issue. We are just generally in all areas we are trying to maintain the cost.
Mukesh Saraf : We can maintain this numbers closer to 100 Crores number we can maintain, this would be other expenses we have done in this third quarter.
Sweta Agarwal : There are no one time impact in other expenses that you see. These are sustainable actions taken hopefully we able to maintain over the next quarter.

Mukesh Saraf : And lastly any update on the PLI scheme because I think we will be starting our production next month and any kind of update that we have there.
P Kaniappan : Actually the PLI call for certain quantum of Capex investment. They also demand a set of top line sales outcome. We are able to meet the sales number but we have not been investing so much on the Capex side. We have some challenges to get that benefit but then we are looking at all options to see how we will get into it, but the Oragadam site anyway will get the corporate tax benefit because the new site we will be invoicing before March 2024 so we will operate into 15% corporate income tax. But one thing straight away available, but PLI we have to still see what more we can invest because it also quite frugal in our investment so that is on the investment side.
Mukesh Saraf : Understood, sir. Alright. Thank you so much. I will get back in the queue.
Moderator : Thank you, Sir. The next question is from the line of Mumuksh Mandlesha from Anand Rathi. Please go ahead.
Mumuksh Mandlesha : Thank you so much. Sir, I had one more question. What has been the Capex for nine months for this year and what is expected Capex for FY2024 and 2025?
Sweta Agarwal : Our Capex for nine months has been 138 Crores.
P Kaniappan : See nine months has been 138 Crores, if you see today out of that almost 40 Crores we have spent for the new site, you can roughly estimate it should be in that range for next year also this similar trend, because the new site will be operational, we are bringing many

production lines there. So most of the focus will be the new site going forward plus of course engineering we are doing a lot of work and then we are investing.
Mumuksh Mandlesha : So if I get right Sir, 140 was nine months number another 40 Crores for Q4, right.
P Kaniappan : Yes, in this year that is what that number you can safely take. Right now our indication is more or less similar number will be there though there is a lot of pressure from initiative from global level to reduce our Capex not only for India but generally. So we are also looking at possibilities but our immediate indication is we can assume that it will be in the range of around 180 Crores per year.
Mumuksh Mandlesha : Got it, sir. Thank yo

u so much for this.
Moderator : The next question is from the line of Viren Sameer Deshpande from Alphapeak Investments. Please go ahead, Sir.

Viren Sameer D : Good afternoon, Sir. Our growth has been very consistent over last one, one and half year and we continue to see good growth in sales and profit margins also. But this time it was weak I think you mentioned regarding inventories may be some were piled up etc., but structurally do we still expect the commercial vehicle industry to grow over the next one year they despite temporary aberrations due elections etc.
P Kaniappan : Yes. So what we are thinking see first is next three months, we have got some indication from all OEMs which indicates a decent growth meaning you see last year also January, February, March, the production has been quite good. My current view is this year it will be more or less flattish and the impact of elections, we do not know what type of impact, but there is some amount of uncertainties around that.
Viren Sameer D : Construction and mining I think are doing well.
P Kaniappan : Yes. The construction mining industry is strong, overall industry is strong. As I told you while the diesel price is more or less stable for more than a year, the freight rate is increasing, which means the profitability of the fleets are there and the utilization of trucks is there. One thing, another trend that is happening in the market is the movement towards using the trailer has become more profitable, usage of trailer-based transportation in the haulage also has been very aggressively increasing, previously 8% of the overall truck production used to be the tractor trailer combination, but now it is almost 17%. We see this will keep growing like any other global markets. That provides a lot of opportunities for us to grow because we can sell products for a truck, we can also produce and sell products for the trailer and globally our former Wabco, which is a part of this ZF CVCS now in India, we have highly advanced technologies for the trailer segment more than anybody else. We have the trailer electronic braking system, trailer ABS, lift axle control systems and many, many solutions and so our last quarter trailer segment growth is 32%. So that is why it is a very strong growth in that segment and that is something that we are also factoring. Also we have the digital business which is close to some 80-90 Crores which was built in the last 2-3 years. It was almost 0 in 2020 now we have come to say about 80 cross, but we are seeing almost 160000 vehicles are in our platform and there because we are connected with one of the OEMs more and more vehicles produced by them will go with our system and the number of vehicles in our platform keep increasing. Again there, if you offer many new solutions then there is a possibility to up-sell and we can improve the subscription, the capability also helps us to go to the fleet directly in the aftermarket side etc. So many areas we are working. The vehicle production itself could be in our planning we are only taking it flat and how it will move up or whatever we have to constantly monitor and the uncertainty here is the impact of election and other things and the government has to stop the investment for some time and all those things, but our growth will be driven by outperforming the market is at least we believe we will do about 10%.

Viren Sameer D : In this quarter also you mentioned we have outperformed the market despite the growth in sales being muted, only 2%-3%. But we still have outperformed the industry by 10%.
P Kaniappan : Yes, correct. We outperform the market by 10 % and the market grew about 9%, in the OE. So that opportunity is available because ZF our growth is largely driven by our technologies and the solution that we will be offering to the market. We are seeing the early signals on the AMC getting launched by OEMs and m

arket is giving very positive signals. Again, we
are well positioned to try grow through that route itself. There are multiple things

happening which will help us to really manage certainties and growth in the market.
Viren Sameer D : We are actually increasing the content per vehicle etc. That is also going to help us going forward as well.
P Kaniappan : Absolutely true. Yes.
Viren Sameer D : And when is our new plant going to be on track for commercial production.
P Kaniappan : The new plant is already in place, we have moved, actually we are validating some of the lines, line will be released soon. On 14th of this month the plant formally gets inaugurated and that will start that also adding to our sales.
Viren Sameer D : Replacement market is not a big thing for us.
P Kaniappan : In the replacement market, in the last quarter we have done about 109 Crores out of 797 crores which is the kind of a 12%-13% of sales. But the opportunities are there, also there are some headwinds, essentially the OEMs are trying to take that part of the business. That is the challenge that we must manage. At the same time, we are also supplying through the OEMs on the OEs path route to them. But then they will try to more and more reach out to the customers and many customers wants the trucks to go to their dealer points. But beyond the warranty timeframe, we have an opportunity to work with them. We are launching some new products, we are working on the digital side also.
Viren Sameer D : Yes. Okay, sir. Thank you, Sir and all the best.
Moderator : Thank you, Sir. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing remarks.
P Kaniappan : Thank you very much for the very good interaction. Thank you.
Moderator : Thank you. On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us and you may now disconnect your lines.

Call: Jun 2024

•

ZF Group
ZF Commercial Vehicle Control Systems India Limited
(Formerly known as WA BCO INDIA Limited)
Plot No .3 (SP), Third Main Road ,
Registered Office: Plot No.3 (SP), Thi rd Main Road, Ambattu r Industr ial Estate,
Ambattur I ndustrial Estate, Ch ennai - 600058. India Chennai - 600058. India
CIN: L34103TN2004PLC054667 Phone : +91 44 4224 2000
Phon e: +91 44 422 42000. Fax: +91 44 4224 2009 Fax: +91 4 4 4224 2009
www .zf.com www. zf.com
Comm ercial Vehicle Solutions
Department Finance
From Muthulakshmi M
Phone +91 044-4224 2000
Email muthulaks hmi.m@zf.com
Date June 03 , 2024 ZF Group · ZF Commercial Vehicle Control Systems India Limited , Chennai 600058

The Manager
Listing Department
BSE Limited , Phiroze Jeejeebhoy Towers
Dalal Street , Mumbai 400 001

Scrip code: 533023

Listing Department
National Stock Exchan ge of India Ltd
Exchange Plaza, C -1, Block G
Bandra - Kurla Complex
Bandra (E), Mumbai 400 051

Trading Symbol : ZFCVINDIA

ISIN : INE 342J01019

Dear Sir (s),

Sub: Transcript of the Investor Call for the fourth quarter & year ended March 31, 2024

In continuation of our letters dated 16th May 2024 and 27th May 2024 pursuant to intimation and recording of investor 's call , we hereby inform that the transcript of the call has been uploaded on the website of the Company and the same can be accessed through th e follow ing link:

https://www.zf.com/mobile/en/company/investor_relations/zf_cv_india _investor_relat ions/zf_c
v_india_ir.html#shareholderinvestormeeting_acc_656449_0

Reques t you to take the above inform ation on record .

Thanking you,

Yours sincerel y,
ZF Group

Muthulakshmi M
Company Secretary
ZF Commercial Ve hicle Control Systems India Limite d
(Formerly known as WABCO I NDIA Limited)

“ZF Commercial Vehicle Control Systems India
Limited
Q4 FY’2 4 Earnings Conference Call ”
May 27, 202 4

MANAGEMENT : MR. P KANIAPPAN – MANAGING DIRECTOR –
ZF COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA
LIMITED
MS. SWETA AGARWAL – CHIEF FINANCIAL OFFICER –
ZF COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA
LIMITED
MS. M. MUTHULAKSHMI - COMPANY SECRETARY –
ZF COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA
LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ - BATLIVALA & KARANI
SECURITIES

Moderator: Ladies and gentlemen, good day and welcome to the ZF Commercial Vehicle Control Systems India Limited Q4 and FY24 earnings conference call hosted by Batlivala & Karani Securities India Securities Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please sign al an operator by pressing the star then zero on your touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr . Annamalai Jayaraj from Batlivala & Karani Securities India Securities Private Limited .
Thank y ou and over to you, sir.
Annamalai Jayaraj : Thank you. Good afternoon. Thank you for joining us today and welcome to ZF Commercial Vehicle Control Systems India Limited call to brief you on the quarterly earnings. Today, the fourth quarter earnings and annual results for FY 2023-2024 will be presented by the management team of ZF Commercial Vehicle Control Systems India Limited. Your host today from ZF Commercial Vehicle Control Systems India Limited are Mr. P Kaniappan , Managing Director , Ms. S weta Agar wal, CFO and M s. M. Muthulakshmi , Company Secretary .
I will now hand over the call to Mr. P Kaniappan who will provide further insights into the results.
Over to you, sir.
P Kaniappan: Thank you, Mr. Jayaraj. Good afternoon to all of you! I warmly welcome you all to ZF Commercial Vehicle Control Systems India Limited’s fourth -quarter results and full -year performance for FY 2023 -24.
Certain forward -looking statements that we'll make today are based on management's good faith expectations and beliefs concerning future developments. As you know, actual results may differ materially from these expectations as a result of many factors .
ZF Commercial Vehicle Control Systems India Limited’s results for the quarter ending March 31, 2024, and the annual pe rformance for FY 2023 -24 were published on May 24, 2024. They are available on the website www.zf.com under the ZF CV India investor relations section. We hope that you have had an opportu nity to go through them .
A transcript & recorded audio of this call will also be made available on the website www.zf.com under the ZF CV India investor relations section .
I am happy to talk to you today as we give you an update about the business of the company.
First, I will start with industry and economic updates.
I would like to start by talking about a few key macroeconomic aspects relevant to our industry.
The Indian economy is growing at a robust pace with an average annual growth of 8 percent

during the last three years. India continues to be the fastest -growing major economy in the world, supported by an upturn in the investment cycle and a revival in manufacturing.
As per the second advance estimates (SAE), released by RBI, real gross domestic product (GDP) expanded at 7.6 percent in FY 2023 -24 and 8.4 percent in Q3 FY 2023 -24, with strong investment activity and a lower drag from net external demand .
Looking ahead, the monsoon is expected to be normal, which should support agricultur al activity. Manufacturing is expected to maintain its momentum on the back of sustained profitability. Services activity is likely to grow above the pre -pandemic trend .
Headwinds from geopolitical tensions, volatility in international financial markets, g eoeconomic fragmentation, rising Red Sea disruptions, and extreme weather events, however, pose risks to the outlook .
Taking all these factors into consideration, real GDP growth for 2024 -25 is projected at 7.0 percent and CPI inflation for 2024 -25 is pro jected at 4.5 percent. The growth prospects of the Indian economy in 2024 -25 looks bright .
Indian commercial vehicle industry : fuelled by government inve

stment in infrastructure, stable
fuel prices, and a strong industrial sector (IIP growth of 5.8%), CV vehicle production (>6T) experienced a growth of 6.5% in FY 23 -24. However, in Q4 FY 2023 -24, there was a degrowth since OEMs probably focused on inventory reduction measures .
Now I would like to share some insights on the specific initiatives undertaken by the company during FY 2023 - 24
OE Sales:
In Q4, the production of CVs (>6T) de -grew by 7.2% due to the inventory reduction measures by OEMs, and our company grew by 0.8%, outperforming the market by 8%. In FY 2023 -24, against 6.5% growth i n OE vehicle production (>6T)) the company recorded OE sales growth of 16% thus outperforming the market by 9.5%.
This was due to the following key growth drivers: -
• Launch of pneumatic and hydraulic Electronic Stability Control for buses complying with new regulations
• Increase in Tractor –trailer combination to 17% from 8% (the year before) and growing adoption of Lift axle control systems in the trailer segment.
• Increased adoption of High -force actuators in heavy -duty trucks and Advanced Air processing units in the bus segment .
In the next few years, electric bus production is expected to increase rapidly. The company is well prepared to meet these increasing demands with its portfolio of e -mobility technologies

including e -compressor (e -comp), Electronic Braking Systems (EBS), Electronic Stability Control (ESC), and Electronically Controlled Air Suspension (ECAS) among others .
The Government is expected to mandate the Advanced Driver Assistance Systems (ADAS) (Advanced Emergency Braking Syst em, Lane Departure Warning System) regulation in the next few years. The company is working with OEMs and co -creating advanced Safety and ADAS roadmaps to meet future customer and regulatory requirements .
Aftermarket :
Our aftermarket sales grew at 4.5% in Q4 and 11.5% in FY23 -24. The drop in Q4 is attributed to lower activity in mining and the slowdown in government -funded projects.
The growth in the Aftermarket segment is driven by:
• Launch of new products including Door Control Systems (11 variants)
• Improved penetration of digital solutions
• Increase in ~2500 connected vehicles in Q4 and 58,500 vehicles in FY 23 -
24 Total connected vehicles ~170,300
• Trailer Pulse for the trailer segment (650+ trailers of leading hazardous
cargo carrier fleets connected)
• Growing sales in the STU segment.
• Increase in the sale of Automatic Slack Adjusters and Clutch master cylinder
• Use of data analytics to identify and address the white spots of top 10 products.
Export of goods : The company had regi stered a degrowth in exports of Goods in FY 2023 -24 at 2.3% and a degrowth of 15.5% in Q4 of FY 23 -24. This degrowth is due to a sales drop in Q4 caused by inventory reductions and delays in sea shipments as lead time increased from 6 weeks to 8/9 weeks . However, the future looks positive due to increasing order books and the new projects in the pipeline. Mainly, clutch compressor assembly and actual assembly for new customers.
Export of services : Export of services grew at 14.1% in Q4 and 30.5% at full ye ar FY23 -24 due to increasing engineering activity from India to Global.

Footprint expansion : The company inaugurated its 6th manufacturing plant in India on February 14, 2024, at Oragadam near Chennai. The inauguration took place in the presence of distinguished guests including Dr. TRB. Rajaa, Honourable Minister for Industries, Government of Tamil Nadu and Professor Dr. Peter Laier , member of the Board of Management's setup group.

Spanning over 7,000 square meters, the plant will operate as a hub for manufacturing and assembling electric mobility and advanced mobility technologies for light, medium and heavy - duty commercial vehicles. This plant underscores our commitment to sustainabil

ity by operating
with 100% renewable energy from day one. The fa cility has a solar power plant capable of generating up to 450-kilowatt peak power supplemented by further solar and wind energy through long -term contracts. Additionally, the plant incorporates rainwater collection and reuse systems aiming to achieve wate r neutrality by 2025. The plant is operated by around 80% of women employees.
ZF C V Control Systems Manufacturing India Pvt. Ltd., a wholly -owned subsidiary of the company, commenced its commercial production in March 2023. The WoS recorded sales of 34.8 Crores and PAT of 1.7 crores. This entity is eligible for a lower tax rate of 15% and actions are being taken to ramp up production at this entity, at the new site.
CSR Outreach : The company's CSR efforts are guided by ZF Group's 'Acting Now' principles, focusing on four pillars: improving road safety, enhancing the quality of life in neighbouring communities, promoting environmental sustainability, and supporting skill upgradation .
During the year, the company took up the following CSR initiatives.
Road safety
• Provided braking system, overhauling and testing equipment at 20 Regional Workshops and Driver Training Institutes under the State Transport Undertaking (STU) in Chennai, Lucknow, and Jamshedpur.
• Worked with the local authorities and instal led/upgraded 9 solar -based traffic signals and 20 blinkers in the Avadi Traffic Zone
Skill Upgradation
• Set up a Skill lab (Mechanical) at Govt Polytechnic, Pantnagar.
• Set up computer lab, advanced fitter and welding lab, soldering labs at Govt Polyt echnic and Govt ITI in Barabanki, Lucknow.
Community Development
• Upgradation of primary health centres across multiple locations in proximity of our plants to support them with the necessary medical infrastructure and critical medical equipment.
• Installed 365 solar streetlights, in communities near Lucknow, Jamshedpur, and Chennai.
• Supported 5,000 cyclone -affected families in collaboration with local authorities during the Michuang Cyclone

Sustainability
• Restored a 650 square meter pond in Mappedu
• Replanted 5,400 trees with proper watering systems, post -cyclone
Awards and recognitions :
During the financial year, ZF Commercial Vehicle Control Systems India Limited won the following customer awards in FY 2023 -24
• "Sustainability Excellence Award" from TATA Motors
• Special award for "Partnership and collaboration" from VE Commercial Vehicles
• "Best Technology Partner Award" from Mahindra Truck and Bus
• "Green Channel Supplier" recognition from Ashok Leyland Ltd.
• "MyTVS Par tnership Excellence award" for Aftermarket support from Key Mobility
Ambattur plant won the Responsible Manufacturer Award Gold Category from Kaizen Institute in recognition of our ESG performance. The Ambattur plant was also awarded the Platinum Award for overall EHS , environment , health , safety practices at the CII National EHS Competition. The Mahindra World City plant was awarded the Going Global commendation from CII for its export performance.
Our employees continued to demonstrate high levels of engagement and participated in various external total employee involvement competitions, winning numerous awards acro ss several categories in the last fiscal year. I'm happy to share that in Q4 FY '23-'24, our teams won a total

of nine national awards in the various competitions organized by the CII, ACMA and QCFI , and many more awards at regional levels.
BRSR : The compan y will be publishing its first ever integrated annual report along with the 3rd BRSR report for the year. We are happy to state that in some key parameters like utilization of energy from renewable sources, wastewater generation, water consumption and wast e generation, the company showed significant year -on-year improvement.
Now moving on to our financial performance for the quarter.

For your ready reference, the
results were made public at 4.47 PM on 24th May 2024. I hope you have had a chance to go throu gh that.
As stated, commercial vehicle production (>6T) de -grew by 7.2% over the same quarter in the previous year. However, CV production registered a growth of 6.5% for the full year 2023 -24, over 2022 -23. I would like to state that the company outperfo rmed by 8% in this quarter and 9.5% in the full year 2023 -24.

Our sales thus to OEMs in this quarter is 474.3 crores which is 0.8% higher than the prior corresponding quarter. We also closed the year with sales to OEMs at INR 1853.8 crores, which is 16% hi gher than the previous year.
Our aftermarket sales were up 4.7% over the same quarter in the previous year amounting to 130 crores; and Year -on-year, our aftermarket grew by 11.5% to 478.5 crores.
Our engineering and other services continue to provide very strong value to our customers in the group. The growth in service income is very healthy at 14.1% in the corresponding quarter and 30.5% YoY.
Though the market is facing some headwinds in the near term, our fundamentals remain strong.
Overall, we have ach ieved a profit before tax of Rs.136.2 crores in this quarter and Rs.546.4 crores for the FY 2023 -24. Our FY 2023 -24 PBT is 16% of product sales. Our EBITDA for this quarter is 19.4% and for FY 2023 -24 is at 19.4%.
Thank you. We welcome your questions now.
Moderator: Thank you very much, sir. We will now begin the question -and-answer session. The first question is from the line of Annamalai Jayaraj from Batlivala & Karani Securities . Please go ahead.
Annamalai Jayaraj : Yes, I have a few questions. One is, now we have started supplying electronic stability control for buses. So, in that, will our import content be high because of low volumes or we have already localized to a greater extent?
P Kaniappan: Yes, Jayaraj, the cur rent situation is about 800 E SCs per month in the normal times is being consumed. This volume is actually quite low for localizing the full system. But what we have done is anticipating this evolution of regulation of ESC. We have already localized the ECU , Electronic Control Unit, with an Indian supply chain. The other products , we will localize progressively. So, we expect the regulation to cover more buses. Already, there has been an indication from September 2025, more buses will be covered for ESC. We also expect that subsequently the truck segment also will adopt ESC. So, we are calibrating our localization plan in line with the volume. But as such, even before the regulation came in, we are ready with the ECU which is from a local supply chain.
Annama lai Jayaraj: For trucks, the date is not yet announced?
P Kaniappan: The truck date is not announced. What we expect after the election, there may be some announcement related to new regulations in which we believe ESC and this autonomous emergency braking also may be covered . Because the CMER committee and others have actually reviewed all the readiness of those technologies. So, in our view, it should come soon. So that the industry is getting ready for this regulation to be introduced over a period of next few years.
Annamalai Jayaraj: Then on the export front, I think currently most of our export is to the WABCO . Any update on whether any export opportunities to the ZF group?

P Kaniappan: Actually, our export is in some about four important product lines. Of course, the main thing is the compressor. A compressor w e have originally started supplying it to one of the global OEMs, Volvo. Then we are extending it to new customers. This is going to increase to a level of INR 215 crores in 2023. We expect this to continuously increase almost double in the matter of 2025 because of new projects which will get implemented this year in the second half.
That is one. Same case, we are sup

plying actuat ors and SDA is an actuator and there is a brake
chamber. Again, here we expect steady growth. As you see in 2023, we did about INR 400 crores in this product line. We expect this to increase to about INT 450 this year and next year. In every area, we are w orking on many new projects to drive the growth.
Annamalai Jayaraj: Any update on our PLI scheme, sir?
P Kaniappan: Yes, PLI, the listed entity is an approved PLI site, a PLI business, a champion. We need to invest on certain commitments to secure that. In order to meet that commitment, we need to invest about another INR 120 crores before March 2025. We are working on many projects. We are trying to comply with that subject to customers giving nomination, etc., for some of the advanced technologies. We are working on that.
Right now, I am not in a position to commit whether we will be able to complete or not because the timeline is also quite critical. On a specific EV program, we are expecting certain nominations from customers as a commitment to start the investment. In the future calls, we will update.
Annamalai Jayaraj: On the domestic EV side, what is the outlook for the current year?
P Kaniappan: Current year, if you look at the calendar year, we expect our projection is a bout minus 3% versus last year a very good production. W e expect after the electi on because in the last 2 to 3 months the demand was subdued somewhat for various reasons. Of course, on e is related to the poll - related impact largely in the mining and certain projects which got dela yed because of the funding, etc t hat is what we understa nd.
As a result of that , parallelly the customers deci ded to do some cost correction . All tha t leads to a reduction in this quarter of about 1.2%. This quarter also we expected it to be quite weak because of the election, but surprisingly it is not as bad . We expect this quarter to be about minus 5%.
The full year we see about minus 3%, but if things improve in the second , it could be maybe flat from the vehicle production level, but our own plan is to outperform at least to a level of about 10%. So t hat is our outlook in the OE business. Exports it will be back. We do not see a negative in exports in this year. We expect growth roughly in the range of about 15% to 20%. We expect growth in exports. In the after market also we are expecting a low er doubl e-digit type of growth.
Annamalai Jayaraj: Okay. I will come back to the queue. Operator can announce it.
Moderator: Thank you.

Annamalai Jayaraj: I have one more question. So, what is our current content per vehicle for a commercial vehicle today and how much can go up for the next say 3 years or 5 years , broadly?
P Kaniappan: Yes, current content, Jaya raj is in the range of about INR 45,000 as a total combining all that including trailers and everything put together. The next 2 to 3 years , if you look in India the advanced technologies are yet to fully get adopted. ESC itself the bus segment we are talking about 5000 to 6000 numbers against the 40,000 buses being produced.
Again, this also relates to the EV adoption. As and when the more EVs are getting adopted , it comes with EBS, decompressor and electronic stability control as well. So, the adoption is still very early stage. We believe this electric bus production will slowly increase. T oday, it's in the range of 3,700 or 3,800 t hat's the type of number last year, but we also see there's a lot of focus from the government through the pm e -bus seva and other initiatives , to drive this growth.
Number two, ESC has to be adopted to the truck s. We believe t his will happen in the next 2 to 3 years. Also, the ADAS (Advanced Driver Assistance System), a part of that is called autonomous emergency braking and the lane departure warning type of regulation , we expect that to come in the next 2 years , 3 years. So, if all

these things happen the n we expect content
per vehicle to at least double.
Moderator: Thank you. The next question is from the line of Basudeb Banerjee from ICICI Securities. Please go ahead.
Basudeb Banerjee: Thanks. A couple of questions. One is, am I right that you said earlier in the call that you expect fiscal year 25 commercial vehicl e market to be flattish?
P Kaniappan: No I just talk about calendar year of 2024 I expect that to be flattish.
Basudeb Banerjee: So, basically just trying to understand on one side so much of optimism with respect to capex cycle, infrastructure creation, g overnment spending a nd on back of that already we are through a year of flat number and looking forward to another year of flattish outlook. So, on background of such macro -optimism, two flat years for commercial vehicle. So, a s an experienced company catering to this industry if you can highlight you r thoughts with that reports?
P Kaniappan: Can you say the last sentence I couldn’t hear?
Basudeb Banerjee: Just trying to understand from your experience where so much of macro -positivity capex cycle revival two consecutive years of EVs being fl at. So, your views on that sir?
P Kaniappan: So, actually, if you see last year, 2023, the industry grew. You take the current the FY. Financial year also, I said 6.5% last year we grew. This year, of course, my reference of flat is for the

calendar year. But even if you look at the financial year, FY ’24-FY’25, it could be, may be in the positive, but you also must be see ing some outlook from some of the OEMs or the SIAM president's national level.

He talks about single -digit growth, high single -digit growth for a financial year. So, we also have a similar view, because this year, January, February, March, whatever happene d, it's an aberration . We never faced a Q4 financial year. It was negative in the recent years. But that does lead to largely, maybe the election -related topic of some of the investments in the mining and construction area.

So, next year, after the electi on, we see the market to start, pumping up. So, FY ’24-FY’25 should be a positive zone, maybe in the single -digit level. So, also it's a cycle. In case this industry is cyclic, last few years, it has been growing continuously. So, it is 6.5 this year, next year, if it is around that, you can still feel that it's okay.

Vasudev Banerjee: Sure. And second thing that I just wanted to understand, like, what is the update on the exports - dedicated facility, how's the ramp -up pipeline, what's the advancement with regards to that, along with the ZF portfolio integration with the WABCO portfolio a s of now?

P Kaniappan: So, exports, today we do exports in broadly four areas. One area we have been quite, you know, building a strong position is in export of compressors from India. Compressors from India, we started with one global customer, then we ad ded the second customer around 2022. Now, we are adding third customer, all big five global commercial OEMs, so that third customer we are adding this year.

And, again, the portfolio of the products also becoming stronger and indicating that the high - value products we are producing, like such compressors in India. So, this, from a level of INR 250 crores last year, we expect this to go to INR 500 crores in a matter of next two to three years. We have a clear pipeline, these are all based on specific orders and with a clear execution plan.

The second product line we deliver is to various customers, basically the actuators and break chambers, which are essentially developed in India for global markets .

And thus we are gaining an increasing position. What we st arted with one assembly line, now we are almost having four lines, and in this quarter we are moving to the fifth line. So, this also, we see a growth in the volumes as we move forward. From about INR 400 crores here, we

expect

the volume to increase to INR 450 Crores next year. This is the second product line.

The third product line is for BMW, we supply, because car industry is supplying and air supply units. Again, from INR 250 crores, we expect that to grow to INR 300 crores. So, all areas we are only looking at growth. And the fourth, of course, is the valve s and other assemblies we do. So, that ’s not a very significant number, but then, again, we only see a growth there, because the way we drive our growth is largely because of our competitive positioning globally.

With this price point, we are expanding our market position in other parts of the world , capex is expanding . Further, we are now looking at a few products in our Oragadam site, maybe in a future meeting I will share. So, this is something that earlier we were buying from a supplier, now we are able to localize within the group at the Oragadam site.

Once we start , we’re reaching a certain level of maturity to the domestic customer, we will also look at that too, for example. Also our Mahindra City plant has a bottleneck in terms of space and other th ings. So, with the new site, we are also expanding further opportunities in this site. So, I'm sure that bottleneck also is removed. Overall, we are seeing it's only a positive story going forward. And again, what I believe the challenge that we had in thi s quarter is somewhat an aberration, driven by certain global events, like the Red Sea has increased. So, it is the integration of the web portal.

What we are currently doing is most of the ZF portfolio has been moved to ZF -CVCS entity. The advanced lever aging system is something that both WABCO and ZF are doing, but it's combined and it has been decided to be in the listed company part. That's what I said, if regulation comes fully in the next few years, there's a potential to double the value per week. Again, when it's fully matured. It will take a few years, but the direction is very clear and the technologies are already more or less proven for India and few customers are ready . One customer is already released, launched it for certain applications, bu t then it's putting a safety regulation product. It will be driven by regulation. So, we expect some announcement in the next at least month or so. Thank you.

Basudeb Banerjee: Sure, sir. And that's very informative. Thanks.

Moderator: The next question is from the line of Sabyasachi Mukherjee from Bajaj . Please go ahead.

Sabyasachi Mukherjee : Yes. Hi. So, firstly, one clarification. You said the total domestic OE sales for the quarter is INR 474.3 crores.
P Kaniappan: Yes.
Sabyasachi Mu kherjee : Am I right in this number?
P Kaniappan: You are right.
Sabyasachi Mukherjee : Can you just break it up with the ABS and non -ABS sales?
P Kaniappan: See, basically, we are supplying as a total system. If you see a value per weight of 45,000, whatever I said, you can take about one-fourth as the ABS part. The rest is non -ABS part .
Sabyasachi Mukherjee : One-fourth. Okay. Secondly, on exports, the number is INR 249.7 crores for this quarter, which is almost, I think, 15 % - 16% decline when I see Y-o-Y. But there is an improvement quarter - on-quarter from 3Q to 4Q. I believe there is an improvement of almost close to 20%. I missed your outlook on exports if you can just repeat the outlook for FY '25. How do you see it?
P Kaniappan: Yes, I see at lea st 15% growth based on the order inflow that is there with us. Ye s, it takes about 15% growth.

Sabyasachi Mukherjee : Okay. So, 15% growth on exports, you said low double -digit growth in aftermarket and in the domestic OE sales, outperformance of 10%. So, let us say if the industry remains flat, it will grow by 10%. That is the assumption ?
P Kaniappan: Yes, please.
Sabyasachi Mukherjee : And this will be entirely driven by the increase in conten

t per vehicle because the underlying volumes remains flat.
P Kaniappan: Yes. Actually, just to give you, so India is still in a very basic level of technology adoption in our space. Except ABS, nothing much has happened. But if you see, there are many more pipeline of technologies which has to come. One is t he EBS , EBS for the electric vehicles. But electronic stability control is a technology which today only in the bus segment, government has mandated, but even though about 40,000 buses are produced somehow the applicability as by different interpretation h as been reduced to only 5,000 or 6,000 numbers per year.
But this will change because this is an excellent technology which actually will significantly reduce the rollover accidents and it's a proven thing. Then you look at EBS Electronic Braking System. Okay, Electronic Stability Control also is required when the mandate comes for Autonomous Emergency Braking, which is essentially, again, many parts of the world it is already mandated.
We expect that to be also announced soon here, with probably 1 or 2 years' time frame for implementation. Again a big impact on the vehicle can happen when it comes. The third is the Electronic Braking System, which is essentially an efficiency, a better efficiency on the braking. It improves about 5%-8% improvement in the efficiency of the vehicle itself. So, all that has to be adopted. It's still in the, I would say, very basic level of adoption of technologies. We hope, in this direction things will move fast because the industry is more and more moving in the global lev el. If you see the increased axle load and all those things, calls for much more technology, much more technology -oriented approach to handle the road safety issue. So, I understand the industry is realizing it. It's a matter of time it will start coming t o India.
Sabyasachi Mukherjee : Sir, on the electronic stability control, I think two quarters back on quarter two earnings call, you mentioned that I think the adoption is somewhere around 40 %, 50% in the buses. What is it right now and when do you expect this number to go up and reach, let's say, 80 %, 90 percent?
P Kaniappan: Yes. So, what is really happening is slowly they're excluding, the OEMs are trying to exclude in certain applications. For example, if the buses are produced inside the company , then they implement. If the body building happens elsewhere, they try to avoid, etc. Okay. So, that is happening. Today, I would say about 8,800 buses per month are fitted with this against typically about 4,000, maybe around 3,500 or 4,000 buses being p roduced.

So, you can say about 20 %, 25%. It has come down. But next, from September onwards, there is another - September 25, t here is a mandate which insists adoption to more applications. Maybe if you want some detail, I can also share. What is happenin g is there are 4 types in the buses. Type 1 is buses for urban, semi -urban, city buses. So, here by design, by mandate, yes, it's not applicable because these buses are supposed to travel in the city at low speed . Then you have intercity buses. This is ca lled type 2. The type 3 is coach buses for long distance with passenger comfort.
So, type four is special purpose vehicles, school bus, sleeper coaches, tourists, double -decker, etcetera . So, initially, there were also - there was a, understanding that even school bus may not

have, but later this is included, that is still not fully adopted. So, there are adopted in multiple levels it is.
But then, we expect from September 25, all the buses, whether fully built or buses built - now bodybuilders are excluded because in the buses, the chassis goes out, neither the OEMs take accountability nor the bodybuilders. But from September 2025, it has been mandated that whether it is built in the OEM's position, a place or in the bod ybuilders, it has to, it has to ha

ve
that AESC, etcetera . So, we expect this progressively, this will increase. Maybe when that happens, maybe about 80% of the applicable models because excluding the city buses and others, the res t will more and more have that ESC.
Sabyasachi Mukherjee : And what would be, sir, the content value? Let us say these 800 buses per month are being fitted with the Electronic Stability Control. For you, what would be the content that is going into these buses?
P Kaniappan: The delt a content, you may take probably in the ran ge of INR 30,000.
Sabyasachi Mukherjee : That is the delta?
P Kaniappan: Yes.
Sabyasachi Mukherjee : And for the other drivers, like you mentioned, e -compressors to be one, then there is Electronic Braking System, then there is ADAS, collision mitigation. Can you just highlight what would be the approximate content for you, the delta content that would flow to you?
P Kaniappan: Yes. So, the electric compressor, if you look at it, it is maybe anywhere between, I would sa y, roughly around INR 85,000 -INR 100,000 . So, any electric bus that is fitted, that generally, mostly in India goes with our e -compressor .
Sabyasachi Mukherjee : Sorry, sir. I missed the last part. Can you just repeat, please?
P Kaniappan: See, normally in the buses, the re are two approaches. Electronic braking system with ESC is one. Largely, most of the electric buses are going with that platform, that program. It has an electronic braking system. In that, electronic stability control also, it is included together.

I said ESC itself is roughly in the ra nge of INR 30,000 approx . and EBS will al so in the same range . And there are cases, specifically, only ESC, EBS alone, if you want to do. Again, the content is close to INR 50,000. So, because there, when yo u combine, you are able to eliminate certain aspects of the electronic.
Sabyasachi Mukherjee : And whatever you are supply ing right now to the electric buses, is it only ESC or EBS with ESC?
P Kaniappan: Electric buses, see, there are two things. Electric buses, they are going for EBS electronic braking because it is very efficient braking. In electric buses, you need to dili gently use the power . So, efficiency is very critical. So, most of them are adop ting electronic braking system.
That is number one. I also said, today, the buses are mandated to have electronic stability control.
So, the, it is combined. So, most of the e lectric buses, I would say 90% of the electric buses now in India will have both EBS and ESC, electronic braking system and electronic stability control.
So, 10% of the buses, they do not use the electronic braking system.
They use the E BS-based braking system. They are, because they are concerned about the cost, so they have chosen to be like that. But otherwise, 90% of the electric buses in India are with EBS and ESC. \
P Kaniappan: Actually, last year, India produced only 3,700 electric buses. Then, it is 300 on average per month, because electric bus production will, in our view, pick up after the election, etc. There is a, when there is an increasing trend, still our numbers are very low. So, about 300 electric, electric buses are produced rou ghly on an average every month. Then, out of 800, out of the 500 is only electronic stability control alone. That is due to the mandate.
Sabyasachi Mukherjee : Got it. Okay, that's all from my side. Thank you for the explanation.
Moderator: Thank you. As there are no further questions from the participants, I would now like to hand the conference over to the management for closing remarks.
P Kaniappan: Thank you for joining the call and, of course, I'm sure it will help you to get the clarification that you wanted. Thank you very much. Thank you for joining.
Moderator: On behalf of Batlivala & Karani Securities , that concludes this conference. Thank you for joining us and you may now disconnect

your lines. Thank you.

Call: Jul 2024

•

ZF Group
ZF Commercial Vehicle Control Systems India Limited
(Formerly known as WABCO INDIA Limited)
Plot No.3 (SP), Third Main Road,
Registered Office: Plot No.3 (SP), Third Main Road, Ambattur Industrial Estate, Ambattur Industrial Estate, Chennai - 600058.
India Chennai - 600058. India
CIN: L34103TN2004PLC054667 Phone: +91 44 4224 2000
Phone: +91 44 42242000. Fax: +91 44 42242009 Fax: +91 44 4224 2009 www.zf.com www.zf.com
Commercial Vehicle Solutions
Department Finance
From Muthulakshmi M Phone +91 044-4224 2000
Email muthulakshmi.m@zf.com
Date July 31, 2024 ZF Group · ZF Commercial Vehicle Control Systems India Limited, Chennai 600058

The Manager Listing Department
BSE Limited, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001 Scrip code: 533023
Listing Department
National Stock Exchange of India Ltd Exchange Plaza, C-1, Block G
Bandra - Kurla Complex
Bandra (E), Mumbai 400 051
Trading Symbol: ZFCVINDIA

ISIN : INE342J01019

Dear Sir(s),

Sub: Transcript of the Investor C all for the quarter ended June 30, 2024

In continuation of our letters dated 16
th July 2024 and 24th July 2024 pursuant to intimation and
recording of investor’s call, we hereby inform that the transcr ipt of the call has been uploaded on
the website of the Company and the same can be accessed through the following link:

https://www.zf.com/mobile/en/company/investor_relations/zf_cv_i
ndia_investor_relations/zf_cv_india_ir.html#shareholderinvestor meeting_acc_656449_0

Request you to take the above information on record.
Thanking you,
Yours sincerely, ZF Group

Muthulakshmi M Company Secretary
ZF Commercial Vehicle Control Systems India Limited (Formerly known as W ABCO INDIA Limited)

“ZF Commercial Vehicle Control Systems India
Limited
Q1 FY’25 Earnings Conference Call ”
July 24, 202 4

MANAGEMENT : MR. P KANIAPPAN – MANAGING DIRECTOR
MS. SWETA AGARWAL – CHIEF FINANCIAL OFFICER
MS. M. MUTHULAKSHMI – COMPANY SECRETARY \

MODERATOR : MR. ANNAMALAI JAYARAJ -- BATLIVALA & KARANI SECURITIES

Moderator: Good day and welcome to ZF Commercial Vehicle Control System India Limited Q1 FY25 Post Results Earnings Conference Call hosted by Batlivala and Karani Securities India Pvt. Ltd. As a reminder, all participant lines will be in the listen -only mode and ther e will be an opportunity for you to ask questions after the presentation concludes. Should you need an assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note that thi s conference is being recorded.
I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala and Karani Securities India Pvt. Ltd. Thank you and over to you, sir.
Annamalai Jayaraj: Thanks, sir. Good afternoon. Thank you for joining us today and welcome to ZF Commercial Vehicle Control Systems India Limited's call to brief you on their Q uarterly Earnings . Today, the first quarter earnings for FY2024 -25 will be presented by the management team of ZF Commercial Vehicle Control Systems India Limited. Your hosts to day from ZF Commercial Vehicle Control Systems India Limited are Mr. P. Kani appan, Managing Director, Ms. Sweta Agarwal, Chief Financial Officer, and M. Muthulakshmi, Company Se cretary.
I will now hand over the call to Mr. P. Kaniappan , who will provide further insights into the results. Over to you, sir.
P Kaniappan: Thank you, Mr. Jeyaraj. Good afternoon to all of you! I warmly welcome you all to ZF Commercial Vehicle Control Systems India Limited’s first -quarter results for FY 2024 -25.
Certain forward -looking statements that we'll make today are based on management's good faith expectations and beliefs concerning future developments. As you know, actual results may differ mate rially from these expectations as a result of many factors.
ZF Commercial Vehicle Control Systems India Limited’s results for the quarter ending June 30, 2024, were published on July 22, 2024. They are available on the website www.zf.com under the ZF CV In dia investor relations section. We hope that you have had an opportunity to go through them.
A transcript and recorded audio of this call will also be made available on the website www.zf.com under the ZF CV India investor relations section.
I am happy to talk to you today, as we give you an update about the business of the company .
Economic Update : I would like to start with a quick update on our operating environment, which is influenced by economic factors and the development of the commercial vehicle industry. The high -frequency indicators of domestic activity are showing resilience in 2024 -25. The southwest monsoon is expected to be above normal, which augurs well for agriculture and rural demand. Coupled with sustained momentum in manufacturing and se rvices activity, this should enable a revival in private consumption. Investment activity is likely to remain on track,

with high -capacity utilisation, healthy balance sheets of banks and corporates, government’s continued thrust on infrastructure spending , and optimism in business sentiments.
Improving world trade prospects could support external demand. Headwinds from geopolitical tensions, volatility in international commodity prices, and geoeconomic fragmentation, however, pose risks to the outlook. Tak ing all these factors into consideration, real GDP growth for 2024 -25 is projected at 7.2 per cent with Q1 at 7.3 per cent; Q2 at 7.2 per cent; Q3 at 7.3 per cent; and Q4 at 7.2 per cent. The risks are evenly balanced. Source : RBI’s Monetary Policy Commit tee Report .
Indian Commercial Vehicle Industry : The commercial vehicle (CV) industry, specifically in the CV >6t segment, grew at 6.5% during FY 2023 -24. However, Q1 2024 -25 presented some challenges like election -related disruptions, rising vehicle costs , higher inventory levels at customers, and model mix considerations, which had a negative imp

act. Commercial vehicle
production (> 6 tons) in Q1 of FY 2024 -25 registered a degrowth of 3.5% at 98,007 units in the corresponding quarter of the previous FY. W hile EV bus sales were steadily rising in FY 2024, we observed a dip below Q1 2023 levels in Q1 FY 2024 - 25.
OE Sales : In Q1 FY 2024 -25, the commercial vehicle (CV) industry saw a significant shift in

mix towards Intermediate Commercial Vehicles (ICV) where our Value per vehicle is relatively lower, delays in infrastructure projects, cautious buying behaviour , and increased M&HCV inventory levels. As a result, our overall sales performance was impacted. During the quarter, the company recorded sales of INR 430 Crores, compared to INR 447 Crores in the corresponding quarter of the previous FY, resulting in a degrowth of 3.8%
However, we expect an improvement in sales in the upcoming quarters due to the following assumptions.
• Resumption of infrastructure projects and mining activities.
• Strategic focus on new products, such as the Lift Axle control system, positions us well for improved sales performance in the coming quarters.
• Increased penetration of EV aggregates such as e -compressor and EBS aligns with market trends and customer preferences.
• Anticipating potential government mandates related to Advanced Driver Assistance Systems (ADAS), including features like Advanced Emergency Braking and Lane Departure Warning, we are proactively collaborating with original equipment manufacturers (OEMs).
Aftermarket : Moving onto the aftermarket, the performance in Q1 FY' 24 –25, improved to INR 126 crores, a growth of 4.1% over the corresponding period in the previous Financial Year.
The key growth drivers include:

• Increased sale of Door Control Systems by engaging with ARAI -approved bus body builders.
• OE Spares (OES) segment growing at 46% due to increased consumption of BS VI and electric vehicle products, particularly e -compressor kits, and f ilters.
Future growth in next quarters, will be driven by:
• Increasing penetration of the Door Control Systems business.
• Providing Advanced Driver Assistance Systems (ADAS) & Driver Behaviour Monitoring System (DBMS) to a leading corporate customer for their employee transportation bus fleet.
• Supply of Trailer Pulse systems to a leading corporate fleet.
• The company has identified an opportunity for supplying compressors for harvest combined machines and also expects business growth in th e Industrial/off -highway segment.
• The company has identified opportunities for supplying Diesel Exhaust Fluid (DEF) in Bangalore, which will cater to the state's State Transport Unition (STU) annual requirements.
Export – Goods: The company registered e xport sales of Rs 277.7 crores in Q1 FY 2024 – 25, a drop of 2.1% over the same quarter in FY 2024. This degrowth is due to
• Delay in sea shipments as lead time increased from 6 weeks to 08-09 weeks.
• Slowdown of production at a major overseas customer
However, the future looks positive due to increasing order books due to growth in the Bus segment in Europe and electric trucks in US. Additionally, there are new projects in the pipeline such as clutch compressor assembly and actuator assembly for OE cus tomers.
Exports - Services : Export of services grew at 16% with service income of INR 107 crores in Q1 as against INR 93 crores in the same period of the previous FY due to increase in engineering & related support activities to global.
Digital Business : In Q1 FY 2024 -25, our digital business showed a remarkable growth of 31.9% compared to Q1 of the previous FY. Our growth was due to achieving 100% connected vehicles from a leading OE customer, supported by enhanced field support and increased customer awareness. Additionally, successful empanelment in additional states contributed to improved subscription revenue.
R&D / Engineering :The company inau

gurated an Electronics Testing lab and design office,
strategically aligning with our footprint planning in India. These new facilities will enhance our capabilities and accelerate product development, reinforcing our position as a leader in the industry.

MoU with IIT Madras :In May 2024, the company signed a Memorandum of Understanding (MoU) with the Indian Ins titute of Technology, Madras (IITM), to collaborate on the 'Mobility and Intelligent Transportation' (MInT) initiative. This initiative aims to develop the Bharat Multi -Modal Mobility Stack (BM3S), a revolutionary digital mobility infrastructure facilitati ng the creation of comprehensive system solutions for sustainable and intelligent transportation globally. This collaboration aims to co -create a digital platform aligned with the UN's Sustainable Development Goals (SDGs), focusing on sustainable transport , accident prevention, and energy efficiency.

Manufacturing : The company continued its focus on ramping up its new manufacturing plant at Oragadam. We achieved this by producing e -compressors, Hydraulic ESC, and ASP cartridge assemblies. Furthermore, we es tablished smart machining cells within the plant to facilitate component machining for the mentioned assemblies.

We set up assembly cells for Double Diaphragm Spring Brake Actuators (DDSBA) and Automatic Slack Adjusters (ASA) in the plant. These additions were aimed at supporting footprint rationalization for exports.

Key new products launched during Q1, including the e -compressor, Automated Manual Transmission (AMT), Air Processing Unit (APU), Electronically Controlled Air Suspension (ECAS) ECU for domesti c OEMs, and Actuator 4.0 for exports.

Our focus on productivity and quality continued, driven by smart automation, robotic technologies, testing automation, and leveraging digitalization in our assembly and machining cells.

IT and Digitalization : The company remains steadfast in its commitment to strategic growth and sustainability in the workplace and daily operations leveraging IT and digitalization as a key driver.

The company is rolling out a Digital Manufacturing Platform acr oss all production sites in India which will help the company improve the transparency of KPIs in the factory, allow standardization and real -time management of efficiencies. The roadmap is firmly in place, and we are pleased to share that implementation h as already commenced at our Ambattur plant and is soon to be extended to the Oragadam plant.

ESG :To enhance energy efficiency and reduce consumption, both our Ambattur and Mahindra World City plants collaborated with IIT Madras and came up with measures t o support energy savings of over 10% .

Additionally, we are committed to achieving 100% renewable energy by 2025. The company recently signed a group captive wind energy agreement for 1 crore units/annum, which contributes 40% of our renewable energy supply starting from June.

As part of the Zero waste for landfill/incineration policy, Mahindra World City plant signed a contract with a third party to reuse hazardous waste for cement co -processing supporting the policy.

Notably, our efforts have been recogniz ed, and Mahindra World City plant received the Best Kaizen Award in Sustainability at the CII National Kaizen Competition.

Awards and recognitions : In the first quarter of FY 2024 -25, ZF Commercial Vehicle Control Systems India Limited achieved significant recognition. The Industrial Engineering (IE) team won the CII National Platinum award for a Low -cost automation project & Product Engineering (PE) team won the Regional round of the ACMA Mastermind Quiz Competition.

Our employees actively participated in external Total Employee Involvement (TEI) and related competitions, winning 6 National awards, 4 Regional awards, and 3 State -level awards across various categories. These accolades were earned through our

commitment to excellence and

participation in competitions organized by Confederation of Indian Industry (CII), Automotive Component Manufacturers Association (ACMA), and Quality Circle Forum of India (QCFI) among others. We remain dedicated to our pursuit of excellence.

CSR : At ZF Grou p, our CSR efforts are guided by the “Acting Now” principles, focusing on four key pillars: improving road safety, enhancing the quality of life in neighbouring communities, promoting environmental sustainability, and supporting skill upgradation.

During Q 1 FY 2024 - 25, we actively pursued the following CSR initiatives:

o The company upgraded four Urban Primary Health Centers in Zone 7, Ambattur, by providing essential medical equipment and improving infrastructure.

o The company upgraded the Perambakkam P rimary Health Centre’s operation theatre with advanced equipment and improved infrastructure.

o The company extended support to Government Inter College in Barabanki, Uttar Pradesh, by providing 100 study tables and benches, contributing to a conducive lea rning environment.

o The company’s efforts led to the enhancement of water storage capacity at Vaipur Lake, Oragadam’s to 3000 m^3, thereby promoting sustainable water management.

Financial Updates : For your reference, the results were made public at 13:12 on July 22, 2024. I hope you have had a chance to go through them.

Our overall revenue in Q1 of this financial year was INR 832.7 crores as against INR 864.5 crores in Q1 FY 2023 -24, a degrowth of 3.7%. Though the market is facing headwinds in the near t erm, our fundamentals remain strong which is reflected in Profit before Tax of INR. 133.5 crores & Profit after Tax of INR 99.4 crores , in this quarter. Our PBT in Q1 FY 2024 -25 is 16%

of product sales as against 15.5% in Q1 2023 -24 and our EBITDA for this quarter is 19.7% as
against 18.8% in the same quarter of the previous financial year.
We continue to carefully review the environment and our performance to consider further
opportunities.
Thank you.
We now welcome your questions and feedback.
Moderator: Thank you very much. We will now begin the question -and-answer session. We have our first
question from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please
go ahead.
Mumuksh Mandlesha: Thank you so much sir, for the opportunity. Sir, firstly, can you update on the CV outlook for
Indian market? Earlier, you had mentioned about single -digit growth for FY'25. Is that outlook
maintained? And secondly, on export side, you had given the guidance of 15% to 20% growth
for this year. As Q 1 has seen a decline, do you maintain the guidance also?
P Kaniappan: As of now, we maintain the same guidance because in the OE market, if you look at the changes,
the marginal de-growth are actually factored in our forecast itself. In fact, we expect a m uch
steeper drop because of the election -related disturbance and also topics of some of the project
activities in the construction and mining area. But in reality, the growth is only to the tune,
slightly less, in the range of about 5%.
So now, of course, in our view that the Budget is presented, the government is into action, from
now onwards, we expect some improvement. Also, if you see last quarter, the projects that are
done using tender programs like electric bus production or bus production also, we h ad some
challenges. So all those things will start getting back on track .
On the export front, we are launching a new compressor project to one of the global customers,
also a break chamber to another customer. So these are supposed to offset some of the h eadwinds
that we face with another Customer . Our growth is largely driven by the project, so already two
compressor projects and one break chamber project coming from August onwards. We expect it
to come back to our earlier guidance.
Mumuksh Mandlesha: Got it si

r. So on the export front this freight cost has gone up and the delivery time has gone up
in recent times. So is that going to impact the growth of the margins in the upcoming quarter Q2
quarter sir?
P Kaniappan: No, now it has factored all these things in our plan. So this Red Sea impact had some challenges.
We've also realigned our logistic planning, certain items we're trying to pick up through air . So
we are back now in the sense that those things will not impact our top line for export.

Mumuksh Mandlesha: On the margin front , gross margin has seen an improvement both sequentially and Y -o-Y basis.
What is driving the improvement? Also on the employee front cost it has increased this quarter.
Is it mainly from increments and perform ance bonus?
Sweta Agarwal: I'll take your question in part. The improvement in margin is largely driven by our productivity,
price increases to customers and the fact that we are facing an RM stabilization in the RM cost
which is leading to our material pr oductivity being better. On the increase of the employee cost
that cost is largely attributed to our R&D business with a headcount increase of about 120 people.
However, that is the basis for which we earn our service income and hence that has been offset
by the increased service revenue that you can also see on our results.
Mumuksh Mandlesha: Got it. It's possible to quantify what kind of price hike was taken in this quarter?
Sweta Agarwal: An overall price rise of INR 7 crores is what we have seen in this quarter compared to the
previous year 's quarter .
Mumuksh Mandlesha: Got it, ma'am. Thank you so much for the opportunity.
Moderator: Thank you. We have our next question from the line of Mukesh Saraf from Avendus Spark.
Please go ahead.
Mukesh Saraf: Good afternoon and thank you for the opportunity. First question is on your C V output that you
mentioned that you're maintaining. Could you give some colour on how the mix also could move
especially the trailers , because obviously last year we saw the trailer mix go up significantly and
that obviously benefited us with the trailer ABS and some other products. So do you see any
kind of mix deteriorating back to the intermediate vehicles the way we saw it so far in the first
quarter?
P Kaniappan: Mr. Mukesh , our view is that we will be back. In the sense of the market , there's no reason why
the market should be different from what it was in 2023 in terms of the trailer production mix.
Particularly in this Q1 quarter there's a drop of about 13% with the overall mix of trailer
production 13% less than the previous number, but that is specifically because the industry was
affected because of all this election and the shortage of some of the other things. So it will be
back.

Mukesh Saraf: On the exports side would you be able to provide a broad breakup on the product lines you have compressor s, actuator, the brake chambers etc.
P Kaniappan: Actually, our main issue last quarter was one of our important customers BMW to whom we are supplying t he air supply unit. There is a demand reduction it is gone to the tune of about 12%, but then other areas in fact we have some back orders we are trying to offset this drop by increasing the supply of other products. Actuators particularly there's a huge b ack order. In fact we're trying to use Oragadam site to produce and we've set up another line there now. We have four lines now. We've got a sixth line in Oragadam to support this clearance of the back order. Also, we were supplying compressors from our M ahindra city plant to Volvo globally.

Then we started our business with another customer DAF and a DAF back -order group. We started with one version.
The second version we introduced this year. Now the third version which is a twin-cylinder cylinder high -end compressor we are launching from August that will add to our growth top l

ine.
Also in a matter of one or two months we'll be starting our compressor line project to another top Indian global customer Daimler Trucks also. So this will not only offset , we expect that to increase the growth to meet our overall guidelines.
Mukesh Saraf: Right and we maintain the 15% kind of growth this year in exports broadly?
P Kaniappan: Yes, that's our target plan.
Mukesh Saraf: And just one last clarification , when you manufacture from the new maybe subsidiary company for these orders, you'll still get the tax benefit, isn't it sir?
P Kaniappan: Yes, we will, but the location is different, but having these compressors and products are just same legal entity we are doing whereas as only a new and smart product like electric compressor we are going to subsidiary.
Mukesh Saraf: But just the plan that you are setting up that will be in the subsidiary or will be in the standalone?
P Kaniappan: Oragadam there are multiple legal entities. One is the subsidiary. The other one is also our main same current legal entity itself.
Mukesh Saraf: All right. Thank you so much. I will get back in the queue.
P Kaniappan: Thank you.
Moderator: Thank you, sir. We have our next question from the line of Neha from JM Financials. Please go ahead. Ms. Neha your line has been unmated please go ahead with your question. As t here is no response we'll move on to the next question. The next question is from the line of Kush from B&K Securities. Please go ahead.
Kush: Yes, thanks for the opportunity, sir. I just wanted to get more insights on what is the demand outlook for the do mestic EV buses for this year?
P Kaniappan: See domestic EV buses still are in a very low base. Last year we were in the range of 1,200 plus compressors. This year it is almost 53% drop in the first quarter. It's a similar timeframe, but we expect that to catch up because the drop is largely because again these are produced based on tender and government programs etc. So we already got signals that it will start picking up from this month itself. So the numbers that we are talking are Q1 of 2024. Actually Q 1 24-25 we were in the range of 1,250, this year the same time frame about 550 compressors, 550 buses are supplied through EV compressors.

Kush: Understood. Thanks for that. And sir just another question on the margin front we're around 15% levels right no w. So going forward what levels could we expect ZF to do and any strategies to achieve that?
Sweta Agarwal: Hi. I will take that question. We expect to keep on progressively improving our margins quarter by quarter. We have strong measures in place to be a ble to tackle both on the cost front as well as negotiations with our customers. So we expect the margins to continue growing even if we face market pressure.
Kush: Understood. And just one last question on the export side. Are we seeing any export opportu nities to the ZF Group the parent company.
P Kaniappan: Most of our sales is only to the ZF actually through the ZF Group locations in different regions. Because we don't directly go to the end customers, except in the case of BMW. In a way, it's the compa ny sales. They in turn deal with the end customers. So ours is more like a manufacturing location rather than taking the full responsibility and accountability for the field issue and other things which we left it to our parent to handle. So it's largely t he inter -company sales.
Moderator: Thank you. The next question is from the line of Mitesh from Aditya. Please go ahead.
Mitesh: Yes. Good evening, sir. I had a question for Mr. Kaniappan. Sir, if you don't mind, can you highlight the reason for taking up the directorship at Sundaram Clayton?
P Kaniappan: Actually, you'll be knowing in the public domain that I will be retiring by this year end. So

actually, my term ended by June itself. But then the ZF leadership wanted me to continue for more

six months to ensure that the transition is smooth.
But I had already committed to Sundaram Clayton Group that I would be available to take Board position. So the ZF has in my contract has permitted me to handle that role as well. So that's the reason. But in no way re duces my commitment to Sundaram.
Moderator: Thank you, sir. We have a follow -up question from the line of Mumuksh from Anand Rathi Individual Equities. Please go ahead.
Mumuksh: So I'm asking on the new regulation side, the government has been formed now, sir. Which regulation do you see first being implemented? There's the ESP for Trucks pending, EEBS is pending, ADAS, other systems are pending. So which one do you see the government taking the regulation first?
P Kaniappan: See, one aspect is on the bus segment, the application of Electronic Stability Control. It's already mandated. We have now, the new government, the new tender and we have got some indications that we have to get ready for a higher ESP supply.
That regulation is already in place. The next regulation is in the area of autonomous emergency braking and the lane departure one. We have been, earlier meetings also have said that regulation

is ready. It has been discussed with the committee and all those things. So the governmen t has to take a call.
Number three that will be the one that we can expect. Prior to that, ESP could be extended to the truck segment as well, because right now the ESP is applicable only for the bus segment. The normal trend is that after one or two years of bus; after experiencing the technology, it will be extended to the truck segment. We expect that to happen. Then we can expect the AEBS regulations.
Mumuksh: Okay. Sir, do you think that this AEBS and other systems, lane departure systems, would be implemented phase -wise, where the buses would be implemented initially and then taken to trucks, sir?
P Kaniappan: Actually, we don't know. Normally, the government takes a call based on the potential issues. I am not in a position to answer that. We have to see the move of the government.
Mumuksh: Got it, sir. And lastly, what will be the digital revenue in our business? What kind of revenues will be generated from the digital business?
P Kaniappan: Digital, we have two types of revenues. One is we sell the hardware systems at the time of fixing the system in the trucks and buses. Then we also have a subscription revenue in the market. So, all put together in the range of about INR 80 crores for a full year.
Mumuksh: Sorry, for what period, sir?
P Kaniappan: About INR 80 crores for a full year. So, the OE and the subscription revenue put together. Subscription, we actually include in our aftermarket sales. The hardware business comes from the OE.
Mumuksh: Okay. And how do you see the growth for this segment, sir?
P Kaniappan: On this segment, there are two or three. Obviously, the growth has been quite strong as of now. Going forward, we are going to focus more on the aftermarket. In the OE segment, one of the customers, we have been working from 2020 onwards . Customers in the OE front, they also try to develop their own solutions largely. We are in parallel working with the fleet in the aftermarket segment.
Also, we have some good solutions for the trailers already, which is already being launched in the afte rmarket route. We are also reaching out to the trailer customers in the OE, the trailer manufacturers also. And that combined with the trailer EBS, Electronic Braking System, is a high content type of product.
Because together, we are able to really take a lot of data about the trailer system. How we can improve the efficiency of the trailer transportation. Also, we can use a lot of the capability available in this digital system to monitor even if there is a reaper type of truck trailer.

Where you can real -time maintain and monitor the tem

perature. Because in those cases, that's
very critical, refrigerated transportation. Like that, there are so many possibilities. The product that we offer is a global product isn't quite accessible globally, so that's how we are looking at the domestic. In the OE front, we don't see a big growth.
We will grow with the customers. But then, these vehicles, when it goes to the market, it gets registered in our digital platform. So that we do an aftermarket service in those vehicles, for which we get a subscription.

But growth will be more going forward in the aftermarket fleet. Then we also, as I read out, there is a corporate company, a company for employee transportation. They would like to have the ADAS solution, wh ich also will come into the digital type of business. Where we have trailer behaviour monitoring and other systems. So that the vehicle transportation becomes much safer and efficient. So, there are multiple opportunities. Maybe in the future calls, I will be able to share some of the progress in this area.
Mumuksh: Lastly, what kind of market share we would have with the OEMs for the telematic solutions?
P Kaniappan: So, basically, we work with one customer. Largely, it's our customers so far. But going forward, I expect customers also to look at alternate solutions. But then, in this digital business, they go with one customer because it's more like a platform -based solution. But the big customers in India, they would like to have their own solutio n, their own hardware, their own internal development of software, etcetera. So, the opportunities are limited from a larger perspective, unless we have a differentiated offering.
The differentiation comes from our global support system as we move forward. Today, as such, what we are offering is the basic solution in which there could be competition. But as we move forward, we expect to strengthen our position further.
Mumuksh: Okay, sir. Thanks so much for this. Thank you.
Moderator: We have our next quest ion from the line of Vignesh Iyer from Sequent Investments. Please go ahead.
Vignesh Iyer: Hello, sir. Thank you for the opportunity. I want to melt down the guidance earlier. But can I understand what will be our growth this year in terms of exports and d omestic people? Just give me a number?
P Kaniappan: So, our larger guidance, we try to outperform the market. Market itself this year, we expect in the calendar year from January to December, we expect the market to degrow about 3% versus the previous year . So, market, if you take a financial year, this year, January, February, March was not a good quarter.
Next year, January, February, March, we expect it to be better. Overall, it could be zero, flat, or some marginal plus. That is how we look at the mark et. And the market, our forecast has not

changed much, even though there has been a marginal degrowth in this quarter. This is largely driven by the election -related disruptions. But anyway, we have factored in our plan.
We expect the market to recover go ing forward. But still, at the full -year level, we will be minus 3%, because the first half of the year, we are almost minus 7% this year. The recovery will not completely offset, but partially offset for the calendar year. Now, coming to our sales, we exp ect to outgrow the market at least about 10%. That has been our internal target. Last quarter, we could not do, because the mix also became unfavourable , because the number was very close to typically about 30,000 to 32,000 vehicles.
The mix was not favou rable , because it was more of buses, more of light, intermediate commercial vehicle type of segment, where the content is low. But we now believe the market will be back to this normal mix. Plus, we are also launching some new products.
Already, we have s tarted selling some lift -axle control systems, also electronic control for air suspension, some of the bus

es to one of the bus customers. These are all very high -content products. So, with all that, plus, already, I've been always highlighting some of the new products that we are launching, mostly in the electronic stability control, or EV electric compressor, or electronic braking system, such products.
With those things, we are planning to outperform the market by about 10%. Probably, this can be taken a s a guideline, and barring any unforeseen thing, which will have a negative impact on the mix, we should be delivering our numbers.
Vignesh Iyer: Right. So, if I get it right, your 10% internal target of outperformance will be majorly due to your increasin g content per vehicle, right?
P Kaniappan: Absolutely, yes.
Vignesh Iyer: Okay. I got it, Thank you so much.
P Kaniappan: Thank you.
Moderator: We have our next question from the line of Nirali Gopani from Unique PMS. Please go ahead.
Nirali Gopani: Yes, hi. Thank you for the opportunity. So, as you had mentioned that when we export it mainly to our parent and only BMW is an exception. So, are we talking to more such customers or anything on the passenger vehicle side that we are working on? Can we see grow th in the next 2-3 years on that side?
P Kaniappan: Yes. So, the supply to BMWs is largely for the fast car segment. Because we have a product, which is originally from the WABCO portfolio, which is electronic control for the air suspension. This is purely a passenger car business and that's a growing business from our export portfolio. Also, this product is also a very proven global product. And we have been continuously growing in the last 2 years and all that.

But temporarily, we are seeing some de -grow th to tune up about 12%. Also, partially because of stock correction and all those things happening on the customer side also. But otherwise, most of our products, it's a compressor, actuator type of product. The products are more or less the same, but the configuration and variations are different. But as such, a compressor is needed for all those customers who use air brakes. We use the basic system in any compressor, any commercial vehicle.
So, we started with one customer, then extended to another cust omer, now going to the third customer. So, because of the scale advantage, we are also able to make ourselves more competitive also. With that, we keep expanding our position and globally, we are gaining market share.
Of course, apparently gaining market share using the products that are produced in India. So, that's the way we work. So, Pas-car, one product line. This is roughly about 25% of our business from our export. Then 75% goes to commercial vehicle segment. All these products are very prove n global products required for most commercial vehicles.
Based on the India price, our product lines are apparent organization. We can secure new businesses with all customers. So, we become a manufacturing site for that. That's the way the business model is.
Nirali Gopani: Right. But, sir, can we see new customers on the passenger vehicle side also? Is there any clarity from our global parents?
P Kaniappan: No, the same. Anybody who has the BMW base, for example, VinFast. VinFast is also a large seller product. If the volume increases, we'll be able to supply. There are some Chinese customers who are actually using the BMW license or whatever. So, those custo mers are buying. But the majority of our sales go directly to BMW.
Nirali Gopani: Okay. Okay. Fair enough. And sir, just one more question. If I'm right, the global parents also have appointed some Directors whose focus is only on India. So, globally, do w e see any change in expectations from India? Whether India, any change in the growth numbers that we can, see? Anything that we can highlight on that side?
P Kaniappan: Can you say it again? I couldn't get the question finished.
Nirali Gopani: Our parents' co

mpany has recently appointed a director whose focus is only on India. So, is there any change in the expectations from India? Can we see further accelerated growth or maybe new products from the ZF? Anything on that side that we can highlight?
P Kaniapp an: Yes. one of the Board members is responsible for India. It was a new arrangement in the last two years. And of course, the purpose or the idea is to focus on India and grow the ZF business in India. Also if you see even the Board in India, there are CV CS Limited, you know, structure itself has made certain changes. The Chairmanship has been taken over, taken by the ZF nominee. The ZF executive. So, though it is a Non -Executive, Non -Independent Director.

But then the reason, one way we will be able to b enefit is the parent will know better the need to leverage the ZF company. And the footprint that we have created, et cetera. So, but then immediately, I'm not in a position to tell you, is it immediately adding to some new business or anything.
But direc tionally, we are moving in the direction to see how India can be leveraged. How the CVCS Limited footprint can be leveraged. Again, depends on what value we are able to add in terms of better cost. You know, those aspects. I expect that we should be able t o see some improvement in our sales. Even largely from an export perspective. But we have to wait and see.
Nirali Gopani: Great to know that sir. Thanks a lot for this opportunity.
P Kaniappan: Thank you.
Moderator: Thank you. As there are no further quest ions, I would now like to hand the conference over to the management for closing comments.
P Kaniappan: Yes, thank you. Thank you very much. Of course, it's always a pleasure for us to really take your questions and answer. Thank you. Thank you very much.
Moderator: Thank you. On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.
P Kaniappan: Thank you.

Call: Nov 2024

•

ZF Group
ZF Commercial Vehicle Control Systems India Limited
(Formerly known as WABCO I NDIA Limited)
Plot No.3 (SP), Third Main Road,
Registered Office: Plot No.3 (SP), Third Main Road, Ambattur Industrial Estate,
Ambattur Industrial Estate, Chennai - 600058. India Chennai - 600058. India
CIN: L34103TN2004PLC054667 Phone: +91 44 4224 2000
Phone: +91 44 42242000. Fax: +91 44 42242009 Fax: +91 44 4224 2009
www.zf.com www.zf.com
Commercial Vehicle Solutions
Department Finance
From Muthulakshmi M
Phone +91 044 -4224 2000
Email muthulakshmi.m @zf.com
Date November 1 9, 2024 ZF Group · ZF Commercial Vehicle Control Systems India Limited , Chennai 600058

The Manager
Listing Department
BSE Limited, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001

Scrip code: 533023

Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G
Bandra - Kurla Complex
Bandra (E), Mumbai 400 051

Trading Symbol : ZFCVINDIA

ISIN : INE342J01019

Dear Sir (s),

Sub: Transcript of the Investor Call for the quarter ended September 30, 2024

In continuation of our letter s dated 06th November 2024 and 12th November 2024 pursuant to intimation and recording of investor’s call , we hereby inform that the transcript of the call has been uploaded on the website of the Company and the same can be accessed through the following link:

ZF CV India Investor Relations - ZF

Request you to take the above information on record.

Thanking you,

Yours sincerely,
For ZF Commercial Vehicle Control Systems India Limited

Muthulakshmi M
Company Secretary

ZF Commercial Vehicle Control Systems India Limited
Q2 FY '25 Earnings Conference Call
November 12, 2024

MANAGEMENT : MR. P. KANIAPPAN – MANAGING DIRECTOR
MS. SWETA AGARWAL – CHIEF FINANCIAL OFFICER -
MS. MUTHULAKSHMI M – COMPANY SECRETARY

MODERATOR : MR. ANNAMALAI JAYARAJ – B&K SECURITIES INDIA
PVT. LTD.

Moderator: Ladies and gentlemen, good day and welcome to the ZF Commercial Vehicle Control Systems India Limited Q2 and H1 FY'25 Earnings Conference Call, hosted by B&K Securities India Private Limited.

As a reminder, all participants' lines will be in the listen -only mode. And there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing '*' then '0' on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from B&K Securities. Thank you, and over to you, sir.

Annamalai Jayaraj: Good afternoon. Thank you for joining us today and welcome to ZF Commercial Vehicle Control Systems India Limited's Call to brief you on the Quarterly Journey .

Today, the 2nd Quarter earnings for FY 2024 -2025 will be presented by the management team of ZF Commercial Vehicle Control Systems India Limited.

Your hosts today from ZF Commercial Vehicle Control Systems India Limited are Mr. P. Kaniappan – Managing Director; and Ms. Sweta Agarwal – CFO; and Ms. M. Muthulakshmi – Company Secretary.

I will now hand over the call to Mr. P. Kaniappan, who will provide further insights into the results. Over to you, sir.

P. Kaniappan: Thank you, Mr. Jayaraj. Good morning to all of you. I warmly welcome you all to ZF Commercial Vehicle Control Systems India Limited's 2nd Quarter Results for FY 2024 -2025.

Certain forward -looking statements that we'll make today are based on management's good faith expectations and beliefs concerning future developments. As you know, actual results may differ materially from these expectations as a result of many factors.

ZF Commercial Vehicle Control Systems India Limited's Results for the Quarter ending September 30th, 2024, were published on November 8th, 2024. They are available on the website www.zf.com, under the ZF CV India Investor Relations section. We hope that you have had an opportunity to go through them.

A transcript and the recorded audio of this call will also be made available on the website www.zf.com under the ZF CV India Investor Relations section.

I am happy to talk to you today as we give you an update about the business of the Company .

Economic Update:
I would like to start with a quick update on our operating environment, which is influenced by economic factors and the development of the commercial vehicle industry.
The global economy remained resilient and is expected to maintain stable momentum over the rest of the year, amidst downside risks from intensifying geopolitical conflicts. In India, real gross domestic product (GDP) registered a growth of 6.7 percent in Q 1 2024 -25, driven by private consumption and investment.
The Reserve Bank surveys indicate an improvement in consumer and business sentiments. Government expenditure has improved in Q2:2024 -25 and this trend is likely to continue during the rest of the year in line with the budget estimates. Private corporate in vestment is gaining steam with seasonally adjusted capacity utilization improving in Q1:2024 -25, and healthy balance sheets of banks and corporates.
The two major drivers of GDP are consumption and investment which is expected to sustain the momentum observed in Q1. Consequently, the real GDP is projected to grow at 7.2 percent in 2024 -25 with Q2 at 7.0 percent; Q3 at 7.4 percent; and Q4 at 7.4 percent .
Source : RBI’s MPC (October 7 -9, 2024)
Indian Commercial Vehicle Industry:
The commercial vehicle industry's shift towards Intermediate Commercial Vehicles (ICVs), continued into Q2 FY 24 -25. This trend, coupled with other factors including decreased Government capex on infrastructure projects, cautious buying behavior, muted de mand during the initial phase of the festive season, decline in the mining s

ector due to excess rainfall adverse
and increased Medium & Heavy Commercial Vehicle (M&HCV) inventory levels, led to lower sales thus impacting the overall performance. Consequen t to this, Commercial Vehicle Production (> 6 Ton) has seen a degrowth of 17.5% from 102,514 vehicles produced in Q2’24 vs 84,542 in Q2 25.
OE Sales :
The company’s OE sales were at INR 366.5 crores this quarter, compared to INR 449.4 crores in the same period last year, a decline of 18.5%. This decrease was mainly due to reduced vehicle production, and lower content per vehicle driven by a shift in the vehicle mix toward buses and ICVs. Due to these challenging conditions and our strategic exit from low -margin products, we initially anticipated a Value Per Vehicle (VpV) of INR 40,000. However, we raised our VpV to INR 43,000 through targeted product launches. These products include Electronically Controlled Air Suspension for coaches and electric buses, an increase in penetration of OptiDrive AMT by extending it to additional vehicle platforms, upgraded Air Processing systems for a leading OEM, and a new Pressure Control Valve for transmission systems.

An uptick in vehicle registrations in October 2024 signals a positive trend, and we are optimistic about sales growth in the coming quarters based on the following assumptions :
1. The anticipated resumption of infrastructure projects and favorable policy decisions, including the acceleration of EV bus tenders under the PM e -Drive scheme (successor to Faster Adoption and Manufacturing of Electric Vehicles - FAME -II)
2. Focus on new products like Lift Axle control system, Pressure Control Valve for manual transmission, and penetration increase of AMT OptiDrive kit position us well for stronger sales performance.
3. With increased demand for buses, we are focusing on bus -specific aggregates, such as door control systems, and increasing the penetration of Electronic Stability Control (ESC)
4. The company’s strategic decision to focus on supplying Trailer ABS kits to trailer manufacturers, enhancing trailer safety.
5. Expanding our footprint in EV aggregates, including e -compressors and EBS, aligning with evolving market trends and customer demand.
6. Proactive collaboration with original equipment manufacturers (OEMs) in anticipation of potential government mandates on Advanced Driver Assistance Systems (ADAS), including features like Advanced Emergency Braking and Lane Departure Warning.
Aftermarket :
Turning to the aftermarket segment, our performance in Q2 FY 2024 -25 shows a positive trend,

with aftermarket revenue reaching INR 122.6 crores, over 118 crores over the corresponding period in the previous FY, representing a 4% growth.
The slowdown in growth can be attributed to
• STU sales dropped by 10% in Q1 and 14% drop in Q2 due to financial constraints among some state transport undertakings.
• Export sales were down by 33%, impacted by supply chain disruptions arising from geopolitical situation in Bangladesh and Sri Lanka.
• In the western region, demand for general spares declined due to excessive rainfall
• Decline in the trailer segment affecting overall performance.
• Additionally, Diesel Exhaust Fluid (DEF) supplies were disrupted due to technical - grade urea price stabilization in Q1 and the implication of BIS certification requirements to be enforced in Q2.
However, we are taking proactive measures to achieve our growth objectives, and implementing several strategic actions:

• We are intensifying efforts to secure more orders for Door Control Systems, by working with ARAI -approved bus bodybuilders and targeting additional revenues to offset the decline in traditional products.
• Securing advanced schedules from export markets, to improve supply chain management and transition from a (-33%) decline to a positive growth rate.
• Working closely

with EV bus manufacturers to provide diagnostic software and brake components and we aim to grow our presence in this expanding sector.
• Additionally we are expanding our offerings for harvester combine machines, which will help increase the average value per vehicle.
Exports of goods :
In Q2 of FY 2024 -25, the company achieved export sales of INR 299.4 crores, a 3% decline compared to the same quarter last year. This decrease was primarily due to a drop in OE Exports, driven by decreased EV production in Europe.
Despite these challenges, Inter -Company sales grew by 9.3% year -on-year, supported by the start of production for heavy -duty clutch compressors and actuators for major global OEMs.
We anticipate growth in heavy -duty compressors and actuators in the coming months, which will contribute to modest overall export growth.
Export of services :
In Q2, the export of services grew by 25%, with a service income of INR 116 crores compared to the same period in the previous fiscal year. This growth was driven by an increase in engineering and related support activities provided to our global teams.
Digital business :
In Q2 FY 2024 -25, our digital business achieved a business income of INR 9.2 crores, a growth of 47% compared to the corresponding quarter in the previous FY. This performance was driven by additional business acquisitions in connected ADAS and Driver Moni toring Systems (DMS) from a major fleet operator, along with a steady increase in customer subscriptions for our existing connected services. Subscription revenue increased 53%, with active connections rising by 36% in H1 FY 2024 - 25. The growth was furt her supported by strengthened field support and targeted customer awareness initiatives.
R&D and Engineering:
ZF CVS India recently developed a state -of-the-art Electronic Stability Control (ESC) test track, with a steering pad, at our existing proving ground. This facility, certified by TUV Rheinland

and ARAI, positions ZF as a comprehensive, end -to-end systems solution provider for advanced braking and active safety systems. The new track is specifically designed to facilitate the end - to-end implementation of ESC solutions, accelerating their adoption in the commercial vehicle market. This addition complements our existing ABS test track and provides a controlled environment for testing the stability, agility, and handling performance of vehicles. Our facility will support testing across a wide spectru m of vehicle types, including two -wheelers, passenger cars, light commercial vehicles, heavy commercial vehicles, and tractor -trailers. This development aligns with ZF CVS India’s strategic objectives to enhance safety and sustainability in the long term.

As part of the global footprint expansion, our Ambattur facility has been designated as a Centre of Excellence (CoE) for ICE Compressor testing. This facility will serve as the global competency center for validating ICE compressors ranging from 160 CC to 704 CC. The expansion will enhance our ability to cater effectively to both domestic and international projects.

IT and Digitalization:

I'd also like to share that we are accelerating the transition to data -driven solutions through several projects leveraging data science, machine learning, and deep learning to address critical business challenges. Additionally, we're building a strong tea m of data scientists, platform engineers, and data engineers to advance our capabilities and ensure future readiness.

Light Commercial Vehicles:

I'm pleased to inform you that ZF CVS India will be entering the light commercial vehicle (LCV) segment, with our product portfolio and expertise from the heavy commercial vehicle sectors. Our offerings will include products such as Hydraulic AS, vacuum brake boosters, vacuum pumps, ADAS, and lightweight calipers. This move is anticipated to c ontribute around €90 million in an

nual revenue, with double -digit profit margins, over the long term.

ESG :

On the sustainability front, our facilities in Ambattur, Mahindra City, and Oragadam are now fully powered by 100% renewable energy. This significant achievement has been made possible through a combination of onsite rooftop solar installations and group c aptive power supply through renewable energy sources, underscoring our firm commitment to minimizing our environmental footprint.

Our new manufacturing plant in Oragadam has received LEED Gold certification for design and construction, making it the first ZF plant worldwide to receive this recognition.

Additionally, our Ambattur site has received the First Prize in the CII National Energy Efficiency Competition, which further reinforces our dedication to advancing sustainability and energy efficiency in our operations.

ZF CVCS India in IAA 2024 :

ZF CVS India successfully hosted the ZF India Day at the Jeversen Test track during IAA Transportation 2024. More than 30 customer representatives from OEMs, including CXOs and teams from engineering, purchasing, and marketing, participated in this event. During the day, customers could witness demonstrations and also experience ZF's latest products and advancements in e -mobility, advanced safety, and vehicle motion control technologies. The feedback from our customers was highly positive, and this event ha s significantly strengthened our ongoing technology discussions with them.

Additionally, ZF welcomed several Indian OEMs at our booth during IAA 2024. We presented a range of advanced technologies and facilitated over 15 one -on-one meetings between the senior management of OEMs and ZF CVS leadership. The feedback from these meet ings is very encouraging and will reflect strongly in our future discussions.

Awards and Recognition:

ZF CVS India has been honored with multiple prestigious customer awards this quarter, underscoring our leadership and commitment to innovation, safety, and customer excellence.

• The TATA Motors Technology and Innovation Award recognizes our pivotal role in developing advanced active safety technologies, including implementing India's first Advanced Driver Assistance Systems (ADAS) with Active Braking in commercial vehicles —a mil estone that sets new industry standards.

• Ashok Leyland presented us with the "Impactful Innovation – Gold Award" for our role as a Technology Partner in introducing Electronic Stability Control (ESC) for their bus range, which our team applicated and homologated in record time to meet regulatory deadlines.

• Additionally, VE Commercial Vehicles (VECV) honored us with the Outstanding Contribution in Field Support award, acknowledging our dedication to customer commitment, reliability, and service excellence.

• Olectra, a leader in e -mobility, recognized us with the Quick Development Partner and Strategic Supplier award, reflecting our partnership in providing advanced systems —including ESC, EBS, and ECAS —for their e -bus platforms

In the second quarter of FY 2024 -25, ZF CVS India received notable recognition in TEI engagements. The teams from our Ambattur facility won the Platinum Award in CII's Digitech Award under the categories of Productivity, Maintenance, and Energy Management .

Additionally, the Ambattur site earned a Platinum Award in the CII National Six Sigma

Competition. Our Pune plant also achieved distinction, by winning the Gold Award in the QCFI Case Study Competition.
Our employees actively participated in external Total Employee Involvement (TEI) and related competitions, winning 5 National awards, 4 Regional awards, and 8 State -level awards across various categories. These accolades were earned through our commitment to excellence and participation in competitions organized by Confederation of Indian Industry (CII), Automotive Component Manufacturers Association (ACMA)

, and Quality Circle Forum of India (QCFI)
among others. We remain dedicated to our pursuit of excell ence.
CSR, Corporate Social Responsibility :
In Q2 of FY 2024 -25, the Company continued to make a meaningful impact in surrounding communities through dedicated corporate social responsibility initiatives. We installed off -grid solar power systems at seven Primary Health Centers in Chengalpattu, ensuring reliable, uninterrupted power for essential healthcare serv ices. In Barabanki, Uttar Pradesh, we contributed to a more conducive learning environment by enhancing infrastructure at a Government Inter College. Additionally, we provided advanced servicing and testing equipment to two State Transport Undertaking work shops, supporting improved maintenance of braking systems and contributing to safer transportation.
Financial Updates:
For your reference, the results were made public at 15:30 hrs on November 8, 2024. I hope you have had a chance to go through them.
Our overall product sales in Q2 was INR 788.5 crores vs INR 890.9 crores in Q2 FY 2023 -24, a degrowth of 11.5%. Though the market is facing headwinds in the near term, our fundamentals remain strong which is reflected in Profit Before Tax of INR. 146.5 cr ores & Profit After Tax of INR 109.1 crores in this quarter with growth of 3.7% & 3.3% respectively. Our PBT in Q2 FY 2024 -25 is 18.6% of product sales & our EBITDA for this quarter is 22.7% which was 19.0% in the same quarter of the previous FY.
We continue to carefully review the environment and our performance to consider further opportunities. Thank you. We now welcome your questions and feedback.
Moderator: Thank you very much. We will now begin the question -and-answer session. The first question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead.
Mukesh Saraf: Sir, before the question, the export number that you mentioned just for clarity, is it Rs. 299 crore, sir?
P. Kaniappan: That's correct, Mr. Mukesh, Rs. 299.4 crores.

Mukesh Saraf: So, just coming back to the question, sir, I think in the previous quarters you have mentioned about certain new products in the export segment, especially the new compressor project, the new actuator, as well as I think, yes, so two new actuators. So, could you give some sense if we have started seeing revenue contribution from these new export orders that we had spoken about.
P. Kaniappan: Yes, please. So, in the case of compressor, as I have earlier said, originally, we started only with the Volvo, supplier compressors to Volvo globally for their heavy duty platforms. Then almost last one year now we have been steadily increasing our supply to the top group s, top compresses. Basically , we started with own version, 440 CC, now we have moved to 560 CC. We are expecting it to further raise to higher capacity compressors, maybe twin -cylinder with also clutch version of compressors. So, steadily raising our position in terms of the size of the compressors and also the volume is also increasing .
Most recently, about a month or two months ago we have started producing compressors for Daimler truck globally from our MWC site. This is also a very high-end compressor, it's a twin cylinder compressor with a clutch. In terms of value, it is much higher. So, this is actually in line with the evolution that we have been working, and actually sharing with you all.
In terms of actuators, again, the position is further strengthening, volumes are increasing. We have added one actuator line in our Oragadam site because the current MWC site is full and there's no space. So, now we are expanding. In my view , it will continue to expand, because few customers globally have decided to increase our market share, very close to 100%, at least one of them. So, these two are the growing segments.
One area we are degrowing is our air supply unit which used to supply to the NAS

CAR,
primarily BMW type of customers because of their global maybe volume reduction in the EV site. But we expect that to, in our view, require as we move forward. So, right now, despite a major drop in the BMW air supply unit business, the drop is almost about 50%. We are able to recover very close to our earlier numbers through the increase in the other areas, other product lines. Which we think, going forward, both BM W busin ess also will steadily recover, and compressor we see more volumes as we go forward.
Mukesh Saraf: So, if I understand, sir, excluding the BMW air supply unit decline, the compressor and the actuator business from here on should only ramp up further because of these new orders, is that correct?
P. Kaniappan: Yes, that's correct. Right now we are in the ramp -up phase in both areas, and we are also building our supply chain and addressing certain issues with supply chain to speed up the ramp -up.
Mukesh Saraf: And the second question on the domestic business, I think in the past you have mentioned that while ESC is mandatory in buses, still on the implementation side there is still a lot of gap in terms of the OEMs doing it or the bus body builders doing it, generally there has been some gap in the implementation. Is that now being fixed? Because you were working with the Ministry on trying to set things right there, so how is that situation now, sir?

P. Kaniappan: Actually we have some improvement, but formally government has taken a stand to cover more buses from September 2025. But till then this application is slightly increasing, but not to the full applicable volumes. We are in the range of currently selling about 1,000 ESC systems, but you know the applicab ility could be at least three, 4x of that.
Mukesh Saraf: Sir in continuation to this, any visibility on when the ESC regulations will be applicable for trucks as well? I mean, generally there is a gap of one to two years.
P. Kaniappan: Have not got any communication or message from the government on this. I am not in the position to give you any update on that spot. But on the bus side there is clarity that from September 2025 more buses also will get covered.
Moderator: Thank you. The next question is from the line of Lakshmi Narayan from T unga Investments. Please go ahead.
Lakshmi Narayan: Sir one question in general. Sir, we hear a lot about challenges in Europe with respect to some of the auto OEs as well as Tier-1 companies such as Bosch and ZF in terms of how things are going on. Now I also see that ZF is planning to split into two or three companies like ZF Lifetech or something. Now just want to understand what is the implication this has, not in particular to the ZF transaction, but in general what is your read for the Indian auto ancillary companies, particularly to G erman companies such as yours? Is it an opportunity or is it actually curtails their growth? And whether it actually helps them to improve export markets? Just your thoughts on how to think about this.
P. Kaniappan: Yes. So, the points what you said about the events globally, particularly in Europe, more so in German companies is correct. For us, my view, these are all maybe short term topics because it is driven by many geopolitical problems. Particularly for us it's more to do with the debt and servicing the debt at a higher interest rate etc., which I think our leadership is addressing it. But opportunity wise, though it is not specifically related to this short -term development, but otherwise the oppo rtunity is very much open in multiple ways. Because India, with its cost advantage and produce, and also meeting the global standards in terms of quality, there's an opportunity manufacturing side, in at least in many of the product lines where we have alr eady established here and some other area also we are looking like whether we can make India as a manufacturing hub not only fo

r India, for even global markets. So, that continues the direction.
And our success is largely driven by how we actually show tha t compelling value proposition to our parent. This is on the manufacturing side.
So, we see, for example, now we make electric compressor, e -compressor. So, in the truck segment we are launching a lighter version. So, we are trying to launch it as a global product. Some markets where it is applicable, we are seeing opportunity. Like that certain other products we are, as India also is now evolving. So, if you see in India also the vehicle configuration, the market, everything is moving towards global. And so in terms of engine power, torque, the transmissions and all those things, that scenario makes the ZF products very much relevant to the Indian market. Which was not the case earlier because the Indian commercial vehicles were

at a very much lower in terms of configuration, in terms of engine power, etc. Typically, recently now we have, of course in the transmission whatever happens is outside of the listed Company , but then it gives us an opportunity. We are now launching a product called transmission control valve. It's already launched to one of the customers. So, the transmission needs certain power assistance control, etc. So, it gives us an opportunity. Similarly, AMT, now the market is moving more and more towards 9 speed and in some cases 12 speed. So, this will seek support of products like AMT. So, this evolution will also help the listed part of the business.

The other area where we see an opportunity is in the engineering, as you see we keep on adding our resources in India to support the global parent, because India is the best cost location in terms of competency, also at a high level in many areas. So, it becomes easier for them to really set up, expand those things here. So, it will be an opportunity, but the opportunity is not only driven by the recent developments, recent developments in my view are short term, one or two years. But otherwise, from a longer-term perspective itself, we are looking at India as a center of excellence for engineering, manufacturing, etc. So, that will continue.

Lakshmi Narayan: Sir, I think from exports point of view, how India will become more relevant given this particular transition?

P. Kaniappan: Can you say it again, I couldn't get the full.

Lakshmi Narayan: My question is like how this actually helps exports from India, if there is a slowdown in the Europe, if you can talk about it that would be helpful.

P. Kaniappan: Yes. So, basically we are trying to capture the market globally in the area of compressor, let's say, two products, compressors and actuators. Actuators were developed in India, compressors of course a global product developed in India, compressor is a global produ ct but manufactured in India now. So, these areas, if we want to increase our market share globally, you need to supply those products at continuously improving and reducing cost structure. So, that is where we are becoming solutions to our parent organization to position like that. One example is compressor, what we started as one customer, now we have moved to three customers. And now that further gives us the opportunity, the scale gives us an opportunity to further improve pricing , etc. Because this cost structure, because on the quality, as long as we meet the quality standards of global OEMs and the cost is compelling, then you become an automatic manufacturing site. So, that will continue to drive the growth for us. And in few product lines that is already happening. We are looking at more areas because ZF has many more product lines than WABCO . So, more opportunities we are looking at.

Lakshmi Narayan: And also, earlier we were doing some DAF compressors also, now we also started doing compressor for BMW car application. Now, how this thing has actually expanded in the last t

wo

years? Have we succeeded in developing it? And what is the kind of volume we are expecting on a steady state basis?

P. Kaniappan: So, we started our compressor business with Volvo. It was about 180,000 compressors for per year to Volvo, heavy duty compresses. But then today it has come to almost 100,000 because the evolution, the vehicle configuration changes and induction of other suppl ies at a global level, etc. At the same time, we have started supplying it to DAF, DAF we are in the range of about 5,000 compressor, now we have come to about 100,000. Soon we expect it to be another 100,000 compressors. But this is higher configuration, twin cylinder. After some time we are going to go for a twin cylinder with a clutch. So, the size and the complexity of the product also keeps increasing. Now we are also, as I said, we are also in the last two months we have started producing compressors for Daimler Truck AG, DTAG.

Lakshmi Narayan: Sir, this Volvo you talked about is for cars or truck?

P. Kaniappan: Trucks only, all are trucks, heavy duty air brake compressor. And so now we are supplying it to Daimler truck, in a small way we have started about I think it's a 3,000 number per month type of volume we will be soon moving to, which will keep increasing, both customers will keep increasing. Though there is a reduction in the Volvo, but other customers, other businesses increasing as such overall is a growing segment.

On the BMW what we are supplying is, it's an air supply unit, it's a small compressor and electric motor. It's an air supply unit for, we call ECAS, electronic control for air suspension for such high end cars. There, because of the slowdown of EV vehicles globally, my assumption, but I am not having the direct understanding of exactly why there's a reduction, but there's a reduction in the BMW solution that we used to offer, which in my view will come back. Because this product is not so much only for EV, but it is for all the applications. But this is, again, I understand it will start recovering. So, some products it is continuously improving more, some products there is a reduction, but overall, we see a growth trend.

Lakshmi Narayan: Sir, on the ESC opportunity, I think around 60% of the buses are actually applicable to, and that is a mix of hydraulic and pneumatic, right?

P. Kaniappan: Yes.
Lakshmi Narayan: So, what has been the traction there in terms of the ESC?
P. Kaniappan: ESC, there are two parts for ESC, one is for the air brake -based ESC, pneumatic ESC we call it, then hydraulic ESC. Pneu matic ESC used to be in our portfolio from the beginning because all the air brakes are Wabco portfolio, and now it is ZF. The electronic control system for that is applicable for certain applications of the buses. The actual fitment, it also had a lot of challenges because they tried to exclude it for the city usage, school buses, etc., they were trying to avoid because of different interpretations. Also, body building was done inside or outside, so who's accountable, etc., such confusions were there. With all that today we are selling about 1,000 ESCs for the buses, roughly about 4,000 buses maybe produced, so we are in the range of about 1,000, so about 25% applicability is there now. This is on the on the pneumatic buses.

But then the government has understood this and then from September '25 they were also making more vehicles applicable, which will increase the penetration. I am not in the position to say exactly how much, but then directionally it is going to increase. This is on the pneumatic. On the hydraulic, it is applicable for the category of vehicles below 6 tonnes and maybe above 3 tonnes type of vehicles. So, we are now supplying it to a few customers like For ge Motor s. Again, the applicability is good in some c ustomers. And most recently, it has been released for Mahindra . So

, already we are supplying 400 per month, this will go to about 700 -800 per month.
So, all put together we are talking about 1,700 ESCs. It will only continue to increase because ESC as the technology will reduce significantly the rollover accidents. More and more the market will realize the value that the technology provides and adaptabilit y will keep increasing.
Moderator: Thank you so much. The next question is from the line of Nirali Gopani from Unique PMS. Please go ahead.
Nirali Gopani: So, if I look at our numbers, normally historically every quarter we outperform the OE sales. I know one quarter is nothing to indicate, but can you highlight like why couldn't we outperform the OE sales this quarter, and do you see this trend continuing?
P. Kaniappan: Yes. Thank you for the question. So, basically, not only the volume came down, normally when the volume comes down, two things happen. One is, the mix automatically comes down because the more of light duty vehicles are produced, that in our case as I've said we have that in the intermediate commercial vehicle. So, the medium and heavy comes down, you can see roughly from 62% it has come down to 54% during this period. So, mix is unfavorable to us. Similarly, the bus volume and the light duty volume increases because the content is much lower than the MHCV . This is point number one.
Point number two, the trailer production also comes down. Tractor trailer combination production also comes down. When the tractor trailer production comes down we miss the opportunity of the increased value because we add value to the trailer, we also add value to the tractor. You have a trailer ABS, you have got tractors ABS, plus you may have all the braking system for the trailer, you have the braking system for the tractor. So, the percentage of trailers came down about 15% versus last year.
The third dimension is the electric buses production stopped because the government, not in that quarter at least, they have not announced the policy on FAME and other things, the new government did not start the tender. So, the electric buses in which our content is quite high, also volume came down. As I said, the mine mining actively also stopped, again, through multiple things, one of that is flooding in certain parts of India. All that led to, while the numbers were there , but then mix was completely u nfavorable to us. Of course, some of these projects are ECAS and some customers moved from normal air processing to advanced air processing. So, those things supported us. So, we are in the range of in this quarter about Rs. 43,000 value per vehicle. So, that is the reason.

Plus, few commodity type products we are also exiting, because those things are bleeders in ours. So, we want to be, both customer profitability and product profitability we are now reviewing , and more and more we would like to move to technology, more technology products. Of course, wherever we are able to reduce the cost and still maintain the margin, we would like to supply even commodity products. But then where we are not able to do, and customers are not willing to compensate few products like air ta nk, hoses etc., which also we have decided to exit. So, all these things led to this change. But you see, our focus, as I said, was largely on the

margin. We would like to really grow the margin. We were I think the highest was about 17%, now we have gone to of course some ForEx supported us. Even without ForEx we were very close to 16.9% margin, probably one of the very highest in any quarter as a percentage level. Of course, ForEx was also favorable to us, almost 18.6% we delivered. So, the focus more and more we are shifting to margin and try to see how we will keep improving that part.
Nirali Gopani: Sir, when you say that the content per vehicle has come down to Rs. 43,000, so what could have that been say three quarters back? Like f

rom what number have we come down to Rs. 43,000?
P. Kaniappan: Typically if you see, we were in range of Rs. 45,000, and our plan is to outperform at least 10% year-on-year. So, we want to keep improving. Because in the last two or three quarters when the volume comes down, as I said, the volume, it's not number, the mix is also very much it becomes unfavorable in such times.
Nirali Gopani: And sir, in your experience, how does the next few quarters, when do we see the trends changing the favorable mix for us?
P. Kaniappan: It's also not very predictable, but actually we are seeing some signals already started improvement. If volume improves automatically it indicates that economic activity is more and the profitability, everything is improving, so people start buying. So, we see the few things we have already started seeing signals, one is electric bus tenders have started and one of the customers, at least for us, they started buying our products already this month. And we see that extending into other customer s soon.
In the trailer segment we are also initiating action to really increase the adoption of ABS, because ABS has to be mandated, all trailers should have a trailer ABS. But somehow the market was, because largely this is not so much of an organize d sector. People are not following it up following it. But when we had discussion with the trailer manufacturers, they were suggesting, because we are giving an alternate option of fitting without ABS, the end customers, they chose that path. But because i t's mandated one, and we as a Company have a commitment to drive safety in this country, we have decided to now supply only with the ABS largely. It will take some more time maybe in my view another few months it will take for us to increase the adoption from about 25% to progressively ideally we should be 100% because of the regulation. We are working on that. So, trailer side also we are trying to sell trailer ABS, which gives much more value. Today that adoption is only about 3% in the trailer, there there's no mandate but then customers themselves see a good value there.

Also, the trailer numbers are also increasing. Few signals. I am not saying that there's a big uptick in the market, etc., but these are all few signals. Our view is, it will only go up because last year it was down, the downward movement started in October and continued till August 2024. Whereas this year the improvement starts now, though it is a very small increase, but then last month the wagon sales number is also quite decent. It is at least 3,000, 4,000 better than the production numbers. We see the things to improve, because certain things are also, based on the government's decision to disburse fund for the construction and other projects . This is also starting, this has already started I think. So, all these things indicate that things are in the positive direction.
Nirali Gopani: And sir, just one last question, if I look at the service income that has grown very well over the last few years, so how do we see this trend going ahead?
P. Kaniappan: Yes, I would request our CFO to answer this, yes.
Sweta Agarwal: Hi, Nirali. See, the service income is a direct linkage to the number of people that we are employing in the IT, infrastructure we are using for R&D purposes. And ZF CVCS India has a location where the R&D services or the quality of R&D is quite competitive, equivalent to anything that they would get from a colleague anywhere in the world. And hence we see that growing steadily over the next quarters as well. We currently have abo ut 1,200 R&D colleagues on board in our Company and we expect t o see this increasing as more and more of the R&D services are rendered from India.
Moderator: Thank you. The next question is from the line of Rahil Shah from Crown Capital. Please go ahead.
Rahil Shah: Sir, based on the curre

nt environment, the situation where you say the market is kind of facing headwinds in certain business segments, but then you also just said that you see uptick and some positive indications. So, what are your growth expectations th en for the next second half? So, like for full year FY '25 what are your expectation for FY '24? And then you also mentioned you are focusing more on the margin, so what kind of margins do you think you can end the year with?

P. Kaniappan: Thank you. So, first question, we look at the calendar year for our number. So, next year Jan to December we are planning about 7% growth in vehicle production. And because our target is to outperform by about 10%, from a longer -term perspective, I won't be able to commit for a quarter or a year. So, these are the numbers we are planning. And in terms of margin, there are multiple areas we are working, but one is, of course, we are trying to see how much we can keep addressing some of our blee ders and part level, if you are not making money we are trying to see if we can reduce the cost of the supply chain or manufacturing and things like that. Also, there are challenges we talk with the customer and see if improvement. So, this process is one. And per say, we are a continuous improvement culture driven Company . We are a TQM Company and all that, we were the first in India to get the dimming price, etc. So, that

fundamentally puts the DNA in our system that we look for improvement in everything that we do. So, factory productivity is something that we continuously see how do we improve our efficiency in the system, supplies also the same. So, at the same time there is also pressure from the market, from the customers to pass on some reduction every year to them. With all that, at least what we are trying to do is, me and Sweta our CFO, if you see last few quarters we are in the range of 16%, ve ry close to 17%. At l east we will protect this level first level.
Rahil Shah: Yes. So, the first question which you answered, did I hear you correctly when you said you are trying to beat the vehicle production growth rate which you are expecting in the market which is 10%?
P. Kaniappan: Yes. So, what I said was, in our planning that next year vehicle numbers will be about 7% better than this year. So, this year if you look at, there's a steep drop versus what we originally planned around 17% drop in this quarter itself. It won't fully recover, but at least we believe next year as a full year there will be a growth of 7% in our planning that's what we have taken. But then our focus always is, because market growth is not in our control, we have many new technologies, many products which are in the very advanced stage of releasing by customers, example, advanced driver assistant systems by one of the top customers in India, JMT and so many products. We want to outperform. Our standard objecti ve is to continuously outperform the market by about 10% year -on-year. So, that is what I said. So, next year also we would like to outperform. If the market grows 7%, we outperform about 10%. That will drive our growth in the OE segment of India.
Rahil Shah: For this year, FY '25, you are not able to guide for a particular revenue growth?
P. Kaniappan: Yes, this year, as I told you, we are actually not even growing. We are growing with only market, in fact, about 1% less than the market growth is our number. That was because of some very significant drop in the mix, unfavorable mix. The actual mix is very u nfavorable, plus drop in the trailer production, drop in the electric vehicle production. So, many things has affected us. But in the second half definitely we are seeing some signals of improvement. I am not in a position to tell you whet her that we will be able to do 10%. Because the exact nature of the growth, everything we have to still watch for at least one or two months to come to a conc

lusion.
But our intent is to put all our advanced technologies and ensure that we grow 10% over th e market every quarter. Actually, last two, three quarters we could not achieve that because of the very unfavorable mix and other things, plus the new government and certain projects were not picking up, etc. Which in our view it's a very short -term type of issue, but then we will be back to our growth path as we move forward.
Rahil Shah: Okay. So, you will try to beat the market in any quarter, but it's not clear at the moment. But however, you will try to protect the margins at these levels?
P. Kaniappan: Yes, that's our intent.
Moderator: Thank you. The next question is from the line of Lakshmi Narayan from Tunga Investments.

Lakshmi Narayan: This ESC for trucks, right, when do you think it will become mandatory?
P. Kaniappan: For the which one?
Lakshmi Narayan: ESC.
P. Kaniappan: Yes, ESC is mandatory only for the bus. Trucks, we have not got any signal or any indication from the government, not in a position to really give any indication. But we are working with the government, but we have to wait and watch on this. First priority I think is buses, the next increase we expect by September 2025 where more buses are getting covered. Some of these where you have got some clarity was lacking, but I think that is being addressed from September

2025.
Lakshmi Narayan: So, for trucks which is the next regulation that is going to come, which would be beneficial to us in the next 12 months or so?
P. Kaniappan: Next 12 months we do not see any big regulation, but what we expect is next regulation is advanced driver assistance system, a part of that is AEBS, advanced emergency braking system, and the lane departure warning system. Which already the standards are actually finalized and ready with the government. In our view, this will come by 2026 -2027, again, just our own estimate. But then when AEBS has to come, the basic braking system should be further improved, which includes an ESC also. And ESC is, in other markets, it has been a prerequisite to put AEBS. So, but then no clear visibility or a commitment date has been announced yet. These are all we are ready, we are working with the moment in all these areas and the discussions are completed and the standards are rea dy.
Lakshmi Narayan: Sir, one last question, you mentioned that you are getting into LPV segment. Now this is the segment which we had global product portfolio or is something which we actually developed in India ground -up? And you mentioned that it's almost EUR90 million per year is the potential, when do you plan to achieve that?
P. Kaniappan: Yes. So, if you see, in Sundaram Clayton itself we had certain portfolio of product for that segment, and we were supplying vacuum boosters for Tata Sumo and Mahindra Bolero type of applications, both in the aftermarket and OE, and some of the customers like Swaraj, Mazda, Forge Motors, we were supplying it to them. And then those customers shifted to suppliers who can supply the full system, including the tandem master cylinders, hydraulic ABS, etc. In Wabco days we were not having those technologies with us, we were having onl y a vacuum booster. But now we have the full access to all the technologies from setup. Many things, only the vacuum booster and the tandem master cylinder, hydraulic ABS is one part. But then we have many other things, very advanced systems, integrated we c all it IBC, integrated braking control which incorporates all these things as a single solution. Like that many, many things.
So, the entire range, particularly on the braking side, entire range is available to the listed Company now because ZF has taken at the global level the decision to give this business to CVS

in India. Within CVS, we would like to do it from the listed Company . It's a new decision very recently an

d opportunity is huge because in this segment the vehicle number is almost same as the MHCV number . So, we have to see the applicability etc. But what we immediately we have, few areas have already started. One such thing is the hydraulic ESC which we are supplying it to now For ge Motors, extending it to Mahindra. I talked about which was not in the Wabco portfolio or CVCS portfolio, which was a pass -car business which we actually brought to India because there was a mandate and by the time we Brakes India exited from ZF, so our parent asked us to really take responsibility and then go and support the cus tomer. So, that product is being produced in Oragadam and now we are supplying it to For ge Motors, which is, as I said, extending it to Mahindra. That gives us an opportunity to take up more products. There are many other products available. So, all put together, we have already started there which can give us about EUR 90 million by 2030 with about at least double -digit margin, low end of double -digit. So, that's what we are seeing. So, it's a new area which is moving into the listed part.
Moderator: Thank you. Ladies and gentlemen, that was the last question for today's conference call. I now hand the conference over to the management for their closing comments.
P. Kaniappan: Yes, I would like to thank all of you for having come and participated in this very useful discussion. So, I am sure we are able to clarify many of your questions. Thank you. Thank you for your participation.
Moderator: On behalf of B&K Securities, that concludes this conference. Thank you for joining us. And you may now disconnect your lines.

Call: Feb 2025

•

ZF Group
ZF Commercial Vehicle Control Systems India Limited
(Formerly known as WABCO I NDIA Limited)
Plot No.3 (SP), Third Main Road,
Registered Office: Plot No.3 (SP), Third Main Road, Ambattur Industrial Estate,
Ambattur Industrial Estate, Chennai - 600058. India Chennai - 600058. India
CIN: L34103TN2004PLC054667 Phone: +91 44 4224 2000
Phone: +91 44 42242000. Fax: +91 44 42242009 Fax: +91 44 4224 2009
www.zf.com www.zf.com
Commercial Vehicle Solutions
Department Finance
From Muthulakshmi M
Phone +91 044 -4224 2000
Email muthulakshmi.m @zf.com
Date February 14, 2025 ZF Group · ZF Commercial Vehicle Control Systems India Limited , Chennai 600058

The Manager
Listing Department
BSE Limited, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001

Scrip code: 533023

Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G
Bandra - Kurla Complex
Bandra (E), Mumbai 400 051

Trading Symbol : ZFCVINDIA

ISIN : INE342J01019

Dear Sir (s),

Sub: Transcript of the Investor Call held for the quarter ended December 31, 2024

In continuation of our letter s dated 03rd February 2025 and 07th February 2025 pursuant to intimation and recording of investor’s call , we hereby inform that the transcript of the call has been uploaded on the website of the Company and the same can be accessed through the following link:

ZF CV India Investor Relations - ZF

Request you to take the above information on record.

Thanking you,

Yours sincerely,
For ZF Commercial Vehicle Control Systems India Limited

Muthulakshmi M
Company Secretary

"ZF Commercial Vehicle Control Systems India
Limited
Q3 FY '25 Earnings Conference Call "
February 07 , 202 5

MANAGEMENT : MR. P KANIAPPAN – MANAGING DIRECTOR – ZF
COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA
LIMITED
MS. SWETA AGARWAL – CHIEF FINANCIAL OFFICER –
ZF COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA
LIMITED
MS. M. MUTHULAKSHMI – COMPANY SECRETARY –
ZF COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA
LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ -- BATLIVALA & KARANI
SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to ZF Commercial Vehicle Control Systems India Limited Q3 FY '25 Earnings Conference Call hosted by Batlivala and Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen -only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need an assistance during the conference call, please signal an operator by pressing star then zero on your touch -tone phone. Please note tha t this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala and Karani Securities India Private Limited. Thank you, and over to you, sir.

Annamalai Jayaraj : Thank you . Good morning to all participants. Thank you for joining us today, and welcome to ZF Commercial Vehicle Control Systems India Limited call to brief you on the quarterly earnings. Today, the third quarter earnings for FY 2024 -25 will be presented by the management team of ZF Commercial Vehicle Control Systems India Limited.

Our host today from ZF Commercial Vehicle Control Systems India Limited are Mr. P Kaniappan, Managing Director; Ms. Sweta Agarwal, Chief Financial Officer; and Ms. M Muthulakshmi, Company Secretary. I'll now hand over the call to Mr. Kaniappan, who will provide further insights into the results. So over to you, sir.

P Kaniappan: Thank you, Mr. Jayaraj. Good morning to all of you. I warmly welcome you all to ZF Commercial Vehicle Control Systems India Limited third quarter results for FY 2024 -25.

Certain forward -looking statements that we will make today are based on management's good faith, expectations and beliefs concerning future developments. As you know, actual results may differ materially from these expectations as a result of many factor s.

ZF Commercial Vehicle Control Systems India Limited results for the quarter ending December 31, 2024, published on February 6 th, 2025. They are available on the website, www.zf.com, under the ZF CV India Investor Relations section. We hope that you have had an opportunity to go through them. A transcript and recorded audio of this call will also be made available on the website of www.zf.com under the ZF CV India Investor Relations section.

I'm happy to talk to you today as we give you an update about the business of the company.

First, economic update. I would like to start with a quick update on our operating environment, which is influenced by economic factors and the development of the co mmercial vehicle industry. The global economy remains stable with growth to holding up amidst winning inflation, albeit at a slow stage. Geopolitical risks and policy uncertainty, especially with respect

to trade policies have imp arted heightened volatility to global financial markets.
On the domestic front, real GDP registered a lower than expected growth of 5.4% in Q2 FY 2024 -25. As rebate consumption and investment decelerated given government spending recovered from a contraction to the previous quarter . On the supply side, the growth in gross value added during Q2 was aided by resilient services and improving agriculture sector, but weakness in industrial activity, that is manufacturing, electricity and mining, tempered overall growth.
Advent from geopolitical uncertainties, volatility in international commodity prices and geoeconomic segmentation continue to post this to the outlook. Taking all these factors into consideration, real GDP growth for FY 2024 -25 is projected at 6.6% with Q3 at 6.8% and Q4 at 7.2%. Real GDP for Q1 FY ' 2025 -26 is projected at 6.9% and Q2 at 7.3%. The risks are evenly balanced.
Going forward, economic activity is set to improve along with rising business and consumer sentiment as reflected in the Reserve Bank of India s urvey . (Source RBI's Monetary Poli

cy
Committee, December 4-6,2024)
Now about the industry, Indian commercial vehicle industry. The commercial vehicle industry demonstrated growth on a sequential basis compared to Q2 FY 2024 -25, fueled by the

resurgence of construction and mining activities, further supported by festive demand. However, on Q -o-Q basis, the industry experienced a 9.5% decline due to a broader economic slowdown and delayed Government's capex spend. Despite this, the shift towards the ICV segment continued in this quarter. The commercial vehicle production (CV>6T) decreased from 105,025 in Q3' FY 2023 -24 to 95,082 vehicles in Q3' FY2024 -25. Looking ahead, with the government's focus on infrastructure spending, anticipated improvements in rural demand, and growth in end - use segments, the CV industry is expected to grow.
OE Sales : The company's OE sales for the quarter stood at INR409 crores compared to INR483.1 crores in the corresponding period in FY 2023, '24, reflecting a decline of 15.3%. This was primarily driven by a reduction in vehicle production and a shift in the vehicle mix towards buses and ICV segments, resulting in lower content per vehicle. While we anticipated a lower value per vehicle due to these market dynamics and our strate gic exit from low -margin products, we partially offset this impact through targeted product launches.
• Electronic -- I would like to list 3 such a focus area. So one is electronically controlled AR suspension for coaches and electric buses,
• Expanded penetration of OptiDrive AMT, AMT automated manual transmission across additional value vehicle platforms,
• Strengthen the focus on safety solutions driving a 5% increase in trailer ABS adoption.
These initiatives underscore our commitment to innovation and value creation, positioning us well for future growth.
The recent budget aims to, that is the one that was launched on 1st of February 202 5 aims to boost the economic growth by focusing primarily on stimulating demand in both urban and rural areas. This will be achieved through increasing the income tax threshold and investing in agriculture with additional emphasis on infrastructure, innovat ion and technology.
Turning to the aftermarket, we are pleased to report a good performance in Q3 FY 2024, '25. The aftermarket revenue was at INR132.4 crores, making a 2.6% quarter -on-quarter growth compared to INR9.8 crores in the corresponding period in previous fiscal year.
Key highlights of the aftermarket business.
• Through the aftermarket, we facilitated the retrofitting of Hydraulic ABS on an LCV platform for a leading OEM exporting to the Sri Lankan market. This initiative presents a growing business opportunity

• Increased penetration of door control systems into northern and western regions. We are actively working towards, leveraging multiple growth opportunities.

• We are working closely with petroleum companies to introduce new safety specifications in upcoming tenders aimed at preventing rollover accidents. The initiative will begin with a pilot program in four states, where its effectiveness in reducing accidents will be assessed. Based on the results, we plan to expand the initiative to other states nationwide.

• We have launched a Go Green Project in partnership with major fleet operators. By offering retro kits with higher -capacity compressors, we aim to enhance fuel efficiency (Kmpl) and extend air brake life, contributing to sustainability and higher cost savin gs.

• However sales to State Transport Undertakings (STUs) remained stagnant due to the replacement of aging buses with new vehicles, slower -than-expected adoption of electric vehicles (EVs), and state government policies that have affected payment collections.
Export of goods . In Q3 of FY 2024 -25, the Company delivered export sales of INR 290.6 crores .

This robust performance was partly attributable to a favorable base effect following reduced

offtake in the same quarter of FY 2023 -24 due to higher inventory levels. More importantly, our growth was driven by strategic expansion into new business segments, particularly air compressors and actuators, with leading OEMs in Europe. Looking ahead, we anticipate continued growth in volumes for air compressors and actuators in the upcoming quarters. To support this demand, we are proactively investing in capacity expansion, ensuring we are well - positioned to capitalize on emerging oppo rtunities.
Expo rt of services. In Q3 FY 2024 -25, the export of services grew to INR 104.5 crores, an increase of 18.5% compared to the same period in the previous fiscal year. This growth was driven by an increase in engineering and related support activities provided to our global team.
Digital business. In Q3 FY 2024 -25, our digital business income was at INR9.5 crores, the subscription income quarter -on-quarter g rowth of 39 .8% compared to Q3 FY20 23-24.
This performance was driven by additional business acquisitions in connected advanced driver assistance systems, ADAS and driver monitoring system. F rom key fleet operators, along with a steady increase in customer subscriptions for our existing connected services. Subscription revenue grew by 17% on a quarter -on-quarter basis compared to FY2023 -24. The growth was further supported by strengthened the field support and targeted customer awareness initiatives.
R&D and engineering. The company provided pre -home allocation and development support for the implementation of advanced driver assistance systems, ADAS feature for a leading OEM in India. This collaboration enable d the OEM to secure central motor vehicle rules, CMV R certification for their truck range making a significant milestone in CV safety and innovation in India.
Manufact uring update. The company launched new twin -cylinder compressors from the Mahindra World City plant for European OEM customers, in September 2024. This marks a significant milestone demonstrating our capability to produce and export high end twin cylinder clutch compressors.

At our Oragadam facility, the company established new assembly lines for Dual Diaphragm Spring Brake Actuator (DDSBA) and Automatic Slack Adjuster (ASA), ramping up production to meet the full demand for our export customers.

As part of our strategic manufacturing footprint optimization, we transferred the production of actuators, brake chambers, and exhaust brake assemblies from Ambattur plant to our plants in Jamshedpur, Lucknow, and Pant Nagar. This move enhances our operati onal efficiency by bringing production closer to key customer locations, thereby improving delivery performance to customers.

Additionally, we made significant advancements in productivity and quality by integrating Smart Automation, Robotic Technologies, Testing Automation, and Digitalization within our manufacturing cells. These initiatives have strengthened our operational excellence and positioned us for sust ained growth.
ZF CVCS India at Bharat Mobility Global Expo 2025. ZF CVCS India, participated in the Components Show at Yashobhoomi from January 17 to 21, 2025 as part of ZF Group India. The event provided an excellent platform to showcase leading -edge technologies across all product lines, including OnGuard Max (Advan ced Drive Assistance Systems - ADAS), Reversing Camera, Short Range Radar, iAMT, ConAct, Electronic Stability Control (ESC), and Electronic Braking System (EBS), among others.

Additionally, we introduced new technologies including the e -comp AirLite, SCALAR (Fleet Orchestration Platform), and CeTrax2 Dual.

The ZF booth was formally inaugurated by Shri Piyush Goyal, Hon’ble Minister for Commerce and Industry, G

overnment of India. We engaged with CXOs of leading CV OEMs and key decision -makers from purchasing, R&D, and marketing teams. Our showcase received a positive

response, generating significant interest across all our technologies, which we aim to leverage for future business opportunities.
ZF CVCS India has been honored with the Best Supplier Award from JBM Group underscoring our leadership and commitment to innovation, safety, and customer excellence.

ZF CVCS India has been honored with the prestigious 'ZF DNA of Quality Excellence Award' for the second time in three years, a testament to our unwavering commitment to superior quality standards. This distinguished recognition is one of six key awards pre sented annually across the ZF Group and the only one dedicated to Quality Excellence.

This recognition highlights the company's quality transformation journey through successfully implementing the ZF DNA of Quality framework among our supplier partners. By fostering a zero-defect mindset and encouraging ownership of quality with the supplie r, the initiative has set new benchmarks for excellence within the supply chain. This accomplishment underscores ZF CVCS India's dedication to innovation and continuous improvement, paving the way for our future success.

In the third quarter of FY 2024 -25, the company's employees received notable recognition in Total Employee Involvement (TEI) engagements. The Product Engineering Team won the Platinum Award in NIQR's National Six Sigma Competition and the Ambattur site ea rned a Gold Award in the NIQR National Six Sigma Competition.

Our employees actively participated in external Total Employee Involvement (TEI) and related competitions, winning 2 National awards, 3 Regional awards, and 10 State -level awards across various categories. These accolades were earned through our commitment to excellence and participation in competitions organized by Confederation of Indian Industry (CII), the Automotive Component Manufacturers Association (ACMA), and the Quality C ircle Forum of India (QCFI), National Institute of Quality & Reliability (NIQR) among others. We remain dedicated to our pursuit of excellence.

CSR :- In Q3 FY 2024 '25, we continued to take significant strides and make a meaningful impact in our surrounding communities. At the Govt. Middle School, Uperbera, Jamshedpur, we constructed a kitchen facility for the mid -day meal program, installed a drinking water facility with an overhead tank and solar -operated motor, renovated the school playground, and undertook tree plantation around the location.

Strengthening our commitment to road safety, we contributed brake system working models for training drivers and technicians and sponsored workshop equipment to Metropolitan Transport Corporation (MTC), Andhra Pradesh State Road Transport Corporation (APS RTC), and Telangana State Road Transport Corporation (TSRTC).

As part of our community outreach efforts, we contributed laptops to underprivileged students through Govt of Tamil Nadu's "Namma School, Namma Ooru Palli" scheme, empowering young minds with digital access and enhancing learning opportunities.
Financial updates : For your reference, the results were made public at 18:16 hrs on February 6, 2025. I hope you have had a chance to go through them. The product sales in Q3 2024 -25 were INR 832 crores against INR 797 crores in Q3 FY 2023 -24. This is a growth of 4.4%, driven by an increase in aftermarket sales and exports. The company's EBITDA, operational profit, improved to 23.3% in this quarter compared to 20.5% in the same quarter in the previous year. The Profit Before Tax i ncreased by 2.3% to INR 161 crores and the Profit after Tax by 2.4% to INR 126 crores. This was a result of the management's continuous efforts in improving the business pro

fitability.
We will continue to carefully review the environment and our environment and our performance to consider further opportunities. Thank you. We now welcome your questions and feedback.

Moderator: Thank you. Ladies and gentlemen, we will now begin the question and answer session. First question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities. Please go ahead.

Mumuksh Mandlesha : Thank you for the opportunity and Sir, congratulations on the strong operational performance. Firstly, to Sweta ma'am, is there any in this quarter any one -offs in the margin side because you've seen a particular good improvement in the gross margin and the other expense also was lower sequentially. Can you help us understand what happened in this movement of both the items, sir?

Sweta Agarwal : There is a minor onetime impact from the quality cost, which is evaluated on an annual basis. We have talked about us winning the excellence award the DNA of quality awards and this has resulted in a reductio n of the claims and warranties and that's what's reflected in the books. But the onetime impact is not a major one. And in fact, it is a sustainable one which will be carried forward.

Mumuksh Mandlesha : Got it. So can you explain us just on the other expense the reduction which we saw despite higher revenues partly to this onetime saving, which we have from the reduction of the claims. And anything other than that also, anyt hing like freight reduction, et c which have reduced the cost?

P Kaniappan: Just to add to what Sweta said. So we keep certain provisions for the warranty. So normally, we are keeping it based on the earlier rejection warranty claim trend. And it's a 3 -year type of basket. So the actual trend has been steadily coming down, which i s the actual case in the last 2 -3 years . So the excess provision is released. So that was one time about INR6 crores. But then this is a sustainable thing because actually, it's based on a trend. Again, we have a practice of releasing it end of every year.

But it's also sustainable, meaning as you keep improving the quality of products, the field failure comes down, so you reduce your provision. So that is the topic. Other than that, there is no other one timer. In fact, we are affected by the forex that's a negative tailwind sorry, headwind.

Mumuksh Mandlesha : Got it. On the gross margin, the improvement would be sequentially improvement would be largely to the better aftermarket mix and the OEM mix?

P Kaniappan: Actually, there are a few things contributing to the gross margin. One is we continue to review the bleeder products in our portfolio. And in a few cases, of course, we try to improve our cost side in the supply ch ain side, also in the plant, etc , but there are a few products in which it's more like a commodity today. So we buy the products and sell to the cus tomers like air compressor type of products, where we are such a bleeder.

So we have to exit that those area. So this is one thing. One is you improve your overall margin by doing a bleeder management. S o in some cases, we go to the customers and seek revision where we believe we have actuall y achieved the best cost level. Still if you're bleeding, we g o to the customer and seek revision .

So this is one thing that we continuously do in the last 2 -3 years. Now we will continue that. We have certain targets to achieve in terms of customer profitability, product profitability. That's one aspect. The second aspect is in the supply chain, the purchasing team constantly look at opportunities to really reduce the cost. That again is through value engineering and value analysis initiatives.

Again, it's an o ngoing more like a 3 -year type of pipeline they keep working. And that reduces the purchasing price. We call it purchasing pri

ce variance. So purchas e price of supplier parts.

Then also, there's a negotiation process where based on the volume, we also get certain contrib ution from the suppliers through the negotiation. These approaches are more or less getting stabilized.

So this is on the supply chain. Of course, the factories again we work on we call it controllable factory cost (CoFaCo) this again, see what improvement we can do in the cost of – essentially addressing the productivity, improving the productivity of the plants continuously. So this is also a lever that continuously , it works . I've been always sa ying that we have come from a TQ M type of background in which the continuous improvement is the core of our DNA.

So we look at the improvement in all aspects of our factory costs as well. So that is also contributed. So these things have helped us to improve gross margins.

Mumuksh Mandlesha : Got it, sir. Sir, coming to the exports outlook. I think the Daimler order is seeing a good ramp up. Can you just indica te how large this order can be a nd how -- and for next CY '25 if you can share any outlook how to see the exports growth? And secondly, on the BMW EV order, are you seeing any pickup there?

And thirdly, just on the exports how is the different value for twin cylinder compressor versus norma lly a regular compressor? How different is the content per vehicle for this product?

P Kaniappan: Yes. I will give a broad aspects and not in a position to give exact number, but what I can tell you our growth in export is largely driven by the new product launches. One is, of course, the

global markets are not that much growing, particularly both Europe and the US, but we expe ct improvements maybe up after two quarters.
But current, our focus is to really grow through new products. So the last year we have launched three new products. One is we are already supplying to one of the global players. DAF we are expanding the volume again . W.r.t compressor s, high-end compress earlier we used to supply compresses at 318 C C and of course 6 36 CC to that type of compressors to one of the global OEMs. Then , based on the success of DAF , we extended to other OEM's
DAF started with 440 compressors now they are steadily increasing. And now, we are supplying the high -end twin cylinder clutch compress or. This probably is the highest in terms of value content that is in the compressor segmen t. Again, based on the success and, of course, we have also launched Daimler Global , same product, that's, again a similar high -end compressor . That v olumes are slowly picking up . typically the content is of the order of about EUR200 that's per compressor. So compressor it's not only a good thing, but we also expect volume also to pick up. This is on the compressor side.
For DAF , we are a global center of excellence for compressor manufacturing in this space. So it's a question of how we continue to strengthen our position there in terms of future which I think we have all ingredients to really strengthen our position there. The second area is you asked a question about BMW. We are not seeing any big immediate recovery in the product that is selling.
In fact, in th is quarter, about INR12crores is reduced comparing to the previous year, but we are again this is a global topic. So we are riveting the evolution in this space. But one another area where we are growing is in the actuators and brake chamber . So we have launched new brake chamber to one of our important customer Volvo. So in the actuators and brake chamber we see more op portunities as we are securing stronger position with some of the global OEMs in terms of share of market, et c.
Yes. It's -- we see growth, b ut one challenge is when we go through the new products, the demand of some of the existing is moderating because of the glob

al situation -- economic
situation. So that's why we are still in the range of 100 crores per month type of range. But I expect at least going forward, things should slowly improve.
Mumuksh Mandlesha : Got it. So just on the Daimler side, anything there how that is improving?

P Kaniappan: That's right. That is recently when we launched. Now maybe during September or October time frame, they launched the product. It's taking up well, customers seems to be quite happy, volumes are increasing more than what they've indicated. We see a growth in that space. So that and other customers Volvo, DAF and Daimler . So these are three customers. Now we see an improvement in the situation as we move forward. We are also trying to build additional capacity, expandin g, putting some investments, et c, so that work is going on.
Mumuksh Mandlesha : Just lastly recently there was a tran sport committee meeting and Nitin Gadkari had talked about the upcoming reg ulation on the ESC and ADAS, et c. I just want to feedback, how do you see that announcement, I mean, that I mentioned about the regulations?
P Kaniappan: Yes. So in terms of our readiness to support the industry, we are already ready. In the case of ESC, we have applicated most of the truck platforms. You might know that in the bus platform, the E SC adoption has been adapted , but to I would say about 40% of the overall size of the industry because of certain loopholes or whatever in the regulations , but then September 2025, the government actually really bringing some more key points in the regulation that will allow the ESC to be fit that requires the ESC to be fitted in maybe 60%, 70% of the overall bus production.
So that will increase. Now the E SC is a technology tha t is more needed for the double -decker buses which are going heavy in the coaches. So whenever they turn -- they take a turn there could be a rollover possibility. So E SC helps to prevent that rollover. That is the technology. So this is much more relevant in India and the truck segment because people overload and that's vehicle became unstable . By Physics it becomes very unstable because the center of gravity is moving up.
So you need to have – technology you have to solve this through technologies. Very recently, we see there are some few places in Ind ia, there's a tanker accident which were carrying hazardous goods that led to some collateral damage to people around many, some people died, etc. So this is an urgent requirement for the market. Because when you deal with liquid transported through a tanker.
The vehicle per se becomes unstable. By Physics the driver cannot control because -- so this is the excellent technology to stop this. So what we have done is we have bee n working with most of the Indian OEMs and many of their platforms are already home allocated with the E SC

technology.
Recently, we also came out public that we have invested on an ESC test truck in our test track located in Chennai. Now two things will happen the market itself we are seeing some pull from the market even without the regulation for these technolog ies for the trailer, trailer EBS which has got a rollover elimination possibility. So in the truck, mostly it will come through a regulatory route. So government, we are very much ready to support the government with all our capabilities, already we are partnering. Exactly when this will come, we are not sure because it's not a notification is not yet come, but it will soon -- it is expected to come.
Also, the ADAS, Advanced Driver Assistance Systems is the next technology that government will bring in regulation, a lot of talk about it. So generally, the ADAS needs the ESC also -- to effectively apply the safety in the vehicle. So you need to have ESC also before the ADAS. So these things are the ver y immedia

te in the near -term expectation in the market. So ADAS also are quite ready.
In fact, one of the big OEMs, they even presented in the Bharat mobility that they are ready with Level 2 automation which is -- essentially, we are working with our technology. So Advanced Driver Assistance Systems , there are multiple features are there. But then the government will expect -- wilsl bring notification for some basic minimum that is required to ensure that vehicles are safe because that particular one, that is called advanced emergency braking system, which is a part of the ADAS.

There essentially, the vehicle will have an ability to see, think and act. In the sense it will see what is in front through radar and cameras. It will have a software, which will actually be able to process the data and think and then it apply brakes or o therwise. So that is the way the technology works. And in our view, these are the next 2, 3 years' time line, most of this will come to the market.
Mumuksh Mandlesha : Understood, sir. Very helpful. I will come back in the queue.
Moderator: Thank you. Next question is from the line of Himanshu Singh from Baroda BNP Paribas Mutual Fund. Please go ahead.
Himanshu Singh: Just on the impact on forex. You mentioned that there is a negative impact of forex. Is it accounted in other expenses or other line items?
P Kaniappan: Yes. I will request our CFO to answer that.
Sweta Agarwal: Himanshu, this is accounted in other expenses.
Himanshu Singh: And would you be able to give the quantum this quarter, previous quarter and last year?
Sweta Agarwal: So last year, same quarter, we had a INR15 crores positive impact. And last quarter was INR9.3 crores of FX loss . You want me to repeat?
Himanshu Singh: No, no. That's fine. And coming to the margins. So like we have seen a substantial increase in margins this quarter from, let's say, 14.9% last year to -- like even if we account for the one -off of INR60 million, that comes to around 17.9% to 18.4% this qu arter. So do you think this is sustainable and we should see a substantial increase in margins Y -o-Y going ahead as well?
P Kaniappan: See the mix is one aspect that has been playing -- has played well for us in the last quarter. You see the aftermarket, we have grown at 20%, while the OE business have degrown. Export we have done well. So mix can play a certain impact. Otherwise, they're all same. – But aftermarket, we are seeing the current situation even in the last 1 month or so also we are seeing a good improvement. We have to see how it will evolve. But for the mix, everything else is sustainable, mix if it is displaying some challenges, it can have an impact.
But at least in the near term, we see most areas to grow both aftermarket OE export, we believe, we will grow because we're seeing some signal that OE demand is also increasing now. Aftermarket is also increasing and export, we have some positive orders in the pipeline. So things are looking up.
Himanshu Singh: Okay. And sir, like what is the current mix -- and how do you see it going ahead, let's say, in the next 2 years? Do you see the aftermarket increasing in the overall scheme of things substantially. What is your assessment on that?
P Kaniappan: Okay. Typically, if you see our OE business is up of about 50%. Typically, right now. But then you can always apply your math. Aftermarket is up about 16%. This is in the last quarter. That is the quarter -on-quarter which we are discussing. And exports is about 35%. So 50% OE, 15% aftermarket and exports about 35%. So in terms of profitability, aftermarket is very profitable.
And any big change in the -- for export, if you say currently, we are in the range of 1/3 of our production overall sales we do export. I don't see a very big change in that. Unless otherwise, we have some serious issu

e on the top line -- on the OE. But now that if the market recovers,
you can always expect this is the type of mix that can be.
So the aftermarket is 16%. Export is 35% and OE is at 49%. That's the actual percentage in that quarter. And with that, you see some improvement in the bottom line because if that's a change. If there's a change – suppose the OE is increasing, and the afte rmarket, it is coming down, the impact would be -- will be there, unfavorable situation in terms of margin, but not too much, but still you can -- for your calculation, you can use that is.

Himanshu Singh: Okay. Okay, sure. And sir, just on the revenue side. So we are in the range, as you also mentioned in the INR90 0 crores to INR100 crore s range from like last 8 quarters -- so when do you think you would be able to like sustainably go above that INR100 0 crores range ?
P Kaniappan: No. you're talking about export -- Overall, I'm saying the growth starts now probably all areas, at least we see an improvement this quarter. But April, May, we have to see, however, because we now , if you say the government statement or RBI statement indicates that the growth is expected to be in the range of 6.5% to 7.3% going forward next few quarters.
And now because the government has started investing and a lot of tender programs for the buses, particularly EV buses is already happening and many customers have started producing the electric buses. We are seeing a positive momentum to start now. We will have to see because all of us have to really see how it is evolving. But we are preparing to seize this opportunity . So INR1,000 crores, in my view is not too far, per quarter.
Himanshu Singh: Sure sir. Thank you so much. I'll get back in the queue.
Moderator: Thank you. Next question is from the line of Rakesh Jain from Axis AMC. Please go ahead.
Rakesh Jain: Just wanted to understand, you talked about domestic OEM growing next year, you expect that? Is it for you or you're talking for the industry?
P Kaniappan: So I'll give some better points and you can make. The actual number of >6 tons vehicles is something that is what our space. It could be buses – so in the quarter that we are discussing roughly, you can see about , we have done about 95,000 vehicles, so it's about 30,000 32,000 Vehicles a month we are talking. In January, the number was 39,000 . So you can see there's a growth. We are seeing a growth indication. Our view is that this growth is not -- okay, one is this first quarter -- last quarter of year for the volumes.
Second, also, the mix was very unfavourable because the main heavy -duty vehicles, the MHCV segment. That mix came down from about 60%, 62% to 57%, in that quarter, the quarter in discussion. But now we expect this is also in this quarter, now onwards it is likely to increase, the mix is likely to increase because of again the construction, mining, those activities are actually increasing.
And also the electric buses where we have a good content, even though it's a low volume, but still it's a high content type of segment that was not happening in that quarter at all because tenders were not there. Whatever orders customers are having, they' re complete as they are waiting. But now most of the electric bus manufacturers have started the production. We see a growth there.
And so in our view, how this will be pronounced, we have to still wait and watch. But at least this quarter, we see at least some indication. We are in the second month of this quarter, so indication is quite positive. A lot of pull from all customers. In some areas we are even looking at going for a third party type of operations to support the market v olumes . So -- but again, we are more or less connected to the industry.
So industry grows, we are also going to grow. Whether it will grow -- continue bey

ond April,
we have to watch. But this quarter, I'm seeing a very good demand pull from OEMs. Also, there's a very good increase in the bus production also. And that we expect it to continue because of the school season and thereafter .
Rakesh Jain: So is it possible to quantify how much does buses contribute to our overall revenue today?
P Kaniappan: Actually, in terms of model mix, I can tell, about 24% of the vehicles are produced -- the overall in that quarter about 32,000 per month. 24% is bus production. But to our revenue, we don't know separately, we are not having that number. We treat this along with the second bus -- and we consider the value per vehicle as a key -- So bus production, if it increases -- again, if it is

EV bus, it's a positive value per vehicle increased -- but then if it is a normal but it is not. It is actually unfavourable debt of mix.
Rakesh Jain: Okay. And sir, just 1 thing on the export side. On the new products, which you are adding --

those products are just currently being tendered to one single customer or they are more than one customer?
P Kaniappan: New products, the export is for many customers. But in terms of product lines, -- we have 4 important product lines. Compressors is one of the major product lines. Maybe we will be doing 1/4 roughly, you can take 1/4 of our overall export comes from compressor. C compressor area, as we said, when we started it, it was only one customer , now, we are expanding to 2 more customers now.
. Earlier we were supplying the basic level compressor and now we are getting into advanced high-end compressors. And our view is India may become a center of excellence for these types of compressors . That's the way we are moving because we have a good supply chain. We have a good engineering capability in India. We have a good manufacturing strength.
Then the second important product is actuators and brake chambers. In a brake system, you have a compressor, actuator brakes chamber. Then you have some valves. So in the actuator brake chambers, again, we are emerging stronger and the pipeline is building . We are supplying to many customers. not only in the truck segment, but also the trailer segment.
But in all these cases, the model is we don't directly supply to the customers. We supply to a parent or region from there, they supply to the customers. So we have more like an intercompany operation through a transport logic. But the key point is we are emerging in these spaces more and more a center of excellence, the actuators and brakes chamber.
The third area is we used to make that electronic control system for the air suspension for BMW type of similar platforms. There, there is a reduction in the demand maybe globally, there are the CV transition, there are some challenges. So we have to under stand the plan of our customer. But as such, our demand has come down there. We have to study how this is going to evolve.
Then of course, we have many valves and component supply, etc . But there is, I would say, that it's not a very strategic type of topic. So we currently deliver best as per need, but in certain areas of the valves, we see the volume to slowly pick up. I mean, yes, this is a broad line. So customers wise it is very widely spread -- because every customer needs these products because the products are released at a global level. It's a global product. Again, there's a possibility to keep expanding in this space as well because cost wise we ar e quite competitive. At least in the actuators, for example, we are the cost leader in my view.
Rakesh Jain: That’s all from my side. Thank you so much and all the best.
Moderator: Thank you. Next question is from the line of Mukesh Saraf from Avendus Spark. Please go ahead.
Mukesh Saraf: Thank you for the opportunity. First question is, just back

to the margins part of it. In this quarter,
have we got any benefit of pricing negotiations with customers say, for prior periods, which is kind of cumulatively come in this quarter? Any such benefit we have got, sir?
P Kaniappan: Yes. Mukesh, no specific benefit like that, every quarter, we are working with customers that have certain pipeline of bleeders like -- that's nothing specific here.
Mukesh Saraf: Sure. Understood. And secondly is on the September '25 time line that you mentioned for E SC, what is the change there, sir? Is it know that at the RTO level before registration, there will be some kind of a check? Or basically, what is the issue now in terms of -- what change the government is going to make?

P Kaniappan: If you see the bus production, many customers they do the body building elsewhere. So they don't -- so they understand that this ESC has to be only for the body -- factory fitted -- factory assembled in. So that is one exclusion, the market has taken like that. That is being corrected.
Mukesh Saraf: So the body builders, now the non -OEM or builders, even they will have to now kind of mandatory fix the ESC.
P Kaniappan: From September onwards. Right now, they are not fitting. Again, depends on their tender to their customers also. But then by and large, it is excluded. Also certain int ercity operations also there is excluded that will also -- some of that will also come in. So -- but mainly the factory fitting versus external body building.
Mukesh Saraf: Got it. And similar adoption on trailer ABS also is happening, sir? Is that time line also September '25 because there also, there seems to be a gap between mandatory regulations versus actual adoption?
P Kaniappan: Yes. I think it's a very good topic because actually, government has mandated it in 2019itself that all the trailer produced in our country has to have a trailer ABS. But actual adoption is only about 22% as far as I know, till 2 -3 months ago.
Mukesh Saraf: You mentioned this quarter some 5% increase in trailer ABS or all.
P Kaniappan: Yes. So what we did here, what we did was we spoke to some of the trailer manufacturers. And trailer manufacturer is telling us, if you supply two options, that is without ABS and with ABS,

then the customers, the trailer manufacturers will only go for wi thout ABS. So we do supply without ABS. That was a point of some of the trailer manufacturers.
So then we have jointly decided that we'll work together and then at one stage, we have stopped supplying without ABS. We don't want -- at ZF, we don't want to support the unsafe type of practice. But then, there was some push pull. But finally, they all a greed. Many of them have agreed that steadily will improve. As such you have got only 5% improvement in that quarter. But then more and more fleets are now adapting because they have to communicate to their customers and make sure that new orders are booke d only with the ABS.
ABS, again, as I said, it's a very safety critical topic, government mandated. So we also want to support that the compliance. So by April, I see at least a very significant improvement because that's the way that we are working manufacturers of trailers. But what is positive happening in the market place. Many of them choose to go for a trialer EBS even though it is not mandated. Trailer Electronic Braking System.
Instead of ABS, they go for EBS because EBS has got ABS feature plus also rollover elimination possibility. Also, it has got many functionalities because EBS per se is a very intelligent system. It will also ensure that the tire life also improves. It will apply whatever the amount has to be applied to whichever wheel, etc , as per the need. Whereas ABS will apply blindly, but there plays break based on the driver demand.
So a lot of people are seeing significant im

provement in the tire life. So on their own, they're
adopting -- they're deciding to go for trailer EBS . Of course, it's a high content and a good -- it looks like that's a win -win type of model. So again, we are working with the industry and trying to support, trying to collect more information. Yes.
Mukesh Saraf: Got it. And just lastly, the Oragadam plant, the subsidiary, we're seeing revenues are more or less around the INR6 crores mark. Even this quarter, it hasn't really gone up much. What are we seeing there? Is it entirely driven by exports right now, especia lly the new line that you mentioned for actuators. Or is there some other domestic products as well that we're going to be starting to manufacture there at Oragadam.

P Kaniappan: Yes. In Oragadam, in the subsidiary, we are producing 3 or 4 products now. One is the electric compressor. That's the main product, electric compressor with the localization, more and more localization. We are now ready to support the industry in a much larger volume. But then in that quarter, electric buses were not produc ed because earlier order whatever was there with OEMs have completed, new tenders were not released because of the election and subsequent delays in certain towns.
Also, I think some OEMs because there, the model is transport as a service type of model. The OEMs have to invest on the capex. The STUs pay the per kilometer rate.. There were some issues in the solving that part between some OEMs and the STUs, etc So that was another reason why some OEMs did not participate and all that in some tenders. But I understand the government as a result that. But we are seeing already a take -off in the EV electric compressor production. From January onwards, it has been i ncreasing now and we are trying to create a capacity to support. So this will increase our Oragadam plant production on one aspect.
The second is -- another important thing is we manufacture the cartridges there. That is getting more and more streamlined. It was earlier we started as the aftermarket supplies to India about 5,000 number a month. Now we have launched for the OE , to one of the big OEMs, 10,000 number a month, is a typical demand. So that they're ready now that the production has started. Of course, organization also now we are trying to prepare for a larger, say, production and sales. We expect an improvement ther e.
Mukesh Saraf: Great. Thanks for this. I'll get back in the queue.
Moderator: Thank you. Next question is from the line of Viraj from SiMPL. Please go ahead.
Viraj: So just three questions. First is, just a little bit more clarity on the gross margin. The reason if you are look at last 8 quarters or even longer, this kind of gross margin you have really not earned in last -- I mean, last -- we're talking about 2014 is when we own a 43% kind of a contribution margins.
Now I understand what you're seeing in terms of export share and aftermarket share, but broadly, even if I look at from an annualized basis, export either has been around 13%, 14%, and that's more of the 16%. While in OE in domestic, we talked about a nega tive impact in terms of segment of trailers and better share reducing towards ICV.
And generally, there were no new orders that can come to EV buses, which we supplied in Q3. So just still trying to understand. If I could just understand the major factors you talked about proving up the portfolio. So can you just give a more detailed per spective in terms of the major contributors to this kind of a margin profile? And how we should understand it going over next

2-3 years?
P Kaniappan: Okay. So our focus is more and more margin. If you see in the last few quarters or 7 - 8 quarters, if you see, we are now continuously driving margin expansion. As a matter of focus, so we are taking many actions, whether it'

s OE, whether it's aftermarket or it's export. In all areas, we are trying to see how we can drive margin expansion. So, our performance in this quarter is not -- maybe it's not a onetime. If you see a trend in the last 8 quarters, we've been steadily improving. Number two, what do we do to improve if you see in the OE -- there were certain bleeder products because we have taken a conscious decision that individual customers' profitability we'll have to look at individual product profitability, we have to look at -- and wherever we are not making profit , we are seriously looking at anything that we can do in terms of production of the supply chain cost.

And then we also work on a should cost type of analysis. If we are able to reach the s hould cost, then we should keep bleeding and supplying. So we will go to the customer and then the cost country reset. In some cases, customers say now this is a commodity can buy from elsewhere. Then we take a call.

Some cases, customers are agreeing because in our view, the products are -- the quality of the products are extremely important because it is a safety critical product. And we are able to demonstrate that these products have been working very well in many areas. So of course, jointly developed with the customer over many years.

So we cannot bleed in some time. So we jointly -- quite a few areas we are trying to reset improve. And this is one side. You constantly look at how do we get a better realization for our sales to OEMs.

Viraj: What percentage of portfolio, you would have seen chunk on either in terms of pruning or resetting the price. So just to give you a perspective. So if I look at 50% of the business, it's domestic OEMs and what I understood a major part would have or prunin g or resetting would have been in that part of the business. So just to get a question to what share of that business would have seen a reset or proving in the portfolio?

P Kaniappan: So maybe we don't have the exact number, and this is the direction we are moving. We are still protecting our overall business because, as I said, -- there are many new advanced products also are launching. But this is a direction, I'm saying the directionally, this is how we move. On the aftermarket, again, access the market is it's a profitable business.

Our scope is to expand with new revenue streams. Some of the products which we are launching now, what we are selling now is completely different from what we used to do. Typically, as I said, we have digital business in which there's a subscription revenu e we are getting, which is -- which is for very many advanced technology products in the digital group.

And doors and door control systems are something that in new products where the selling. So like that, we are seeing many new opportunities. As such, margin -- it's a good margin, but the focus is how do we increase our in -- so like that, overall, as you said earlier, the factory productivity year -on-year, we are trying to improve.

We have been -- so overall, our focus is continuous improvement on the margin front. There are -- of course, there are a lot of headwinds as well. There's a lot of challenges, not that the customer is going to go what we are -- but we are working on that. I don't know because you -- what you asked the question was not very exactly clear. I don't know if I answered your question, I'm not sure.

Viraj: I'll probably take this offline, but I just have three more questions. One is, if I look at the manufacturing subsidiary, which is set up for advanced products. But over the 9 months, the sales contribution seems to be much lesser than the year before. And just in the previous participant commentary, you were talking about new products wrap -up and localization. So I'm just trying to understand you look in the next 2 - 3

years, how should 1 see scale -up of those advanced products through the subsidiary?

P Kaniappan: Yes. So that's the plan. More products also will follow. Right now, the 3 products we are producing. So -- and that a lot of -- we have created more space -- and so one of the products, it also has the potential to get to be exported. So our idea is to rea lly stabilize the production for India to Indian customers and then because we are able to localize or produce at much more cost effective than us.

But we have to see, maybe every quarter we can review this. But as such the Oragadam Site, our focus is to really ramp up production and then market is supporting right now in all this -- in the electric compressor area. But then in the other area, we are able to stabilize the production now

I expect things to improve in terms of volume.
Viraj: Okay. Just last question, and I'll come back in queue. The largely related to the portfolio…
P Kaniappan: I need to close the call, but maybe I'll take your question quickly.

Viraj: I'm not sure if the new MDs on the call. But question is largely in terms of the portfolio, which they outsold WABCO India used to have and now ZF CVS. You see a steady expansion in the portfolio over the last 2 - 3 years, largely in the CV and selectively in the passenger vehicles for export. Going forward, let's have a look at the next 3 - 4 years, do you see any such more opportunities in terms of portfolio additions through the listed entity, within CV and bought in PV?
P Kaniappan: I hope, but I remember this part we have more or less clarified earlier also. So we will have only WABCO portfolio plus the ADAS technologies are now into the listed company, which was earlier ZF also having its own ADAS. So this is one.
Number two, we are permitted at the global level they have given a special permission to use CVCS listed company to support the LCV segment. The LCV segment is basically the more like, those platform of Ashok Leyland , Tata AIA type of product lines, particularly to the EV transition.
So we have got quite a few portfolio, there is a separate initiative there. Next 2 - 3 years time frame that will also start getting we will start seeing revenue flowing from that as well. These are the two major additional areas other than the original WABCO portfolio ADAS and LCV segment.
Moderator: Thank you. Ladies and gentlemen, we will take this as a last question for the day. I would now like to hand the conference over to the management for the closing comments.
P Kaniappan: Yes. Thank you for all your interest and for the participation in this earnings call. Any more details, you can always reach out to our CFO and Company Secretary. So we will try to clarify as soon as possible. Thank you.
Moderator: Thank you very much. On behalf of Batlivala & Karani Securities, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.

Call: May 2025

•

ZF Group
ZF Commercial Vehicle Control Systems India Limited
(Formerly known as WABCO I NDIA Limited)
Plot No.3 (SP), Third Main Road,
Registered Office: Plot No.3 (SP), Third Main Road, Ambattur Industrial Estate,
Ambattur Industrial Estate, Chennai - 600058. India Chennai - 600058. India
CIN: L34103TN2004PLC054667 Phone: +91 44 4224 2000
Phone: +91 44 42242000. Fax: +91 44 42242009 Fax: +91 44 4224 2009
www.zf.com www.zf.com
Commercial Vehicle Solutions
Department Finance
From Muthulakshmi M
Phone +91 044 -4224 2000
Email muthulakshmi.m @zf.com
Date May 23, 2025 ZF Group · ZF Commercial Vehicle Control Systems India Limited , Chennai 600058

The Manager
Listing Department
BSE Limited, Phiroze Jeejeebhoy Towers
Dalal Street, Mumbai 400 001

Scrip code: 533023

Listing Department
National Stock Exchange of India Ltd
Exchange Plaza, C -1, Block G
Bandra - Kurla Complex
Bandra (E), Mumbai 400 051

Trading Symbol : ZFCVINDIA

ISIN : INE342J01019

Dear Sir (s),

Sub: Transcript of the Investor Call held for the quarter and year ended March 31, 2025

In continuation of our letter s dated 09th May 2025 and 16th May 2025 pursuant to intimation and recording of investor’s call , we hereby inform that the transcript of the call has been uploaded on the website of the Company and the same can be accessed through the following link:

ZF CV India Investor Relations - ZF

Request you to take the above information on record.

Thanking you,

Yours sincerely,
For ZF Commercial Vehicle Control Systems India Limited

Muthulakshmi M
Company Secretary

"ZF Commercial Vehicle Control Systems India Limited
Q4 & FY25 Earnings Conference Call "
May 16, 202 5

MANAGEMENT : MR. P KANIAPPAN – MANAGING DIRECTOR – ZF COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA LIMITED
MS. SWETA AGARWAL – CHIEF FINANCIAL OFFICER – ZF COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA LIMITED
MS. M. MUTHULAKSHMI – COMPANY SECRETARY – ZF COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA LIMITED

MODERATOR : MR. ANNAMALAI JAYARAJ -- BATLIVALA & KARANI SECURITIES

Moderator: Ladies and gentlemen, good day, and welcome to the Q4 and FY '25 Earnings Conference Call of ZF Commercial Vehicle Control Systems India Limited, hosted by Batlivala & Karani Securities India Private Limited.
As a reminder, all participant lines will be in the listen -only mode, and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on yo ur touchtone phone. Please note that this conference is being recorded.
I now hand the conference over to Mr. Annamalai Jayaraj from B&K Securities. Thank you, and over to you, sir.
Annamalai Jayaraj: Thanks, Puja. Good afternoon. Thank you for joining us today, and I welcome to ZF Commercial Vehicle Control Systems India Limited's call to brief you on the Q4 FY 2024 -'25 quarterly earnings and the earnings for FY 2024 -'25. Today, the fourth quarter earn ings and annual results for FY 2024 -'25 will be presented by the management team of ZF Commercial Vehicle Control Systems India Limited.
Your hosts today from ZF Commercial Vehicle Control Systems India Limited are Mr. P. Kaniappan, Managing Director; Ms. Sweta Agarwal, CFO; and Ms. M. Muthulakshmi, Company Secretary. I'll now hand over the call to Mr. P. Kaniappan, who will provide further insights into the results. Over to you, sir.
P Kaniappan: Thank you, Mr. Jayaraj. Good afternoon to all of you! I warmly welcome you all to ZF Commercial Vehicle Control Systems India Limited's fourth -quarter results and full -year's performance for FY 2024 -25.
Certain forward -looking statements that we will make today are based on the management's good faith, and expectations concerning future developments. As you know, the actual results may differ materially from these expectations because of multiple factors.
ZF Commercial Vehicle Control Systems India Limited's results for the quarter ending March 31, 2025, and the annual performance for FY 2024 -25 were published on May 15, 2025, they are available on the website www.zf.com under the ZF CV India investor relations section. We hope that you have had an opportunity to go through them.
A transcript & recorded audio of this call will also be made available on the website www.zf.com under the ZF CV India investor relations section.
I am happy to connect with all of you today, as we give you an update about our business

performance.

Industry and Economic updates:
I would like to start by talking about a few key macroeconomic aspects relevant to our industry. The global economic landscape remains in a state of flux, amidst heightened trade and policy uncertainties, with attendant implications for economies across the world, posing complex challenges and trade -offs in policy making. The channels through which these global shocks could impact economies, particularly emerging market economies, include spi llovers from global growth slowdown, elevated financial markets volatility and dented consumer and investor confidence. The Indian economy remains relatively less exposed and better placed to withstand such spillovers with its growth driven largely by dome stic demand. Nevertheless, we are not immune to the aftershocks and ripple effects associated with global disturbances. There may also be some positive spin -off to the Indian economy from the likely softening of crude oil and commodity prices and relative tariff advantage.
The National Statistics Office (NSO) has estimated real Gross Domestic Product (GDP) growth at 6.5 per cent for FY 2024 -25. Going forward, sustained demand from rural areas, an anticipated revival in urban consumption, expected recovery of fixed capi

tal fo rmation supported by
increased government capital expenditure, higher capacity utilization, and healthy balance sheets of corporates and banks are expected to support growth. Merchandise exports would be weighed down by the evolving global economic landsc ape, which appears to be uncertain at the current juncture, while services exports are expected to sustain the resilience. On the supply side, while agricultural prospects appear bright, industrial activity continues to recover, and the services sector is expected to be resilient. Headwinds from global trade disruptions continue to pose downward risks. Taking all relevant factors into account, the GDP growth for the financial year 2025 –26 is projected to remain steady at 6.5 percent, consistent with the gro wth recorded in the previous financial year. (Source: Reserve Bank of India - Press Releases (rbi.org.in)
Indian Commercial Vehicle Industry:
While the overall automotive sector mirrored the growth pace of the GDP at 6.5%, the Commercial Vehicle segment saw a marginal dip of 0.2% as per FADA with a de -growth of 5.4% in vehicle production (greater than 6 tons category). This was primarily due to disruptions from elections, weather conditions, and delayed capex deployment by the Government.
Despite this, we remain confident about a rebound. We see clear signs of recovery driven by infrastructure investments, fleet renewal needs, and supportive government initiatives like the PM-eBus Sewa program. The Medium and Heavy Commercial Vehicle segmen t is especially well-positioned to benefit from continued focus on road construction, metro expansion, and urban mobility.
Key structural trends such as e -commerce growth, digital fleet solutions, new logistics models, and trailer market formalization are all expanding demand are also reshaping the industry. State Transport Undertakings (STUs) are leaning towards Public -Privat e Partnership models, while sustainability regulations and vehicle scrappage initiatives are accelerating the shift to cleaner technologies.

Looking ahead, with strong economic fundamentals, a forward -looking policy environment, and rapid digital transformation, India’s commercial vehicle industry is poised for a strong comeback. We expect growing demand in the M&HCV segment, fueled by structur al reforms and the government’s continued push on infrastructure.
Now I would like to share some insights on the specific initiatives undertaken by the company during FY 2024 -25.
OE sales :
Following a period of subdued demand in the first three quarters of FY 2024 –25, the Commercial Vehicle sector staged a recovery in Q4, recording a growth of 7.7% compared to the corresponding quarter in the previous year. This momentum was fueled by contin ued infrastructure development and stable rural demand, which supported growth in medium -duty trucks and sustained performance in the bus segment. However, a slowdown in industrial activity during the quarter impacted demand in the heavy -duty segment.

Despite this rebound in Q4, the overall Commercial Vehicle industry posted a year -on-year decline of 5.4% in FY 2024 –25. The Company's OE sales were further impacted, declining by 9.8%, primarily due to an unfavourable model mix, owing to a shift away from heavy -duty vehicles toward Intermediate and Light Commercial Vehicles (ILCVs) - alongside a Y -o-Y 12% drop in trailer production. Additionally, the company took a strategic decision to exit low margin 'bleeder' parts to improve our profitability.

As we look ahead to FY 2025 -26, we are entering the year with strong momentum, underpinned by a recovery in Q4 FY 2024 -25 and strengthening of fundamentals across key business segments. The outlook for the Commercial Vehicle industry is optimistic, with mu ltiple indicators pointing towards a sustained rebound.

In antic

ipation of this upswing, we are focusing on strategic initiatives designed to enhance our competitiveness and unlock long -term value.

• Our priority will be to increase penetration of advanced trailer technologies, including T-ABS/T -EBS and SCALAR Evo Pulse, in alignment with AIS 113 trailer regulations and rising demand for safety and operational efficiency of trailer fleets.
• The Company is ramping up new project launches, such as the Exhaust Brake Valve, Automatic Traction Control and increased penetration of OptiDrive (AMT) and OptiRide Electronically Controlled Air Suspension (ECAS).
• The upcoming ESC regulations for buses, effective September 2025, represent a major growth opportunity and we are fully prepared for volume scale -up to meet this demand.
• Additionally, we are expanding the penetration of our EV portfolio, with a targeted focus on e -compressors and EBS systems to independent bus manufacturers.

Beyond the anticipated near -term rebound, we see long -term growth drivers emerging from the evolving regulatory environment and the rapid adoption of electric mobility.

The recent draft notification from the Government of India mandating Advanced Driver Assistance Systems (ADAS) - including critical safety features such as Advanced Emergency Braking (AEB), Lane Departure Warning System (LDWS), Moving Off Information System (MOIS), Blind Spot Information System (BSIS), and Driver Drowsiness Attention Warning (DDAW) - marks a transfor mative shift for the CV industry. We are actively collaborating with all major OEMs to ensure ZF's readiness and timely compliance with these upcoming regulations.

In parallel, the accelerating production of electric buses presents a significant opportunity, our advanced e -mobility portfolio, including e -compressors, Electronic Braking Systems (EBS), Electronic Stability Control (ESC), and Electronically Controlled A ir Suspension (ECAS) - positions us as a key technology partner and enabler in this space. These developments underscore our long -term growth trajectory and strategic alignment with the future of commercial mobility.

Aftermarket :

In FY 2024 -25, our Aftermarket business delivered a steady Y -o-Y overall growth of 5.5%. However, in Q4 FY 2024 -25, we experienced a decline of (4.6%), primarily due to supply chain disruptions that affected product availability and fulfilment timelines.

Despite this short -term challenge, the underlying momentum of our Aftermarket segment remains strong and is supported by several key drivers including

• Launches of range of new products, including 11 variants of Door Control Systems
• Retrofitment of Hydraulic ABS systems for a major OEM on their export models.
• We continue to collaborate with EV Bus OEMs, through our sales and service networks to maximize uptime of public fleets. Additionally, we have begun supplying diagnostic software and tools for Electronic Brake Systems and Electronically Controlled Air Su spension systems, enhancing our role as a comprehensive solutions provider.

In a recent development, petroleum companies have floated tenders for LPG transportation contracts, mandating the use of Trailer Electronic Braking Systems (T -EBS) in Karnataka, Gujarat, Assam, and Rajasthan, and Trailer Anti -lock Braking Systems (T -ABS) i n other states. This regulatory shift has opened a significant opportunity for retrofitting existing vehicles through the aftermarket channel, and we anticipate strong T -EBS/T -ABS adoption via this route in FY 2025 –26.

Digital business updates :

I'm happy to share that the company has secured a large order for ~800 units of SCALAR EVO Pulse from a leading Indian trailer manufacturer. As India's first advanced trailer telematics solution, SCALAR EVO Puls

e delivers real -time diagnostics, predictive maintenance, and
critical event alerts - enhancing uptime, safety, and operational efficiency. This order marks a pivotal step in smart trailer adoption and reinforces our leadership in digital fleet solutions.
We also received a repeat order for Video Management Solution (VMS) from a
leading OEM. ZF's VMS is an AI -driven video telematics platform that improves fleet safety, efficiency, and compliance through intelligent monitoring, automated alerts, and secure cloud storage. This repeat order reflects the strong value, that our solution delivers and highlights growing market confidence in our safety technologies.
Export - Goods:
In FY 2024 –25, the company achieved a Y -o-Y growth of 8.4% over FY 2023 -24 in
goods exports. Despite the drop in volumes from a leading OE customer for Air compressors due to a decline in EV sales, the Company undertook strategic measures to focus on drivi ng growth and realigning priorities, including the start of production (SoP) of Actuator 4.0 and Air Compressors for other global OEMs, among other measures. The export performance registered a growth of 3.5% in Q4 FY 2024 -25 when compared to the same per iod last year.
Looking ahead, we anticipate some headwinds in our export outlook, primarily due to emerging tariff impacts from the U.S. market. While this presents a short -term challenge, we remain committed to proactively navigating these changes.
Export of services :
Export of services recorded a growth of 15.0% in Q4 FY 2024 -25 compared to the same quarter last year. In FY 2024 –25, export of services grew by 17.4%, driven by a sustained increase in engineering activities delivered from India to our global centers. Thi s reflects the growing demand for our expertise and India's strengthening role as a global engineering hub.
ESG :
As part of the company's sustainability initiatives, an energy efficiency program was implemented across various stakeholder groups - including Operations, Maintenance, and R&D - at multiple company sites. This initiative led to the successful execution of 103 projects, resulting in a 12% reduction in overall energy consumption.
To improve energy efficiency, we also collaborated with IIT Madras Industrial Energy Assessment Cell (IEAC) and performed audits at Ambattur and Mahindra World City, identifying energy savings potential of more than 20%.
To promote the use of renewable energy, we installed on -site roof solar panels of 500KWp to support 25% of the plant's energy consumption in Jamshedpur and 60KWp to support 40% of the plant's energy consumption in Pantnagar.
Additionally, in a conscious drive to phase out fossil fuels in operations, the electrification of the canteen was completed at Ambattur, saving approximately 66,000 litres of diesel per annum

and eliminating 151 tons of CO_2 equivalent (CO_2e). As an initiative to eliminate landfill, hazardous waste from the Mahindra World City plant is sent to the cement industry for co - processing.
Engineering update :
The engineering team has played a pivotal role in further advancing the Domestic Value Addition of the eComp to 62% - an important milestone in our localization strategy, focused on enhancing cost efficiency, and delivering greater value to our customers.
Manufacturing update :
The Company continued to launch advanced technology products from its newly inaugurated, state-of-the-art, multi -divisional manufacturing plant at Oragadam, catering to both Indian and global customers. New manufacturing lines for next -generation e -mobilit y products have been commissioned at this plant to produce e -compressors, ASP cartridges, hydraulic ESCs for Indian OEMs, and wheel -end products such as actuators, brake chambers, and ASAs for both domestic and export markets.
New products, including twin -cylin

der compressors and actuators for European customers, as
well as actuators, AMTs, APUs, charging valves, and ECUs for Indian OEMs, have been successfully launched. Manufacturing capacities have been scaled up across all pl ants for braking system products to capitalize on growth opportunities. New assembly lines have been established at the Jamshedpur and Lucknow plants, enhancing agility and customer

responsiveness. Over 25 parts have been transferred to these plants, impro ving delivery performance, enhancing flexibility through proximity -based operations, and supporting our sustainability objectives by reducing transportation emissions.
Significant gains in productivity and quality have been realized through the implementation of smart automation robotic technologies, testing automation, and leveraging digitalization in assembly and machining cells. Disclosures continue to be filed within the group for indigenously developed process inventions, leveraging lean and frugal engineering capabilities.
During the year, machine refurbishment was performed in four machining cells (crankshaft and crankcase) at Mahindra World City, adopting the latest technologies. Additionally, condition monitoring powered by the Digital Manufacturing Platform (DMP) was imp lemented in 40 critical CNC machines at Ambattur, 6 critical CNC machines at Oragadam, and 20 critical CNC machines at Mahindra City to monitor machine behaviour and health conditions, thereby preventing unplanned downtime. There has been a considerable r eduction in maintenance costs and energy consumption through the adoption of DMP. We continue to nurture citizen development, driving efficiency and better decision -making, through adoption of Microsoft Power Platform and automate repetitive tasks using Ro botic Process Automation (RPA). These tools enable quick analysis and improved responsiveness in areas such as customer updates and inventory management at plant and distribution centres.
Corporate social responsibility :

In Q4, FY 2024 -25, we actively pursued several impactful initiatives as part of our commitment to community development and sustainability, we continued to strengthen grassroots education by renovating and equipping science and computer labs at Government Polytechnic Harakh Deeh near Lucknow and by building key infrastructure -including a multi -purpose hall, library, and computer lab, at a girls' residential school in Barabanki. The company also contributed an X-ray machine to the Perumbakkam Primary Health Center in Chennai.
Our focus on road safety remained strong, with the installation of 12 solar -powered traffic signals and high -mast lights in key cities, relaying of the road in Hussain Nagar, Tamil Nadu, and road safety training campaigns for technicians and drivers across 37 locations pan India.
Additionally, we trained 1,000 youth in basic manufacturing skills through the National Apprenticeship Promotion Scheme (NAPS), to enhance their employability.
These initiatives reflect our long -term commitment to social responsibility and our belief in creating tangible, sustainable value for the communities in which we operate.
Awards and recognition s:
During the financial year FY 2024 –25, I'm proud to share that ZF Commercial Vehicle Control Systems India Limited was honored with several prestigious customer awards, recognizing our commitment to technology, innovation, and service excellence. These incl ude:
• "Technology and Innovation Award" from TATA Motors
• "Impactful Innovation Award" from Ashok Leyland
• "Outstanding Contribution in Field Support" from VE Commercial Vehicles
• "Quick Development Partner and Strategic Supplier" recognition from Olectra
• "Best Supplier Award" from JBM
These accolades are a testament to our deep customer partnerships, innovation -drive

n approach,
and consistent operational excellence.
As a testament to our commitment to sustainable manufacturing, the Oragadam plant was awarded the LEED GOLD certification by the United States Green Building Council (USGBC). This prestigious recognition highlights the Company's efforts in implementing gl obal green standards in the design and construction of the building, with practical and measurable strategies in areas such as energy efficiency, water conservation, and sustainable materials selection.
Our employees continued to demonstrate high levels of engagement and participated in various external Total Employee Involvement (TEI) competitions, winning numerous awards across several categories in the last fiscal year. I am happy to share that, in FY 2024 -2025, our teams won 16 National Awards and 19 Regional Awards in competitions organized by the CII, ACMA, and QCFI, along with many more awards at regional levels. This included 5 awards, including 4 regional awards and 1 international award in Q4 FY 2024 -25.
And now, moving on to our financial performance for the quarter and the financial year:

For your ready reference, the results were made public at 5:41 PM on 15th May 2025. I hope you have had a chance to go through them.
I'm pleased to share that we delivered a strong performance in Q4 FY 2024 -25, with revenues reaching ■1,039 crores. This is a significant milestone for us, the first time we have crossed the ■1,000 crore mark in a single quarter.
Our full -year profit before tax for FY 2024 –25 stood at an all -time high of ■609.3 crores, reflecting the continued strength of our business fundamentals. The Profit before tax for Q4 FY 2024 -25 was ■168.8 crores.
Our PBT stood at 18.2% of product sales in FY 2024 -25, and we maintained healthy EBITDA margins of 22.8% for Q4 FY 2024 -25 and 22.1% for the year.
Our engineering and other services continue to create value for our group customers. Service income grew by 15% at Rs 112.3 crores in Q4 FY 2024 -25 compared to the same quarter last year, and 17.4% at Rs 443.4 crores year -over-year in FY 2024 -25
On the exports, we recorded a 3.5% increase in Q4 FY 2024 -25 over the corresponding quarter of the previous year, totalling ■297 crores. Exports grew 8.4%, reaching ■1,164.6 crores in FY 2024 -25.
These results position us well for sustained growth, and we remain focused on delivering differentiated value to our customers, driving innovation, and continuing our journey of growth.
Thank you.
We now welcome your questions.
Moderator: The first question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.
Mumuksh Mandlesha: Sir, for the Q4, Can you reshare the absolute amount of the revenues for the OEM aftermarket and export and also the brake production number for the quarter?
P Kaniappan: Yes. I would request our CFO to ta ke this question.
Sweta Agarwal: Yes. Mumuksh, for the Q4 24-25, we have done INR 466 crores in the OEM segment, aftermarket INR 124 crores and export of products of INR 297 crores. Apart from that, we also have export of services of INR 112 crores. What was the last question?
Mumuksh Mandlesha: And the production number for the Q4?
P Kaniappan: Are you talking about vehicle production?
Mumuksh Mandlesha: Yes, vehicle production.

P Kaniappan : Vehicle production is 1,19,000.
Mumuksh Mandlesha: Sir, secondly, on the time line of the regulation, sir, in the draft, how are you seeing the OEM preparedness for the October date, sir? Or do you see any chance of being delayed in the final implementation, sir?
P Kaniappan: Yes, so the government has indicated the 2026 October timeline , we expect pushback from certain stakeholders. So we need to really w

ait for the final date. Our own internal estimation is sometime in 2027.
Mumuksh Mandlesha: Got it. Got it, sir. And sir, can you reiterate what would be the content of this new regulation, which I understand it includes EBS for ADAS function and also sir ESC, right, sir?
P Kaniappan: Yes, yes, that's right. So it doesn't include EBS. Basically, the regulation calls for the M2, M3 vehicles that are buses, and then N2 and N3 category of vehicles, which are necessarily trucks, which means it covers all the vehicles that are related to our segment, by and large.
Because you know the M2 buses are the buses that are more than 8 seats in addition to the driver and M3 is remaining buses. So most of the buses above 8 seats and 5 ton GVW is covered. Truck also, anything above 3.5 ton trucks are covered, which is a large category. N2, N3 covers everything above 3.5 tons. Same case for the buses.
So then if you come to what is included in the regulation is the stability control. Electronic stability control is a part of the regulation. Now the buses, second category of buses are already covered. We expect that those categories which are actually no t factory fitted, which got excluded in the first notification or regulation, now it gets included from September in any case.
Then we have truck segment, which is completely excluded, but that will come as part of the ADAS regulation.
With the ADAS regulation, most of the vehicles are covered. So in the ADAS regulation, first thing is vehicle stability function, that is ESC included. Then we have advanced emergency braking system, essentially the forward collision avoidance is included.
Lane departure warning system is included. Driver drowsiness and attention warning system is included. Blind spot information system is essentially that covers those parts around the vehicle that is blind to the driver, now that is also covered. Then movin g off information system is

covered. So virtually it covers about 5 regulations. So a major chunk of the ADAS regulation is largely covered.
So in terms of the actual impact, I have earlier also communicated, in the case of ESC, when it is in the f ull volume and people localized, the prices should be in the range of maybe around INR 25,000 delta. On the ADAS, I'm not in a position to really indicate any number, but the market is evolving, but it could be quite substantial.
All this put together, in my view, it should be in the range of at least above INR 40,000, but we have to see, because it also depends on the type of solutions that is offered and the localization

content, et cetera. But these 2 put together is a substantial volume growth. For us, that's a great opportunity available in front of us.
Mumuksh Mandlesha: So, if I understand, sir, INR 25,000 for the ESC and the ADAS function INR 40,000 -- about INR 40,000. And sir, AEBS also will be separate addition above this amount or this includes as part of ADAS?
P Kaniappan: ABS is already mandated. Most of these vehicles are already fitted with ABS.
Mumuksh Mandlesha: I mean AEBS, advanced emergency braking systems.
P Kaniappan: Yes, yes, AEBS is also included. Normally what happens, the basic hardware and those things are, by and large, common. Against the hardware, you try to provide various functionalities with add-on hardware features and software solutions. So actually, we ha ve released ADAS in India with 11 functionalities to some customers, which is not through a regulatory route. But then out of that, 5 functionalities are coming through the regulation route.
When it comes to the regulation route, because of the huge volume opportunity, it is too early to really make a judgment of prices etc., So whatever I'm giving is very indicative, depends on the kind of solution that will come to the market, because it will be, by and large, a

cost -driven
solution, because the community position also should be evaluated, et cetera.
Mumuksh Mandlesha: INR25,000 plus INR40,000 broadly, right sir?
Annamalai Jayaraj: Yes.
Moderator: The next question is from the line of Lakshminarayanan from Tunga Investment.
Lakshminarayanan: A couple of questions. I just want to understand your product sales for the full year FY '25. And when you split the product sale into exports and domestic, what is the other income . Second question is that we have been talking about getting into the LCV business. Just want to understand what will be our edge in the LCV business and what will we provide? How long it will take for us to reach a steady state? And if and when we reach a steady state, what would be the revenue potential in tha t LCV segment?
P Kaniappan: Lakshminarayanan, the second part of your question was not that clear. Can you say it again? This is related to LCV...
Lakshminarayanan: Yes. So on the LCV side, I understand that we are getting into LCV over a period of time. I want to understand if the business potential exists. What will be our edge? And then at a steady state, what is the revenue potential it can actually offer?
P Kaniappan: For the first qu estion, I would request the CFO to answer those numbers.
Sweta Agarwal: For the full year sales, we have sold about INR 2,176 crores in the domestic market. This is INR 1,671 crores in the OE customers and about INR 505 crores to the aftermarket customers. We have exported products worth INR 1,164 crores and service exports and other income is adding up to INR 598 crores.

P Kaniappan: Yes. Now com ing to your question on the LCV. We will be able to supply entire braking system for the LCV segment. It's hydraulic technology based from the air brake for the commercial vehicle, heavy and medium. And we have lined up quite a few products in that space because, the customers are also more or less the same.
Already, we have launched one product there, which is hydraulic electronic stability control. Volumes are low, but it's from a ZF global portfolio. We have already localized in our Oragadam site because it was needed when the ESC regulation was coming into India. We are currently selling about 400 numbers a month, roughly. But this volume will increase from September 2025, when the c overage extends to all the buses. Right now, it is only factory -fitted buses are using. So it will increase. That is number on e.
Number two, when the new regulation comes, along with ADAS, this ESC, electronic stability control is applicable to all vehicles. So the vehicles which are essentially 3.5 tons to probably 7

tons. For t hose vehicles will need hydraulic ESC.
So we are already ready with the product, which is largely localized in India. This will be one of the first products. Then, of course, there are many other portfolios that are available, which are very differentiating in nature, where there are not many c ustomers who have those products.
So one by one, we are going to localize.
To your question, roughly, our estimate right now, maybe in a matter of 5 years from now, it should be in the range of EUR 90 million. Very rough estimate.
Lakshminarayanan: And who are you displacing here? I mean, is there another competitor , because in the heavy commercial vehicle, we do have -- we have a clear majority in terms of market share. In LCVs, how does it pan out, sir?
P Kaniappan: Actually, in this particular segment, where we are supplying the hydraulic ESC, there is no player in India right now, because this is a light commercial vehicle, not a pass enger car segment.
Light commercial vehicle segment, while there are players who are supporting the market with certain products, but the one that we are offering right now, there's no one. So it all depends on technology -wise.

The hydraulic ESC to those customers, for example, customers like Force Motors, Mahindra, Swaraj Mazda type of customers, where it's a particular segment. That's why volume today is less, as I said, but it will increase. We're not displacing anyone. We cam e to the market because there was nobody available with the product at the time 3 years ago. Customers, I think competition will emerge, but still, we will be playing a major role there.
Moderator: We will take our next question from the line of Shravan Iyyappan from Avendus Spark.
Shravan Iyyappan: Just one question on how is the company thinking about localization of these new advanced products that have been highlighted in the recent notification? And any updates on time lines and guidance on margins that can be provided, sir?

P Kaniappan: Yes, So see, basically, in India, without localization, it is difficult to sustain and grow. So our model is, we generally do a phased localization. In the normal time frame, the volume is not very clear. But in this type of regulatory -driven requirement, the volume is clear. Volume is generally very viable to do localization, at least in many of the parts.
So we are already having clear plans to localize many of the systems, except some, for example, a camera or a radar, it may still be economical to source from global locations where there's a huge global volume, so you get a scale advantage. The other part s, we will have a phased localization of all other parts.
Mechanical parts definitely we'll be completing. Even some electronic parts, based on the scale, the volume, we have plans to localize. Things like radar and camera, we are still exploring, because the advantage of ZF is that we have a business with the pa ssenger car segment also.
At least in future, there is some plan ts happening in India and other legal entities. But then we are exploring if there is a possibility to initiate localization. We have clear plans, except that camera and radar, most other items we will localize.
Shravan Iyyappan: Okay, sir. Understood. Just one more question on how is the competitive landscape around this segment, like these products that we're entering? And what can our market share be in this segment?
P Kaniappan: It's very difficult to say now because the regulation time line has been already announced now, but there are a few players globally who have the products. Our advantage always is our footprint, our competency, our connect with customers. So we would like to remain as a strong lead player.
But then we are definitely having a lot of competitive advantage in terms of local engineering strength, local manufacturing capability, very strong national footprint.
Also excellent connect with the customers, service function people, so that any issue that comes in the field, we'll be able to support, and multiple differentiation we have created over the years.
So we believe we will maintain our lead position.
Moderator: The next question is from the line of Shubham Bhatra from AMBIT AMC.
Shubham Bhatra: I have 2 questions. First is, in the last 2 quarters, we have shown significant improvement in the margins. And going ahead, could we get some kind of a guidance on what kind of margins are we headed in? Can we further see some improvement? And secondly, o n the LCV side, the product that we have launched, what would be the approximate content per vehicle for this product?
P Kaniappan: What is the second question, which product you're referring to?
Shubham Bhatra: LCV.
P Kaniappan: Okay. So the first question, you have to evaluate us based on our past performance. But generally, we don't give guidance on this matter. While our key focus is to continue to improve

our margin, but okay, we

can say we will try to at least protect the current position. LCV, again,
it's an evolving thing. There are a few products already we have lined up. Maybe too early to commit.
But if you look at the product that I indicated, it's typically about INR 20,000. If you add some more products, maybe we can talk about INR 25,000 value per vehicle could be a target we can start with. Again, most of the sales will start coming once the ADAS regulation kicks in.
Moderator: We will take our next question from the line of Rakesh Jain from Axis AMC.
Rakeshkumar Jain: Sir, can you just a bit explain us on your gross margin change quarter -on-quarter? How should one look at it, let's say, from your product mix perspective?
P Kaniappan: Yes, I would request our CFO to answer.
Sweta Agarwal: Our gross profit change has been in the range of about 7% to 10% quarter -on-quarter with the last quarter being a 4.5%. On an average, you can say that we've been improving our profitability by about 4% to 7% overall. This is driven by, of course, our product mix. Our highest margins are on our aftermarket segment. And whenever we improve the share of aftermarket, we see an improvement in our margins. But our largest driver rather than the product mix is our focus on cost management, improvem ent in our material productivity and focus on our production costs.
Rakeshkumar Jain: Okay. And just to reconfirm, what has been our overall export number, including the product and serv ice business this quarter?
Sweta Agarwal: This quarter, our exports of products has been INR 297 crores and export of services has been INR 112 crores.
Moderator: The next question is from the line of Preet from InCred AMC.
Preet: I would like to ask on the working capital. Although revenue were down in FY '21, I can see that there was still increase in the working capital and majority of the increase pertains to the increase in debtor days. So if you can just brief about is this onetime or we have changed the terms?
Sweta Agarwal: In the last year, we did change our terms for some of the customers from 45 days to 60 days and some even to 90 days. it works on both sides. So it's always a commercial negotiation in terms of balancing the payment terms with other commercials that we see .
Preet: So how do we expect it in coming? So now will we take FY '25 base or how much should we expect in the coming years?
Sweta Agarwal: You can take FY '25 as a base. We would not provide a guidance on how this is going to develop.
Preet: Okay. And what would be our capex guidance for FY '26 and FY '27?

Sweta Agarwal: We are expecting to have a capex spend of about INR 190 crores for FY '25 -'26. This would be more towards expansion of our Oragadam plant and introduction of some lines at some of the other plants for export support and all that.
Preet: Okay. And one last question from my side. How much will be onetime impact in the quarter 4 in the margins like we had in quarter 3? Is there any onetime impact?
Sweta Agarwal: There are no onetime effects in the quarterly results this time. All routine and repeatable.
Moderator: The next question is from the line of Arihant from Bowhead Capital Advisory.
Arihant Baid: Sir, please, can you just say once again what were your expectations regarding ADAS regulations? When are they expected to come?
P Kaniappan: Yes. So see, the government has already notified. Draft notification, I think, calls for implementation from October 2026. There's a lot of discussions happening. And of course, there are many stakeholders. OEMs put forward their proposal because these thi ngs need time to implement. So our assumption is at least it will be from October 2027, before then. But then for your planning, roughly that could be a time line.
Arihant Baid: And sir, will this be implemented like for all

vehicles at the same time? Or will it be in phases?
Like for some category of vehicles, it will be earlier, and then later for some other categories?
P Kaniappan: Again, this is a decision of the government of India. So we can only read from our past experience. AEBS was mandated 100% in all the M3 vehicles full on time. There are a few technologies adopted for select vehicles. But this draft regulation calls for im plementation almost all the applicable vehicles. But we have to wait and watch how the discussions happen, how the government is going to finally decide.

Even if it comes in a split manner, again, maybe next within a year, the rest of the vehicles will be covered. For example, in the buses, I think April 2024, the ESC was mandated for certain applications. Now by September 2025, the government covers other buses as well. So we have to, again, just wait and understand how this is going to come. But this time, most likely, it may come for all applicable vehicles also.

Arihant Baid: Okay. Sir, and my next question was like for export, can you give some color on how like the compressor sales have been? Have we onboarded any new customer? And also, can you give some color on how the actuators and brake chamber sales are proceeding to Vo lvo? And have we onboarded any new customer in that space?

P Kaniappan: Okay. So one new customer we have onboarded for actuators. That's what I said, it is Actuator 4.0. This is for Volvo Global. And of course, we expect the actuators and brake chambers will keep expanding, because these products are doing very well, and in t erms of competitive positioning, we are in a much better shape.

Compressors per se , in the last year, we onboarded 2 new customers. Daimler AG globally, heavy -duty compressors. So we started now almost 1.5 years, we have started supplying. So we

expect the volume to keep increasing because, again, our understanding is these products are doing well. Customers may expand this to certain new regions, new locations. So these are all the possibilities. Similarly, we started with compressor plate DAF, one version 440 cc, then it got expanded to 563 cc. So again, these products, in terms of performance and in terms of competitive positioning, we are in a good shape.

The electronic control for air suspension, which we were supplying it to BMW, there are some challenges, maybe the challenges related to all this global EV transition and all those things. So some drop in the numbers today. But then the technology is there . We will look at possibilities to sell, of course, this year.

We're not directly in touch with the customer. We are depending on our product line colleagues to expand these products to markets where we can add value. So right now, beyond this, we have not added any new customers with certain global challenges now wit h all the geopolitical issues. If certain new opportunities emerge, then volume could further increase. But we are waiting and watching the evolving situation. But as such, we are well positioned to support from our, not only Mahindra City, now we have expanded this to Oragadam site. Th e actuators and brake chambers, we have already shifted partly the new business to Oragadam. So getting ready to support whatever increase that can happen in the near term.

Moderator: Ladies and gentlemen, in the interest of time, we will take this as our last question. I now hand the conference over to the management for closing comments.

P Kaniappan: I would like to thank all of you. All are very interesting and very good questions. So I hope our answers were able to help you to understand the evolving situation. But we see huge opportunity in front of us in terms of new regulations. We also see some p ositive numbers in vehicle production in the past 2 months. And we are getting ready to test the new o

pportunities that are
evolving in front of us. Thank you.

Moderator: Thank you. On behalf of Batlivala & Karani Securities India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: Aug 2025

•

ZF Group

ZF Commercial Vehicle Control Systems India Limited

(Formerly known as WABCO I
NDIA

Limited)

Plot No.3 (SP), Third Main Road,

Registered Office: Plot No.3 (SP), Third Main Road,

Ambattur Industrial Estate,

Ambattur Industrial Estate, Chennai
-

600058. India

Chennai
-

600058. India

CIN: L34103TN2004PLC054667

Phone: +91 44 4224 2000

Phone: +91 44 42242000. Fax: +91 44 42242009

Fax: +91 44 4224 2009

www.zf.com

www.zf.com

Commercial Vehicle
Solutions

Department

Finance

From

Muthulakshmi M

P
hone

+91 044
-

4224 2000

Em
ail

muthulakshmi.m
@zf.com

Date

August 20
,
202
5

ZF Group
.

ZF Commercial Vehicle Control Systems India Limited
, Chennai 600058

The Manager

Listing Department

BSE Limited, Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Scrip code: 533023

Listing Department

National Stock Exchange of India Ltd

Exchange Plaza, C
-
1, Block G

Bandra
-

Kurla Complex

Bandra
(E), Mumbai 400 051

Trading Symbol
: ZFCVINDIA

ISIN : INE342J01019

Dear Sir(s),

Sub: Transcript of the Investor Call held for the quarter ended June 30, 2025

In continuation of our letters dated 31st July 2025 and 14th August 2025 pursuant to intimation and recording of investor's call, we hereby inform that the transcript of the call has been uploaded on the website of the Company and the same can be accessed through the following link:

https://www.zf.com/mobile/en/company/investor_relations/zf_cv_india_investor_relations/zf_cv_india_ir.html#

Request you to take the above
information
on record.

Thanking you,

Yours sincerely,

For
ZF Commercial Vehicle Control Systems India Limited

Muthulakshmi M

Company Secretary

“
ZF Commercial Vehicle Control Systems India
Limited

Q
1

FY '2
6

Post Results
Earnings Conference Call
”

August

14
, 202
5

M
ANAGEMENT
:

M
R
.

PARAMJIT CHADHA – MANAGING DIRECTOR – ZF COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA LIMITED

MS. SWETA AGARWAL – CHIEF FINANCIAL OFFICER – ZF COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA LIMITED

MR.

SHANKAR VENKATACHALAM – HEAD OE BUSINESS – ZF COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA LIMITED

MR. M. MUTHULAKSHMI – COMPANY SECRETARY – ZF COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA LIMITED

Moderator:

Ladies and gentlemen, good day, and welcome to the ZF Commercial Vehicle Control Systems India Limited Q1 FY '26 Post Results Earnings Conference Call hosted by Batlivala & Karani Securities India Private Limited.
As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes.

Should you need assistance during this conference call, please signal an operator by pressing star then zero on your touch-tone phone

.

Pl
ease note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from Batlivala & Karani Securities India Private Limited. Thank you, and over to you, sir.

Annamalai Jayaraj:

Thank you. Good afternoon. Thank you for joining us today, and I welcome to

ZF

Commercial
Vehicle Control Systems India Limited call to brief you on the Q1 FY 2025, '26 quarterly earnings. Today, the first quarter earnings for FY '25
-
'26 will be presented by the management team of the
ZF
Commercial Vehicle Control Systems India Limited.

Your host today from the
ZF
Commercial Vehicle Control Systems India Limited are Mr.
Paramjit Chadha
, Managing Director; Ms. Sweta Agarwal, CFO; Mr. Shankar, Head of OE Business; and
M.
Muthulakshmi
, Company Secretary.

I now hand over the call to Mr. Paramjit
Chadha
, who will provide further insight into the results.
Over to you, sir.

Paramjit Chadha:

Thank you, Jaya
raj
. Good afternoon to all of you. I warmly welcome you all to ZF Commercial Vehicle Control Systems India Limited Q1 results for financial year
2025
-
'26. This is my maiden
call after joining as Managing Director from 1st July. Certain forward
-
looking statements that
we will be making today are based on management's good faith and expectations concerning future developments.

As you know, the actual results may differ materially from these expectations because of multiple factors. ZF Commercial Vehicle Control Systems India Limited's results for the quarter ending June 30, 2025, were published on August 12. They are available o
n the website,
www.zf.com, under the
ZF CV India Investor Relations

section. We hope that you have had an

opportunity to go through them. A transcript of this recorded audio of this call will also be made available on the website at www.zf.com under the ZF CV India Investor Relations section.

I am happy to talk to you today as we give you an update about the business of the company by going through first the economic update and commercial vehicle and then about the company update. Regarding the industry and economic updates, I would like to start talking about a few key macroeconomic aspects relevant to our industry. The global environment continues to be challenging.

Global growth, though revised upwards by IMF remains muted. The pace of disinflation is slowing down with some advanced economies even witnessing an uptick in inflation. However, the current geopolitical scenario remains volatile and its impact on economy is not very clear.

Domestic growth remains resilient and is broadly evolving along the lines of RBI's assessment. Private consumption aided by rural demand and fixed investment supported by buoyant government capex continue to boost economy activities. On the supply side, a steady Southwest monsoon is supporting kharif sowing, replenishing reservoirs water levels and boosting agriculture activities.

Moreover, Service sector activity remained robust. However, growth in industrial sector remain a little subdued and even across segments pulled down by mining industry. As for the growth outlook, the above-normal Southwest monsoon, low inflation, rising capacity utilization and congenial financial conditions continue to support domestic economic activity.

The supportive monetary, regulatory and fiscal policies, including robust government capital expenditure should also boost domestic demand to some extent. The service sector is expected to remain buoyant with sustained growth in construction and trade in the coming months.

Prospects of external demand, however, remain uncertain amidst ongoing tariff announcements and trade negotiation. The headwinds coming from prolonged geopolitical tensions, persisting global uncertainties and volatility in global financial market pose risk to the growth outlook.

Taking all these factors into account, projection for real GDP growth for 2025, '26 has been retained at 6.5%, with Q1 at 6.5%, Q2 at around 6.7%, Q3, 6.6% and Q4 6.3%. Real GDP growth for Q1 2026 will be around 6.6% as projected. The risks are evenly balanced and most of this information is sourced from the RBI bank.

Indian commercial vehicle industry situation, depending upon this economic situation is important to be discussed here. In Q1 FY '25, '26, the automotive sector continued to an upward trajectory, recording a 4.9% increase in retail sales. The commercial vehicle CV industry, however, presented a mixed picture.

While retail sales saw a modest 1% growth as per FADA, production of CVs above 6 tons surged by around 7.7%, maintaining the strong momentum from Q4 of 2024-'25. This production boost was largely driven by the prebuy impact of new AC cabin mandate, which was started implementation from 7th June '25 for the trucks, which notably defined typical seasonal trends where the volumes in first quarter were not used to be so high.

However, the overall CV mix was impacted by a slowdown in the heavy-duty segment, particularly on the tippers due to a dip in the industrial activity and significant decline in the mining industries. While this production surge may temporarily affect Q2 volume, we remain optimistic about a strong rebound in the second half of the financial year.

The upcoming festive season, a favorable monsoon forecast supporting agriculture activities and continued government investments in infrastructure are expected to drive robust demand and sustained growth.

Looking ahead, the CV industry is poised for transformation. Key trends such as the expansion of commerce and adoption of advanced global fleet solution like ADARs, e-mobility and improvements in road infrastructure will be major growth drivers for commercial industry.

At the same time, heightened focus on sustainability and increasing adoption of gross cost contract model by state transport undertaking are expected to accelerate the penetration of electric vehicles, especially on the buses side. After this, I had like to share some insight into the specific initiatives undertaken by company during Q1 '25-'26. Coming to the OE sales. In Q1 '25-'26, our OE sales grew by strong 7.8%, in line with the broader commercial vehicle industry performance in the Q1.

Despite headwinds from an unfavorable model mix and a flat trailer market, we sustained growth through increased penetration of advanced technologies such as AMT, which is called Automated Manual Transmission and ECOS Electronically Controlled Air Suspension and strategic push into e-mobility solutions like electronic compressor and EBS called Electronic Braking System.

Looking ahead, the outlook for CV industry remains optimistic with multiple indicators pointing towards sustained rebound. In anticipation of this upswing, we are executing a series of strategic initiatives aimed at enhancing our competitiveness and unlocking long-term value.

For example, we are prioritizing the penetration of advanced trailer technologies, including trailer ABS, trailer EVS and Scholar EvoPulse telematics solution in alignment with AIS 113 trailer revolution and growing demand for safety and operational efficiencies demand in the trailer fleet.

The upcoming electronic stability control regulation for buses effective September '25 present a significant growth opportunity. We are fully prepared for volume ramp-up and have already seen an increase in demand from key customers ahead of the mandate. Our product launch pipeline remains strong with new introductions such as exhaust brake wall, automatic traction control and expanded adoption of OptiDrive AMT and OptiRide

(
E
CAS)
.

We are also depending
--

deepening our presence in electric vehicle segment with targeted
efforts to expand the reach of our e
-
compressor and EBS systems among independent bus
manufacturers. Beyond the near
-
term rebound, we also see long
-
term growth driver
s emerging
from regulatory evolution and rapid adoption of electric mobility.

The recent draft notification from Government of India mandating advanced driver assistance
system, ADAS, including features such as
Advanced Emergency Braking
, AEB,
Lane Departure
Warning System
, LDWS,
Moving Of Information System
, MOIS,
Blind Spot Information
System
, BSIS, and drivers' drosiness attention warning marks a transformative shift for CV
industry. We are actively collaborating with major OEMs to ensure readiness and timely
compliances.

In parallel, the accelerated production of electric buses presents a significant opportunity for us.
Our advanced e
-
mobility portfolio, including e
-
compressor, EBS, ESC and e
-
cars positions us
as a technology partner in this evolving landscape. These devel
opments underscore our long
-
term growth trajectory and strategic alignment with future of commercial mobility.

Coming to aftermarket performance, building on our success for the previous financial year, the
aftermarket business achieved a growth of 9%

over Q1 of 2024
-
'25
--

this is driven by focused

execution across multiple projects in diverse segments. We continue to strengthen customer relationship, receiving repeat orders for ADAS driver behavior monitoring systems for their employee transport services.

We also advanced retro fitment opportunities, including trailer ABS system for application on fuel carrier and substitution of industrial compressor with some of our automotive compressor range for industrial use.

In the recent and important market development, petroleum companies have issued tenders for LPG transportation contracts with a mandatory requirement for trailer electronic braking system. in Karnataka, Gujarat, Assam, Rajasthan and trailer anti-lock brake system in other states. This is a regulatory change is creating a significant aftermarket retrofitment opportunity in the vehicles which are already on the road. We anticipate adoption of trailer EBS and trailer ABS solution in financial year '25-'26, further strengthening our leadership position in trailer safety technology.

Regarding exports, in Q1 2025, '26, we saw a decline in export by 11.6% over Q1 '24-'25. The drop in volume is largely attributed to a decline in demand for compressors and braking components from OEM in U.S. The decline was partially compensated by an increase in demand for compressors and modulator doors control system from OEMs in the EMA European market.

Looking ahead, the export order book forecast is challenged, considering the geopolitical impacts. While this presents a short-term challenge, we remain committed to proactively navigating these changes.

Regarding services export, the export of services recorded a growth of 11.9% in Q1 2025-'26 compared to the same quarter last year, driven by a sustained increase in IT engineering and bus iness services delivered from India to our global centers. This reflects India's strength as a global engineering hub. Our commitment on ESG also a lot of activities have been done.

As part of our ongoing commitment to sustainability and operational excellence, I'm pleased to share some of the significant milestones we have achieved in the first quarter of '25, '26. Our Ambatur, Chennai plant was honored with the prestigious CII EHS Excellence Award in the gold category, the highest recognition in its class.

Simultaneously, our Mahindra World City Chennai plant secured the Silver category Award and received a special award from CIA for the best carbon footprint reduction. and an acknowledgment of our focused effort towards environmental responsibility.

In pursuit of operational excellence, we implemented several energy efficiency initiatives across our sites, resulting in an estimated energy saving potential of 4%. These efforts included optimizing compressed air system and reducing idle time for energy-intensive machinery, contributing meaningfully to our sustainability goals.

Further reinforcing our commitment to phasing out fossil fuel, we successfully electrified the canteen operations at the Mahindra World City, Chennai plant. This transition is expected to

save approximately 60,000 liters of diesel and 40 tons of LPG annually, effectively eliminating around 259 tons of CO2 equivalent emission approximately.

Regarding engineering update, we have commenced pilot production of single tyre lift axle for a leading OEM, an important step towards commercial rollout. The company is also working with customers on advanced e-mobility solutions.

During the quarter, we inaugurated our state-of-the-art innovation lab at the hardware design center in Ambatur, Chennai, reinforcing our commitment to advanced engineering and local R&D capability. To support the growing demand for test operations, we have commissioned a 300-kilowatt high-tension transformer for our test track for the vehicle testing.

Markets on the manufacturing side, we continue to strengthen our manufacturing capabilities and scale up advanced technology products from our new multidivisional facility at Oragadam. This state-of-the-art plant is now producing key components such as e-compressor and hydraulic ESCs for e-mobility.

Air system protector ASP cartridges for Indian OEMs and a range of Wheel-end products, including actuators, brake chambers and automatic slag adjusters for both our domestic as well as export markets.

In Q1 2025, '26, we successfully launched several new products tailored for Indian truck and trailer OEMs as well as for the aftermarket. These include brake chambers, air dryers, door control systems, electronic control units.

To support this growth, we are scaling our manufacturing capacities across all the plants for braking system products, positioning ourselves to capitalize on the emerging opportunities. We have also upgraded assembly lines at our Jamshedpur, Lucknow and Pant Nagar plants, enhancing our manufacturing footprint.

These upgrades have significantly improved delivery performance, operational flexibility and customer responsiveness.

While also contributing to our sustainability goals by reducing transportation-related emission and also using recyclable type packaging.

On the corporate responsibility side, in the first quarter of 2025, '26, we continue to progress in our community development and sustainability initiatives. As part of our efforts to promote road safety and enhance public infrastructure, we installed solar-powered traffic signals and solar-based high mass light across Kanchipuram and Chengalpattu district.

We are also investing in skill development initiatives to boost employability and empower the next generation of skilled professionals for building future-ready talent, over 200 youth have been trained in foundational manufacturing skill through the National Apprenticeship Promotion Scheme (NAPS)

Regarding awards and recognition, I'm pleased to share that Q1 of 2025, '26, our teams have collectively earned 25 awards and recognitions from esteemed industry forums, including CII, ACMA, CVF and QCFI. This outstanding achievement include five national level awards, five regional level awards and 10 state and zonal awards.

These accolades are testament to our commitment to excellence, innovation and continuous improvement.

And now moving to the financial performance. I would request Sweta Agarwal, our CFO, to run through the details.

Sweta Agarwal:

Good afternoon, participants. The results of the company were made public at 06:07 P.M. on 12th August 2025. I hope you've had a chance to go through this. I'm pleased to share that we delivered a strong performance in Q1 FY '25-'26. The consolidated revenue for the quarter ended 30th June '25 was INR 1,042.15 crores compared to INR 971.06 crores in quarter 1 of the previous financial year, a 7.3% year-on-year increase.

This is the second consecutive quarter where we have exceeded earnings of INR 1,000 crores. Our profitability also grew significantly as the company recorded a profit after tax of INR 122.38 crores. This is up from INR 99.43 crores in Q1 of the previous year, representing an impressive 23.23% year-on-year growth. This is on account of various portfolio and cost management actions taken by the company over the last year.

Our profit before tax stood at 19.4% of product sales in Q1 FY '25-'26, and we achieved our highest ever EBITDA margin of 23.42% in Q1 FY '25-'26. This performance underscores the strength of our business fundamentals, the effectiveness of our strategic in itiatives and the dedication of our teams. Our engineering and other services continue to create value for our group customers.

Service income grew by 19.19% at INR 123.2 crores compared to the same quarter of last year. On the exports, we recorded degrowth of 11.6% over the corresponding quarter of the previous year, totaling out at INR 245.5 crores, largely driven by a reduction in demand from the US, but partially offset by increases from EMEA.

I'm now handing over to Mr. Chadha for his remarks.

Paramjit Chadha:

I would like to end our speech on a high note by reaffirming that ZF CVCS is confidently positioned as a technology leader in future mobility with strong capabilities in AMT, ADAS and e-mobility, we are shaping the future of commercial vehicle and driving sustainable transformation across the industry. Thank you very much for your participation. And now we welcome the questions.

Moderator:

The first question is from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf:

My first question is on the margins. While we've seen gross margin has improved sequentially, the EBITDA margin has kind of come off. So this -- we're seeing that employee costs and other expenses have gone up more than the increase in revenue. So could you give some sense on what has led to this increase in these overheads? Is there any one-off within these?

Sweta Agarwal:

Hi Mukesh, good afternoon.

So we implemented the annual salary revision of approximately 7% effective 1st of April. So you see that impact coming across when you're comparing it to the last quarter. And there was, of course, a onetime effect of the true-downs due to differential rate of discounting for the gratuity valuation on 31st of March.

So when you are again comparing it to the previous quarter, it looks like it's disproportionately higher. However, this is in line because the gratuity valuation is a onetime exercise per year. So that's why the impact appears as the tax.

If you compare it to the same period last year same quarter, the increment would be in line with the annual increments that have given.

Mukesh Saraf:

And Okay. Within the other expenses as well, there's nothing to highlight as such.

Sweta Agarwal:

Within the other expenses, no, there's regular warranty freights and so on. So nothing major as a onetime...

Mukesh Saraf:

Got it. Got it. And second question is on the ESC, like you mentioned that from September, we are going to see an increase in volumes. Could you give some sense on how much of an increase this could be? What's the number of sets that we're probably supplying now for buses on the ESC and how this could go up? And additionally, also for the hydraulic ESC, I think we were at about 400 units a month run rate. Could this also kind of see an improvement from September?

Shankar Venkatachalam:

This is Shankar here. On the ESC, the pneumatic ESC, what we are currently supplying to OEMs, we see roughly the volumes doubling from about 1,500 to 2,000 pieces per month to about 3,500 to 4,000 pieces per month. That's the kind of numbers that we are looking at come September.

We've already started seeing an uptick in the orders coming in from OEMs this month as they prepare for their body building and readiness of the vehicles for launch in September. So that's something that's already started.

On the hydraulic side, the impact would also be there, but not to that extent because I believe that some of the school buses and the city buses are still exempted. So that growth is not seen to that extent in the Hydraulics segment. There is a small marginal increase in the numbers that we see on the Hydraulics segment.

Mukesh Saraf:

Got it. Got it. And in some of the previous calls, we have mentioned that the trailer ABS as well, we should start seeing an increase in adoption. While this was mandated many years ago, the adoption is quite low. And I think in some of the calls, it was mentioned that we should start seeing that from this year onwards, there's going to be some push from the ministry as well. So any update on that?

Shankar Venkatachalam:

On the trailer ABS, we have a challenge because the enforcement is not there at the moment, though it has been mandated as part of the legislation, we find that the state transport authorities are still not mandating it. So we are taking it forward as a safety feature and also educating trailer manufacturers that these are the benefits that it can bring them and as well potential ROI and benefits that it can give them while they...

Mukesh Saraf:

Sure, sure. And just lastly, if I may, any update on these --

on the draft regulation that we kind of have in place for the ADAS. I think it was next year, but we haven't got an update on that as yet as to when that final notification would come?

Shankar Venkatachalam:

At the moment, it's still under discussion. As you know, after the draft legislation has come out, probably OEMs are also in discussion with ADMA. So there is a potential shift of the time line that we are expecting, maybe to the tune of six months to a year is what we are expecting, but the exact details will be known once it's officially out.

Moderator:

The next question is from the line of Mumuksh Mandlesha from Anand Rathi.

Mumuksh Mandlesha:

I just had one question, sir, on the ADAS opportunity. We have been always strong in the heavy commercial vehicle. Now since the regulation is applicable to some part of LCV and ILCV portion, which is less than 15 ton and more than 3.5 ton. How do you see our position and pr esence for this part of the segment for the ADAS function?

And also in earlier calls, we have indicated INR 65,000, INR 70,000 value for the ADAS content. Just wanted to check for the LCV part of the market, what --

how the content would be differ from the heavy commercial

part?

Shankar Venkatachalam:

On the overall ADAS portfolio, as you know, we are present in the pneumatic portfolio, very strong presence today. On the hydraulic portfolio, these are some of the products that we are trying to leverage from our parent company. At the moment, the products what we are --

have a challenge in terms of being cost competitive in the current market.

The cost of the current products, which are expected to be are much lower than in the frame of mind. So that's something that we are trying to evaluate while we look at how the market would tend to take up this product as well. So once we have better clarity on that, we'll be able to give that feedback.

Mumuksh Mandlesha:

Got it. So our presence would be more on the pneumatic portion of the opportunity for ADAS?

Shankar Venkatachalam:

That's correct. That's correct.

Moderator:

The next question is from the line of Kush Purav Shah from B&K Securities.

Kush Purav Shah
:

Sir, I had a couple of questions. First, sir, if you could give us the absolute number breakup for OEMs replacement and the export segment?

Sweta Agarwal:

Sorry, could you repeat your question, please?

Kush Purav Shah:

I wanted to know the absolute numbers for the quarter for the aftermarket, OEMs and the export segment?

Sweta Agarwal:

OEM is

INR 463 crores, aftermarket, about INR 135 crores and exports INR 245 crores.

Kush Purav Shah:

Coming to the long-term outlook, what is our strategy which you are taking for mitigating the demand cyclicity of the CV industry?

Sweta Agarwal:

Just repeat that again, please?

Kush Purav Shah:

What strategies is ZFCV taking to mitigate or derisk their business from the Indian CV industry? I mean it's the slowdown...

Sweta Agarwal:

So Kush, we typically would follow the demand cyclicity if this industry itself operates in a particular way. So from a domestic side, there would not be many opportunities to not operate within that cyclicity. Aftermarket is the only opportunity where we might be able to find certain segments where we could support even outside the cyclicity -- normal OEM large vehicle cyclicity.

Kush Purav Shah:

All right. All right. Okay. And for this quarter, I think sir mentioned some new product launches. So if you could elaborate or give some more insights on that on the new product launches?

Shankar Venkatachalam:

So on the new product launches, we have -- in Q1, we have expanded our presence in the e

-
compressors and the EBS systems. This is primarily driven from growth in electric bus segment. So in Q1, we have seen a significant growth in the electric buses, and this is driven by independent bus manufacturers. And also, we are looking to expand our presence in the AMT segment and position ourselves for launch of new products such as exhaust brake wall, automatic traction control and further growth of (ECAS)

Moderator:

The next question is from the line of Ankur Shah from Quasar Capital.

Ankur Shah:

Ma'am, just one question on the other income. Any specific reason why the other income was quite up this time?

Sweta Agarwal:

Yes. There is a positive impact of FX movement. So the rupee has depreciated against the euro significantly in the last quarter. And since we are a net exporter company, we saw a positive impact on the euro FX.

Ankur Shah:

So ma'am, will this impact continue to stay in the quarters going ahead or the pricing gets adjusted?

Sweta Agarwal:

The pricing doesn't get adjusted, but we don't see this kind of a volatile movement in the upcoming quarters, unlikely to happen to this kind of volatility...

Ankur Shah:

Sure. And second question is on the other cost. I think one gentleman did ask, but any specific reason why there was such a huge jump on other costs in spite of a 3% top line growth?

Sweta Agarwal:

So there are a couple of components in the other expenses, one of which is the CSR expenditure. So when you compare it to last year, the CSR expenditure linked directly to the profitability. Due to the higher profitability, therefore, you see that component in the other expenses. The second bit is there are some previous period reversals that happened in the last year, which is making it look as if this year's other expenses is higher. So otherwise, it's mainly normal business as usual.

Ankur Shah:

So ma'am, while we are modeling it out, shall we think of it that the quarters coming ahead will be without CSR and normalized for...

Sweta Agarwal:

The CSR would be spent month-on-month. And therefore, the CSR is linked to last year's performance and would remain similar across the rest of the 3 quarters of this year. Next year's CSR amount will therefore get linked to this year's performance. Okay.

Ankur Shah:

Okay. Got it. That is very clear. And sir, one last question for you. On the business front, a very maybe common question that with the clients from the US, because I assume that we were expecting some growth with respect to US exports and with whatever has come up as tariffs, do we hear from clients or the parent company about change in growth plans, about change in sourcing destination being India or some other market? Because now on a comparative basis, maybe European tariffs are quite lower than the Indian ones. So any thoughts over there?

Paramjit Chadha:

Yes. We have already started working on this direction, checking at all our supply chain across world. So there were IC export from one country to other. So maybe certain actions like some additional value addition in US and other things can be one of the area which will be worked out. But as of now, I would say, if you ask me some concrete plans, including discussion with the customers is already being worked out.

And I think it will take some more time to understand what are the overall stand being taken by our customers, global customers. So that will be -- and also being our safety critical part, it is sometimes very difficult to change the source very quickly. So it needs a lot of time for reapproval by sourcing the part from other countries. So it's not so fast that one can do.

Ankur Shah:

Sir, just one follow-up on that.

Moderator:

Sorry to interrupt, Mr. Shah, I request you to join the queue. The next question is from the line of Ajox from Sundaram Mutual Fund.

Ajox:

My one question is ZF winning three large test system orders for powertrain and tire manufacturing applications. How much of that will flow through to us? And what is the potential here?

Sweta Agarwal:

Ajox those products that you are mentioning are not part of the portfolio of this listed company. Hence, we will not be able to comment on that.

Moderator:

The next question is from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf:

There was one more draft notification end of July, which specified that for haulage tractors, we should have the vehicle location tracking devices as well as the event data recorders with similar time lines, October 26 and April 27, respectively. So is there an opportunity for us there as well? Because anyways, we will be kind of supplying newer components for the ADAS systems?

Shankar Venkatachalam:

We do have our own solution, the vehicle fleet management solution, which is already in series for other OEMs. There is also a newly launched platform called Scalar, which is the global platform that is being used with all the various options that are available, which can be used either as a data ingestion solution or as a hardware-agnostic option as well. So these are potential products that we could look at in the immediate term. So there is already ongoing engagement with each of the OEMs to see which solution fits their price bucket today.

Mukesh Saraf

:

Got it. Got it. And just lastly, the export revenues, could you give a mix of the country
-
wise
exposure? And how much would US be now and Europe probably?

Sweta Agarwal:

So typicall
y, we export about 50% to the U
S and 50% to the Europe. This
time, the mix could
be 55%, 45%, but not more than that for now.

Moderator:

The next question is from the line of Ankur Shah from Quasar Capital.

Ankur Shah:

Just continuing on the export front, we keep hearing that the tariff, the customers may ask us to absorb some pricing. So any thoughts over there, sir?

Paramjit Chadha:

See, we are

at present, mostly we are supplying to our intercompany unit and the customer
dealing is done by them. So I think if there are any thoughts, we will get that information. As of now, it is only internal discussions, and we are trying to calculate the impact
. And how our
customer will reimburse that I think that is to be concluded by our global team, and we will get to know in due course of time.

Moderator:

The next question is from the line of
Lakshminarayanan

from Tunga Investments.

Lakshminarayanan
:

I just wanted to understand what would be your top priorities for ZF in the next couple of years? And second, you have been with Nor Bren also earlier. And after taking over ZF, what are the areas where you think ZF needs improvement?

Paramjit Chadha:

Very difficult question, but I will answer it. Thank you for asking this question. It's almost 42 days I have joined, and I have gone through a visit of all my units, plants across
--

spread across
India, also visited most of the customers
--

so collecting

the data of what all the customer
expectations are there. See, the auto industry, especially commercial industry needs agility and flexibility on the demand fluctuation.

I think that is one area where every OEM is demanding this flexibility and every supplier is working towards that direction. I would say ZF is more, I think, tuned to this because of the multi-location plants near to the customer units. So every main customer plant, we have our manufacturing unit next to them. So that makes us much more flexible to serve them as compared to our competitor who have units only in one particular or 2, 3 locations.

So that is one advantage of ZF, which we would like to leverage. We are already leveraging it, and we will continue. And the second point for the growth is the change in the demand in commercial vehicle as more and more technology is being adopted. Definitely, it is mostly driven through the regulations -- but there are some very good fleet companies who are demanding safety features. So our team is in touch with the fleet companies to promote parts, which give more safety efficiency.

As Shankar has mentioned, we have telematics solution. We are also already having association with one OEM for uptime monitoring through the software-based solution. So these are various positive points for ZF to enhance the growth by giving not only brake system, we are now into transmission also. and this AMT and other products and then clutches. So many, many products are additional to as compared to the competitors, which you mentioned.

Lakshminarayanan: Got it. And what would be your key priorities for ZF in the next few years as you have taken this leadership role?

Paramjit Chadha: Yes, that's what I mentioned that our manufacturing footprint, which we already have some footprint, we are studying how do we have more and more closer to our customer to offer the products at a fluctuating demand so that we don't lose any business to the OEM when the exponential growth happens.

So for that, we are working on our portfolio management again. And technology is another area where our teams are promoting in order to ensure that going forward, our vehicle
--

I would say,
content per vehicle should increase with these launches of the ne
w technology.

For example, ADAS, the content per vehicle will grow exponentially when the ADAS like items are added into the vehicle. If you compare the content per vehicle of a European and U.S. vehicle, it is much higher because of various features which are being off
ered. Even now the ADAS
regulation is talking about five type of features, whereas globally, there are up to 24, 25 features.

So once the regulatory requirements increase, we are having
scalable ADAS system, and we are
ready for the future. So I would say that next few years, any regulatory changes, ZF is having that technology already into our portfolio.

Moderator:

The next question is from the line of
Harikrishnan Nair

from Geojit Financial Services Limited.

Harikrishnan Nair
:

I just want to know like what is the kit size value that you are giving to the OEMs right now? And could you give some growth projection on that? And my
--

on a medium
-

to long
-
term
basis? And the second thing is that other than the US and Europe, are you
planning to expand
your presence in other geographical markets?

Paramjit Chadha:

Yes. Okay. I think, Shankar, you can take it.

Shankar Venkatachalam:

So

to answer you, today, we are somewhere
hovering between
INR
40,000 to
INR
44,000
content

per vehicle. And this is again depending on the model mix that we are having. Looking at variations of vehicle model mix, the VPV also changes. With potential new technologies that we are looking to launch in the market as well as upcoming IRAS legislations, I think over the next 2 years, we can hope to grow all the way up to about INR 1 lakh. So that's the opportunity that presents itself with the technology that we have as well as the potential the market comes across.

Sweta Agarwal:

Your second question with respect to export opportunity -- sorry?

Harikrishnan Nair:

Yes, sir. Yes, yes.

Sweta Agarwal:

Okay. Your question with respect to export opportunities, we do have some small supplies to the Far East to Korea and Japan. And as the other countries mature, but these are still small quantities. And depending upon the global portfolio, we may be able to supply as the other markets mature.

Moderator:

As there are no further questions from the participants, I now hand the conference over to the management for closing comments.

Paramjit Chadha:

Thank you very much for very relevant questions, and we are here to ensure that we grow as the market grows and also grow a little higher than the market. These are the targets which we are trying to take for ourselves, and thanks for your support always.

Moderator:

On behalf of Batlivala & Karani Securities India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines

.

Paramjit Chadha:

Thank you.

Call: Nov 2025

•

ZF Group

ZF Commercial Vehicle Control Systems India
Limited

(Formerly known as WABCO I
NDIA

Limited)

Plot No.3 (SP), Third Main Road,

Registered Office: Plot No.3 (SP), Third Main Road,

Ambattur Industrial Estate,

Ambattur Industrial Estate, Chennai
-

600058. India

Chennai
-

600058. India

CIN: L34103TN2004PLC054667

Phone: +91 44 4224 2000

Phone: +91 44 42242000. Fax: +91 44 42242009

Fax: +91 44 4224 2009

www.zf.com

www.zf.com

Commercial Vehicle
Solutions

Department

Finance

From

Muthulakshmi M

P
hone

+91 044

-
4224 2000

Em
ail

muthulakshmi.m
@zf.com

Date

November 12
,
202
5

ZF Group
.

ZF Commercial Vehicle Control Systems India Limited
, Chennai 600058

The Manager

Listing Department

BSE Limited, Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Scrip code: 533023

Listing Department

National Stock Exchange of India Ltd

Exchange Plaza, C
-
1, Block G

Bandra
-

Kurla
Complex

Bandra (E), Mumbai 400 051

Trading Symbol
: ZFCVINDIA

ISIN : INE342J01019

Dear Sir(s),

Sub: Transcript of the Investor Call held for the quarter ended September 30, 2025

In continuation of our letters dated 31st October 2025 and 6th November 2025 pursuant to intimation and recording of investor's call, we hereby inform that the transcript of the call has been uploaded on the website of the Company and the same can be accessed through the following link:

https://www.zf.com/mobile/en/company/investor_relations/zf_cv_india_investor_relations/zf_cv_india_ir.html#

Request you to take the above
information
on record.

Thanking you,

Yours sincerely,

For
ZF Commercial Vehicle Control Systems India Limited

Muthulakshmi M

Company Secretary

Internal

“
ZF Commercial Vehicle Control Systems India
Limited

Q
2

FY

25
-
2
6

Post Results
Earnings

Conference Call
”

November

0
6
, 202
5

M
ANAGEMENT
:

M
R
.

P
ARAMJIT
S
INGH
C
HADHA

–

M
ANAGING

D
IRECTOR

–

ZF

C
OMMERCIAL
V
EHICLE
C
ONTROL
S
YSTEMS
I
NDIA
L
IMITED

M
S
.

S
WETA
A
GARWAL

–

C
HIEF
F
INANCIAL
O
FFICER
–

ZF

C
OMMERCIAL
V
EHICLE

CONTROL SYSTEMS INDIA LIMITED

MR. SHANKAR VENKATACHALAM – HEAD OF OE SALES – ZF COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA LIMITED

MS. MUTHULAKSHMI – COMPANY SECRETARY – ZF COMMERCIAL V

Moderator:

Ladies and gentlemen, good day, and welcome to ZF Commercial Vehicle Control Systems
India
Limited Q2 FY '26 Post Res
ults Earnings Conference Call.
As a reminder, all participant
lines will be in the listen
-
only mode and there will be an opportunity for you to ask questions

after the presentation concludes. Should you need assistance during the conference call?

Please
signal an operator by pressing star then zero on your touch
-
tone phone.

Please note that thi
s
conference is being recorded.

I now hand the conference over to Mr. Jayaraj. Thank you, and over to you, sir.

Sorry sir Just a
moment I am unmuting you.

You can start, Mr. Ja
ya
raj.

Annamalai Jayaraj:

Y
a
. Thanks. Good afternoon. Thank you for joining us today. I welcome you all for the ZF
Commercial Vehicle Control Systems India Limited earnings call to brief on the Q2 FY 2025,
'26 quarterly earnings, which will be presented by the management team of ZF C
ommercial
Vehicle

Control Systems India Limited.

Your host today from ZF Commercial Vehicle Control Systems India Limited are Mr.
Paramjit
Singh Chadha
, Managing Director; Sweta Agarwal, CFO; Mr. Shankar Venkatachalam, Head
of Sales
--

OE sales and M
s
. Mu
thul
akshmi, Company Secretary. I now hand over the call to
Mr.
Paramjit Singh Chadha
, who will provide further insights into the results. Over to you, sir.

Paramjit Singh Chadha
:

Thank you, Ja
yara
j. Good afternoon to all. I warmly welcome all of you to ZF Commercial
Vehicle Control Systems India Limited Second Quarter Results Call for the year '25
-
'26. Here,
certain forward
-
looking statements that we will make today are based on the management's go
od
faith and expectation concerning future developments. The actual results may differ materially
from these expectations because of multiple ongoing factors.

ZF Commercial Vehicle Control Systems India Limited's results for the quarter ending September 30, 2025, were published on 4th November 2025. They are available on the website, www.zf.com, under the ZF CV India Investor Relations section. We hope that you have had an opportunity to go through that. A transcript of and recorded audio of this call will also be made available on the website, www.zf.com, under the ZF CV India Investor Relations section...

Moderator:

Sorry to interrupt, sir, but there is a slight disturbance in the management's line. I will reconnect you. Just a moment, sir.

Paramjit Singh Chadha:

Okay. Yes. So continuing from where we left, I am happy to talk to you today as we gave you an update about the business of the company, including the market and the economy, industry and economy updates. So let me begin by highlighting a few key macroeconomic aspects relevant to our industry.

The global environment continues to remain volatile. Global GDP growth is projected to slow down from 3.3% in 2024 to 3.2% in 2025 and expected at 3.1% in 2026. This is based on the various indicators from world economy outlook and global economy influx-related portals.
However, India's real gross domestic product GDP, driven by strong private consumption and fixed investment recorded a robust growth of 7.8% in Q1 2025, '26.

Moving forward, we have brightened prospects of agriculture, resiliency in service sector, rising capacity utilization, conducive financial conditions and improving domestic demand should continue to facilitate fixed investment.

Globally, while ongoing tariff and trade policy uncertainties may decrease external demand for

goods and services, the implementation of growth
-
inducing structural reforms within India, such
as
streamlining of GST are expected to offset some of the adverse effec

ts of the external
headwinds. Taking all these factors into account, the real GDP growth for '25
-
'26 is now
projected at 6.8% with Q2 at 7% and Q3 at 6.4% and Q4 at 6.2% based on the sourc
es from
Reserve Bank of India.

India commercial vehicle industry. So let us talk about commercial vehicle industry as we are
present in above 6

point
-
ton

6 ton

segment in commercial vehicle. We will go through the
prospects and the current situation. The production of CV more than 6 tons has grown by 7.6%
over last year. Despite this positive trend in production, the overall CV mix was impacted by
3.3% decline i
n the heavy
-
duty segment, where our products are predominantly used.

This decline was attributed to improved fleet utilization rates, better highway infrastructure,
reducing the need for additional vehicles. Looking at truck segment in the CV industry. In the
truck segment, we anticipate several factors that will be conduct
ive to the growth. One is reduced
EMI burden following the GST reforms announced in September '25.

This may spur fleet owners to increasingly opt for new vehicle with upgraded feature instead of
buying a used truck because of the decrease in the EMI owing to the reduction in the vehicle
price. Increased capital expenditures by government, along with str
ong momentum in
infrastructure and construction sector is expected to fuel the demand.

The resumption of mining operations post monsoon will further contribute to segment growth.
Looking at bus segment, while India's overall bus segment, medium and heavy has grown by
11%, e
-
bus market demonstrated a large 37% growth in H1 of 2025
-
'26 compare
d to last year.
This acceleration is primarily driven by state transport electrification supported by central
scheme
like PM

e
-
bus

sewa
.

Looking at the trailer segment, so trailer production registered a degrowth of 3.5% in Q2 '25-'26 as compared to the Q2 '24-'25 due to extended monsoon disruption in logistics and construction. The postponement of buying decision following the uncertainty surrounding GST reforms significantly subdued demand in July and August, resulting in overall reduction in trailer production for the Q2 '25-'26, but this will improve going forward. This is what we are estimating.

LCV segment, which is another segment where company has started working, not in a big way, but we are recognizing that we have strategic focus to be adopted on commercial vehicle less than 6 tonnes. This segment, which has grown by 8% in H1 '25, '26, expected to gain further momentum in upcoming quarters. This growth will be driven directly by GST reductions and indirectly by rising consumption demand, both contributing to sustained expansion in LCV category.

OE sales, how this market and economic condition has impacted on OE sales. In line with the vehicle production, which is we are discussing commercial vehicle more than 6 tonnes, growth of 7.6%, our overall OE sales grew by similar number around 7.4% in quarter 2 2025-'26 as compared to the similar quarter in the previous financial year. This growth comes despite facing headwinds such as an unfavourable model mix and degrowth in trailer market.

The growth was primarily driven by higher ESC penetration supported by updated regulation effective September this year, which accelerated the adoption of ESG. Market share gains in e-compressor, particularly among independent bus manufacturers.

Looking forward, the outlook for commercial vehicle industry remains positive with multiple
indicators
signalling

is

sustained rebound. In preparation for this upswing, we are executing
strategies
--

strategic initiatives aimed at strengthening our competitiveness and delivering long
-
term value. For example, we aim to increase penetration of trailer ABS, tra

iler EBS and

scholar
EVO+ systems in line with the AIS 113 trailer regulations and growing demand for safety and
operational efficiency in trailer fle
ets.

With updated ESG regulations for buses effective September, we are focused on localization
effort to enhance and sustain the market share across all customer segments. Also, key initiatives
include ramping up projects such as exhaust brake wall, expanding
penetration of OptiDrive
AMT and introducing OptiRide electronically controlled air suspension e
-
cars. We are also
looking at working with independent bus manufacturers with a strong focus on e
-
compressor
and EBS systems to capture growth in the electric
vehicle segment.

Beyond the anticipated near
-
term rebound, we see strong long
-
term growth drivers emerging
from evolving regulations and the rapid adoption of electric mobility. The accelerating
production of electric buses represents a significant opportunity.

Our advanced e
-
mobility portfolio comprising of e
-
compressors, electronic braking system,
EBS, electronic stability control, ESC and electronically controlled air suspension, ECAS
positions us as a key technology partner and enabler in this space.

These developments reinforce our long
-
term growth trajectory and underscore our strategic
alignment with the future commercial mobility. Looking at our aftermarket strategies and
performance. Our aftermarket has registered an impressive growth of 12.6% in
Q2 2025
-
'
26
compared to the Q2 2024
-
'25.

Primarily, this is driven by increased retrofitment of trailer ABS, TES parts for petroleum oil companies and increase in the supply of door control system. This was also supported by increased penetration of products like clutch boosters and contribution of OES growth was significant due to replacement demand in BS IV and BS VI model contributing to our volumes.

Looking at exports. In exports, we have 2 categories. One is export of parts, products and export of services. Looking at export of parts and products, our export performance in Q2 2025-'26 registered a 16% decline compared to the same period last year, primarily due to volume reduction in the U.S. market due to -- some due to tariff cost passing through by OEMs to the end customers.

This volume reduction was not completely offset by the volume increase in Europe, EMEA. While these factors created short-term headwinds, we remain committed to navigating this environment with resilience and agility. Despite temporary reduction in volume for air compressor driven by softer EV sales globally, the company has proactively executed strategic initiatives to reinforce growth and realign priorities.

Key actions include successful start of production for actuator 4.0 and air compressors for other global OEMs. alongside measures to diversify and strengthen our product portfolio are also on cards. Export of services. Export of services grew by a robust 12.1% in Q2 2025-'26 compared to the corresponding quarter last year. The growth was driven by sustained increase in engineering activities delivered from India to global centers, reinforcing India's position as a strategic hub for engineering services wit hin ZF globally.

We'll also discuss our efforts and work done on ESG sale. Sustainability remains a core strategic priority for the company. In Q2 '25
-

'26, our Jamshedpur plant advanced its water for approach
by implementing rainwater harvesting infrastructure with a capacity of 1,300
-
meter cube,
enabling reuse for domestic purposes and contributing to a 25% reduction in the freshwater consumption.

Additionally, we celebrated CVS Sustainability Week 2025 across all facilities, reaffirming our commitment to environmental stewardship under the themes the impact, think long term and act sustainable. E

mployees actively engage in pledges and toolbox talks

focused on energy
efficiency, waste reduction and water conservation. These initiatives continue to foster a culture of awareness, innovation and collective action, driving progress towards our long
-
term
sustainability goals.

Updates on engineering. Our engineering front
--

the company had successfully started the series
production for 60
-
dia exhaust brake wall for major OEM platforms. Our team contributes to
focus on engineering technologies such as ADAS and software
-
defined v
ehicles. Updates on the
manufacturing. We continue to accelerate the production of advanced technology products, our new multiregional facility in
Oragadam

The

key milestone this quarter was the successful rollout of the brake signal transmitter for e
-
mobility application, now serving leading Indian OEMs. Our portfolio has further expanded with re levels, high force actuators and localized ASP cartridges, addres
sing both OEM and
aftermarket demand in the truck and trailer segments.

To support this growth, we are scaling manufacturing capacities across various plants. Assembly lines at Lucknow and Pantnagar have been upgraded to enhance delivery performance, flexibility and responsiveness while contributing to the sustainability goals

by reducing
transport
-
related emissions. Productivity and quality have also seen significant gains through
smart automation, robotics and digitalization of assembly and machining cells. Looking at awards and recognition.

I'm pleased to share that in Q2 2025, '26, our ZF teams earned significant recognition across leading industry forums, securing 3 national level awards, 4 regional awards and 12 state level

awards. Our teams achieved top honors in prestigious competitions such as CII TPM Mastermind Quiz, and CII Six Sigma competition, along with accolades from CIA ACMA, QCFI and ABKAOTS. These achievements underscore our unwavering commitment to operational excellence, innovation and continuous improvement, reinforcing ZF's leadership position in the industry.

New executive management team at ZF Friedrichshafen, we want to announce the changes in the global management. So ZF Supervisory Board has appointed Mr. Mathias Miedreich as the new Chairman of the Board of Management of ZF with effect from 1st October 2025 in place of Dr. Holger Klein, who had left on close of the business hours of September 30, 2025.

Mr. Miedreich has been a member of the Board of Management since January 2025 and was heading the Electrified Powertrain Technology division.

The other change is Mr. Andreas Moser has taken over the responsibility of ZF Commercial Vehicle Solutions division, along with his responsibility as Head of ZF Industrial Technology Division with effect from November 1, 2025, in place of Professor Dr. Peter Laier.

And now moving on to our financial performance for Q2 for 2025, '26. For your ready reference, the results were made public at 15:

42 hours IST on 4th November 2025. I hope you had a chance
to go through them. I would request Sweta to go through the results in brief.

Sweta Agarwal:

Good afternoon. The total revenues consolidated for the quarter
ended
ending 30th September
'25 reached
INR
958.21 crores compared to
INR
950.18 crores in the same quarter of the previous
financial year. This is a marginal increase of 0.8% year
-
on
-
year. For half year '25
-
'26, the
company's consolidated net profit reached
INR
230.65 crores, up 10.6% from
INR
208.5
5

crores
in the corresponding period of FY 2025.

Total revenue for the first half grew to
INR
2,003.6 crores from
INR
1,921.2 crores, representing
a year
-
on
-
year increase of 4.1%. The company has reported an EBITDA margin of 22.9%, profit
before tax of 18.6% of product sales at
INR

145.9 crores and profit after tax of
INR
108.3 crores
for the second quarter '25
-
'26.

Despite multiple headwinds, we remain resilient in a volatile macroeconomic environment and
poised to support the demand from our valued customers. We continue to support and work
towards sustained growth for all our stakeholders, investors, business partn
ers and employees.

Paramjit Singh Chadha
:

Thank you. We now welcome your questions.

Moderator:

Thank you very much.

The first question is from the line of Lakshminarayanan from Tunga

Investments.

Please go ahead.

Lakshminarayanan:

Just want to understand what has been the acceptance or penetration of electronic stability control in buses? And what is the mix of hydraulic and pneumatic kits we have actually been supplying?

Shankar Venkatachalam:

On the electronic stability control from the 1st of September, of the buses which are on the roads other than the exempted type 1 city buses have been fitted with electronic stability control. So

CV supplies to most of the major OEMs. So in that area, we are seeing an uptick in the numbers that are being produced and sold to the OEMs to the tune of around 40% to 45% over the previous year same time.

And on the hydraulic portfolio, we see a marginal increase in some of the segments where the hydraulic EFC is being used. Still the legislation for the school buses, even though it is under draft, it has not been enforced.

So once that legislation is enforced, we are expecting that there will also be a significant increase in the hydraulic ESC. So at this moment, there is a marginal increase in certain segments where they are using the hydraulic ESC in the
nonschool bus application.

Lakshminarayanan:

So when we
--

I mean approximately what 40,000 buses are made in India every year. And do
you think this would be fitted in how many buses? This has become banded what percentage of buses it would be?

Shankar Venkatachalam:

So we would see about 60% of the buses play because the balance are covered under city bus application.

Lakshminarayanan:

Okay. Okay. Okay. And the second question is in terms of the ADAS
--

I mean, advanced driver
assist systems and the advanced emergency braking system. Where is the regulation stand now? And what has been our progress in the existing OEM?

Shankar Venkatachalam:

At this moment, the draft legislation is only what we have in the public domain. There are talks going on between the government bodies and the OEMs on a date of legislation when it is expected to be launched.

Looking at current estimates, April 2026 seems to be very close. So there is a delay anticipated. The exact dates may be public in a couple of months. So we are yet to get the exact fix on when that is expected to come about. But where we are today, and we

are in continuous engagement
with each of the OEMs to see how we are able to work with them on this product.

Lakshminarayanan:

And do you think this would actually applicable in anything which is above 6 tone? Or is there a tonnage
-
based gradation for ADAS and ABES?

Shankar Venkatachalam:

So ADAS and AEBS currently, the draft legislation talks about a mandate in M2, N2 and M3

N
3. So that is everything that is greater than 5 tonnes buses and trucks.

Lakshminarayanan:

Got it. Sir, what was the electronic braking systems? What has been our progress there? And when do you think this would actually would come? This would come after the ADAS and AEBS comes in? Or like how do you think about this?

Shankar Venkatachalam:

Electronic braking system is more in practice for the electric vehicles, less so for the ICE platforms. So on the electric vehicles, the additional advantage that the EBS provides is regent capability in addition to improved braking feel, almost like feel.

So due t

o these 2 key buying
factors, it is more penetration in the electric vehicle platform.

Internal

So as the e
-
bus segment grows and the increased comfort levels start growing, we see an increased penetration happening in the EBS.

Lakshminarayanan:

Got it. And then last question is related to the disc brake system. Can you just help us understand where we are in terms of brake...

Shankar Venkatachalam:

So on the disc brakes, there are a few segments and sectors which are adopting disc brakes. In certain cases, EBS and disc brakes are going in tandem, where you have improved braking feel as well as improved braking efficiency. However, the definite increa
se is not seen to that level
because the cost of a drum brake is still cheaper than a disc brake today in the market.

So cost
-
sensitive segments, you don't find that level of adoption. In the typical use case applications are the 13.5 meter, 15
-
meter buses, which are usually the cheaper buses. In those segments, you find the adoption of disc brakes more prevalent.

Moderator:

The next question is from the line of Ajox Frederick from Sundaram Mutual Funds.

Ajox Frederick:

So my question is on exports. You mentioned in your comments that the next steps, we will be working with air compressor actuators for balancing out the weakness. So those are in work in our
Oragadam
plant already? Or can you give some color on what's happening in
Oragadam

plant and eventually, what are the products we are working on and some outlook on the exports?

Shankar Venkatachalam:

On the export side, the products that we referred to are currently being

planned out of our
Mahindra World City SEZ

plant. These products are with current businesses, which we are already having with our key OEM customers, partners in Europe and U.S. So some of the products that are identified are actuator compressors and OPR
-
based compressors, which are
mostly looked
at for growing the business and improved profitability for the group.

And actuator and advanced actuators for other global OEMs are again, most of the current upgraded actuators from the double diagram disc brake actuators and spring brake actuators, which are being produced out of our Mahindra OCD plant will be upgraded to smart actuators as the next-generation actuators, which are being planned for European market.

Ajox Frederick:

Okay. Okay. That's wonderful, sir. And sir, secondly, on the LCV, I know it's too soon. Where are we on that opportunity? And are we in the development stage? Or like what are we doing there?

Shankar Venkatachalam:

So on the overall ILCV segment, if you look at, we are already present in hydraulic ESC, as I just mentioned previously. So the segment where we are already present in hydraulic ESC, we are trying to grow our market share and also the penetration.

Apart from that, in the LCV portfolio, we are looking at other products that is on the braking system platforms where we are already having a few products in our current range as well as some other products that we are looking in the near term.

Ajox Frederick:

Got it, sir. That's helpful. Just a final data keeping question on U.S. exports, sir, how much was this time around versus, let's say, last quarter or last year?

Sweta Agarwal:

So the U.S. volume reduction was around 20%. And it was somewhat offset by EMEA volume increase, but not fully offset.

Moderator:

The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.

Mumuksh Mandlesha:

Sir, firstly, sir, if you can help us understand in this quarter, we have seen a gross margin improvement Q
-
on
-
Q by around 160 bps. What led the improvement? And also in H2 in

the
cash flow, we can see almost like
INR
187 crores of working capital improvement in first half.
So can you just explain what led to the improvement?

Sweta Agarwal:

Okay. Answering your question first on the best improvement, we've worked actively on our material costing and efficiency production efficiency in the plant. So that has given us the improvement both on the material to sales ratio as well as on the direct
labor costs, and that's
what you're seeing in the bottom line expansion.

On the cash flow side, we have worked very actively on our working capital management and reduced our debtors. So we've worked actively on collections of debtors and as well as, of course, better utilization of our ideal cash, investing it more, I would sa
y, in a sustained way rather than
leaving it completely passive.

Mumuksh Mandlesha:

Param sir, the compressor e
-
buses segment. I just want to understand what kind of a market
share currently we have for the compressor for the EV buses? And how do you see the growth for the segment?

Paramjit Singh Chadha
:

Yes. In
EV buses, if you ask for the compressors, I think from the India OEM suppliers, we are
the only supplier for the compressor. There are some little imports some companies are doing.
But predominantly, it is our compressor only.

Mumuksh Mandlesha:

Got it, sir. And sir, on the H2, second half, for the U.S. market, how do you see the run rate for the sales, sir? And just I mean, overall basis, over a medium term, how do you plan to tackle this challenge of tariff, sir?

Paramjit Singh Chadha
:

Yes. We shared last time also, as we indicated that our products are basically safety critical products. Any new source in production will take time for the OEM to switch over. So we see that it will not be immediate impact. The current drop, which we expl
ained is more because of
the overall market, which is down in U.S., not only considering tariff, but otherwise also. But good point here is that we have seen Europe volume increasing.

So if you see around 9% improvement is there in our sales for the Europe as compared to drop more than 20% in the U.S. So some compensation is already happening. We are looking at more customers in Europe also and trying to see that we
--

somehow we balanc

e this through addition
of customers and also looking at product portfolio.

Moderator:

The next question is from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf:

First question is on exports. When I look at your FY '25 annual report, the related party transactions, which kind of cover majority of your exports to the group entity. U.S. as such seems very small in that. So is it that we are indirectly supplying to U.
S. via entities in other
geographies? Because this year, first half seem to suggest that U.S. weakness has impacted the entire exports. So just trying to understand that.

Sweta Agarwal:

Mukesh, our arrangement for the sales to the group is that we bill out to our European entity. And then they, in turn, invoice it to other countries. And that's why it looks like we are not supplying to Americas. But if you look at the split on an actual,
it would be about 50% Americas
and 50% Europe for FY '25.

Mukesh Saraf:

Understood. Understood. That clarifies, ma'am. And second question is on the regulation. While the draft regulation mentioned about October '26, and I think we are expecting a delay there.

Just trying to understand the delays primarily because the OEMs are concerned with the cost? Or is it some other operational homologation or technological issues? I'm just trying to understand what's the thought process there from the other stakeholders?

Paramjit Singh Chadha
:

I think the answer to this is exactly not with us, but it depends upon the OEM strategy on this. Definitely, cost is

one factor. But just to update you that we have a special solution for India
market, which is not as costly as what we are providing abroad
.

Mukesh Saraf:

Okay. Okay. Right, right. Understood. And just the last bit, you had mentioned about your strong portfolio on the buses segment. Any sense you can give us on your overall kit value for a bus versus a kit value for a truck?

Because I think last quarter, you had mentioned overall, generally, your kit value is around INR 45,000 for CVs. I just want to understand how this differ between a bus and a truck.

Shankar Venkatachalam:

So typically, in an electric bus, we are talking about electric buses here, right? So normal ICE buses versus electric bus, the major jump is in the e-compressor. That is the major cost driver when it comes to an electric bus apart from the battery and other products that are there. So our contribution in an electric bus almost jumps about fivefold because of the e-compressor addition.

And then apart from the e-compressor, you already have the standard braking system, which is also, in certain cases, ABS based or in certain other cases, EBS based. So EBS based typically will be around 2 to threefold of the existing ABS plus ESP-based solution. So this would be the impact at a vehicle level.

Mukesh Saraf:

Right. But an ICE bus and a regular ICE truck, the content would not be too different?

Shankar Venkatachalam:

It would not be very different. It only product mix range wise? So

its typically multi axles right? maybe more axles, more actuators.

Moderator:

The next question is from the line of Lakshminarayanan from Tunga Investments.

Lakshminarayanan:

Sir, 2 questions regarding what's happening globally. It's clear that there is --

if there is an increased tariff, it would actually make our products or our sourcing location from Chennai at a

big disadvantage. Now I mean what is
--

is there a possibility that maybe reallocation of whatever
is being procured from Chennai or the long plan for Chennai gets derailed if this tariff remains at 50% or something like that?

And the second question is that there has been a lot of
reorganization as well as the financial
position of the parent is a little precarious as I see because your bonds are also being
--

I mean,
downgraded to a junk status. So I just want to understand, if I just put this together, how the parent is thinking a
bout exports and all the challenges which that of parent is having, what does
that actually mean to us?

Sweta Agarwal:

Crystal gazing based on the tariff would be very difficult, Laksmayan. So it would
--

I mean we
can only talk about our preparedness rather than about how the situation will develop. What we have observed over the first half of the year is more around the
production volumes itself being
low in the U.S. rather than any discussion around sourcing changes. So that's not the driver of the discussion. It's more about what do we do for the spur in the economy itself of

the
U.S.

Like I said, crystal gazing and probably not our remit to really talk in details about that. We are prepared either way by stock flexing as well as being prepared to supply whatever volumes are required by them. That's how...

Lakshminarayanan:

Just
on that because I think the DAS compressors/BMW car compressors, etcetera, were actually being sourced from India. And there has also been some reallocation of certain factory production to India.

Now what percentage of our production or where we are actually the single
source for the entire
ZF
state, which would make it comfortable for us to export irrespective of
the tariff situation?

Sweta Agarwal:

I'm not sure what you're talking...

Paramjit Singh Chadha
:

The question is that since we are
--

for compressors, we are

exporting, we are single source. That
is clear. So that's why I said that to develop a new source, it takes time. So we are
--

like everyone
is waiting for this tariff issue to resolve. So we hav
e time to react.

And also, as we explained
that we are compensating the sales by the market improvement seen in the Europe, which we have seen in the last quarter as well.

Lakshminarayanan:

Got it. Got it, sir. And regarding the parent situation, what
--

because there have been some talks
of restructuring, at least some part of being getting already restructured. What does actually that mean for the India entity?

Paramjit Singh Chadha
:

I would say that the new
organization, the new changes are also having as high focus as the
previous management was. So we don't see any focus on India. India is always on radar as India is doing well and India market is also doing well. So this will be always on the forefront.

Lakshminarayanan:

Sir, and what has been our outperformance of our OE products with respect to the sales above 6 tonnes because that is one number which you always track how we outperform versus our target markets.

Can you just give that number for the first half? What has been the above 6 tonne production? And then how our sales are actually benchmark to that from an OE product point of view?

Shankar Venkatachalam:

Speak about market outperformance, it is always in comparison to the previous year. And in that aspect, if you look at, we are almost flat this current year.

The main reason being the BP vehicle production, while it has grown, it has adversely shifted in terms of the model mix. So as was already shared by Mr. Paramjit a little while earlier, there is a significant reduction in the heavy vehicle demand and the p
roduction, and this has adversely
affected the model mix.

And what we have been able to do is mitigate the impact of this adverse model mix with certain new product growth and certain other share of market improvement ideas. So this is the way that we have been able to maintain our leadership position in the mark
et.

Lakshminarayanan:

Got it. Got it. When it comes to ES or ADAS or AB
E
S, what kind of competitive positioning
we have? Will our presence be more than 70% to 80% plus or we are almost virtually 100% in those 2 markets, ESC, ADAS and ABES from a domestic capability point of view.

Shankar Venkatachalam:

Yes. On ABS and ESC, we are already in the market. The data is there for itself. We are one of the majority market players. On ADAS right now, it is at the early stages of discussion. And as was already discussed a little while ago, we are engaged with all

the OEMs.

We are looking to see how we can partner with them to launch this product in the field towards meeting the regulatory requirements. So here again, we are expecting to be one of the majority partners for each of the OEMs. So that is still work in progress.

Lakshminarayanan:

Sir, and one last question is related to AMT. What percentage of your business is AMT as well as what has been the growth of AMT in the last 6 months versus the previous 6 months?

Shankar Venkatachalam:

Percentage of AMT versus the

Moderator:

Sorry to interrupt sir but there is disturbance in your line
management.

Shall I reconnect you?

Management:

Yes. Answering the question on AMT, I think today, the market itself is at a very low level of penetration. So if you see in the last 6 months, probably we are seeing an improved number in the mining segment, specifically in mining segment, where we see so
me of the OEMs launching

higher speed, higher torque engines in these segments, which are largely AMT driven.

And AMT is proving to be a comfort factor as well as an improvement in the turnaround time. So these are the key focus areas which are driving the AMT growth in these segments.

Lakshminarayanan: And what kind of growth we have seen in the AMT, maybe just to get a sense of it with respect to last year as a base?

Shankar Venkatachalam: If you look at numbers perspective, it's still in the hundreds segment only. We have not seen the numbers grow beyond very high. So maybe the last year to this year, probably we are seeing the volumes double, but still not...

Paramjit Singh Chadha: Base is very low. So in terms of percentage, it will not be correct to say. So it is still in hundreds.

Lakshminarayanan: Got it. I mean hundreds as in 100 unit per month.

Shankar Venkatachalam: A couple hundred. A couple of hundred per month. Yes, a couple of hundred per month, yes.

Lakshminarayanan: But why is it not picking up? Because I thought that would -- at least 4, 5 years back, we thought that would actually pick up in a big way. What is impeding this? Is it acceptability, product acceptability or viability?

Shankar Venkatachalam:

There are multiple reasons on this particular topic because as the contribution of the pricing of the product at the price level at the OEM vis
-
a
-
vis what comfort and savings or features that it
offers to the driver would be the key focus. So that is why c
ertain segments like mining, for
example, is where it is picking up because there you have the higher powered engines with the higher transmissions.

There you have high
-
speed engines and high
-
speed transmissions be shifting and focus will be
more. And there, you want a higher turnaround time with minimal driver intervention. Those segments are adopting it faster.

You also see this partially in some of the bus segments. where you want the city drivers to have the comfort. But there,
again, adoption is driven by SCU tenders. So ag
ain, cost becomes a key
factor.

So due to these various factors, penetration has remained low, but there is a promise that this could grow further because there is also a shortage of drivers in the near to long term, and there is also a focus of gender diversity in driving.

So when you look at drivers as well as shortage of
drivers in the near term, driver capability will become a big focus rather than focusing on what would be the cost.

Lakshminarayanan:

And just one last thing, sir. Do we actually have some kind of a driver sensitization program or something where we actually introduce drivers to these products so that they can be kind of an ambassador for us? Or do we actually let the OEs actually do the

work there?

Shankar Venkatachalam:

Communication and training through our aftersales network. So where we have interaction and connection with driver training associations as well as driver training institutes to talk
to them
about our technologies.

And the state transport unit undertakings are also jointly working with us on how we can help them in using technology to improve their driver efficiency, to improve their fuel efficiency focus and so on and so forth.

So there are multiple initiatives that are spearheaded through the
aftermarket and sales network, where we work on extensive communication as well as training.

Moderator:

Thank you. As there are no further questions, I would now like to hand over the conference over to the management for the closing comments.

Paramjit Singh Chadha
:

Thank you very much. Some nice questions, good questions, good interactions. So thanks for your participation, and thanks for your support. Thank you.

Moderator:

On behalf of B&K Securities India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines. Thank you.

Paramjit Singh Chadh

a
:

Thank you.

Call: Feb 2026

•

ZF Group

ZF Commercial Vehicle Control
Systems India Limited

(Formerly known as WABCO I
NDIA

Limited)

Plot No.3 (SP), Third Main Road,

Registered Office: Plot No.3 (SP), Third Main Road,

Ambattur Industrial Estate,

Ambattur Industrial Estate, Chennai
-

600058. India

Chennai
-

600058. India

CIN: L34103TN2004PLC054667

Phone: +91 44 4224 2000

Phone: +91 44 42242000. Fax: +91 44 42242009

Fax: +91 44 4224 2009

www.zf.com

www.zf.com

Commercial Vehicle
Solutions

Department

Finance

From

Muthulakshmi M

P
hone

+91 044

-
4224 2000

Em
ail

muthulakshmi.m
@zf.com

Date

February 17
,
202
6

ZF Group
·

ZF Commercial Vehicle Control Systems India Limited
, Chennai 600058

The Manager

Listing Department

BSE Limited, Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Scrip code: 533023

Listing Department

National Stock Exchange of India Ltd

Exchange Plaza, C
-
1, Block G

Bandra
-

Kurla
Complex

Bandra (E), Mumbai 400 051

Trading Symbol
: ZFCVINDIA

ISIN : INE342J01019

Dear Sir(s),

Sub: Transcript of the Investor Call held for the quarter ended December 31, 2025

In continuation of our letters dated 21st January 2026 and 12th February 2026 pursuant to intimation and recording of investor's call, we hereby inform that the transcript of the earnings call has been uploaded on the website of the Company and the same can be accessed through the following link:

https://www.zf.com/mobile/en/company/investor_relations/zf_cv_india_investor_relations/zf_cv_india_ir.html#

Request you to take the above information on record.

Thanking you,

Yours sincerely,

For
ZF Commercial Vehicle Control Systems India Limited

Muthulakshmi M

Company Secretary

Internal

“
ZF Commercial Vehicle Control Systems India
Limited

Q3 FY '
2025
-
26 Post Results

Earnings

Conference Call
”

February 12
, 202
6

M
ANAGEMENT
:

M
R
.

P
ARAMJIT
S
INGH
C
HADHA

–

M
ANAGING

D
IRECTOR

–

ZF

C
OMMERCIAL
V
EHICLE
C
ONTROL
S
YSTEMS
I
NDIA
L
IMITED

M
S
.

S
WETA
A
GARWAL

–

C
HIEF
F
INANCIAL
O
FFICER
–

ZF

C
OMMERCIAL
V
EHICLE
C
ONTROL
S
YSTEMS
I
NDIA
L
IMITED

M
R
.

S
HANKAR
V
ENKATACHALAM

–

H
EAD
,

OE

S
ALES

–

ZF

C
OMMERCIAL
V
EHICLE
C
ONTROL
S
YSTEMS
I
NDIA
L
IMITED

M
S
.

M.

M
UTHULAKSHMI

–

C
OMPANY
S
ECRETARY

–

ZF

C
OMMERCIAL
V
EHICLE
C
ONTROL
S
YSTEMS
I
NDIA
L
IMITED

Moderator:

Ladies and gentlemen, good day, and welcome to ZF Commercial Vehicle Control Systems India Limited Q3 FY '26 Post Results Earnings Conference Call, hosted by Batlivala & Karani Securities India Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during this conference call, please signal an operator by pressing

star then zero on your touch
-
tone phone.

Pleas
e note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj. Thank you, and over to you, sir.

Annamalai Jayaraj:

Thank you. Good afternoon. Thank you for joining us today. I welcome you all for the ZF Commercial Vehicle Control Systems India Limited earnings call to brief on the Q3 FY 2025
-
'26 quarterly earnings, which will be presented by the management team.

Your host today from ZF Commercial Vehicle Control Systems India Limited are Mr. Paramjit Singh Chadha, Managing Director; Ms. Sweta Agarwal, CFO; Mr. Shankar Venkatachalam, Head of OE Sales; and Mr. M. Muthulakshmi, Company Secretary.

I now

hand over the call to Mr. Paramjit
Singh
Chadha, who will provide further insight into the
results. Over to you, sir.

Paramjit Singh Chadha:

Thank you. Good afternoon to all of you. I warmly welcome you all to ZF Commercial Vehicle Control Systems
India

Limited third quarter results for the financial year 2025
-
26.

Certain
forward
-
looking statements that we will make today are based on management's good faith and expectations concerning future developments. The actual results may differ materially from these expectations because of multiple factors.

ZF Commercial Vehicle Control Systems India Limited results for the quarter ending December 31, 2025, were published on February 10, 2026. They are available on the website
www.zf.com

under the ZF

CV India Investor Relations section.

We hope that you have had an opportunity to
go through them. A transcript and recorded audio of this call will also be made available on the website,
www.zf.com

under the ZF

CV

India Investor Relations section.

I am happy to talk to you today, as we give you an update about business of the company. We will start with the industry and economic updates. The global economy continues to demonstrate greater resilience than previously anticipated, supported by easing uncertainties and broadly stable financial conditions.

While trade flows are gradually normalizing and some market volatility persists, overall macroeconomic fundamentals remain steady. India's growth trajectory remains robust. GDP expanded by 8.2% in Q2 '25-'26 with GVA rising 8.1%. This strong performance has been underpinned by solid domestic demand, healthy momentum in both industrial and services sectors, ongoing tax rationalization and front-loaded public capital expenditure.

High frequency indicators signal continued strength this past quarter, reflecting resilient rural demand, improving urban consumption, firm investment activity and an uptick in manufacturing output.

Looking ahead, positive agriculture prospects, benign inflation trends, strengthened corporate balance sheets and supportive monetary conditions are expected to sustain the growth momentum. GDP growth for '25-'26 is projected at 7.4%.

Inflation has moderated sharply to multiyear lows, driven by broad-based decline in both food and core components. For '25-'26, inflation is projected at 2%, supported by favorable supply conditions and moderating glob al commodity prices.

Overall, the outlook for both growth and inflation trend remains balanced with risk contained and domestic fundamentals continuing to prove a strong foundation for sustained economic performance. This
--

some data is taken from Reserve Bank of India press
release, rbi.org.in.

Let us talk about Indian commercial vehicle industry, basically more than 6 tonne commercial vehicles. The overall CV industry has gained momentum in Q3, supported by strong economic activity driven by GST reforms.

Also, RBI repo rate cuts, rising demand, improved goods movement recorded 6.1% growth, billion
-
tonne
kilometre

in the calendar year of 2025 over the last year. With the CV more than
6
-
tonne segment growing at an even stronger rate of 11%. On a quarterly basis, the CV more than 6
-
tonne segment registered 20.6% growth in Q3 and model mix largely remained same as
las
t year with a marginal change in the bus production.

Looking at the truck segment. In the truck segment, growth is supported by several favourable

factors and is expected to continue in the upcoming quarter as well. With GST reforms effective September, increase in consumption demand directly boosting goods movement and in turn CV growth. Supported by tailwinds like repo rate cuts, this momentum is
set to sustain industry
growth.

Second aspect is increased government capital expenditures supported by strong infrastructure and construction activity, along with the recent union budget outlay INR12.2 lakh crores that places strong emphasis on infrastructure expansion and freight corri
dor development. This will
indirectly boost demand for truck production.

The resumption of mining activity post monsoon, along with government focus on developing rare earth corridors, which further promote mining is expected to accelerate mining operation and stimulate demand growth in this segment.

Looking at bus segment, in line with the overall CV industry growth, the bus market also experienced robust expansion driven by strong demand from State Transport Units, STUs, the intercity segment and urban transport needs.

EV
bus sales reached 1,219 units in Q3 '25
-
'26,
supported by finalization of PME drive tenders and fresh government procurement orders.

Looking at trailer segment, while the medium and heavy-duty trucks shown a strong growth, migration towards multi-axle vehicles, fleet underutilization amid export declines the expansion of mega LPG pipeline, which collectively triggered a short-term production dip. However, with the government's focus on infrastructure, this sector is expected to rebound.

Looking at impact of this industry growth on OE sales for our company. During Q3, FY '25-'26, CV more than 6 tonne production recorded a growth of 20.6%, while our overall sales rose by 28.1%.

The strong performance enabled us to outperform the market by 7.5%, primarily supported by following factors: high EV bus production and increased market share among independent bus manufacturer for e-compressor and EBS system, a sharp rise in ESC penetration driven by updated regulations effective September 2025. SOP of a new variant of exhaust brake wall in Q3 FY '26, profitability improvement actions, including price resetting of low-margin products.

Looking ahead, the outlook for commercial vehicle industry remains positive, with several indicators pointing to a sustained rebound. Improving market sentiment, coupled with strong budgetary emphasis on infrastructure development, freight corridors and new initiatives such as strategic mineral corridors is expected to directly stimulate demand for heavy-duty trucks.

Additionally, the growing focus on EV ecosystem and public mobility is accelerating demand for electric buses. In anticipation of this upswing and in alignment with the adoption of new technology trends, we are advancing strategic initiatives aimed at strengthening our competitiveness and delivering long-term value.

Some of the key strategic initiatives are as follows: increasing penetration of ESG is driving our focus on localization efforts to enhance and sustain market share across all customer segments.

With government's ongoing discussions on mandating low-floor buses for city application, a significant increase in ECAS penetration is expected.

In response to this emerging demand, we have initiated efforts to localize ECAS to strengthen and sustain our market position. We aim to increase penetration of trailer ABS, trailer EBS and SCALAR EVO Pulse systems in line with AIS 113 trailer regulations,

and growing demand for safety and operational efficiency in the trailer fleet.

Close collaborations with OEMs is enabling the expansion of AMT applications, effectively leveraging the segmental migration toward higher capacity engine that is driving increased AMT adoption. These developments reinforce our long-term growth trajectory and underscore our strategic alignment with the future of commercial mobility.

Looking at aftermarket. In Q3 FY '25-'26, our aftermarket sales reached INR 158 crores, reflecting a strong 19.2% growth over the INR 132 crores recorded in the same quarter in last financial year. This performance was driven by broad-based momentum across key segments.

A significant contributor to this growth was continued acceleration in retro fitment

demand,
particularly from PSU oil and gas customers, generating
INR
4.1 crores through trailer ABS,
EVS
retro fitment

programs.

Our traditional product portfolio, including air compressor, air processing units Actuators, AMT
modulators and brake control system also saw increased penetration across markets, supported
by strengthening demand patterns.

We also witnessed greater uplift from OES
-
driven requirement, primarily due to replacement
demand arising from BS
-
VI vehicles park expansion. Our mining segment maintains its positive
trajectory with higher equipment deployment, driving strong sales of com
pressors and actuators.

Additionally, the expansion of our service footprint through 7 new authorized service centers,
enhanced network accessibility and customer support. This strengthened infrastructure
continued meaningful to overall aftermarket growth by improving reach, resp
onsiveness and
service reliability.

Let us discuss about export of goods. In Q3 financial year 2025, '26, our export performance
declined by 10.9% compared to the same period last year. Primarily due to volume reduction
from the U.S. market, private tariff
-
related cost pass
-
throughs by OEMs
to the end customer
continued to adversely impact demand. While the U.S. market saw a drop, this was partially
offset by improvement in the EU market.

Overall, the combined market decline stood at 12.2%. Despite
this, we outperformed the market
by intensifying our focus on portfolio expansions across regions.

While these factors created
short
-
term headwinds, the recent FDA agreement with the EU and indications of potential tariff
reduction in U.S. are expected to support demand recovery in the upcoming quarters. We remain
fully committed to ramping up our capab
ilities to meet this anticipated growth.

Along with this, the company has proactively advanced several strategic initiatives aimed at
reinforcing future growth and recalibrating priorities. Notable achievements include the
successful start of production for actuator 4.0 and air compressor for add
itional global OEMs,
strengthening our global customer footprint.

Concurrently, we continue to broaden and diversify our product portfolio to position ourselves

for recovery and long
-
term expansion. We also speak about export of services.

Export of services
grew by a robust 11.1% in Q3 FY 2025, '26 compared to the corresponding quarter last year. This growth was driven by a sustained increase in engineering activities delivered from India to global centers.

The continued expansion of these capabilities reinforces India's position as a strategic engineering hub for ZF globally, underscoring the strength, scalability and technical depth of our talent base.

We talk about now on ESG initiatives. Sustainability continues to remain a core strategic priority for the company, and our focused efforts are yielding meaningful recognition and impact across our operations.

Our Jamshedpur facility received first prize in the ACMA Regional Kaizen Competition under the safety. Agronomic improvement category underscoring our commitment to building safer and more efficient workplaces.

We also continue to advance energy conservation, with several key initiatives delivering measurable benefits. A 200 CFM compressor energy saving project supported by a leak arresting campaign is estimated to generate annual energy savings of approximately 50,000 units.

The introduction of eFans in AHUs has resulted in an additional reduction of around 20,000 units per annum. Our ESG leadership was further highlighted when we were invited to share our best practices at IIT Madras during the Accelerating Net Zero AI and En
ergy Efficiency
Conference. The event saw participation from more than 200 companies and our initiatives received strong appreciation from peers and industry stakeholders.

These achievements reflect our continued commitment to sustainability, operational excellence and responsible growth, reinforcing our alignment with global environmental and safety standards.

Some updates about engineering. On engineering front, the company had successfully enabled start of production of e-compressor, air light for truck platform, diameter 60 and 90 exhaust brake assembly products for major OEM, 9-inch vacuum booster was launched for aftermarket.

Advanced Driver Assistance System, ADAS test dummy was developed through institutional collaboration. One prestigious new product development excellence award from major OEMs for significant contribution of ZF towards launch of Advanced Electronic Braking System, Electronic Stability Control, Automated Manual Transmission, Compressor, Air Processing Unit and axle products. Advanced technology products demonstrated at Technology Day events organized by leading OEM across India were also done.

On manufacturing updates, the company continues to ramp up production of advanced technology products from its new multidivisional manufacturing plant at Oragadam. Key products, including e-compressor and hydraulic ESCs, Electronic Stability Control for e-mobility, ASP Air System Protector cartridges for Indian OEMs and wheel products such as actuators, brake chambers and automatic slack adjuster for both domestic and export market.

New products such as EBA Exhaust Brake Assembly, e-compressor light brake signal transmitter for Indian truck trailer OEMs and expansion of current portfolio to aftermarket have been successfully launched.

Assembly lines have been upgraded in Jamshedpur, Lucknow and Pantnagar plant for manufacturing footprint capability, resulting in improved delivery performance, flexibility and

customer responsiveness, as well as supporting our sustainability objectives through reduction of transportation emissions.

The company continues to realize significant gains in productivity and quality through implementation of smart automation, robotic technology, testing automation and leveraging digitalization in assembly and machining cells.

Let us talk about awards and recognitions. I am pleased to share that in Q3 FY '25, '26, our lead of teams earned significant recognition across leading industry forums securing 4 national level awards, 4 regional awards and 9 state-level awards.

Our teams achieved top honours in prestigious competition such as IMTMA Productivity Championship, NIQR Six Sigma and ACMA Kaizen Awards, along with accolades from CII, QCFI and ABG-AOTS. These achievements underscore our unwavering commitment to operational excellence, innovation and continuous improvement, reinforcing ZF's leadership position in the industry.

Clarification statement on sale of ZF ADAS business to Harman International. We would like to clarify that. They are also given in the media. ZF Commercial Vehicle Solutions CVS confirmed that the announced transfer of certain advanced driver assistance system ADAS activity applies exclusively to its ADAS division portfolio, specifically compute solution, camera, radar, passenger car, ADAS function and does not pertain to ADAS portfolio of ZF CVS division.

It does not affect ZF CVS development supply service or support of ADAS solution for Commercial Vehicle. Existing customer contracts, service agreement and terms and conditions remain in force and program deliveries continue without interruption. For the complete statement and further detail, please refer to the stock exchange announcement dated 14th January 2026.

We will also talk about India Europe free trade agreement. ZF Group applauds the signing of India EU Free Trade Agreement, a truly important fact step to shape an integrated economic zone serving nearly 2 billion people and strengthening one of the world's key trade relationships.

In times of geopolitical uncertainties and rising tariff hurdles, the agreement is an important sign for cooperation and exchange. This agreement opens new path for collaboration, innovation and sustainable growth across industries in both regions.

For ZF Group, it unlocks significant opportunity to deepen our technology innovation and advance future mobility technologies, with this bilateral agreement. Additionally, it allows us to contribute to more resilient and diversified value chains.

Regarding some changes in the operations, new Head of Operations, effective Friday, 30th January, Mr. M.S. Ravi Kumar retired as Regional Operating Officer of CVS India after 39 years of service. He was succeeded by Mr. G. Mukund, who joins us from VECV Limited. He has more than 35 years of industry experience. We would like to thank Mr. Ravi Kumar for his many years of service and wish Mr. G. Mukund the very best in his new role.

And now moving on the financial performance for Q3 FY '25-'26, I would hand over to Sweta, our CFO.

Sweta Agarwal:

Good afternoon. Thanks for joining in. For your ready reference, the results were made public at 1550 hours on February 10, 2026. I hope you've had a chance to go through them.

I'm happy to share that our total revenues consolidated for the quarter ending 31st December '25 reached INR 1,105 crores compared to the INR 980 crores in Q3 of the previous financial year.

This is an increase of 12.8% year-on-year, and a 15.3% increase compared to the previous quarter. The company delivered strong operating performance in Q3 FY '25-'26, achieving an EBITDA margin of 20% on total sales and profit before tax before exceptional items stood at INR 194.5 crores.

After factoring in the INR 7.9 crores of exceptional impact relating to the Labor Code changes, our profit before tax stood at INR 186.5 crores, translating to 16.9% of total revenue. The company reported a PAT profit after tax of INR 140.2 crores with 12.7% PAT margin and our PAT grew by 11.7% over same quarter in the previous financial year, and an increase of 29.5%

compared to Q2 '25-'26.

I'm pleased to note that, this is the first time we have also crossed revenues of INR 1,100 crores in a single quarter, and we continue to grow sustainably across INR 1,000 crores in 3 out of the last 4 quarters.

Handing back to our MD.

Paramjit Singh Chadha:

Thank you, Sweta. Despite favourable

policies, along with improved mining activity and rainfall patterns have enabled us to remain resilient in a volatile macroeconomic environment and continue supporting the demand from our valued customers. We remain committed to driving sustained growth for all our stakeholders, including our investors, customers, suppliers and employees.

Looking ahead, we are optimistic about continued momentum, supported by recent India, Europe FTA and positive volume outlook across the CV industry. Thank you. We now welcome your questions.

Moderator:

The first question is from the line of Mukesh Saraf from Avendus Spark.

Mukesh Saraf:

My first question is on the EBITDA margins. We have seen the margins improve significantly this quarter. We actually saw the same last year third quarter as well when sequentially the margins improved more than 300 bps.

So just trying to understand what has driven these margins because other expenses have come down, while gross margins have stayed similar Q-o-Q. It will kind of help understand this phenomenon, please?

Internal

Sweta Agarwal:

Thank you for the question, Mukesh. Mukesh, we typically do our retrospective price amendments in Q3. So,

what you would see is a small impact of the price adjustments or collections of the increases of prices from April to September also being collected in December. That's why you see the seasonal increase in the same quarter of last year as well as this yea r.

I mean, on a financial year basis, you would see a small expansion in our margin over what we delivered for FY '25 and '26, but this is the seasonality that you're seeing in December quarter standalone.

Mukesh Saraf:

Right, I mean, retrospective price adjustment will probably reflect in the gross margins, I would imagine, because your gross margins haven't really moved sequentially. It's the other expenses that have come down. So,

I mean, is this also driven by this pricing --

the retroactive pricing adjustments?

Sweta Agarwal:

That's right because proportionately, the expenses would not --

it just goes into adding to the margin, right? There is, of course, an effort in our cost management and better absorption due to higher volumes, but the impact of the higher EBITDA in last De cember as well as this December would come from the SPV or the sales price variances.

Mukesh Saraf:

All right ,
Understood. And secondly, I mean, I think you did mention that exports have remained weak this quarter, obviously, b ecause of the tariff issues, et cetera. Now that we have a lot of clarity on the U.S. tariffs as well as with the EU agreement, how are we placed in terms of exports?

I mean, if you could kind of help us understand next couple of years, how could exports grow, especially given that the parent actively looks to source from India given its best cost engineering capab ilities?

So ,

I mean, any outlook for the next couple of years we can provide on exports specifically?

Sweta Agarwal:

I mean, when you're asking for outlook on a couple of years, let's say that the EMEA is showing consistent growth in vehicle production. But having said that, we are living in a very volatile world, so commenting for '27 would be difficult.

In general, we can say EMEA is strengthening. But however, early days yet for the U.S. tariff announcements, and we are not able to comment on that, and we don't see that impact in EDI as yet.

Mukesh Saraf:

Okay. And just lastly, I think in the opening remarks, you mentioned about the mandating of low-floor buses for city applications and how that could benefit the ECAS, the Electronically Controlled Air Suspension product. Any timelines we could have on the possible mandating of these low-floor buses? And how is our current revenue from ECAS? Are we currently importing this product, any sense on the ECAS product?

Shankar Venkatachalam:

Yes. Right now, this is a draft legislation at this point of time. You might be aware that the market is gradually shifting to ultra-low entry buses to facilitate ease of entry and mobility in cities. So there is a draft legislation that in the upcoming October 2026 timeframe, all the buses

that are going to be sold in major metros and cities could be ultra-low entry. And we see a potential of this ECAS being utilized in each of these buses. And currently, yes, it is an imported solution, and we have internally activated some actions towards a fully localized content.

Mukesh Saraf:

Any sense on the --

how much like on an average, the content per vehicle for ECAS could be
for us, once it's localized, what could be the potential per vehicle realization?

Shankar Venkatachalam:

So today, it's running at very low volumes. Going forward, when the volume increases, the price would also typically come down to maybe about
INR
25,000 to
INR
30,000 per vehicle.

Mukesh Saraf:

Okay. All right. All right. And just lastly, I think the revenue mix that you mentioned for 3Q, some
of the numbers are inaudible. If you could just repeat the OEM aftermarket and exports revenue mix alone for the third quarter, please? That's it from my side.

Sweta Agarwal:

Sorry, could you repeat your question?

Mukesh Saraf:

The third quarter revenue mix between OEM aftermarket and exports. If you could just repeat those numbers, some of those numbers were inaudible.

Sweta Agarwal:

Okay. So OEM was about
INR
520 crores, aftermarket
INR
157 crores and exports
INR
259
crores, with service income being about
INR
125.

Moderator:

The next question is from the line of Mumuksh Mandlesha from Anand Rathi Institutional Equities.

Mumuksh Mandlesha:

Congrats on healthy results and greetings to the managements. Sir, we are 1.5 year away from the ADAS regulation implementation. So
,

most of the OEMs would have started finalizing the
vendors for the ESC, ABS and the ADAS function. Can you help us understand how are you seeing the book building for us for this ESC and ADAS system? How we are seeing the traction with the major CV OEMs?

Shankar Venkatachalam:

Mumuksh, thank you for the question. On the ESC side, we are working with all of the OEMs. So
,

we would retain our current leadership position in terms of the ESC system overall with each truck and bus OEM.

On the ADAS side, this is still at a discussion phase, advanced discussion phase with most of the OEMs. But there are discussions going on in the market with regards to other players who have offered products at a lower pricing than what is currently being offered by ZF.

And as a result of that, there are several discussions and ongoing proof-of-concept related topics that are undertaken with each OEM. So, we are at an advanced stage of discussions and expect to have some directional conclusion in the coming quarter.

Mumuksh Mandlesha: Just on the content value for the system, we earlier mentioned INR 65,000 kind of value for the system, broadly INR 25,000, INR 30,000 for ESC. Is it also -- on the ground, are you seeing the same kind of pricing post the negotiation that are going with the customers?

Shankar Venkatachalam: On the ESC, we would be at around INR 20,000 to INR 25,000 as we had indicated earlier. On the ADAS, the earlier indication of INR 40,000 to INR 45,000 was the number we had indicated during our earlier discussions. However, based on the latest outlook and the feedback from

customers, their expectation is somewhere half of that. So
,

that's the kind of pricing levels which
we are looking at as we are going forward.

Mumuksh Mandlesha:

Got it. Sir, for this regulation, would you require any
capex
requirement for the next few years
to support the orders, sir?

Shankar Venkatachalam:

At this moment, we are only enabling our capabilities from an application engineering
perspective. So
,

that's more from a test track related capability requirement only, yes.

Mumuksh Mandlesha:

Okay. Okay. I mean, then going ahead, there would be a requirement to then start manufacturing
when the regulation comes in, right, sir?

Shankar Venkatachalam:

In the longer term, yes, we would be looking at further localization content when the volume
picks up for the market overall.

Mumuksh Mandlesha:

Got it, sir. Got it. And sir, for this quarter, because the regulation of ESC buses have started,
right?
So,

I just want to understand what kind of volumes we are doing or what kind of revenue
this quarter came from the ESC solution for the buses?

Shankar Venkatachalam:

Just to give a comparison, from Q3 of '24, '25 to the Q3 of '25, '26, we are seeing approximately
3,000 units of ESC delta increase. So
,

approximately 1,000 units per month increase over last
year based on the legislation that has been mandated for the buses.

Mumuksh Mandlesha:

Got it. Agree with that, Sir. Sir, on the
--

just on the low
-
floor bus, the application...

Moderator:

Sorry to interrupt. Mr. Mumuksh, may we request you return to the question queue for a follow
-
up question.

The next question is from the line of Lakshminarayanan from Tunga Investments.

Lakshminarayanan:

I just want to understand, what has been the growth of the trailer segment in the last 9 months because what I understand is that, that segment was actually growing faster. And there were some components which we are actually able to put on the trailer segments where we were doing EPS segments, so on and so forth. Can you just help me understand how the mix has changed? And what has been our content in these trailer combinations?

Shankar Venkatachalam:

Yes. Thank you for the question, Mr. Lakshminarayanan. I think the trailer segment had been growing in the early part of the year, primarily driven by a change in mix from the rigid to the tractor trailers.

However, in this quarter, quarter 3, compared to previous year, there was a dip of about 6 to 7 percentage in the overall trailer production.

So, there has been multiple factors related to GST fleet underutilization, export requirement decline and so on. So, these were certain factors that triggered a drop in the overall trailer production in this quarter. So overall, if you see, this has impacted in terms of numbers, volumes of trailers that are produced in the quarter 3.

Lakshminarayanan:

Got it. And what kind of components we actually have within them? And can you just give a rough estimate?

Shankar Venkatachalam:

So apart from the prime mover to which we supply to all the OEMs, on the trailer side, we supply the actuators, which are fitted on the axles as well as the braking system-related components, valves and EBF, lift axle control systems as well.

Lakshminarayanan:

Got it. Got it. And there was --

we were supplying to a Russian commercial vehicle
manufacturer, and that actually had a challenge beca
use of all this Russian war, et
cetera, right?
Now, can you just help me understand whether that particular thing was lost or it is actually augmented in some other way?

Shankar Venkatachalam:

From India perspective, we were not supplying directly to any Russian manufacturer. That was more from a global business perspective. And I think since we are part of the companies which are part of the European Union, I think post the Russia
-
Ukraine war,
all supplies have ceased
for Russia.

Lakshminarayanan:

Got it. Got it. Third question is that can you just talk about what are the other regulations that would actually help us that is ESC and buses
and also ADAS and AES, ECAS, et
cetera, right?
So
,

can you just plan out what would be the next 2 or 3 years and which would actually would drive the growth in terms of prior
--

in terms of, which would be taking higher prioritization? Of
course, you've talked about ADAS in the previous question.

Shankar Venkatachalam:

Right. So
,

ADAS is already a legislation, which is coming up in 2027. Apart from that, we have
a few other draft legislations. I think one is the draft legislation of mandating ESC and school buses. So
,

that is again something that is potentially going to roll out later this year. And the
other point which we spoke about is mandating ultra
-
low entry buses in the type 1 city bus
segment, which could lead to improved sales of our e
-
cars.

Thirdly, this would be something that is an overall benefit to the CV industry is the scrappage policy, which is under discussion for the last several years. If that is potentially rolled out, that would have an overall benefit in the CV industry as a whol
e.

Moderator:

The next question is from the line of Ankit Shah from White
Equity Investment Advisors.

Ankit Shah:

Sir, my question was on EV bus e

-compressors. So, we understand that our content in the EV bus jumps about 4x or 5x, mainly because of this e-compressor versus the ICE buses. So, is this with respect to even the smaller buses? Or is this for a particular segment of the buses? One, another piece within this call, so are we near monopoly in the e-compressors for the EV bus? Or

is there competition? So, we've heard names like KingClima, Bitzer, Valeo, etcetera. So are this our competition or we are near monopoly in India?

Paramjit Singh Chadha:

Yes. I think you rightly said that in electric vehicle, e-compressor is more expensive as compared to the ICE vehicle. And mostly in India, we are, I would say, a major supplier from India, but there are some imports also by some of the manufacturers. But as a government policy that every EVA has to ensure that local content. So we are fulfilling that liability.

Ankit Shah:

Okay. And this e-compressor opportunities for all buses? Or is it for a particular range of buses, more than 9 meters or 12 meters?

Shankar Venkatachalam:

Today, majority of the buses are 9-meter and 12-meter and the current product, what we have proposed fits in that application. But off late, there are some requirements coming for the smaller

7-meter buses as well. So, we are trying to see the product, suitable product fit with our product, which is also capable to be packaged across board. So typically, in a bus application, which has higher air consumption and requirements, our product is the right fit.

Ankit Shah: Got it. Got it. Sir, we understand about 4,000, 4,500 EV buses were sold in calendar year '25. One report projected that e-bus volumes could hit about 17,000 in 2 years' time. So, can you share your perspective on whether this is plausible from your perspective?

Shankar Venkatachalam: As you rightly mentioned, the e-bus segment has seen a steady year-on-year growth that has been positively driven by 2 factors. One is the straight transport unit undertaking related tenders as well as the PM-eBus Sewa related discounts and incentives that are offered. So most recently, I think the 10,500 buses order was also concluded in the month of November, December, which is going to add a real fill to several OEMs who are into bus manufacturing.

So, these are the quantum of buses that are going to be produced over the next 2 years. And it is anticipated that the government will further incentivize these kind of initiatives going forward, driven largely by domestic value addition. So, the key OE players who are able to give more maximum local content will also be incentivized to offer these buses. The complete opex model operation system to the public. So. in lieu of that, it seems possible, but of course, subject to a lot of other charging infrastructure and capabilities that need to also be built in to support that.

Ankit Shah: Absolutely. Right. And the last question on the recent order that Tata Motors received from Indonesia for exports of 70,000 vehicles. So, just wanted to understand whether we have an opportunity in this.

So,

would these vehicles be exported to Indonesia in a complete knockdown position and our products would go with them or this is not in our domain?

Shankar Venkatachalam:

So,

of the vehicle orders that they have received, there is an Ultra T.7, which comprises 36,000 units, and that is offered on an Air Brake System platform. in that air brake vehicle system platform, we are working with Tata on that product.

Ankit Shah:

Got it. The advanced products are not part of that, right, like the smaller vehicle?

Shankar Venkatachalam:

I think it's a very basic ABS system. There are no advanced products as part of the spec.

Ankit Shah:

Right, right. And the last, if you can share the number of...

Moderator:

Sorry to interrupt Mr. Ankit, I request you return to the question queue for a follow-up. The next question is from the line of Nirali Gopani from Unique PMS.

Nirali Gopani:

Sir, my question is on this comment that you made that where the content per vehicle or the pricing between our and the competition is different of 50%.
So,

if you can just talk a little bit more on this, how serious is the competition? Because given we are the technology leaders, how easy will it be for someone to replace us with the OEM? If you can just highlight a few points there, that will be helpful.

Shankar Venkatachalam:

Thank you for the question. I think the main background of the other players who have come

into the segment are from a different segment, the passenger car portfolio. So
,

their product and
offering may be differently suited. However, we are still in discussions and advanced stage of alignments with customers with vehicle proof
-
of
-
concept trials and so on.

Nirali Gopani:

Okay.
So,

you expect that in order to win the orders we'll have to come midway with the competition on our pricing or we'll have to compromise on our pricing part?

Shankar Venkatachalam:

At this point of time, we are talking about what value we are offering to the customer, and we also have our own testing capability as well as the field vehicle data acquisition. So
,

these are
the algorithms that are available with us, whi

ch are our USP when it comes to talking about the
product to customers.

Moderator:

The next question is from the line of Dishant Jain from Quasar Capital.

Dishant Jain:

Yes. Ma'am, can you please repeat on the retrospective price adjustment part?

Sweta Agarwal:

Dishant, the price adjustment.
So,

price increases happen with effect from 1st April, but the
effect is given via POs in December, November or December. That is the reason why in December results, there would be an impact of retrospective price increases from April to September.

Dishant Jain:

Sure. But then if the price increase, then it should have been in the
--

like increase in the gross
margin, right?

Sweta Agarwal:

It does get into the gross margin, yes. But you do not
--

sorry, please ask your question.

Dishant Jain:

Yes.

So, the effect of the price increase should be visible in the gross margin, right? Because on a Y-o-Y basis, it is on the similar lines.

Sweta Agarwal:

If you're comparing it to the same quarter of last year, there is the same impact also in the same quarter of last year.

Dishant Jain:

Okay. But even on a sequential basis, the gross margin on the same.

Sweta Agarwal:

I don't -- I'm not sure where you're getting your numbers from. Maybe you can connect with me or send me a question via e-mail, and we can take it up there.

Dishant Jain:

Sure, sure. My second question ma'am would be on the -- that recently EU deal. Are we thinking -- the parent company thinking of introducing some products from the Indian operations since we would be in a position to supply to the Europe after this deal. So, any thoughts on that?

Sweta Agarwal:

Around

--

so the EU FTA has just been signed off. Of course, this presents a significant
opportunity, but we are still evaluating what would increase and how this would play out. And
ZF will release comments upon developments on how they are affecting our
--

and how they're
translating for us.

Dishant Jain:

Sure. And just last question, ma'am. Is it possible to give the Europe growth and the U.S. growth
for Q3?

Sweta Agarwal:

Yes. Europe has grown about 20
--

Europe has grown about 9%. Europe has grown about 9%
and U.S. has degrown by about 28% on volumes
--

on vehicle production.

Dishant Jain:

On vehicle production?

Sweta Agarwal:

Yes.

Moderator:

The next question is from the line of Dishant Jain from Anand Rathi.

Dishant Jain:

So,

my question is on the low
-
floor bus city application
,
like what is the segment opportunity in
terms of volume and value? And how are we positioned to capture the opportunity?

Shankar Venkatachalam:

Dishant, when we look at the ultra
-
low entry buses, these would be typically type 1 city buses.
So today, if you look at the overall volumes in this particular segment, maybe there may be about
1,500 buses a month potentially that could be transformed into

the ultra
-
low entry type
application.

Of course, the infrastructure and the routes that are currently mapped on the usage
of these buses need to be enhanced. Otherwise, you're going to have all these buses scraping the
floor of ever
y single road pothole that we have surrounding that.

And going forward, the potential opportunity that we have apart from the basic braking system is the e-Cabs, because these ultra-low entry buses also would have the kneeling and raising functionality similar to the Termite Coach bus. So, that is the opportunity that we spoke about a little while earlier.

Dishant Jain:

Okay. And my second question would be in the smaller CVs, like how are you getting traction for ESC or EVS?

Shankar Venkatachalam:

Smaller CV, you're referring to SCV or LCV, which segment are you having queries with regards to?

Dishant Jain:

Over 5 tonne.

Shankar Venkatachalam:

Okay. So, in the SUV segment, the products that are there with the air brake, we are already present. The products that are fitted with the hydraulic brake, we are in series supplies to some of the OEMs with our hydraulic ESC products. Those are already in series production today.

Moderator:

Ladies and gentlemen, as there are no further questions from the participants, I would now like to hand the conference over to the management for closing comments.

Paramjit Singh Chadha:

Thank you very much. And we are
--

as we discussed that commercial vehicle market above 6
tonnes is booming, buoyant market. Our team is working to support that. And definitely, the indications given by all the OEMs during our personal visits also last mon
th are talking about
this buoyant market at least till March and even indications are given after April.

T
hank you
very much to all the stakeholders who are supporting us into this growth

a
nd wishing all the best
for the future. Than
k you.

Moderator:

Thank you. On behalf of Batlivala & Karani Securities India Private Limited, that concludes this conference. Thank you for joining us, and you may now disconnect your lines.

Call: May 2026

•

ZF Group

ZF Commercial Vehicle Control Systems
India Limited

(Formerly known as WABCO I
NDIA

Limited)

Plot No.3 (SP), Third Main Road,

Registered Office: Plot No.3 (SP), Third Main Road,

Ambattur Industrial Estate,

Ambattur Industrial Estate, Chennai
-

600058. India

Chennai
-

600058. India

CIN: L34103TN2004PLC054667

Phone: +91 44 4224 2000

Phone: +91 44 42242000. Fax: +91 44 42242009

Fax: +91 44 4224 2009

www.zf.com

www.zf.com

Commercial Vehicle
Solutions

Department

Finance

From

C V Kavviya

P
hone

+91 044

-
4224 2000

Em
ail

cv.kavviya
@zf.com

Date

May 21
,
202
6

ZF Group
·

ZF Commercial Vehicle Control Systems India Limited
, Chennai 600058

The Manager

Listing Department

BSE Limited, Phiroze Jeejeebhoy Towers

Dalal Street, Mumbai 400 001

Scrip code: 533023

Listing Department

National Stock Exchange of India Ltd

Exchange Plaza, C
-
1, Block G

Bandra
-

Kurla Complex

Bandra (E),
Mumbai 400 051

Trading Symbol
: ZFCVINDIA

ISIN : INE342J01019

Dear Sir(s),

Sub: Transcript of the Investor Call held for the quarter ended March 31, 2026

In continuation of our letters dated 11th May 2026 and 15th May 2026 pursuant to intimation and recording of investor’s call, we hereby inform that the transcript of the earnings call has been uploaded on the website of the Company and the same can be accessed through the following link:

https://www.zf.com/mobile/en/company/investor_relations/zf_cv_india_investor_relations/zf_cv_india_ir.html#

Request you to take the above information on record.

Thanking you,

Yours sincerely,

For
ZF Commercial Vehicle Control Systems India Limited

C V Kavviya

Co
mpliance Officer

“
ZF Commercial Vehicle Control Systems India
Limited

Q
4

FY26

Earnings Conference Call
”

May 15, 2026

M
ANAGEMENT
:

M
R
.

P
ARAMJIT
S
INGH
C
HADHA

–

M

ANAGING

D
IRECTOR

–

ZF

C
OMMERCIAL
V
EHICLE
C
ONTROL
S
YSTEMS
I
NDIA
L
IMITED

M
S
.

S
WETA
A
GARWAL

–

C
HIEF
F
INANCIAL
O
FFICER
–

ZF

C
OMMERCIAL
V
EHICLE
C
ONTROL
S
YSTEMS
I
NDIA
L
IMITED

M
R
.

S
HANKAR
V
ENKATACHALAM

– HEAD, OE SALES – ZF COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA LIMITED

MS. C. V. KAVVIYA – ASSISTANT COMPANY SECRETARY – ZF COMMERCIAL VEHICLE CONTROL SYSTEMS INDIA LIMITED

Moderator: Ladies and gentlemen, good day, and welcome to ZF Commercial Vehicle Control Systems India Limited Q4 FY26 Earnings Conference Call hosted by 360 ONE Capital Markets Private Limited. As a reminder, all participant lines will be in the listen-only mode and there will be an opportunity for you to ask questions after the presentation concludes. Should you need assistance during the conference call, please signal an operator by pressing star then zero on your touchtone phone. Please note that this conference is being recorded.

I now hand the conference over to Mr. Annamalai Jayaraj from 360 ONE Capital Markets Private Limited. Thank you, and over to you, sir.

Annamalai Jayaraj:

Thanks. Good afternoon. Thank you for joining us today, and welcome to ZF Commercial Vehicle Control Systems India Limited
call
to brief you on the Q4 quarterly earnings and the
earnings for FY 2025
-
'26. Today, the fourth quarter earnings and annual results for FY

20
25
-
'26
will be presented by the management team of ZF Commercial Vehicle Control Systems India Limited.

Your host today from ZF Commercial Vehicle Control Systems India Limited are Mr. Paramjit Singh Chadha, Managing Director; Ms. Sweta Agarwal, CFO; Mr. Shankar Venkatachalam, Head of OE Sales; and Ms. C. V. Kavviya, Assistant Company Secretary.

I'll now hand over the call to Mr. Paramjit Singh Chadha who will provide further insight into the results. Over to you, sir.

Paramjit
Singh
Chadha:

Thank you, Jayaraj. Good afternoon to all of you. I warmly welcome you all to ZF Commercial Vehicle Control Systems India Limited Fourth Quarter Results and Full year performance for
2025
-
'26. Certain forward
-
looking statements that we will be making toda
y are based on
management's good faith and expectations concerning future developments. As you know, the actual results may differ materially from these expectations as a result of many factors.

ZF Commercial Vehicle Control Systems India Limited's results for the quarter ending March 31, 2026, and the annual performance for financial year '25
-
'26 were published on 13th May
2026. They are available on the website, www.zf.com, under the ZFCV India
Investor Relations
section. We hope that you have had an opportunity to go through them. A transcript and recorded audio of this call will also be made available on the website, www.zf.com, under the ZFCV India Investor Relations section.

I'm happy to talk to you today as we give you the update about business performance. So we will first talk about industry and economic updates. I
will begin with a brief overview of
macroeconomic and industry environment relevant to our business.

The Indian economy has continued to demonstrate strong momentum with GDP expanding by 7.8% in Q3 of financial year '25
-
'26, and the full year growth estimate revised upward from 7.4%
to 7.6%.

This performance has been supported by improving consumption trends, sustained investment activity alongside continued policy support in rolling GST reductions, which have further strengthened the overall demand environment.

Industrial output grew by 4.1% during FY '25
-
'26, broadly in line with the previous year. While
some moderation in mining and electricity weighed on overall performance, the manufacturing sector showed improvement, growing at 5% compared to 4.1% last finan
cial year. This growth
was primarily driven by strong momentum in capital goods and infrastructure
-
linked sectors,
supported by government's continued focus on capital expenditure.

Inflation remained relatively contained during the year, averaging 2.1% for FY '25
-
'26, although
it edged up to 3.4% in the month of March, largely due to movements in food and energy pri

ces.
On global front, the economic environment remains challenging, i
nfluenced by ongoing
geopolitical developments, particularly the conflict in West Asia and associated disruption to the supply
--

global supply chains.

While these factors may have some impact on India, domestic fundamentals continue to remain relatively resilient, although external volatility could pose near
-
term pressure on industrial
activity.

From an industry standpoint, there are encouraging signs of improvement. The mining sector exhibited a positive trend in Q4 of '25, '26 with growth accelerating to 5.4% in March '26 from 3.1% in February, indicating a gradual recovery in commercial vehicle

demand.

At the same time, sustained movement in infrastructure, capital goods and construction activity continues to support overall industry growth. In addition, replacement demand for aging fleets driven by need for improved efficiency and lower total cost of ow
nership is expected to further
underpin demand for new vehicles going forward.

Looking at Indian commercial vehicle industry. India's strong GDP momentum was reflected in commercial vehicle industry, which delivered a robust 16.5% growth in production for medium and heavy vehicle segment more than 6
tons
, indicating healthy and broad
-

based demand,
growth driven by improved consumption, GST reform positive mo
mentary
condition and
continued policy support.

The industry outlook continues to be supported by strong structural drivers, including an aging
fleet driving replacement demand, sustained growth in e
-
commerce and logistics and increasing
consolidation of trailer segment.

At the same time, the push towards electrification supported by government policies, public
-
private partnership adoption in public transport is accelerating the transition towards greener
mobility. While above positive factors are conducive for the growth,

however, external risks
such as the Middle East conflict remain areas to monitor.

Looking at sales, FY '25
-
'26 sales was driven by sharp industry rebound after GST rate cuts
supported by
--

supported demand in the second half. We faced short
-
term headwinds such as
capacity ramp
-
up challenges, supplier constraint and global geopolitical
disruption causing gas
and key commodity shortages.

Our teams mitigated these challenges, executed with discipline and delivered the best ever
results in the history. The company strengthened its future
-
ready portfolio with new product
launches and product ramp
-
ups during the financial year. New launches su
ch as exhaust brake

valve, OPL compressor with a power reduction feature, and solutions such as EBS, eCars for
EV buses.

The company also accelerated ramp
-
up of hydraulic and pneumatic ESC and expanded e
-

compressor supplies for the domestic market, while scaling exports through higher capacity compressor for Europe and new actuator variants for global trailer customers.

Against this
backdrop, I will now move to some highlights during the FY '25, '26 across different functions.

In the OE sales, on the back of recovering commercial vehicle industry supported by a strong second half rebound following GST normalization, improved infrastructure, mining activity and festive demand, the company delivered a robust performance.

This momentum peaked in Q4, particularly in the commercial vehicle more than 6
ton

segment,
with production reaching a record 151,000 vehicles in quarter as compared to 119,000 of previous year same quarter, reflecting a growth of 26.9% and this contributing to an overall vehicle growth of 16.6% in FY '25
-
'26, which is 463,000 vehicles
versus 397,000 vehicles.

Capitalizing on this up cycle, our OE sales grew by 17.6% in FY '25
-
'26, clearly outperforming
industry growth as explained above. As we look forward to
FY26
, '27, we en

ter the year with
cautious momentum, supported by GST
-
led tailwinds, resilient domestic demand and
strengthening fundamentals across key segments.

While the overall outlook for commercial vehicle industry remains positive, evolving geopolitical developments, particularly in West Asia will need to be monitored. In this context, the company remains focused on executing its strategic priorities. We aim
to sustain our
leadership position in braking system by strengthening our market share in ESC across OEMs ahead of upcoming truck regulation.

We are also driving higher penetration of advanced trailer technologies, including trailer ABS, trailer EBS in line with AIS
-
113 regulations and increasing focus on safety and efficiency. In
parallel, we are accelerating new product introduction, including upgraded compressor platforms, clutch servo with wear sensor, pressure
-
reducing walls, electronically controlled air
suspens
ion, EBS and e
-
compressors for EV platform.

We are also expanding our EV portfolio with a strong focus on e
-
compressors and EBS systems,
particularly across independent bus manufacturers.

Beyond the near
-
term recovery, we see
strong long
-
term growth driven by a tightening regulatory environment and increasing adoption
of electric mobility, which together will continue to shape the future of commercial vehicle industry.

In aftermarket, the aftermarket business reported revenue of INR 151 crores in Q4 '25-'26 and FY revenue stands at INR 584 crores, which is a growth of 15.6% compared to last financial year.

This growth was driven by active channel management like extensive aftermarket team outreach covering 6,000-plus retailers, 4,000-plus distributors, 1,800-plus fleets and 200-plus workshops continue to be key drivers of growth.

Network expansion through 51 new distributor branches and 14 new service centers strengthened presence across B and C class cities, particularly in high consumption markets.

The mining segment, which remains subdued in the first half of the year, witnessed a strong recovery in the second half, contributing to higher compressor penetration.

Additionally, a regulatory push around safety compliance in the oil and gas fleet drove incremental demand, particularly for trailer EBS solution, where retrofitment initiated resulted in additional sales. Our strategic focus on new product penetration, Spark merchandising program, especially in door control retrofit ASP played a key role in accelerating the performance.

Talking about exports of goods, the U.S. tariffs created headwinds for the industry by increasing import costs and constraining manufacturing activity, which in turn impacted demand and overall market growth, while the European market remained relatively resilient and provided some offset. The broader export environment continued to be challenging.

Against this backdrop, company reported export revenue of INR 1,025 crores in financial year '25-'26, reflecting a decline of 11.1% year

-on-year compared to financial year '24-'25. Despite the volume moderation, particularly in the U.S. market, we were able to outperform the broader export market, supported by a favorable product mix and new business wins in the trailer and off-highway segment.

Looking ahead, with early signs of recovery emerging in the U.S. market in Q4, we anticipate moderate improvement in export demand. We remain focused on proactively navigating the environment with continued emphasis on new product launches and product ramp-ups, including compressors and actuators.

Export of services. Export of services recorded a strong growth of 22.5% in Q4 financial year '25-'26 compared to the same quarter last year. For the full year, services export grew by 15.4% in financial year '25-'26 compared to the previous financial year, driven by sustained expansion in engineering activities delivered from India to our global centers.

Looking at ESG efforts, as part of our continued commitment to sustainability, we have implemented several initiatives focused on environmental stewardship and resource efficiency. At our Ambattur plant, we successfully commissioned a fully automatic organic waste converter capable of processing food waste into organic manure, supporting our objective of achieving zero waste fill to landfill and reducing our environment footprint.

Further strengthening our water management efforts, we have established a rainwater harvesting pond at our Jamshedpur facility with a storage capacity of 1,200 kiloliters. This initiative is designed to enhance water sustainability, reduce dependence on groundwater and meet approximately 40% of the plant's annual water requirement through harvested rainwater.

Our efforts in safety and sustainability have also been recognized externally. The Ambattur plant was awarded first place in Tamil Nadu State Safety Award under the Engineering category, reflecting the strength of our safety system, proactive risk management and a deeply embedded safety culture. Additionally, the plant received the Gold Award at the ESG Summit 2026

organized by Anna University, recognized our continued focus on environmental, social and governance excellence.

Update on engineering. The engineering team has played a pivotal role in quickly evaluating and releasing new additional sources conducted to meet the increasing demand for various parts like actuator, valves, driveline component and compressor, also stabilize the SOP in new exhaust brake for OEM in delivering greater value to our customers.

Update on manufacturing. The company continues to scale advanced technology product from its state-of-the-art multidivisional manufacturing facility in Oragadam, supported both domestic and global customers. New lines for crank shaft machining, ASP cartridges, vacuum pump have been successfully commissioned.

During the year, we enhanced our product portfolio with new launches across compressor, actuators and electronic systems. While expanding manufacturing capacity across plants, assembly capabilities at Jamshedpur and Lucknow were strengthened, improving agility, delivery performance and supporting sustainability objectives through reduced logistics footprint.

CVCS India achieved a significant milestone in the journey towards operational excellence with the successful completion of overall maturity assessment across Ambattur, Mahindra World City, Lucknow, Jamshedpur location with a good score.

The OMA framework evaluates plants on 6 critical dimensions, including plant basics, operations management, operational strategy, equipment effectiveness, DNA of quality and EHS and sustainability, ensuring global consistency and best practices.

This achievement reflects our dedication to building a learning organization and driving cultural transformation through qualifications and capability growth. Overall, these initiatives reflect our continued focus on operational excellence, technology leadership and building future-ready manufacturing capabilities.

Looking at corporate social responsibility, CSR. At ZF Group, our corporate social responsibility initiatives are guided by the Acting now principle built around 4 core pillars: improving road safety, enhancing the quality of life of our surrounding communities, promoting environmental sustainability and supporting skill development.

Let me briefly highlight our CSR initiative during the quarter. In Q4 2025, '26, we focused on community infrastructure, renewable energy and road safety. We installed high-mast lighting across Ambattur, Jamshedpur, Lucknow and industrial areas, enhancing safety in public spaces.

In parallel, we expanded our solar lighting initiative across villages and schools, supporting sustainable energy access. We also contributed to education infrastructure through schools renovation and lighting projects, creating safer learning environments.

On the capability building front, we train NAPS trainees and through our road safety program, we reached over 1,200 drivers and nearly 600 technicians promoting safer driving practices.

Additionally, we distributed 500 safety kit to technicians. Overall, our CSR efforts reflects a strong focus on safety, sustainability and community development.

Awards, which we got. Our employees continue to demonstrate high level of engagement and participated in various external total employee involvement TEI competitions, winning numerous awards across several categories in the last fiscal year.

I'm happy to share that in FY '25, '26, our teams won 14 national awards and 16 regional awards in competitions organized by CII, ACMA, QCFI and with many more awards at regional levels. This included 21 awards, including 3 regional awards and 2 international awards in quarter 4 of financial year '25 - '26.

Now moving on to financial performance for the quarter, I will hand over to Sweta to explain.

Sweta Agarwal:

The results were made public at 4:50 p.m. on 13th May 2026. I hope you've had a chance to go through them. We are happy to share that for the quarter ending 31st March '26, our revenue stood at INR 1,197 crores, the highest single quarter result with 15.2% growth compared to Q4 of last year.

Our profit before tax was INR 196.6 crores, a growth rate of 16.4% and our profit after tax was INR 146.3 crores, a growth of 15.5% over Q4 of previous year. Talking about our financial performance for the whole year, I'm happy to share that for the FY '25 - '26, our total revenue stood at INR 4,302 crores the highest in the history of the company with 9.2% growth compared to last financial year.

Our profit before tax was INR 693 crores for FY '25 - '26, and year

-
on
-
year growth of 13.9% and
PAT of
INR
517 crores, which is a year
-
on
-
year growth of 12.2%. I would like to thank all our
stakeholders for achieving this milestone.

As a result of our good financial performance reported in FY '25
-
'26, the Board of Directors has
approved the issuance of bonus equity shares in the ratio of 5:1, subject to shareholder and
relevant regulatory approvals.

This means that we would be issuing 5 shares in lieu of every 1 bonus share held on the record
date, which is fixed as 24th June 2026 and 25th June '26 would be the deemed date of allotment.
This is the company's first bonus issue aimed at rewarding our sh
areholders and enhancing
market liquidity.

In addition, the Board has recommended a final dividend of
INR
4 per equity share post bonus
for the financial year ended 31st March '26, subject to shareholder approval. The record date for
the AGM and dividend payment would be July 10, 2026.

Handing over to Mr. Paramjit Singh Chadha for his closing remarks.

Paramjit Singh Chadha:

Thank you, Sweta. ZF CVCS India enters financial year '26
-
'27 with strong momentum,
supported by robust domestic demand, rising adoption of safety and efficiency technologies and
a strong new product pipeline. The company will continue introducing advanced

regulatory

aligned products in the Indian market, reinforcing its commitment to redefining India's mobility.
Thank you. We now welcome your questions.

Moderator:

Thank you very much, sir.
First question is from the line of
Mumuksh Mandlesha

from Anand
Rathi Institutional Equities.

Mumuksh Mandlesha:

Firstly, to Sweta ma'am, just on the Q4 margin performance. So it was lower by 230 bps Q
-
on
-
Q. So can you just help us understand what factors played on the margins, whether the commodity,
forex
, employee costs or any other provisions like warranty, which impacted the
margins?

Sweta Agarwal:

Okay. Two factors that I can talk about. One is a bit on material cost. As you know, the last quarter, we've had significant challenges on increased supply, coupled with the w
a
r

life situation
in the Middle East. And therefore, we have some increases on the cost side. Conversations are ongoing with the customers for recoveries.

And therefore, you see an increase in cost compared to the revenue recorded during the quarter. On the employee cost side, well, there's been a salary increase effective 1st January, and that would also contribute to the cost increase so to speak. There's
been no other
--

there are no other
special items or no specific call
-
outs on inventory or any other onetime costs.

Mumuksh Mandlesha:

Got it. Got it, ma'am. And just going ahead for next year, just how do you see the margin range in the context of the commodity
INR forex

part and the mix. And also there's a going
--

next
year, we would also see the higher content for ESC, ADAS. So how do you see the margin for us?

Sweta Agarwal:

I mean I would expect it to be more or less flattish with maybe single
-
digit small growth for the
next year. As we are going in, there are challenges which are being called out on the Middle East war front and caution from the government also to look at o
ur expenses and consumption. So
very difficult to call out on
--

given the macroeconomic situation, I would be cautious on the call
out for financial year '26, '27.

Mumuksh Mandlesha:

Sure, ma'am. Paramjit, sir, just on the ADAS regulation, can you update how are the OEM order wins happening and order book is building up? And if you can mention how is
--

how are the
key customer wins or what kind of market share we can expect for this
regulation?

Paramjit Singh Chadha:

I think the best person here with us is Shankar, maybe you can give some latest updates.

Shankar Venkatachalam:

Hi, good afternoon.
On

the ADAS side of the business, we have been actively working with all
the OEMs with regards to the potential business coming up with the upcoming regulations. In fact, we have already got business awards for the full suite of solutions, which has the compl
ete
range of ADAS portfolio of products beyond the requirement from 2 OEM customers, whom we are now working with.

And with most of the other OEMs, we are in engagement with multiple OEMs on the discussions and next steps. Here, the point of discussion is happening at an engineering technical discussions where the customers have visited our test tracks and observed our

solutions in terms of

benchmarking since there is a bigger volume segment coming out of regulations, there are several players out there in the market who are also engaging with customers.

Mumuksh Mandlesha:

Got it. So just Shankar sir, clarify, basically, at least for 2 OEMs, we have won the full suite of solution, right?

Shankar Venkatachalam:

That's correct.

Mumuksh Mandlesha:

Got it. And for the ESC part, we would be quite a major player there across the OEMs.

Shankar Venkatachalam:

That's correct.

Mumuksh Mandlesha:

Got it, got it. Thank you so much for the opportunity. Just lastly to Sweta ma'am, if you could share what would be the FY27 capex outlook?

Sweta Agarwal:

We're looking at about a spend of about INR 180 crores to INR 190 crores.

Mumuksh Mandlesha:

And which area, ma'am, this would be?

Sweta Agarwal:

Some of it is new product -- capex for new products. Others would be replacements and regular upgrades.

Moderator:

Next question is from the line of Lakshminarayanan from Tunga Investments.

Lakshminarayanan:

Last 1-year, we have done extremely well in terms of quarter-on-quarter, in terms of growth in top line. But there is a divergence I see in terms of the EBITDA growth, the operating profit growth, if I exclude the other income.

And that has been not matching up with the revenue growth. Just want to understand whether this is because of some operating deleverage and how do you think this would actually pan out as the outlook remains pretty robust for this financial year -- for the upcoming financial year, sorry?

Sweta Agarwal:

Good afternoon, Lakshminarayanan. As replied also to the previous question, we see this impact of the war and increasing prices of certain commodities, which is leading to a blip on the cost side. Conversations with customers are ongoing to collect it, but there is always a lag between the

two, and that's what's showing up as a degrowth in EBITDA. We would expect that to get corrected on a lag basis.

Lakshminarayanan:

I'm talking about the EBITDA growth with respect to the revenue growth, not talking about the absolute
--

I mean, not talking about the margins here. So for example, the revenue growth has been higher, but the EBITDA growth has been lower.

Sweta Agarwal:

That's because the costs have increased disproportionately to the revenue due to these
--

yes, the timing difference between the cost to the revenue.

Moderator:

Next question is from the line of Shubham Bhatra from Ambit AMC.

Shubham Bhatra:

Basically, I wanted to understand something...

Moderator:

Sorry to interrupt Shubham, your voice is breaking.

Shubham Bhatra:

Is it better now?

Moderator:

Yes, please go ahead.

Shubham Bhatra:

Hi, team. Thanks for taking my question. Basically, I wanted to understand on the technology

side, we talk about AEBS
...

Moderator:

Shubham your voice is again breaking. It is not stable. The connection is not stable. The voice is breaking. The line for the current questioner got disconnected. We'll move to the next question from the line of Dishant Jain from Quasar Capital.

Dishant Jain:

Hello.
Am I audible?

Sweta Agarwal:

Yes, you are.

Dishant Jain:

Ma'am, is it possible to give the segment
-
wide growth figure for the quarter, Q4
, like ZS
aftermarket and exports?

Sweta Agarwal:

Yes, sure. So

--

give
me a minute. So aftermarket has grown by about 25% and
--

sorry, our
OEM supplies have grown by about 25%, aftermarket by 21%, and we see a degrowth in exports of about 6%, with

the growth of 22.5%
on
export service income.

Dishant Jain:

Sure. And is it possible to give the Europe and U.S. growth for the quarter?

Sweta Agarwal:

So the Europe growth was about 6% and American degrowth was
--

just give me a minute
.
And
yes, there was a degrowth in the Americas of about 22%.

Dishant Jain:

22%
?

Sweta Agarwal:

So on a blended

--

yes, on a blended basis, a 10% degrowth for us.

Dishant Jain:

Sure, sure. And ma'am, just on the demand scenario since government has also increased diesel prices today morning. So like in the past, whenever it has happened, has an impacted the demand -- on - ground demand going forward? Like how do you see the demand from here onwards?

Shankar Venkatachalam:

Typically, this would impact the freight rates. So, then impact on freight rates will have cascading effects on the utilization of trucks and thereby the buying capacity of fleet owners. So it may not happen immediately, but this slowdown may be there in terms of the vehicle purchase. So that's something that we need to keep a close eye on.

Paramjit Singh Chadha:

But on the other side, if you see people may like to buy the new truck because old are not so efficient and the cost of ownership is -- so it depends upon how the fleet owners take the decision on which side.

Dishant Jain:

Okay. Sure. Sure. Can I ask one more?

Paramjit Singh Chadha:

Sure.

Dishant Jain:

And team, is it possible to provide how much aluminum and copper consist of our total raw material cost?

Paramjit Singh Chadha:

Yes.
Approximately in last quarter, the major increase has been in aluminum. It is close to 15% to 18%.

Dishant Jain:

Okay. Aluminum consists of around 15% to 18% of the total cost?

Paramjit Singh Chadha:

No, Aluminum only, as a commodity. Aluminum as a commodity has been increased from almost INR 233 per kg to INR 274 per kg approximately. It varies from grade to grade. So that is around close to around 18% as a commodity. And that is a major commodity for our products.

Moderator:

Next question is from the line of Preet Pitani from InCred AMC.

Preet Pitani:

Just wanted to ask on the tech side, does AEBS and ADAS work together like if any supplier is giving us order, we mean to give orders for both together or we get orders for both separately?

Shankar Venkatachalam:

Ideally, we would look at system partner as a combination setup, because you have both the electronic stability control and the AEBS, which will work in tandem. But today, most of the OEMs have dissociated one with the other. So they are looking at options where they could use 1 or 2 partners in the cases.

Preet Pitani:

Okay. And in AEBS and ADAS, not ESC, AEBS and ADAS also, it works same way?

Shankar Venkatachalam:

Within AEBS is one of the features of ADAS. So 5 features have been mandated as part of the regulation. So under those 5 features, typically, OEMs would like to go with one partner who's able to demonstrate all 5 features.

Preet Pitani:

Okay. So, just clear me, if my understanding is correct.

For ESC and ADAS, there could be 2 separate suppliers. But generally, for AEBS and ADAS, they prefer single supplier. Is my understanding correct?

Shankar Venkatachalam:

Yes, correct.

Moderator:

Next question is from the line of Madhu Agrawal from Agrawal Family Office.

Madhu Agrawal:

So my first question is, as we're seeing the safety regulations starting to get implemented, are we already seeing a meaningful increase in our CPV across the bus and CV platforms? Or if it's possible to quantify the before and after?

Shankar Venkatachalam:

So today, we already have electronic stability control mandated in all buses, except Type 1 city buses since September 2025. So that's the uptick that you're seeing in the last financial year. Going forward, the next wave of regulation is effective 2027. So it may not be effective in this coming financial year, but more so the work will be happening for that. And the impact of that will be seen in the subsequent financial year.

Madhu Agrawal:

So that's on the buses above the more than 12-ton trucks, which are coming in from 2027?

Shankar Venkatachalam:

That's right. All vehicles that are greater than 6-ton segment would be impacted by the regulations, which would be rolled out effective October 2027.

Madhu Agrawal:

Understood. Sorry, what I think I was trying to understand is that are we seeing a meaningful shift in the value of what we are supplying because of the --

and is it possible to quantify what
that shift is for us in the value per vehicle because of the re
gulations kicking in?

Shankar Venkatachalam:

So in the current business, we are already with ABS, basic ABS in all of the vehicles. So in some of these vehicles, we have upgraded to ESC. That delta increase is already impacting the current sales that we are having.

When it now spreads across the complete vehicle portfolio platform, we would then look at a penetration increase going from the current stage to maybe completel

y covering the entire
portfolio of vehicles. So there, we will be looking to increase our value
per vehicle in the ESC
segment directly.

Madhu Agrawal:

Understood. Okay. And I think the next one is, obviously, I know right now, we've got some challenging macroeconomic conditions. It's very hard to really forecast where things are at. But as the environment should stabilize, how are we thinking about the
long
-
term structural growth
opportunity here? Are we looking at penetration
-
led growth? Are we
--

how are we sort of
thinking about what the next 2 years look like under more normal geopolitical conditions?

Shankar Venkatachalam:

So on the focus areas, what we have, we have several products like we already spoke about the safety side of the things where we are looking at braking. There apart, there are also products under the efficiency portfolio. We also spoke about compressors w
ith optimized power reduction
feature. These all offer a fuel savings benefit to OEMs.

And then also on the AMT, where we see potential penetration increasing, that will allow us to grow in the segment of offering more AMTs to market. And then there are some focus areas where we are looking at ESC as a growth for both the hydraulic as well a
s the pneumatic
platforms.

Moderator:

Next question is from the line of Nishant Vass from 360 ONE Asset Management.

Nishant Vass:

My first question is on the exports. Obviously, there might have been some potential dispatch issues this quarter. Can you confirm on the export side, were there any such challenges you faced? That's one.

And second, connected to the exports is obviously, the U.S. tariffs came in force, and there have been obviously some push and pull and I think stabilization will OEMs might have happened on the pricing side. So how does the U.S. market shape up next year?

That's my second question.

And lastly, from a medium
-

term standpoint, obviously, ZF has gone through some restructuring in its home markets. They have had long plans of larger sourcing from India. So can you give us an update in terms of where is the growth right now, also considering the backdrop of high

energy costs in Europe? Probably some of the challenges would have come back to the fore on manufacturing. So where are you from a localization and export in India medium-term 2030 standpoint? Those are my three.

Sweta Agarwal:

Okay. I mean updating on the exports, what we see is a degrowth overall. We see a growth in Europe, coupled with a degrowth in Americas. What --

as a trend, what we saw was a reduction or the gap in the supplies increasing compared to last quarters up to Q3, which is now catching up. So we still see a 20%, 22% degrowth as compared to the same period in the last financial year.

Predicting for next year, we expect --

since we are seeing this gap narrow down, what we would expect is an increase in the trend in the U.S. markets as well for the Europe markets, of course. And whether that would really catch up to now 2 years back kind of volumes still to be seen because there's still a 20% gap over.

Paramjit Singh Chadha:

See, this vehicle production in the U.S. market, we can see last 4 months, there is.

Sweta Agarwal:

There's an uptrend.

Paramjit Singh Chadha:

Uptrend, which was going down trend for many months. So I think that gives some hopes on that.

Sweta Agarwal:

Yes. That's the next year's cost. With respect for sourcing from India, continuous effort to localize and also maybe potentially introduce our suppliers to be able to supply directly to our factories in the Europe, but that's not within the scope of our activity. On the R&D cost, projects are continuously evaluated and allocated to the R&D team in India. So we would see some expansion of the service revenues.

Nishant Vass:

Okay. So as in

,

the reason I'm asking is, I appreciate the fact that some of these decisions are at a parent level, but visibility, obviously, when programs have to be moved typically in this sector, typically it's a 24-month lead lag for programs to move.

So from an FY30 target that the parent put out, and I think Mr. Holger had reiterated that recently in his conversation with media somewhere down the road in the next 12, 24 months, you should be seeing some of that move, right? Otherwise, how are you going to meet FY30 targets at a group level from India?

Sweta Agarwal:

So okay. We are getting some new RFQs, I would say, and that's ongoing. But what has been given out as a target for India's growth very definitely stand. So that commitment is definitely there from the group to the country.

Moderator:

Next question is from the line of Pritesh Chheda from Lucky Investments.

Pritesh Chheda:

Sir, for FY26, if you could give the OE aftermarket and exports growth and the revenue number?

Paramjit Singh Chadha:

Full year?

Pritesh Chheda:

Yes, I think what was given was for quarter 4, right, 25%, 21% and minus 6%. Can you give for full year?

Sweta Agarwal:

OE growth was 17.5%, aftermarket 15.5%, with export degrowth of 11%. Service income increased by 10%.

Pritesh Chheda:

Can you give the absolute number as well OE, aftermarket, and export?

Sweta Agarwal:

Yes. OE is INR 1,978 crores, aftermarket INR 583 crores, exports INR 1,025 crores, with service income INR 509 crores.

Pritesh Chheda:

Okay. And the other part I missed was you guys gave the aluminum, copper and the metal content in the RM. What was that?

Paramjit Singh Chadha:

Aluminum also has some part of copper in this. It's an aluminum alloy, which because of this global geopolitical situation, there has been a crisis of aluminum availability in the market in last quarter, and that has also caused the increase in the price of aluminum and some more commodity. We talk more about aluminum because that is one of our major raw material, which we are using. So that is the update we have provided.

Pritesh Chheda:

Okay. And sir, one clarification. In the truck segment, the ESC, which is being sold is a voluntary fit-outs right now or any particular category of CVs, the mandatory fit-outs have picked up?

Shankar Venkatachalam:

As of now, there is fitment happening voluntarily primarily in the POL that is the petroleum and oil tanker segment, where they see the application in the hazardous goods type of usage required environment. So there, we see a voluntary fitment. The regulation kicks in from 2027.

Pritesh Chheda:

Okay. Just for a clarification. So the first deliveries for us, which is as per the mandated 2027 should begin from which quarters?

Paramjit Singh Chadha:

October
'
27.

Moderator:

Next question is from the line of Darshan Bhandarkar from Banyan Tree Advisors.

Darshan Bhandarkar:

Could you share Q3
FY26

and Q4
FY26

quarterly average content per vehicle for our OEM
segment?

Shankar Venkatachalam:

So the Q4, you're referring the Q4 financial year '26 versus the previous year? Or what is it that you are?

Darshan Bhandarkar:

No, no. Q3
FY26

versus Q4
FY26
,
Q
-
o
-
Q trend.

Shankar Venkatachalam:

So the Q3
FY26
, we saw a value per vehicle of approximately 45
.5K
. And in the Q4, it was
around 40
K

--

39
.
5.

Darshan Bhandarkar:

Because there is a

Shankar Venkatachalam:

There were some one-timers that happened in the close of the previous quarter. Those are the ones that contributed to this delta increase in the value content per vehicle in October to December. Whereas those were nullified in the quarter 4.

Darshan Bhandarkar:

What were those -- can you please point out that?

Shankar Venkatachalam:

Could you please repeat the question? What was the what?

Darshan Bhandarkar:

What was the one-off in last quarter?

Shankar Venkatachalam:

It was related to certain selling price variances that we got from customers. Those were some one-timers that were got in the close of the quarter. That led to the increase in value per vehicle, which was recorded as part of the sales that was retrospectively realized in the quarter 3.

Sweta Agarwal:

If you remove those one-timers, you would be more or less flattish on the value per vehicle.

Moderator:

Next question is from the line of Lakshminarayanan from Tunga Investments.

Lakshminarayanan:

Two questions. One is that we are seeing an increase in
the tonnage of vehicle. In addition to it,
there is also a movement of multi
-
axle towards tractor trailers. Now in these 2 accounts, either
when the tonnage increases, whether the component which you are actually placing in the
vehicle, does it also increa
se in terms of value as the tonnage increases? Or it is the same whether
the tonnage is X or even X plus Y.

Shankar Venkatachalam:

There are
--

the tonnage increase is directly proportional to the number of axles that are there at
the vehicle level. So when you talk about a multi
-
axle, we have different configurations. We
have 4x2, we have 6x4, 8x2, 10x2 and so on.

So these multiple configurations which are there, those are the ones that contribute to any kind
of increase in our content per vehicle because each axle, we have the components that are fitted,
maybe it's an actuator, maybe it's a wheel speed sensor, mayb
e it's the foundation brake side of
things. So these are all the contributing factors to contributing to an increase in the content per
vehicle.

So the basic tonnage increase doesn't really add that much of a value, except for the fact that
maybe the customer may switch to a higher duty compressor or as a lighter duty compressor
from an LCV to M&HCV segment. That's the kind of a difference we would

see.

Lakshminarayanan:

Got it. Got it. And the other question is that there have been free trade agreement between India
and U.K. or India and Europe, right
--

sorry, India and Europe. Now what does that mean for
our exports? Does it actually enhance visibility and also yields
a better value proposition for us
in the relevant markets.

Paramjit Singh Chadha:

Yes. I think this is already
--

if you see announced, but it is in the draft stage, and it may take
some more time, maybe about 1 or 2 more years to get it finalized. And that also will have a
slow ramp
-
up. Definitely, whenever it is implemented, we will
definitely have advantage
because we have many plants across Europe, and there will be better competitiveness from India
to Europe and vice versa.

Lakshminarayanan:

Okay. Sir, if I look at our Chennai facility for exports, we have a large land and we always had a large plan for exports to the U.S. market. And we also can add with higher level of automation and modularity in terms of manufacturing. Now there has been some kind of slowdown in the last 1 year in terms of the U.S. market driven by uncertainty in tariffs.

Now is it fair to assume that everything is behind and that we are in a perfect launch mode in terms of enhancing or
--

I mean, leaving the current Gulf crisis, is there a possibility that it can be
--

it can give a good tailwind for our revenue and theref ore, margins as we step into the next 3

years
?

Paramjit Singh Chadha:

Yes. I think it's a very difficult question to answer. But looking at ZF focus for India, we are definitely exploring more RFQs are coming to us for coating, for export from India. And not only Mahindra World City, we have a big pl

ant in Oragadam. Mahindr a World City, I would say the overall plant utilization is at almost peak level. And further expansions, we will be doing in Oragadam.

Lakshminarayanan:

Got it. Got it. So you are saying that is it
--

if I understand right, it's still uncertain and in terms of the tariffs or it is uncertain because of the gulf crisis?

Paramjit Singh Chadha:

Gulf prices, I would say. Tariff, I think now it is getting tapered down, as we said that our sales is almost 50
-
50, I would say, for America and Europe. And overall, if you see it is minus 11% in spite of tariff in place for many months now. So that way,

I would say that effect of tariff is tapering down slowly.

Moderator:

Thank you.
Ladies and gentlemen, due to time constraint, we will take this as the last question for the day. I now hand the conference over to the management for the closing comments.

Paramjit Singh Chadha:

Yes. So on closing comment, I would say that when we see this quarter after having a very good quarter of last year, April volumes are also better as compared to
--

if we see comparing the previous years with no special aspects. And even May volumes are l
ooking good, whereas generally, first month of the year is not so high volume historically.

So we do see a good quarter this year also. And only aspect of geopolitical situation, we have to closely watch and ensure that we
--

in case of any issue, we do the flexing of our costs. So with that, I would like to thank all for giving the support to ha
ve this historical performance, and we will continue to improve our efficiencies and ensure that we continue to monitor our overall performance. Thank you.

Moderator:

Thank you very much, sir. On behalf of 360 ONE Capital Markets Private Limited, that concludes this conference. Thank you all for joining us, and you may now disconnect your lines.